Divi's Laboratories Ltd. (DIVISLAB)

Conference call transcripts, oldest-first. 17 call(s). Generated 2026-08-02.

Call: Aug 2022

Date: August 17, 2022
To
The Secretary
National Stock Exchange of India Limited
Exchange Plaza,
Bandra -Kurla Complex, Bandra (East)
MUMBAI – 400 051

Stock Code: DIVISLAB To
The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
MUMBAI – 400 001

Stock Code: 532488
Dear Sir/ Madam,

Sub: Transcript of earnings conference call held on August 12, 2022

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Require ments), Regulations, 2015
We hereby submit the transcript of the earnings conference call for the quarter ended June 30, 2022, held on August 12, 2022 at 14.00 Hrs IST. The transcript is also available on the website of the Company i.e. www.divislabs.com , under Investors Relations section .
This is for your information and records.
Thanking you, Yours faithfully,
For Divi's Laboratories Limited
M. Satish Choudhury
Company Secretary & Compliance Officer

"Divi 's Laboratories Limited Q1 FY23 Earnings Conference Call"

August 12, 2022

M
ANAGEMENT : DR. MURALI K. DIVI – MANAGING DIRECTOR
MS. NILIMA PRASAD DIVI – WHOLE -TIME DIRECTOR , (COMMERCIAL)
MR. L. KISHOREBABU – CHIEF FINANCIAL OFFICER
MR. VENKATESA PERUMALLU – GENERAL MANAGER (FINANCE AND ACCOUNTS)
MR. M. SATISH CHOUDHURY – COMPANY SECRETARY AND CHIEF INVESTOR RELATIONS OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to the earnings conference call of Divi's Laboratories Limited for Q1 FY 2023. As a reminder, all participants' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal for an operator by pressing "*" and then "0" on your touch- tone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. M. Satish Choudhury. Over to you, sir.
M. Satish Choudhury: Good afternoon to all of you. I am M. Satish Choudhury, Company Secretary and Chief Investor Relations Officer of Divi's Laboratories Limited. I welcome you all to the earnings call of the Company for the quarter ended June 30, 2022. From Divi's Labs, we have with us to day, Dr. Murali K. Divi, Managing Director; Ms. Nilima Prasad Divi, Whole -time Director (Commercial); Mr. L. Kishorebabu, Chief Financial Officer; and Mr. Venkatesa Perumallu, General Manager (Finance & Accounts).
During the day, our Board has approved una udited results for the quarter ended June 30, 2022, and we have released the same to the stock exchanges as well as updated the same in our website. Please note that this conference call is being recorded and the transcript of the same will be made availab le on the website of the Company . Please also note that the audio of the conference call is the copyright material of Divi's Laboratories Limited and cannot be copied, re -broadcasted or attributed in press or media without specific and written consent from the Company.
Let me draw your attention to the fact that on this call, our discussion will include certain forward -looking statements which are predictions, projections, or other
estimates about future events. These estimates reflect management's current expectations of future performance of the Company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Divi's Labs or its officials do not
unde rtake any obligation to publicly update any forward- looking statements, whether as a result of future events or otherwise.
Now, I hand over the call to Dr. Murali K. Divi, Managing Director of the Company, for opening remarks. Over to you, sir.
Dr. Murali K. Divi: Good afternoon and thank you everyone for joining us at our Q1 FY23 earnings call.
The COVID- 19 continues to pose new challenges with increased infections of new subvariants. We hope you and your family members, near and dear ones are staying

safe and healthy during this difficult time. At Divi's, all the safety protocols are still in place to ensure the well -being of our staff, and we will continue to do the same.
Looking at the global scenario, the demand has stabilized as compared to the volatilities seen during the pandemic. However, the cost pressures and logistical challenges continue to persist. Along with this , the industry is also facing pricing pressures.
Now, I would like to give operational overview at Divi 's Labs. Capacity expansions
for commercial generic KPIs is now completed. Qualifications for pipeline products are progressing well. We have filed DMF for 3 new APIs in multiple countries. Among these three, one is a Contrast Media API. Additionally, a few new Contrast Media APIs are currently under development. The new multipurpose facility for Custom Synthesis project s is now complete and are ready to meet additional requirements for the projects under validation.
Divi' s, as a responsible pharmaceutical company , has undertaken several CSR activities with the communities surrounding the manufacturing units, providing necessary services to 250,000 pe

ople living in the communities surrounding our facilities. Some of these initiatives include providing safe drinking water, empowering women, enhancing infrastructure, and conducting health camps.
Thank you. Now I request Ms. Nilima Divi to give an operational and financial update.
Nilima Prasad Divi: Hello. Good afternoon. I welcome everyone to Divi's Labs earnings call to discuss our Q1 FY23 results. I hope that each one of you, along with your friends and family, are safe. During the quarter, we continued to be a reliable partner by fulfilling all commitments to our customers despite raw material volatility and uncertainty, logistical challenges, energy crisis, and several geopolitical tensions. Procurement is actively being monitored to maintain a certain amount of inventory based on product criticality. We have experienced price increases in raw materials as well as solvents compared to last quarter. The impact of it is felt in the cost of our key products. Some of the cost increases have been contained partially because of the long- term supplier contract and also due to our recent backward integration.
Shipping costs and timelines have increased significantly, particularly shipments

towards North and Latin America, where ocean freight increased substantially. Trade disruptions are being caused by container shortages and port congestion as a result of geopolitical tensions and shortage of manpower at the ports. Our logistics team is

constantly monitoring the situation and pre -planning ahead of time so that most of the shipments can be delivered on time .

We continue to be vigilant about the day- to-day developments globally and try to mitigate risks as much as possible and ensure reliable supply to our customers. Divi's is capable of capitalizing on opportunities ahead with a combination of ready resources, 30 -plus years of chemistry expertise, and execution excellence.

I would now brief you on the financial performance for the first quarter of the financial year 2022- 23. I would like to state that we have achieved a consolidated total revenue of Rs. 2,343 crores for the year, reflecting a growth of 17% over the corresponding quarter of the previous year. This is on the back of a good growth during the last financial year.

Profit before tax for the quarter amounted to Rs. 851 crores. We earned a profit afte r tax of Rs. 702 crores during the quarter. Our EBITDA margin for the quarter accounted to 40%. Exports for the quarter accounted to 90%. Exports to regulated markets is 74% of our total revenue. Product mix for Generics to Custom Synthesis is 47% and 53% respectively for the quarter. Constant currency growth for the quarter has been 9%.

Our nutraceutical business for the quarter amounted to Rs. 186 crores as compared to Rs. 138 crores corresponding quarter of last year. We have a ForEx gain of Rs. 56 crore s for the quarter. Assets worth Rs. 87 crores have been capitalized during this quarter . Additionally Rs. 512 crores of capital work -in-progress is underway. As of 30th June, we have cash on book of Rs. 3,431 crores, receivables of Rs. 2,155 crores, and inventories of Rs. 2,836 crores. Thank you.

M. Satish Choudhury: With this, we would request the moderator to open the line for Q&A.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We have our first question from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Sir, on the generic side, I would like to understand that it has been more or less stable sales for th e past 3 quarters. But with the capacity expansion now in place, would we see a step -up in the coming quarters or it would take some time basis process validation and then subsequent stability data?

Dr. Murali K. Divi: Yes, with the generic capacities incr eased, we will see in the generic portfolio, as we have completed some of the qualifications and it is a mere expansion, we will see the increase in sales in the generic compounds.

Tushar Manudhane: Sir, any further update on Kakinada?

Dr. Murali K. Divi: There is no further news on Kakinada. We are still waiting for the Andhra Pradesh government to hand over the land to us, the 500 acres.

Tushar Manudhane: Lastly, on the carotenoids sales, it has been a decent jump up compared to Rs. 155- 160 crores to Rs. 190 crores now , close to. Is this a sustainable number on the back of capacity being expanded or we have some volatility over the near term?

Dr. Murali K. Divi: After we expanded 100% capacity, the jump up what we have seen is, yes, it will continue. And i n fact, we are expecting even business to further grow.

Tushar Manudhane: And just lastly, if you could share the CAPEX number for this year and capital work-in-progress?

Dr. Murali K. Divi: The capital work -in-progress is about Rs. 500 crores right now. In a normal circumstance, since we expanded considerably Rs. 2,500 crores in the last 3 years and we occupied about 85% of the capacity. Still a very large capacity is available. So, we don't see more than about Rs. 500- 600 crores of further capital expenditure to introduce new technologies of photochemistry, which we were doing earlier – flow chemistry, peptide chemistry. These are the new chemistries where several new products are coming, and also the high -potency antibody conjugated drug. These are the technologies that are required for the next 3- 4 years with all the molecules that are being developed, but you don't need a huge investment for that. This is what is planned between new technol ogy and some debottlenecking if required. Without Kakinada, this is what it is. But if there is a Kakinada project running, I think as I mentioned last time, we will start with about Rs. 1,000 crores

and probably go on investing as we go along.
Moderator: We have our next question from the line of Surya Narayan Patra from PhillipCapital India Private Limited. Please go ahead.
Surya Narayan Patra: Sir, first question on the margins. Sequentially, is there any major change that we have witnessed in terms of the cost structure? The margin has corrected almost 3% to 4%.
Either it is coming from the price pressure or it is an input logistic s or energy costs or it is product mix. What really has changed from the last quarter? Although quarterly

variation that we a re not judging, but any specific thing that has really resulted in a correction in margins?
Dr. Murali K. Divi: When you say margins, we look at from the point of view of process efficiency and productivity. Productivity, it is still good, no change. Effic iency, there is no change.
What changed is, as Nilima mentioned earlier, the raw material costs have gone up.
All solvents have gone up anywhere from 30% to 50%. And some of them, even 100%. And some of the metals like lithium which we use substantially as a catalyst, it has gone even 100% or 200%, as the world knows. These caused about the increase in material cost. That's what is one impact.
The second one is the energy cost. Coal, what we were buying for around Rs. 6 per kilogram, we are now buying for R s. 8 to 8.5 per kilogram. As you all know, steam is mainly being the energy consumed in the pharma industry per process, that is where again there is a 30% price increase and it has impacted the cost. And another major factor is the power. What used to be about Rs. 6 per unit, we are now paying about Rs. 8 plus per unit and pharma industry consumes quite a bit of energy. During the power breaks or on a continuous run, if we have to use the generators, the cost per unit of power generation used t

o be around Rs. 30 to Rs. 40, today it is about Rs. 70 to Rs. 80 per unit. These are some of the things that are not in our control that has impacted this, what you have seen as either other expenses or overheads increase or raw materials being increased. It has nothi ng to do with the functioning of or the efficiency of the plant.
Surya Narayan Patra: But this cost elevation was there even in the fourth quarter, right, sir? Or it has further enhanced and pressurized profitability in this current quarter?
Dr. Murali K. Divi: I think we cannot go by quarter by quarter because , may be, we consumed some of those solvents, some of those materials more in one quarter than the other. And even in the energy, I think, with the way the first come first use basis, maybe some of th e ones recently purchased gets charged on that basis.
Surya Narayan Patra: Sir, my second question is that, on the revenue front, we have maintained even strong performance despite whatever challenges or trade issues and all that. I am just trying to under stand here whether we are still getting benefited by the limited period supply opportunity? Could be like Molnupiravir and Paxlovid anything like that this quarter?
And if that is the case, whether this revenue quarterly run rate is a sustainable one in spite of this?
Dr. Murali K. Divi: One thing I want to bring out, I have been saying from the beginning that it is not a single product that runs the company. It is not just because of some synthesis or the

generic compound. It is a combination. What we established…. Normally, I don't even say the name of the compound. Since the big pharma announced the name of the compound, what became very clear to every pharma big company in the world is that if there is an NCE, if there is a large volume required, a company like Divi's only can do from N CE to launch commercial supply within 6 months and meet the whole world demand. That is what we have established in the world, which nobody has done in the past. We are looking at a lot of opportunities based on this credibility that came into the world, w hich every big pharma understood that if there is a small molecule needing large volumes, let us go to Divi's. In 6 months, we can go to the launch. This is what we gained.
Coming back to Molnupiravir, yes, we had enjoyed the run and we have completed all the orders which we have received and we are waiting and discussing further orders.
Surya Narayan Patra: Sir, just one point I wanted to clarify about, let us say, the 6 -point growth strategy or drivers that you have been talking about. Having created the major capacities for both custom synthesis as well as generics, out of those 6 drivers, which is the driver that you think is likely to be the key contributor over current year and next year?
Dr. Murali K. Divi: I love all the growth engines , because some of the growth engines give me a lot of

stability, some of the growth engines grow like rockets. You want to hear them, but I love the stable growth engines also . Coming back to your point, the contrast media growth engine where we already increased the capacity for some of the contrast media and we have filed as much required. We are stabilizing the process and completing qualifications of other contrast media, I think that is a big growth engine which I can see in the coming 2 years. And, this is where we are going to be very strong with the iodine recovery and reuse system with least iodine consumption to the atom efficiency. Because iodine what used to be $13 a kilo, today it is about $80 per kilogram ; and that is the major cost in the co nsumption of the contrast media. So, if somebody has a good efficient process of recovering and reusing, he will become the king in the game. Also, I think we have an excellent opportunity in the 5th growth engine where I mentioned that one of the contrast

media for one big pharma we have mentioned earlier that we have got the contract and we will be completing. We are just in the process of completing validation and commercial production continues after that without any gap. Now, we are into discussion to see…. there may be an upside of 2x. That's what we are seeing. I think these are the 2 main if you ask that the rockets that can take off, but the real growth is on the future.

Our last growth engine where we mentioned that the expiry of patent between 202 3 to 2025, about $20 billion worth of APIs going out of patents, this is where we have submitted DMF s in some countries and other DMFs are under preparation as we are completing the process validations, and these are the ones what will do after the 2 years to take the company further up.

Surya Narayan Patra: Just last one quick clarification, Sir . For FY22, the export mix if I see, the US share of exports has gone up from, let's say, from the 24% to 44%. And the Europe which used to be the dominant piece wi th 47% until last year, it has come down to 33%. Is there anything to read out of these numbers, Sir ?

Dr. Murali K. Divi: I don't think you can make out anything from these numbers because in the generic industry, probably you can calculate based on where it is going whereas the big pharma, they may want it to be shipped to Europe or they may want it to be shipped to the US or into Singapore . It is very difficult to say, up and down. It mainly depends on where they have formulation capacity available for ru nning the said project. So, I think it will not make any real understanding to bring any point out of exports to Europe, US, or any other country to say what happened to each company or each product.

Moderator: We have a next question from the line of Shya m Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan: The first question around the segmental disclosures of generic versus custom and what the generic API growth? And I am excluding nutraceuticals out of it. It seems to suggest that generic API has now shown 4% growth for the quarter . YoY, I think we saw, if I recollect right, a 15% decline in generic API last year, same revenue line item I am comparing. What's the prognosis here Dr. Murali and team? You mentioned about long- term cont racts and the ability maybe to reprice. So, just going back to the point on margins. Are we able to pass on price hikes selectively for some of these niche products so that we can protect margins?

Dr. Murali K. Divi: I think from last several Q&A, when the questions were asked why the custom synthesis going up, generic going down, generic going up, customs going down, we don't run that game. As I mentioned that we cannot be judged by quarter on quarter, even on year on year because opportunities sometimes l ump up, sometimes they are spread. But our objective is to keep them balanced on 50- 50. Because of the large custom synthesis project we did, probably the numbers changed a little bit up and down. Otherwise, coming to the costs, I think, yes, in some cases , we were able to convince the customers and pass on some of the raw material costs because everybody

knows the lithium that it is not available in the world. Even it is not available for the chips , pharma industry is not exempted from that. People underst and and compensate for such. But some of the solvents and fumes , I think it takes a little more time to convince them. So, long- term contracts with a coupon saying that if there is a more than 10% increase, maybe it can be discussed and accommodated. Yes, we are able to do that, but I think more of these increases happened in the last 3 to 6 months than really a year ago. So, still we are under negotiations for further.

Shyam Srinivasan: My second question is j

ust, again, disclosure of some of your fiscal ' 22 annual report
on top products and top customers. We have seen a significant jump; 49% top products going to 60%; top 5 customers, 34 going to 54. Is there any concentration risk? I know maybe Molnupiravir is one which obviously has pushed up numbers like you said, but
how should we look about it? Are we having other drivers to kind of again go back to
a more diversified revenue growth going forward?
Dr. Murali K. Divi: I think, going forward, it will be more diversified and I think we will go back to the
way we used to be. Again, these 6 growth engines what we are concentrating, leaving
the first growth engine the regular generics, I think these will bring the stability, not to depend on just 1 product or 5 products. This will bring the stability because each of the
growth engine has several products.
Shyam Srinivasan: My last question is just again on the similar disclosure around imports and how much
of it you are dependent from a material consumption perspective. This has reversed in
the fiscal '22, rig ht? We have gone from 44% to 46%. So, just trying to see backward
integration, we did quite a bit. I was under the impression that this number should keep coming down, as you do more and more of the intermediate steps. But has it changed
or it is just temp orary you think?
Nilima Prasad Divi: If you are looking at the imports, it is a situation where what's happening in the world
currently today – it could be with respect to the geopolitical tensions or it could be the
logistical challenges like, even if you see from India to US, a 40 -foot container is
currently like $11,000, which is 3x what it used to be a year back. There are many
factors that are playing with respect to why the prices are increasing and what's the
cost. Yes, we did try to reduce our dependency on imports, mainly China, from about
7 years back wherein we started encouraging domestic manufacturers to produce
materials where China is a monopoly, and wherever we could not find a secondary source with respect to geographical diversification, we did our own backward
integration. But having said that, the dependency on China is not totally gone because

they have the largest capacities in basic chemicals in the industry. But if we are looking
at the increase in the cost, I believe and I hope that i t is going to be a temporary thing
and it is not going to be permanent, and once the situation settles in various factors worldwide, be it logistical or geopolitical tensions, I think the costs would go back to
where they were.
Moderator: We have our next question from the line of Cyndrella Thomas Carvalho from JM
Financial. Please go ahead.
Cyndrella Carvalho: Dr. Divi, if we understand our growth coming back on the generic side, plus you
highlighted that on the contrast media opportunity also. Should we s ee this 870- odd
run rate quarterly improving here onwards? And how should we look at the generic
pricing perspective for our portfolio, existing and the upcoming launches? And if you
could also bring up what kind of CAPEX we will see getting utilized for t hese newer
generic opportunities that we are launching?
Dr. Murali K. Divi: The newer generic launch is going to bring a change because it's not going to occupy a lot of capacity. The newer generics are high -priced, not like $30- 40 a kilo but they
are high priced and medium volume. So, this will occupy less capacity and produce
probably more margin and more value. But I think it is good to have a combination of
our contrast media or these new generics and also multiple sartans. Let us not forget
that people still did not forget about the nitrosamine impurities, people didn't still did
not forget about azido impurities that came in sartans. Even I think yesterday, we came
to know that the sartans still the newer ones, some of the old gener

ics may have again
problem and probably we will have more opportunities for producing more sarta ns as
we already are commercializing them. I expect that these unstable times of higher raw
materials or a little bit effect on the margins is going to be temporary and we should
be able to go back to where we were in the next 1- 2 years.
Cyndrella Carvalho: This generic run rate of 870- odd should be improving as we go from this quarter
onwards for the entire year?
Dr. Murali K. Divi: I have been saying from the beginning, we don't want to say quarter -on-quarter basis.
We can talk about, I think I mentioned a few times in this call that it is going to be once we complete all these validations, I think even in the generics and future generics, after
1 year, in the next 2 years, we should be able to see the upsides and the value additions.
Otherwise, our regula r generics are stable. And whatever capacity we have, we are able

to utilize.

Cyndrella Carvalho: And the amount of new capacity utilization for the entire newer generic, how much CAPEX we will be kind of utilizing, which we have already done in the past, like almost Rs. 3,500 crores in the last 3 years?
Dr. Murali K. Divi: If you recall that before we invested this Rs. 2,500 crores, we were having a revenue of Rs. 5,000 crores and with a profit after tax of Rs. 1,300 crores. In the last 3 years, we were ab le to complete that and bring it to Rs. 9,000 crores of revenue and Rs. 2,960 crores of profit after tax. So, the substantial increase in these, both in terms of the sales as well as in terms of the margin, shows that we can quickly recover our investment. And I think, going forward, the Rs. 500 crores of what we have capital work- in-progress and what I mentioned an additional Rs. 500 crores of investment should see it through, I think, all the 6 growth engines what we have identified.
Cyndrella Carvalho: Is there any one -off in the other expenses which look very elevated for this quarter?
Dr. Murali K. Divi: There is no one -off in this quarter other than whatever the fast -track project has contributed in the last 1 -1/2 years.
Cyndrella Carvalho: Sir, should we assume at least above 40% EBITDA margin sustainable for FY23?
Dr. Murali K. Divi: Always , we should be able to maintain the 40% EBITDA margin, yes. Actually we would like to do better, but I think it is up to 40%.
Moderator: We have our next ques tion from the line of Prakash Agarwal from Axis Capital. Please go ahead.
Prakash Agarwal: Just one clarification from earlier participants. So, 40%, including other income, I guess, because I think this quarter, it was 37.6%. Will that be correct, Sir ?
Dr. Murali K. Divi: Yes.
Prakash Agarwal: Ma'am, just trying to understand that have we contr acted with newer rates? With higher input cost…. Freight I understand is actually coming down Q on Q. In the last few quarters, we have contracted at lower rates, and now we are having higher rates for future contracts? If you could just highlight that. Be cause the commentary that we are hearing from other pharma companies is that Q on Q, at least the input cost as well as the freights have started to come down. And in the past, we haven't heard from you wherein you contracted at lower rates in the past and now at higher rates?

Nilima Prasad Divi: In the past, we have been able to get the prices into a contract or we have been playing safe or we have stocked the material quite a bit wherever necessary. So, the costing was slightly better. But, yes, if I say currently sitting in August, the costs we are seeing a little bit better, but still volatile. I wouldn't say they are completely back to square one like how they were 2 years back, they are still volatile. But yes, we are seeing in August, a slight better pricing. But if

I am talking about Q1, we did see quite a price rise around that time.
Prakash Agarwal: Secondly, you mentioned that this passing of cost is on a case -to-case basis. How about the benefits? Rupee- dollar from 77 -78 is touching 80 now. You ha ve talked about it that a part of it gets passed on and part of it we absorb. Does that still hold or how are we placed now with the rupee -dollar benefits?
Nilima Prasad Divi: If we have to look at, we do a lot of imports in dollars as well. So, when the price goes up for the dollar, we also pay a higher price.
Prakash Agarwal: Yes, naturally that is fine, the exposure I am talking about.
Nilima Prasad Divi: Yes.
Prakash Agarwal: So, we get the benefit of the post the net exposure?
Dr. Murali K. Divi: That' s correct.
Prakash Agarwal: Lastly, given the investments we have done in the past and generics even you mentioned that there is a patent list which will benefit the generic production and sales. We have started to see some growth now 5%. How do we see '23 and '24, given that capacity utilization is here to increase, DMF filings already happening? Just a little color would really help us understand on the growth trajectory for the generic business.
Dr. Murali K. Divi: The capacity is there. The validations are happening. The Drug Master Files submissions are happening. Once we complete these in the next 6 months to 1 year , this is when the qualification by each of the customer happen and then the trial orders and the annual contracts. This is a process whic h we started 1 year ago, 2 years ago, to develop the process for them. Now it is happening, and you will see the real volume after 2 years. But meanwhile, you will definitely see some income. Some of them,

approvals come early and some of them will take a little time of 1 -2 years. But we have the capacity for all of those.

Prakash Agarwal: What I understood was for these complex products which are heading for patent expiry, we will see in a couple of years. And in the meantime, the base business generics will still see some growth. Would that be correct understanding?

Nilima Prasad Divi: There are other engines where the work is going on as well and then we have our regular business which is happening as well. So, yes, growth, I would say, is some thing we can't see quarter on quarter. It is something that we would see year on year.

Dr. Murali K. Divi: What I can also add to what Nilima said that what I mentioned just now is about the new products where patents are going to expire, that is one business. The second one is, the 3 other growth engines, the contrast media growth engine, sartans, and where we increased its capacity of some of these generics, these will start yielding as and when the qualifications are complete without waiting for the pate nt expiry, because these three are already patent expired, these 3 growth engines.

Moderator: We have our next question from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Nilima, just wanted to understand the comment that you made that costs have started to come down in August. Has there been a meaningful reduction? And what is your sense in terms of raw material cost improving further? Do you think there could be more improvement as we go ahead?

Nilima Prasad Divi: While I said we are seeing a little cost reduction or stability, we are also seeing volatility, mainly with respect to solvents and where all the solvents are being used. It is quite difficult because we are just at the beginning stages currently to decide upon whether this is going to be the trend for the entire quarter. It could be that tomorrow there could be another delay or there could be some hiccup that could have happened and the prices would again shoot up. So, right now, what we are trying to do is, we a re trying to be cautious. We are trying to t

ake advantage of the situation whenever there is a slight dip in the prices and trying to take advantage of the situation whenever there is a logistical ease. And the main goal we have currently is to make sure t here is no delay to the customer. Whether we have a delay or we have a cost increase is the secondary worry for us. Our primary worry is, are we supplying to the customer on time, on demand. And that we are able to fulfill and that's what our main target i s.

Neha Manpuria: From a backward integration aspect, given that we have invested a fair bit in that, all of that benefit is already reflected in our costs, right? Or should we see some incremental benefit or offset coming from the backward integration project?

Dr. Murali K. Divi: The backward integration benefit has already come in. But what we are trying to see is now that some of these solvents like tetrahydrofuran and acetonitrile and few solvents where the prices went up very high, where moisture conte nt is very critical, we are able to apply some new technologies now, membrane technologies, to see how to recover them and reuse them which we were not doing let us say 1 year ago or 2 years ago. They would bring some benefit, yes. But I think, as Nilima s aid, the main thing is, what this volatility of demand and supply or somebody is just stopping production in China or elsewhere, Russia -Ukraine impacting all of a sudden increases, I think this is where we cannot comment too much.

Neha Manpuria: And my las t question, Sir . I am not sure if you touched upon this, but any update on the Krishnapatnam project?

Dr. Murali K. Divi: We are planning to take up first the project in Kakinada. After completing Kakinada, we plan to take up the Krishnapatnam project.

Mod erator: We have our next question from the line of Rahul Jeewani from IIFL. Please go ahead.

Rahul Jeewani: Sir, one of your key custom synthesis products is expected to lose patent protection early next year. Can you please help us understand when your custom synthesis products lose patent protection, how much of the profitability loss in such products you are able to offset by ramping up volumes on the generic API side?

Dr. Murali K. Divi: It is not that on patent expiry , we lose all the products or we lose profitability, it is not true. Because the patent holder, instead of 100, his demand may be 70 or 80, but he always tried to give us more products. We have to look from that angle. Still, we will enjoy the premium price, and the prices change f rom when you supply, let us say, 100 tonnes or 500 tonnes, at 100 tonnes your price is much higher, he will realize much better profitability. So, even after patent expiry, none of the big pharmas lost total market to the generic industry. There are compou nds where they are retaining 90% of

the demand still because of certain impurity profiles which are very critical where the generics industry may take time to achieve that. So, even after patent expiry, we are talking about a few years, especially if you t ake the neuro – the medicines that are used
in the neurological – people do not want to change the brand. They want their patients
to use the same brand. We have not seen a sudden disappearance of a product or sudden loss of majority of the value. Yes, the re will be some loss, but all these big pharmas
had more new products, that's how the balance will come.

Rahul Jeewani: But typically what we see is that once products go off patent in the US market, generic
companies would capture around 85% to 90% market share in some of these plain
vanilla or solid products. Would you think that, that could have an impact on our profitability for some of these products? And after the patent expiry, do we have to
revise pricing which we charge to the innovator company or the pricing r

emains the
same as we supply pre -patent expiry?
Dr. Murali K. Divi: 1) Pricing is based on a contract what we have for the next 5 years or 10 years. 2) The
cost of API in a big pharma dosage form is not like generic compound. They do
command p remiums and we do get premium. 3) We look at a basket of products and
adding more number of new products into the basket. I don't know what you are referring to a single product, which can impact or lose a lot of value, I don't recall that
we have such a p roduct.
Rahul Jeewani: Sir, obviously I know you haven't been indicating the quantum of revenue contribution from some of these COVID -related products, but if you can just directionally tell us
how your base custom synthesis would have grown on either a ye ar-on-year basis or a
quarter -on-quarter basis this quarter? Ex of any one -off COVID -related opportunities?
Dr. Murali K. Divi: In the COVID- related opportunities, as you know, we started developing several
products in the last 3 -4 years . And several of them, the demand, either fell down, was
not there, no more than a few months. Slowly we stopped all of them, Favipiravir ,
HCQ and several other compounds. But what we would like to say is that what we
established is that from discovery for a ne w molecule for an NCE in Phase 2, we can
bring it to the scale up and supply commercial volumes with all regulatory clearances
within 6 months. This is never heard of , and we have done it. This is what big pharmas ,
all of them , recognize and I think this i s where we are looking at opportunities to
manufacture large volumes with the capacity what we have. What happened is, none of the big pharmas have any manufacturing capacities of API. There is very little API capacity. So, if there is a molecule of large volume and for this kind of COVID or non-
COVID product, they need to outsource. And if they want to launch quickly, I think
we will have more opportunity than others as we have a proven track record.
Moderator: We have our next question from the line of Ha rdick Bora from Union AMC. Please go
ahead.
Hardick Bora: Sir, a question on the gross block turnover. Before we embarked on this CAPEX from
financial year '20 to '22, which we have also utilized well over these years, before that

period, we used to, on average, generate 1.7 to 1.8x revenue on a gross block for the
year. Can we expect this kind of a ratio asset turn efficiency to continue into the future?
Dr. Murali K. Divi: 1) I am an optimist. 2) Yes, technologies may permit few to do that. 3) What works
against us is things like COVID where we have to take more precautions and more
delays in operations. The regulatory clearances, quality assurance, quality control, having several restrictions on how the manufacturing should be conducted. There is a large difference between the way we used to conduct manufacturing in 2000, 2010,
2015, and now. We bring more productivity by increasing process yields and process efficiency. But the quality assurance with new regulations or additional regulations from the regu latory bodies keep obstacles whereby we have to wait until step 1 is
totally complete and live before we do step 2. So, it is a game between quality
assurance and production.
Hardick Bora: But as we keep improving upon the efficiency in the system, we have seen that, let us say, over the decade or more than a decade, the company's efficiency on turnover has
increased. We have been able to better utilize our gross block. Is this improvement
expected to continue into the future? That's what I wanted to check.
Dr. Murali K. Divi: If we don't get any more new regulatory agencies coming with some new guidelines, probably we should,

yes.
Hardick Bora: And one more clarification. Last quarter's call , you had indicated that about 80% to
85% of the capacity is utilized, and we have scope for adding another 10

% to 15%.
And this was not included in the 2 new SEZ buildings. Can you tell us, including those
2 new buildings, how much is the capacity available for growth?
Dr. Murali K. Divi: I think I mentioned that 83% is right now occupied. So, we have still about 17%
available right now. And 17% on the huge volume, that means we can accommodate a
lot of products or a lot of projects.
Hardick Bora: But this does not include the 2 new SEZ buildings that are coming up, right?
Dr. Murali K. Divi: It does not include the 2 new buildings or semi -construction and coming up, yes.
Hardick Bora: Is it possible to indicate with those 2 coming up, how much more capacit y headroom
we will have?

Dr. Murali K. Divi: Since they are in the under -implementation, waiting for projects, if we install large
volume reactors, then it is different from medium volume equipment. So, it depends
upon the projects in line where we needed to increase the capacity. We may go to the 20% capacity, if I have to say some number from the 17%.
Hardick Bora: We will take an update from you again, as those businesses start coming in. Thank you for this.
Moderator: Ladies and gentlemen, due to time c onstraints, that was the last question. I now hand
over the conference to Mr. Satish Choudhury for closing comments. Over to you, sir.
M. Satish Choudhury: Thank you all for joining us today for the earnings call of Divi's Laboratories Limited. In case you need any further clarifications, please reach out to our Investor Relations.
Thank you.
Moderator: On behalf of Divi's Laboratories Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2022

Date: November14, 2022
To
The Secretary
National Stock Exchange of India Limited
Exchange Plaza,
Bandra -Kurla Complex, Bandra (East)
MUMBAI – 400 051

Stock Code: DIVISLAB To
The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
MUMBAI – 400 001

Stock Code: 532488

Dear Sir/ Madam,

Sub: Transcript of earnings conference call held on November 07, 2022

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regul ations, 2015

We hereby submit the transcript of the earnings conference call for the quarter and half year ended on September 30, 2022, held on November 07, 2022 at 14.00 Hrs IST. The transcript is also available on the website of the Company i.e. www.divislabs.com , under Investors Relations section.

This is for your information and records.
Thanking you, Yours faithfully,
For Divi's Laboratories Limited
M. Satish Choudhury
Company Secretary & Compliance Officer

"Divi's Laboratories Limited Q2 FY23 Earnings Conference Call"

November 07, 2022

MANAGEMENT : DR. MURALI K. DIVI – MANAGING DIRECTOR , DIVI'S LABORATORIES LIMITED
MS. NILIMA PRASAD DIVI – WHOLE -TIME DIRECTOR , COMMERCIAL , DIVI'S LABORATORIES LIMITED
MR. L. KISHORE BABU – CHIEF FINANCIAL OFFICER , DIVI'S LABORATORIES LIMITED
MR. VENKATESA PERUMALLU – GENERAL MANAGER , FINANCE AND ACCOUNTS , DIVI'S LABORATORIES LIMITED
MR. SATISH CHOUDHURY - COMPANY SECRETARY AND CHIEF INVESTOR RELATIONS OFFICER , DIVI'S LABORATORIES LIMITED

Moderator: Ladies and gentlemen good day and welcome to the E arnings Conference Call of Divi’s Laboratories Limited for Q2 FY23. As a reminder , all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. M . Satish Choudhu ry. Thank you and over to you , sir.
M. Satish Choudhury : Good afternoon to all of you. I am M. Satish Choudhury - Company Secretary and Chief Investor Relation s Officer of Divi’s Laboratories Limited. I welcome you all to the Earnings Call of the company for the quarter and half year ended September 30 , 2022.
From Divi’s Lab s we have with us today , Dr. Murali K. Divi – Managing Director ; Ms. Nilima Prasad Divi – Whole -time Director , Commercial ; Mr. L. Kishor e Babu - Chief Financial Officer and Mr. Venkatesa Perumallu – General Manager , Finance and Accounts .
During the day, our board has approved audited financial results for the quarter and half year ended September 30 , 2022, and we have released the same to the stock exchanges as well as updated the same in our website. Please note that this conference call is being recorded and a transcript of the same will be made available on the website of the company. Please also note that the audio of the conference call is a copyright material of Divi’s Laboratories Limited and cannot be copied, rebroadcasted or attributed in press or media without the specific and written consent of the company.
Let me draw your attention to the fact that on this call our discussi on will include certain forward -looking statements which are predi ction s, projections or other estimates about future events. These estimate s reflect management ’s current expectations of future performance of the company. Please note that these estimates involve several risks and uncertainties and that could cause our actual results to dif fer materially from what is expressed or implied. Divi’s Labs or its officials does not undertake any obligatio n to publicly update any forward -looking statement whether as a result of future event or otherwise . Now I handover the conference to Dr. Murali K. Divi - Managing Director for opening remarks. Over to you , sir.
Dr. Murali K. Divi: Thank you Satish for introduction. Thank you everyone for joining us for our Q2 and half year Financial Year 23 Results Conference Call. I hope that all of you, your family and friends are in good health and keeping safe. We have gradually acquainted

ourselves to adjust ing to the new normal and yet , at Divi’s , we are vigilant about the continued existence of pandemic and are having the safety protocol in place. Now , I would l ike to give an operational overview .
During the current quarter, we continue to witness normal operations across our manufacturing units. We continue to monitor and be aware of the extremely volatile global market scenario in terms of geopolitical uncertainties , confined mobility in China due to widening COVID spread, energy crisis in Europe and global inflation and have set up various strategies to ensure uninterrupted supply, despite the head winds.
Adding on to the progress over previous quarter 's update, we have filed multiple DMFs for our generic API s in several of the regulated markets . Our contrast media API s had been filed in several countries and are in qualification stage at our customers . Two of the contrast media APIs are being produced exclusively for the Innovators where all qualification works are in process. Our Custom Synthesis business has s

een very
positive progress where we believe a few of our customers NCE’s will cross phase -III and closer to launch in the coming times.
Divi’s continue to manage our operations responsibly and create a posit ive impact around the communities we operate. We have undertaken several CSR and sustainability initiatives during the quarter. Some of the CSR initiatives include developing the infrastructure of the communities around our m anufacturing units benefiting nearly 75,000 people. As a part of child empowerment initiatives, we continue to provide child nourishment and stationary supply in g overnment school s benefiting approximately 24,000 students .
With that, I would like to handover to Ms. N ilima to share some operational and financial highlights of the quarter.
Nilima Prasad Divi: Dear ladies and gentlemen , a very good afternoon to all of you and thank you very

much for joining us today to discuss the results for the second quarter FY 23. I hope that each o ne of you along with your friends and family are in good health .
On operational front, during the quarter we had minimal to no disruption to customer shipment s and are operating with a commitment to fulfill all our customer requirements in time . The global logistics scenario has improved, and we have witnessed receiving sea and air freight costs during t he quarter. However, minor disruptions coming from issues like manpower shortages continue d and we are being cautious about the inbound

and outbound logistics management , keep our operations smooth and meet our customer commitment s.
Raw material procurement and availability issues are slightly stabilized and prices for some raw materials marginally reduced compared to previous quarter , while for a few continues to increase. Prices of some base metals such as Lithium and Iodine have multiplied several times since last year and we anticipate this trend to persist. Some solvents like Toluene continued to incre ase. Energy cost continued to be high, and we are taking steps to mitigate the impact of the same on our operations.
Our critical supplier base is growing, and we have enough inventories to meet these difficulties. Our team is also carefully monitoring everyday development s across the globe , considering the geopolitical tensions , China's zero COVID policy and escalating energy prices , to prevent a ny delays in customer shipment s and ensure a stable supply chain. We c ontinue to geographically diversify our supply base to mitigate geopolitical risk s.
Moving on, I shall now take you through the key financial parameters of the quarter Q2 FY23 . We have achieved a consolidated total revenue of Rs. 1,935 crores for the quarter as against a revenue of Rs. 2,007 crores for the corresponding previous quarter. PBT for the quarter amounted to Rs. 61 5 crores and PAT of Rs. 494 crores .
For the half year period, w e have consolidated rev enue of Rs. 4,278 c rores and the profit after tax of Rs. 1,196 crores. Our EBID TA margin for the quarter accounted to 36% and 38.5% for half year .
Exports for the quarter accounted to 8 7%. Exports to US and Europe accounted for 68% of our revenue for the quarter and 71% for the half year period. Product mix for generics to customs synthesis is 57% and 43% respectively for the quarter and 52% to 48% for half year. We have Forex gain of Rs. 31 crores for the quarter and again of Rs. 87 crores for the half year. As we have lower sales during the quarter and due to the change in the product mix, our constant currency growth for the quarter has been negative at 13% for the quarter , while it has been negative at 2% for half year. Our Nutraceutical business amounted to Rs. 163 crore for the quarter and Rs. 350 crores for half year.
We have capitalized assets of Rs. 89 crores during the quarter and Rs. 200 crores for half ye

ar. Capital work in progress is about Rs. 542 crores as at the end of the quarter .

As of 30th September , we have cash on books of Rs. 3,336 crores , receivables of Rs. 1,840 crores and inventories of Rs. 2,970 crores. Thank you.
M. Satish Choudhury: Thank you ma 'am. We request the moderator to open the lines for Q&A.
Moderator: Thank you very much, sir. We will now begin the question and answer session. The first question is from the line of Prakash Agarwal from Axis Capital. Please go ahead.
Prakash Agarwal: My ques tion relates to some outlook on the C ustom Synthesis business as I understand given that the share is lower and hence the gross margin is kind of little muted, i f you could highlight that . And some outlook for the second half and next financial year please?
Dr. Murali K. Divi: Actual ly, in fact, our Custom Synthesis business looked very optimistic and probably much better than any given time. There ha ve been several opportunities we received in the last 6 months where we think… and these opportunities are mainly in phase 2 , phase 3; and hopefully in the near future , we will see good results from those products.
When you say the big opportunity we had on the fast -track projects , it completely depends on whether COVID on the rise or not. The volumes cannot be fixed on year - on-year, but are dynamic where demand would be very high or very low .
Prakash Agarwal: And would there be any qualitative guidance on the gross margin and EBITDA margin going forward, given there has been some volatility?

Dr. Murali K. Divi: I think the margin, if you look at material consumption , it remains the same 36% compared with previous quarters and ye s, there were pressure s on the raw material prices and there were pressures on generic price of API , increasing logistic s costs, yes this have impacted , but we had slowly energy cost went up very high 2x to 4x and we are trying to work on each of these to see how to become less dependent on them.

Prakash Agarwal: So, in summary , can we assume that this q uarter margin is new normal and then it starts picking up as and when the C ustoms Synthesis business picks up again?

Dr. Murali K. Divi: If you recall in 19- 20, we used to have a run rate of total income of Rs. 1,100 crores to Rs. 1,400 crores with a profit after tax of around 24% to 25% . And as we have started taking up several of the expansion plans, it went up to Rs. 1,700 crores in the Q1 2020-2021 with slightly upper margins of 28% and 2021- 2022 with the fast- track projects , it went to Rs. 1,900 crores to the highest of Rs. 2,543 crores , yes with a better margin of 31% and 37% being the highest . And I think in t he immediate quarter s 1 or 2, we will be facing probably the same , but going forward with these new opportunities in

the phase 3 and with several opportunities from the big pharmas what we got in multiples of times opportunities , we should be able to see a quite a big growth . It will take about 4 to 6 quarters before they can yield totally , the qualifications, the secondary site being the formulation qualification , then I think the commercial volumes will start.

Moderator: Thank you. The next question is from the line of Cyndrella Carvalho from JM Financials . Please go ahead.

Cyndrella Carvalho: Sir, I just want to understand if we look at the topline of Rs. 1,854 crores for this quarter, should we consider this as a base and from here onwards it will grow or is there any kind of shipment delays that has happened or shipment deferrals which has happened for the next quarter in this , any color on this , especially on the generic side that you can explain?

Dr. Murali K. Divi: First, I think we have been always saying that we should not be looked at as on quarter -on-quarter basis . It is very difficult, either in the generic or in the C ustom Synthesis to look at quarter -on-quarter basis . We have not left any opportunities and as I have mentioned that in t he coming quarters, few of the C ustom Synthe sis projects whi ch are on a fast -track , they should start doing well and also the fast -track project which we had, we do not know how the customer is looking at it and it all depends on the pandemic and the strategies.

Cyndrella Carvalho: And sir, if we have to understand our new generic launches , you are mentioning to a lot of DMF filings , when should w e expect these launches from a timeline perspective? Would second half the part of it or it will be largely from our FY24 perspective , we should start looking at it?

Dr. Murali K. Divi: The patent expiry on these new molecules where we submitted drug master file , the expiry itself will start from 23 to 25 depending upon which one and so we should start looking at 24 onwards , we should look at the opportunities .

Cyndrella Carvalho: So, sir, if we are looking at the generic business this quarter almost around Rs. 870 crore s level and it is showing some bit of growth for us , given the contribution breakup that we have shared , so how should we look at this portion in the second half and overcome 3 to 4 years including all these possibilities and new launches? You think that the volumes shoul d continue to grow, or you still see some bit of volume or a demand aspect still stagnant at this point in time?

Dr. Murali K. Divi: Post COVID, the other regular therap eutic segment s are growing, and we see everything to be either normal or growing in the generics . I am going with the therap eutic segments . When COVID wa s severe, all the other therap eutic segments because of the hygiene and nose masks and less communicable , so whereas now everything is open and there is again demand for anti -infective , anti-arthritic, anti-allergic and pain killers , so I think we see a possibility for the improvement in the generic industry. Especially cough and cold medicine which I think is getting more in demand as the cold season has just started, this is on year -on-year, quarter -on-quarter basis , you know it goes down in summer and again fall and in winter it goes up . That is a seasonal variation , but I am talking about before COVID and after COVID. I think we are reachi ng a situation soon on therapeutic segment 's demand going up prior to COVID whatever we had I think we will reach th at.

Moderator: Thank you. The next question is from the line of Neha Manpuria from Bank of

America. Please go ahead.
Neha Manpuria: Sir, on the comment that you made that a couple of your customers who have products in phase 3, we will start seeing contribution from those in 4 to 6 quarters, so is it fair to assume that the C ustom Synthesis improvement will probably come through in FY25 probably? And this is the base that of the C ustom Synthesis business we should work with till then?
Dr. Murali K. Divi: As I said we have never seen so many opportunities in the Custom Synthesis , earlier we use to get them in the very early on phase 1 and phase 2. Now, we are also s eeing not only we have many opportuni ties in phase 1 and phase 2 , but we also have couple of fast -track phase 3 projects which we think will start yielding in 24. That is not the case usually. U sually , you enter in a phase 1, phase 2, travel through 2 -3 years , then it will take 1 more year for launch, then you see . But during COVID most of the companie s concentrated on anti -COVID drugs , everybody. So, now onc e this demand has gone down, they started looking at the next immediate requirement so they looked at their own pipeline and they found some good compounds who were worth launching billions of dollars -worth , so they have st

arted pushing them . This is where I think the fast-track projects which we took and executed in 1 year , making 100s of tons, it is the benchmark in the industry. Nobody from a NCE gram process ha d delivered , validated , delivered 100s of tons in a year . This is the fir st time in the history in the API industry. So, Divi's ha s put the benchmark that it can be done in 1 year. That is why I am confident based on again this is all, I think to the best of our knowl edge and also looking at the m finally getting clearance, t he regulat ory clearance or regula tory hurdle, but we are quite optimistic at this moment.

Neha Manpuria: Sir, from your comment , it is fair to assume that post the fast- track project that we executed last year, we are seeing more enquiries for such phase 3 projects which are near phase 3 increasing , so that pipeline is probably becoming much larger that it was pre-COVID?
Dr. Murali K. Divi: As I said nothing like seeing t he benchmark, seeing the execution, the word spread s, its is a very small community of 10-15 companies , who did this project to X and who did that project to Y. Naturally, I think if somebody needs volumes and quick execution, I think they are looking at us as one of them who can execute and bring the product on to the table.
Neha Manpuria: And sir, an update on the Kakinada CAPEX? What have we seen there, has there been any progress?
Dr. Murali K. Divi: This time , same as of last time . There is not much movement from the Government and we are still waiting for the clearance.
Neha Manpuria: So, there have been no change in the ….
Dr. Murali K. Divi: No change.
Neha Manpuria : And last one more if I may squeeze in, what is the utilization in the current quarter?
Dr. Murali K. Divi: Around 80% -83%.
Moderator: Thank you. The next question is from the line of Shyam Srinivasan from Goldman Sachs . Please go ahead.
Shyam Srinivasan: Just going back to custom synthesis and what has happened quarter -on-quarter 1Q versus 2Q, just doing rough rounding up numbers , Rs. 1,200 crores have gone to about Rs. 800 crores , we are aware sir that you had this fast-track project , COVID related , but does that explain all the change quarter -on-quarter for this second quarter?
Dr. Murali K. Divi: I don't think we should be looked at as quarter -on-quarter. It is more I think in generic s, it can be looked at , if at all. Whereas in the c ustoms synthesis contract manufacturing, I think we should not be looking at it from quarter -on-quarter. I think , sometimes it can lump up based on the delivery, based on the cold container availability, I think more to do on the availability of the containers, re frigerated containers.

Shyam Srinivasan: You think maybe it is not a demand issue , sorry I am trying to interpret your point here sir, so it could be because of delays and that is the earlier participant also has asked, are there any delay because of unavailability of say, cold container that led to lumpiness in the business?
Dr. Murali K. Divi: No, it is not the lumpiness on the business , it is not having raw material , it is not having business . It is mainly I think some cold container availability and probably in most of

the projects , some of the projects probably are getting cleared on the certificate of analysis . It took little, longer time fo r them. It has nothing to do with our regular business in the c ustom synthesis ot her than the fast -track project.

Shyam Srinivasan: Sir, a nything you can quantify there as how much of that could be booked in the upcoming quarters, any quantum , I am not looking exact core number because that Q -o-Q is a big slip, right and can't be just explained just by fast -track going to 0 which you have flagged already last q

uarter , so we are aware of that , but t he quantum is where there is some surprise?

Dr. Murali K. Divi: But nobody asked me when, because of the fast-track project , it went to Rs. 2,500 crores. Nobody asked me why it went up? Is it only the fast -track project or is it some other custom synthesis project s? I think it is very difficult to explain on quarter -on-quarter basis , but I can tell you that 2023 and 2024 is going to be a year where we will have a lot of opportunities in custom synthesis happening.

Shyam Srinivasan: Second question is on the generic API & nutraceutical s, so generic API on a low base I think we have grown but if I do like a 1 - or 2-year CAGR, it seems to be still flat, so if you can talk about industry either price volume dynamics , in the past you ha ve mentioned that we are not losing volume share , but we have seen pricing pressure , so if you can update us in what has happened in quarter 2 , sir?

Dr. Murali K. Divi: Here I think it has nothing to do with the losing any business from our side. T he price pressures still are there. You know the t wo big pharmas who are our competitors , I think for them , it is not very far from , at least one of them going to be what we hear is that they may be leaving. In such a case, probably we will have a large chunk shifting to our side as we already expanded, and we have plans to expand further.

Moderator: Thank you. The next question is from the line of Sameer Baisiwala from Morgan Stanley . Please go ahead.

Sameer Baisiwala: Sir, my first question is on the C ustom Synthesis , people have already asked before, but for the new projects, where you are expecting some fast -track in 4 to 6 quarters? What could be the size of these opportunities , is it comparable to what we have done with the COVID products or is it going to be different?

Dr. Murali K. Divi: We believe it is not for COVID. I think I have mentioned that because pre -COVID they were developed and I think the COVID took over and only the COVID drugs were promoted, now I think these drugs are not of COVID. And how big is the dream, I am not dreaming, the dreamer is the big pharma , so we think they are quite big compounds.

Sameer Baisiwala: You think it is a big compound and sir, so these are not emergency used author ization type of products , these are more of a regular NDA approval , right?

Dr. Murali K. Divi: I cannot comment on that . The reason is that I think several of the …., if I say little bit you will be able to guess what they are, then the big pharma will come after me. And I don't think I will lose business , but I will lose my faith of maintaining the confidentiality. T ill now , the credibility has been th at we maintain ed the highest confidentiality , we don't even talk about the contract being existing, w e don't even talk about with which customer what .

Sameer Baisiwala: No worries sir and you site for the generic API business, the opportunities from patent expiration from 2023 to 2025, I am just a little curious because every year $ 15 to $ 20 billion worth of drugs lose patent protection and it is not going to make you different for those 3 years , so you should be having these as an ongoing opportunit y rather than for those 3 specific years , so if you can just talk about that?

Dr. Murali K. Divi: I think we have never disclosed, we said that 23 to 25 there is $ 20 billion expiry of the patent and we were developing process es, we have completed that , we h ave filed few drug master files and we are in the process of filing the remaining ; and soon some of the qualifications by the customers will be completed and as the patent s expire, they will be able to launch and we will be able to continue supplying the A PI.

Sameer Baisiwala: Sir, with your permission , let me ask just one final question, i t is on the sa

rtan opportunity, so if you can just share what is the update over there?

Dr. Murali K. Divi: On the sartans, we became more stronger because we are backward integrated and no other sartan manufacturer is backward integrated . We make our own Ortho Tolyl Benzonitrile , which is the starting material that using a new technology by what is called photochemistry, p eople do not even understand photochemistry, but we produce

100s of tons a month using such technology, where we have an advantage and these raw materials are common to all sartans. This is what puts us on the forefront of the sartan . So we are already leaders in 2 sartans. We have a customs synthesis project of sartan where qualification is complete , another big pharma sartan, again qualification is complete , commercial quantity manufacturing is on the progress , so with the 2 of sartans from the big pharmas and 2 sartan from our own two more sartans in generic that are with decent volumes where qualifications are under progress. I think that would complete the circle of sartan s.

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services . Please go ahead.

Tushar Manudhane: Just on the N utraceutical business if you could share the capacity utilization?

Dr. Murali K. Divi: We are about 80% on Nutraceutical utilization right now .

Tushar Manudhane: With whatever capacity which we have doubled over past 1 year , right?

Dr. Murali K. Divi: Yes.

Tushar Manudhane: So, the sales run rate has been pretty stable at about Rs. 155 - Rs. 160 crores so anything we are missing out here?

Dr. Murali K. Divi: It depends on the combination of V itamin D, V itamin A , our Astaxanthin , Beta - carotene, the combinations of what campaigns we take up , I think that is one thing and then the customer demand is another thing.

Tushar Manudhane: And receivables also have been sharply down over past 6 months? In line with reduced customs synthesis opportunities?

Dr. Murali K. Divi: Which is a good thing, receivables being down is a good thing because I think the sales are comparatively down than the earlier and we are again back to what we were in the 2021.

Moderator: Thank you. The next question is from the line of Surya from Phillip Capital. Please go ahead.

Surya: Sir, you have been indicating about the contrast media as a kind of key or growth driver in the near future , so can you give some more clarity about how many products currently that is there in your portfolio with contrast media and you also m entioned

recently that for one product you got a tieup with a big pharma and that could be the true growth driver in the near future , so could you provide some clarity about that and how big is that contrast media as a segment for you to target?

Dr. Murali K. Divi: First I think, we need to understand what are our strengths to enter into contrast media , to be competitive and to sustain, e verything is iodine , contrast media is based on iodine . Iodine what used to be $15 a kilogram today is about $ 80 to $ 90 a kilogram, s o most of the cost of contrast media is iodine . This is where we developed technology to recover Iodine both organic and inorganic , from our waste streams and became very cost effective. This has attracted and given us more opportunit ies into the contrast media . And for 2 of the contrast media, one is big pharma , another one , I don’t know whether I should also call it big pharma , but they are the largest in the contrast media , we have completed qualification s and are continuing the production. So we should see good growth, good sale.

Surya: Sir, is it possible to say that contrast media as an opportunity whether it is in the kind of like $ 1 to $ 2 billio

n kind of a global market and we are trying to have a kind of bigger pie of that or bigger picture about contrast media if you can?

Dr. Murali K. Divi: I think there are 2 kinds of contrast media, one is for the CT scan which will check where are the blocks and what is happening in our blood vessels, the second one is which is used for MRI. We have not entered there before , now we are entering into the contrast media of MRI. These are call ed Gadolinium compo unds, Gadobutrol, Gadolatrol these are all very speciali zed chemistry which uses Gadolinium . Now, we have mastered the iodine based and it is not 1 billion, 2 billion , it is several billion dollars . Now, no doctor wants to give you any treatment without a CT scan. Similarly, you go for neuropathic pain or you get any pain in the brain, headache , they want to immediately take MRI and MRI needs a Gadolinium compound. So, we understood these , we have developed some process for that and now we are in discussion with the leader s in the contrast media. So, we should be able to soon have I think sample approvals and then qualifications and all that. I t will take more time , but it is not just contrast media iodine based , but there are also another set of medi a that is called Gadolinium which are for the MRI which is probably much bigger in market.

Surya: Sir, second question is about , let us say, the new units that we have created over last 2 -
year period , so is a part of our expansion projects , so how many units of already being
currently under the commercial manufacturing and how many would be , let us say ,
have not yet seen commercia l manufacturing as of now because of the regulatory
clearance or something like that?

Dr. Murali K. Divi: Most of the units have already commenced. Two units , one is small volume , number
of products at a time , high potency compound that is under completion; and another
one more block that is for commercial consumption where that is where you are seeing
the Rs. 500 cr ores of capital work in progress, but other than the two blocks, everything
else is done.
Surya: And even the contrast media, the block that commissioned operations , sir?
Dr. Murali K. Divi: When you say commissioned, i t is validated, production started.
Surya: Just last one question sir, rather 2 point in this , one is that as per your sense, there was
a kind of a component of this COVID product in this quarter as well as in the
corresponding previous quarter . As per you, w hat is the like to like growth and the
second point is that have you seen any kind of progr ess in terms of the new contract
addition s or the projects addition because of the kind of the disturbances what we are
witnessing in the European world or let us say supply disruption coming from the even
Chinese segment?
Dr. Murali K. Divi: Definitely, the re is a global inflation at all- time high , confined mobility in China due
to wide spread of COVID, energy crisis in Europe. We just came back from C PHI
where several of our customers , they are complaining at homes , there is no either
connect ion or there is a premium price for the gas or oil. They all have enough logs for
the coming winter and what used to be like $ 50 a month, now it is about $ 500 a month
for the heating or cooling. So, an increase in logistic s is another thing . I think this will
play a lot in the coming winter as well as following the winter.
Surya: Sir, is it fair to believe sir this way that since Europe is facing all th ese kind of problems
as you are indicating , so possib ly and majority for export happens to Europe and that
could be one reason of lower Customs Synthesis operations this quarter?
Dr. Murali K. Divi: Number one , which I didn’t want to say really , but I think the indication that sourcing
from China either generic or the big pharmas for the C ustom Synthesi

s is going to be
very difficult. One, they want to reduce their dependenc y where I think confined
mobility in China and all of a sudden stopping; and geopolitical which I don’t wa nt to
bring it up. I think these are causing every big pharma to look outside either in Europe,
US or India. In Europe and US , there is not have enough capacity to produce anything ,
so India w ill have a lot of opportunities in the C ustom Synthesis. Irrespective of what
the general conditions are in Europe or USA, energy crisis and few others, people made

many things that cannot be ignored, so we see the demand either this will stay as it is
or it will go up . We don’t see any coming down.
Surya: But no greater sign of really significant additional business that you are finding?
Dr. Murali K. Divi: In the Customs Synthesis , I did mention that from 2 fast- track projects and
opportunities in phase 3 and several opportunities in the earlier stage . That is all
Customs Synthesis . Generics is different. It is our own , where we are working on the
$20 billion project between 23 and 25.
Surya: Like to like basis, without this COVID supplies what growth that you would have seen,
sir?
Dr. Murali K. Divi: We cannot discuss on quarter -to-quarter and I think it is very difficult for us to discuss
because in our either generics or custom synthesis , some are driven by the customers,
some are driven by I think this cold container availability , so it is very difficult to say.
Moderator: Thank you. The next question is from the line of Ritwik Sheth from Oneup Financial.
Please go ahead.
Ritwik Sheth: By the end of FY23 , our gross block would be around Rs. 5,000 crores , so would it be
fair to assume that on current pricing peak revenue run rate from the gross block would
2x of asset turnover, be approximately Rs. 10,000 crores , at peak utilization?
Dr. Murali K. Divi: One is a dream , the second is making the dream work and the third is a dream becoming
true. I think it is very difficult comment on whether this dream is true, somewhere in
between.

Ritwik Sheth: Sir, my second question is related to the Kakinada CAPEX assuming that we were to get clearance from the government, now what to do with the timeline in terms of starting the CAPEX and then commissioning if you could through some light on that?
Dr. Murali K. Divi: I think we have been waiting for 6 to 9 months for the final clearance and I have no say, so on when they will clear because we had all statutory regulatory clearances excepting the clearance from the state government as a final tick up .
Ritwik Sheth: Sir, my question is not related to the approval, I am saying that hypothetically if you are getting approval say it tomorrow, we would start constructing the facility , so what would be the timelines to get it commissioned from start till the end? Would it be 1 year, 2 year or period more than that?

Dr. Murali K. Divi: I think we should complete within 1 year and start seeing the results starting from the second year because, again once you complete you have to again re -qualify whether it is an expansion of the existing product or new products , we have to validate, re qualify and customer has to again give clearance, I would say fair 2 to 3 years.
Moderator: Thank you. The next question is from the line of Nikhil from SIMPL . Please go ahead.
Nikhil: Sir, 2 -3 questions. One is one clarification you made a statement that one of the competitors or two players in one of the product would be going out , was it with respect to Nutraceutical s or with respect to the API business? During the call you made a statement that there are 2 com petitors and one of the innovators would be going out , so was it with respect the Nutraceutical s or API business ?
Dr. Mura

li K. Divi: It is in the Nutraceutical side. I didn’t say the company will go out of business . What I meant is that they may drop some of the products from our Nutraceutical and there were severe price pressures. It may not be of interest to them to continue because they always may have better products to produce in the European, US context. This is what I commented. These companies are too big and they are too diversified and they have an excellent profit making products. So, they don’t have to hang on to some product in the nutra to continue. So, we hear, when you say hear say ….. we don’t know what is the truth in it, s o we hear that it may not be of interest to them and some of these Nutraceuticals , they may drop. This is what w e heard . We are ready to take any of such opportunity.
Nikhil: Now 2 questions sir , like if we follow our last calls like 8 -10 quarter call s, we have done a lot of work on backward integration and improving the yields in our products and improving our cost structure , but still if I look at our margin profile this quarter and even adjusti ng for the oneof f products, we are around that 33, 34 adjusting for the other income so is it like the cost pressure in the P&L are so high that benefits or the work we have done on backward integration are not completely reflecting in our P&L as of now ?
Dr. Murali K. Divi: Because of the backward integration, we are able to maintain the profitability of what we were till the 2019 -2020 at bottomline 23% to 27%. If w e did not take up the backward integration , had we been totally dependent on the suppl y for the raw material from China with increase d prices anywhere from 20% to 40% , it would have troubled us in even staying in business. Now the 2 things that happened because of backward integration , one assurance of supply because in some of the provinces, China just closed the wall, borders , no shipment of starting materials , we would have been out of

our generic business ; two, we just increased the prices 20% to 50% , there is no way we can accommodate them . So I think this is what benefit we got from , in spite of the energy cost increase, in spite of other cost s increase, we are able to maintain profitability before the fast -track the project.
Nilima Prasad Divi: Also, I would like to add here that since we have taken up the backward integration and al so supply diversification, our dependency on China this half year has reduced by 20% compared to the previous year’s half year.
Moderator: Thank you. The next question is from the line of Mithun As wath from Kivah Advisors. Please go ahead.
Mithun Aswath : Sir, I just have a broader question, I wanted to understand what would be our CAPEX plans be for the next couple of years since you are sensing large opportunities on the generic side because we have seen quite a lot of CAPEX in the last couple of years , would your next couple of years what kind of CAPEX you would be looking at?

Number 2 is also from that portion you talked about on the starting materials side, do you see the backward integration that you have done is coming to some sort of leveling off, is there an opportunity to do a lot more there?
Dr. Murali K. Divi: The first question I think we need to expand in the next 2 to 3 years with requirement of some of the fast -track projects we are entering now , because it depends on how fast the fast-track p roject needs to start, is it few tens of tons or few hundreds of tons, two, also the new contrast media further as I maintained two MRI new compounds we are developing. Once we are successful in developing the chemistr y and also qualify ing our process, val idating our process , then definitely we need capacities to produce them. I think this is where we see a big opportunity and we need to expand. What was your second question?

Mithun Ashok: Sir, I wanted to know in terms of what would be approximate CAPEX that we are looking at over the next 2 years?
Dr. Murali K. Divi: Your second question was on backward integration, what we did to these few compounds? Is it correct way to stay in business or do some more? I think what we are doing is now coming up with new technologies in the backward integration like the flow chemistry, vapor phase chemistry, lipid liquid, solid liquid, electrochemistry ; and these will make sure that our dependency on N butyl Lithium and other metals and solvents will come down. We enter this new swing techno logy whereby several of our raw material solvents could be reused. These are now the things we are way ahead of

compan ies whereby we should be efficient ; and everybody is talking about energy conservation, green chemistry, carbon footprint, less emissions and we are ahead of them.
Moderator: Thank you. Ladies and gentlemen due to time constraint, we take that as the last question. I now hand the conferenc e over to Mr. Satish Choudhury for closing comments. Over to you, sir.
M. Satish Choudhury: Thank you all for joining us today for the earnings call of Divi’s Laboratories Limited. In case you need any further clarification, please reach out to our Investors Relations.
Thank you.
Moderator: Thank you. Ladies and gentlemen, on behalf of Divi’s Laboratories Limited, that concludes this conference. We thank you all for joining us and you may now disconnect your lines.

Call: Feb 2023

Date:
February 0
8
, 202
3

To

The Secretary

National Stock Exchange of India Limited

Exchange Plaza,

Bandra
-
Kurla Complex, Bandra (East)

MUMBAI
–

400 051

Stock Code: DIVISLAB

To

The Secretary

BSE Limited

Phiroze

Jeejeebhoy Towers,

Dalal Street

MUMBAI
–

400 001

Stock Code: 532488

Dear Sir/ Madam,

Sub
:

Transcript of
Q3FY23
earnings conference call held on
February 03, 2023

Ref:

Regulation 30 of the SEBI (Listing

Obligations and Disclosure Requirements), Regulations, 2015

We hereby submit the transcript of the earnings conference call for the quarter and nine months

ended on December 31, 2022, held on February 03, 2023

at 14.00 Hrs IST. The transcript is

also available on the website of the Company i.e. www.divislabs.com, under Investor

Relations section.

This is for your information and records.

Thanking you,

Yours faithfully,

For Divi's Laboratories Limited

M. Satish Choudhury

Company Secretary & Compliance Officer

Q3 FY '23 Earnings
Conference
Call
”

February 0
3
, 202
3

.

M
ANAGEMENT
:

D
R
.

M
URALI
K.

D
IVI
–

M
ANAGING
D
IRECTOR

–

D
IVI
'
S
L
ABORATORIES
L
IMITED

M
S
.

N
ILIMA
P
RASAD
D
IVI

– Whole-Time Director, Commercial – Divi's Laboratories Limited

Mr. L. Kishore Babu – Chief Financial Officer - Divi's Laboratories Limited

Mr. Venkatesa Perumallu –

GENERAL MANAGER - FINANCE AND ACCOUNTS – DIVI'S LABORATORIES LIMITED

MR. M. SATISH CHOUDHURY – COMPANY SECRETARY AND CHIEF INVESTOR RELATIONS OFFICER – DIVI'S LABORATORIES LIMITED

Divi's Laboratories Limited

February 03, 202

Moderator:

Ladies and gentlemen, good day, and welcome to the Earnings Conference Call of Divi's Laboratories Limited for Q3 FY 2023. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. M. Satish Choudhury. Thank you, and over to you, sir.

M. Satish Choudhury:

Good afternoon to all of you. I am M. Satish Choudhury, Company Secretary and Chief Investor Relations Officer of Divi's Laboratories Limited. I welcome you all to the earnings call of the company for the quarter and 9 months ended December 31, 2022.

From Divi's Lab, we have with us today, Dr. Murali K. Divi, Managing Director; Ms. Nilima Prasad Divi, Whole-Time Director (Commercial); Mr. L. Kishore Babu, Chief Financial Officer; Mr. Venkatesa Perumallu, General Manager (Finance and Accounts). During the day, our Board has approved unaudited financial results for the quarter and 9 months ended December 31, 2022, and we have released the same to the stock exchanges as well as updated the same in our website.

Please note that this conference call is being recorded and a transcript of the same will be made available on the website of the company.

Please note that the audio of the conference call is the copyright material of Divi's Laboratories Limited and cannot be copied, re-broadcasted or attributed in the press or media without the specific and written consent of the company.

Let me draw your attention to the fact that on this call, our discussion will include certain forward-looking statements, which are projections or other estimates about future events.

These estimates reflect management's current expectations of the future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied.

Divi's Labs or its officials does not undertake any obligation to publicly update any forward-looking statements, whether as a result of future events or otherwise.

Now I hand over the conference to Dr. Murali K. Divi, Managing Director for opening remarks. Over to you, sir.

Dr. Murali K. Divi:

Good morning, ladies and gentlemen. Welcome to our earnings call for the quarter 3 of financial year 2023. I hope that all of you, your family and your friends are in good health.

I am pleased to report that our manufacturing operations has been running smoothly despite the volatile global market scenarios, including the global recession, energy crisis and geopolitical uncertainty. After having a great opportunity to service COVID products during last year, we are seeing normalization of our core API product portfolio, which is growing and with addition of new product opportunities that continue to grow further.

We have implemented various strategies to ensure uninterrupted supply and maintain normal operations despite COVID surge in various parts of the world. We are continuing to m leadership position in our core products. Our top generic products continue to grow. This growth is primarily driven by volume despite pricing pressures. INR 275 crores has been capitalized for the first 9 months of this financial year.

We have a capital work-in-progress of about INR 575 crores as at the end of the quarter.

We would like to inform you that the Unit 3 facility near Kakinada has received the necessary clearances from government officials and we are prepared for the prospective development of the same. We are currently finalizing the plan and we will give you an update in the coming quarters.

We are happy to report that Divi's has continued to operate responsibly and make a positive impact in the communities where our business operates. During the last quarter, we implemented various CSR and sustainability initiatives, including infrastructure improvement in the areas surrounding our manufacturing facilities, which benefited thousands of people.

With that, I'll hand over to Ms. Nilima to share some operational and financial highlights of the quarter. Thank you.

Nilima Divi:

Ladies and gentlemen, a very good afternoon to all of you and thank you very much for joining us today to discuss the results for the third quarter FY '23. I hope that everyone, along with your friends and family is in good health.

Considering the operational front, we had no disruptions to our customer shipments during the quarter and we are operating with a commitment to fulfilling all our customer requirements on time.

The global logistics scenario showed improvement with respect to sea and air freight costs during the quarter. However, minor disruptions in matters pertaining to manpower shortages continued and we are being cautious about inbound and outbound logistics management to keep our operations smooth and meet our customer commitments.

Raw material procurement and availability have been stabilized and the material prices have slightly softened compared to the last quarter. However, the prices for some base metals like lithium and iodine have increased over the past quarters and we are expecting this trend to continue. We also continue to monitor the ever-changing energy situation. With a strong and reliable supply base and inventory control, we are confident in facing challenges that may come our way.

As the world continues to change, our team stays vigilant. We are mindful of the global developments, tracking geopolitical tensions and energy prices.

We are diversifying our supply base and working to mitigate risks, so that we can keep our customer shipments on track and our supply chain stable.

I would now brief you on financial performance for the third quarter of financial year 2022-23. We have achieved a consolidated total revenue of INR 1,822 crores for the current quarter as against a revenue of INR 2,510 crores for the corresponding quarter of previous year. Material consumption for this quarter came to be about 43% of the sales revenue due to change in product mix.

Profit before tax for the quarter amounted to INR 436 crores. Our effective tax rate for the quarter is 29%. We have a profit after tax of INR 307 crores for this quarter. For the 9-month period, we have a consolidated revenue of about INR 6,100 crores and profit after tax of INR 1,502 crores.

Exports for the quarter continue to be around 87% and export to Europe and America is about 69% of our revenue for the quarter and 70% for the 9-month period.

Product mix for generics to custom synthesis is 55% and 45% for 9 months and it is 60% to 40% for the quarter. We have a forex gain of INR 47 crores for the quarter and a gain of INR 134 crores for the 9-month period.
As we have a lower sales revenue during the quarter, our constant currency growth for the quarter has been negative 40%, while it has been negative 17% for 9-month period. Our nutraceutical business amounted to INR 160 crores for the quarter and INR 509 crores for 9 months.

As of 31st December, we have cash on books of INR 3,849 crores, receivables of INR 1,659 crores and inventories of INR 2,981 crores. Thank you.

M. Satish Choudhury:

Thank you, Madam. With this, we would request the moderator to open the line for Q&A.

Moderator:

The first question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane:

Yes. First on the gross margin thing -- so the kind of product mix that is there. So is it softness in gross margins to look for going forward and which is significantly down if we look at the historical trend rate, if you could elaborate on that?

Nilima Divi: Could you please repeat the question again?

Tushar Manudhane: The gross margin for the quarter has been significantly lower, while you alluded to the change in product mix being one of the reasons. But if I look at it the historical trend rate, it has been significantly down. So again, considering the product mix should the 3Q gross margin to be taken as a sustainable rate going forward? Or is there more one-off or inventory write-off for the quarter?

Dr. Murali K. Divi: It will improve in the coming quarters. It so happened in this quarter, the raw material prices have gone up and there were pressures on the sales prices of the API. And we anticipate in the coming quarters, it should be better. There should be a growth and also a profitability growth. And also, I think you said gross, even when it came to the net, because of the high tax rate of 29%, EPS impacted naturally the profit after tax.

Tushar Manudhane: Sir, and secondly, if you can highlight further in terms of the role played by Nilima madam and

Kiran sir in terms of given -- in terms of shifting of gears of growth in the second generation?

Dr. Murali K. Divi: Somehow, the voice is not clear. Can you please repeat?

Tushar Manudhane: Yes. Sir, my question was, while considering your age and considering the second generation also into the business, Nilima Madam and Kiran, so would like to understand in further details in terms of the roles taken up by each of this and how to look at this going forward?

Dr. Murali K. Divi: I think the roles are clear that the finance, accounting, the material purchases or supply chain management will be done by Nilima. The production planning, marketing, sales, technology development what we call R&D will be handled by Kiran S. Divi. It is also being followed like this has been happening for the last 5 years. They both are heavily involved. And I just foresee the new products, new pipelines, new chemistries, what else can be introduced, like the vapor-phased chemistry, continuous flow chemistry, photochemistry, gadolinium compounds, peptides, these are the new chemistry. I am trying to see what can be introduced in addition to the regular generic custom synthesis. That's all being handled by both Kiran and Nilima and we are also having the professionals who are experts and who have been with us for a number of years.

Tushar Manudhane: And just lastly, if I -- so when do we expect Kakinada basically the construction to sort of start or, let's say, over the next 12 to 15 months, how much money you plan to invest at Kakinada?

Dr. Murali K. Divi: Finally, after 5 years since we started the first attempt to start our work in Kakinada, we got all the clearances and the land of 500 acres is handed over to us, the project planning is under progress, products planning, some of them are starting materials, some of them are intermediates

, some of them are APIs. And an investment of about INR 1,000 crores and I think we will update in the very near future because we have been handed over the land in the last couple of weeks. So we are protecting the land by constructing the wall around. We have moved the teams, construction teams and fabrication teams. So the whole …., I think we will be updating in the coming -- going forward.

Moderator:

The next question is from the line of Prakash Agarwal from Axis Capital.

Prakash Agarwal:

Sir, trying to understand, definitely the product mix has changed, the generics has gone up. But within generics, is there a pricing pressure that you are seeing because this kind of gross margin and EBITDA margin we have never seen before. I mean, we have -- you've talked about raw material pressures in the past. But is it more related to pricing in the generics that you are seeing or that is fairly stable?

Dr. Murali K. Divi:

It is mainly from the generic compounds where we have seen the price pressures, because during the COVID, several of the companies probably with generics did not get opportunity to sell. Now the growth is there, but there is price pressure. So -- but going forward, we see the price pressure will ease up and probably the raw material prices also may ease up; and come down.

We are seeing that so the profitability should increase. We cannot compare with the previous 5, 6 quarters

,

where we had exceptional opportunity. We used the speed, took challenges and executed. So it resulted in the upside during the last 6, 7 quarters, the anti-COVID drug. But if

you see the pre-COVID business, I think we are seeing normal growth in the coming quarters and profitability should improve quarter-on-quarter.

Prakash Agarwal: Okay. Just one point on the generics. So you mentioned there is some pricing pressure, but you're also saying that you would see pricing to improve. So what gives us confidence? Are we seeing it already? Or I mean, what gives us the confidence that generic pricing will improve?

Dr. Murali K. Divi: We are already seeing the prices improving and also the volumes improving. In several of the generics, we have seen even a 50%, 60%, 70% of volumes improving. Naturally, when volumes improve, prices also improve. There is a change and also our new generics and the contrast media, where there are no price pressures, I think we should look better in the coming quarters.

Prakash Agarwal: Fair enough. And secondly, sir, given the cash pile we have, are we considering any large buyout, especially in the contract manufacturing side, injectables, something like that?

Dr. Murali K. Divi:

We are not planning to buy any injectable or anything like that. We are planning to invest in new technologies, as I mentioned few minutes ago in the vapor-phased chemistry, continuous flow chemistry, photochemistry and in some of the newer compounds called Gadolinium compounds, which are the MRI contrast media agents, where we already developed process, we are trying to tag with some big name people in that. And again, the large interest in the peptide building block and there is good demand in the expanded contract media business. I think we are going to be very busy in the coming 6 to 8 quarters in implementing all these projects.

Prakash Agarwal: That's great to know. Lastly, on the Kakinada, you said INR 1,000 crores yet to be invested or within the CWIP, what is the share of Kakinada, sir?

Dr. Murali K. Divi: We have planned Kakinada almost in the last 5 years, at least 5, 6 times as if we are going ahead, but there was always a road block not getting the full clearances. Now we got full clearances, based on our current requirements or demand for starting materials, intermediates and API, we are grouping them and creating the infrastructure or utilities, and I think in the next quarter, 2 quarters, we should be totally -- the project should be going to full swing of construction.

Prakash Agarwal: The INR 1,000 crores is the capex we want to do going ahead?

Dr.

Murali K. Divi:

That is what we plan initially, a INR 1,000 crores investment as a Phase 1 because we waited long time, we have substantially invested in both Unit 1 and Unit 2. Those projects where we invested in the new blocks, they are getting occupied, validations being completed and commercial production will be starting. Some of them just started. Some of them are planned in a phased manner, as we get regulatory clearances. So we don't immediately need such capacity, but we see post these capacity requirements as we have the new projects coming in.

Prakash Agarwal:

I understand, sir. I was asking on the INR 575 crores CWIP how much is Kakinada? That's what I wanted to understand.

Dr. Murali K. Divi:

Kakinada is not in that

INR 575 crores, it's a small amount that is there in the -- it is in the existing SEZ and EOU that is where the investment is.

Prakash Agarwal: Okay. Which will give us more capacity in the near to medium term?

Dr. Murali K. Divi: Yes. I think in the growth engines, I have described about, that some of the big CS projects, some of the products where they're expiring, some of the sartans, we have been -- we planned with 3, 4 quarters ago, that is what is the work in progress, CWIP.

Moderator: The next question is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: Sir, can you update us on your progress in the iodine-based contrast media projects, which you are working for few last quarters? When we are expecting notable sales to come from these products?

Dr. Murali K. Divi: Yes. I think going -- as I mentioned in the last quarter s

that projects are under implementation. Now 2 of the products are our own generic products. And the contrast media where we are doing custom synthesis, that project is already implemented. The quantification is done. Now we just entered into commercial production and you will see good numbers in the Q1 2024 onwards by which time all the regulatory clearances would happen. And the strength again, I would stress that is the capability of iodine recovery to the maximum, where it used to be $25 per kilo, it is $75 a kilo. Also, we have excellent relationships with the customers as well as the big pharma where this contrast media are being used.

Damayanti Kerai: Okay. So just to clarify, by first quarter of FY '24, you should be starting commercial supply, both for the custom synthesis project as well as for your own generic, right?

Dr. Murali K. Divi: That is correct.

Damayanti Kerai; Okay. Sir, my second question is on demand scenario for overall generics portfolio. So you mentioned that you are seeing good volume for some of the products where 50%, 70% increase has come on demand side. But on very broad basis, are you seeing a recovery in demand from the customer for some of the base generics, which are like large product for you?

Dr. Murali K. Divi: Yes. We are seeing a double-digit growth in some of the generics, that's the minimum. And the products are expanding as well as the customers who probably were -- some of the customers who are buying from elsewhere probably have issues and that's where we are also getting a lot of demand from.

Damayanti Kerai:

So in coming quarters, we should be expecting better volume growth on the generic part of your business?

Dr. Murali K. Divi:

That's correct.

Moderator:

The next question is from the line of Ashish Thavkar from IIFL Asset Management.

Ashish Thavkar:

Sir, you mentioned about Gadolinium compounds. And I believe you're also on the iodine contrast media. So given that this is a $7 billion market globally and market is growing at 10%, what kind of say are we -- will we be having in this entire market? How are we planning to move ahead with the commercialization of the molecules?

Dr. Murali K. Divi:

There are not many customers who would consume the contrast media, both iodine compound, gadolinium compounds. There are only a hand ful in the whole world. And with the majority of them ….. we are discussing for long-term agreement for supply of these APIs.

Ashish Thavkar:

Okay. So it's not intermediate, but you will be directly into APIs. So that's a fair understanding, right?

Dr. Murali K. Divi:

In most of the cases, they are direct APIs. In few of the cases, they are like N minus 1, N minus 2.

Ashish Thavkar:

Okay. Sir, but would it be fair to assume that some of the bigger names, they would also be doing in-house, are they willing to shift the entire like 7 to 8 step process to us? Is that a fair way to understand?

Dr. Murali K. Divi:

I wouldn't say that they will shift the entire…, but we will get a decent portion of the business, either a part of the…. see, the contrast media is growing in the world at the rate of a minimum of 10%. And each of this contrast media is there about 2,500 to 3,000 tons. Every year, they need about 300 tons extra quantity. So in the last couple of years, if we count, they need about 600 to 1,000 tons planning for the next 4 years.

So that is the kind of opportunity we are looking at, number one, get some quantities from the existing market. And going forward, instead of these big pharmas expanding, we'll be expanding in India, number one. So with reference to these new gadolinium compounds or other compounds where they are used for MRI and also some of the newer ones, we are looking at supplying the N minus 1 N minus 2.

Ashish Thavkar:

Okay. Sir, last question on the new pipeline, the NCE-based molecules that we spoke about in the second quarter commentary, you said there are like a couple of projects which are there and could see FY '24 launch. Any update on those lines would be helpful.

Dr. Murali K. Divi:

That's right. This is the sixth growth engine where there's a $20 billion products expiring between '23, '25. Yes, we have submitted for some of them drug master files, some of them are getting ready to be submitted. So as soon as the customers have sampled, customers have purchased some quantities for their formulation purposes and stability study to submit to the FDA. And I think going forward, it looks good as and when the patents expire, I think we should have the opportunity.

Ashish Thavkar

:

Okay. So you're confident of FY '24 launch?

Dr. Murali K. Divi:

'25 for sure. Even if it starts in '24. I don't think on day 1, we'll get very big volume. But in '25, we should get good volumes.

Moderator:

The next question is from the line of Neha Manpuria from Bank of America.

Neha Manpuria:

Okay. Sir, could you give us some color on the extent of pricing pressure that we've seen in the quarter? And also just trying to understand the gross margin a little better. Is there some impact from, let's say, high-cost inventory for raw materials that we used in the quarter as raw material costs are coming down, we could probably see improvement in gross margins. Is that one of the factors that we should consider?

Dr. Murali K. Divi:

Yes, one of the factors could be that. If you recall in the last 2 years, I think some of the raw materials, how I think the prices went up by 2x, just Nilima was mentioning a while ago on the lithium, the same thing goes for several other materials where we have procured them at high prices and some of them still we are procuring at high prices. And we see now a drop in prices, or atleast price pressures are just coming down. So across industry, I think people faced the price pressures. Now it's loosening and we should expect better margins in the coming quarters.

Neha Manpuria:

And sir, what about the API price realization decrease, how much would have been on an average, let's say, over the last year or quarter-on-quarter? If you could give us some color?

Dr. Murali K. Divi: It is surprising that several of the API…. some of the APIs had price pressures where the prices came down by 5%, 10%, whereas some of the APIs where we just entered, we were able to maintain good prices and even prices have gone up, depending on, I think, how many suppliers are there. I think what will happen finally is that if there is a supplier who would continuously supply without interruption and maintaining the quality, I think customers have no choice but to buy from them. So that's where we see that we are positioned and we should be able to get better prices.

Neha Manpuria: Sir, is the API realization pressure more on on the older products that we are selling rather than the new launches? Is that a fair assessment?

Dr. Murali K. Divi: I think if I have to say that I would say it is across portfolio, but naturally, in some of the new products, there could be a little more pressure depending upon how long several people have been with stock, waiting when they may disappear after the stock is being disposed into the market. Then the prices will stabilize.

Neha Manpuria:

Understood. And sir, on Kakinada, now that we are starting work, by when should we start seeing the facility being ready for, let's say, validation, regulatory approvals and eventually, commercial production? Would it be more 2 years, 3 years? What sort of timeline should we look at?

Dr. Murali K. Divi:

I think we should be able to look in 2 to 3 years, any time after 2 years.

Neha Manpuria:

Commercial production or validation?

Dr. Murali K. Divi:

No. These are two things. I think I said that we'll be doing some starting material with the difficult chemistry, some advance intermediates and some APIs. For API, definitely initially, we'll be selling to the other markets while we are qualifying for the regulatory market. But the raw material, starting materials and intermediates, we should be able to consume them for our existing products to increase our further capacity.

Moderator:

The next question is from the line of Surya Patra from PhillipCapital.

Surya Patra:

I just wanted to understand the pricing situation in the APIs and intermediates better. So is it anything to do with the China open-up or it is a good correction or inventory rationalization, now what we would be seeing post the strong demand situation during COVID, few quarters that we have been witnessing? So anything to do with that, the current price situation that we have within for the APIs and intermediates?

Nilima Divi:

Can you just repeat the question again, please?

Surya Patra:

Yes. So just to understand this price erosion or price correction in the API, I'm just trying to understand whether this correction what we are witnessing in suddenly in this quarter is because of the China open-up scenario, what we are witnessing, is that -- or the recent crash or the sharp correction in the crude prices that we have witnessed? Or that we are witnessing any kind of inventory rationalization situation at the customer's end, after seeing a kind of inventory buildup situation during COVID over last many quarters? So what is really impacting these prices because we have not seen this kind of a broad-based price erosion in case of APIs in many of the names.

Dr. Murali K. Divi:

The pricing pressures, I think it's not only with us, it is across the industry and across products. Now yes, you are right that the pre-COVID, during COVID, post-COVID, there is a difference in the consumption of the therapeutic segment and now slowly therapeutic segments are coming back. So we don't know the real stocks at each of the either API manufacturers or dosage manufacturers, but we felt the pricing pressures. I'm sure everybody is feeling across industry.

And we see the raw material prices getting better right now what contracts we are entering. So we expect that in the coming quarters, not only we have the volume growth, I think we should be having a profitability growth as well.

Surya Patra:

Okay. And sir, in fact, the margins for the quarter is the lowest ever. And this is not because of the gross margin slippage. It is also because of the spike in the other expenses. So there also, what is that has that, whether it is the energy cost element or it is the freight cost one? What is really has -- see, can you tell, sir, what is the share of this freight cost element in your overall cost?

Dr. Murali K. Divi:

I think it is not just one. I think one is the planned maintenance costs went up because several of the buildings or several of the utilities, we built them in the 1995, we started implementing rebuilding some of those plants, material plant structures. And also, we have invested heavily in replacing some of the old

safety systems with new safety systems. You must have heard recently
popping up here and there, few accidents.

And we are making sure that we are removing all
those old pipelines, old
electrical cables, which we installed in the early years. That's probably
one of the reasons.

Two, also, you must have seen the taxation went up. When it comes to the
profit after tax, the
tax

was it used to be 15%, 18%, this is the highest, I think, 29%,
30% almost.
That's what we have paid tax.

Surya Patra;

Okay. Sir, just if I try to ask slightly differently, let's say, the sequential 10% correction in the
margin, what we had witnessed, what portion of this would be quarter
-
specific for this quarter
,

whi
ch may not be there in the following quarters, either because of the improvement in the
pricing scenario, or few of the cost element which will be there, like maintenance and all that?
So this is really a lower number and this is a big negative surprise to

the streets. So that's why
I'm trying to understand a bit more better.

Dr.
Murali K. Divi:

I think we are
--

after we have seen the COVID drug, where we have high margin, high
productivity where we achieved
,

coming back to the pre
-
COVID production schedul
e
s
, all
modifications and getting into the new
--

utilizing those
--

some of those assets, the reorientation,
reorienting them to make the current again generic products
or

these products, this is where some
of the costs went into them and fully geared up
and we should be able to see not only double
-
digit growth in terms of business, but also profitability.

Surya Patra:

Sure, sir, just last question about the new capacities what we had added both in the 2 sides, so around 15-odd units that we had added incrementally over the last 1.5 year period. So out of that, what -- how many of those units are underutilized or it's not been utilized so far or commercialized so far? What is the kind of spare capacity that is there and how long the spare capacity can ensure our growth momentum going ahead?

Because this quarter, there is no problem in the revenues. But is this the margin which you are saying that it would be improved subsequently? So just about the revenue growth visibility. So what is the spare capacity that we are having? Will that be sufficient enough to drive grow till the time the Kakinada facility reaches commercialization?

Dr. Murali K. Divi:

Currently, we are occupying about 75% to 77% of occupancy, at least 20%, 23%, 25% of free capacity. So going forward, as we -- the growth engines where we said that the future growth engine is 6 and the sartans engine and capacity increases where we have done… the qualifications being either completed or getting completed, regularly the agency clearances has been awaited. I think all this -- I think I mentioned in the last quarter and before quarter, earlier quarters also, it will take about 2 years to get into the full benefit out of them. So we have enough capacity for all that and we need not worry about that.

Moderator:

The next question is from the line of Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan:

Just looking at 3Q and comparing 3Q '23 to 3Q '21, so December 2020, most of the numbers are absolutely the same, like look at generic API, custom synthesis, nutraceuticals. So my question was, historically, Dr. Divi, we had like a 10% growth coming through on and then …. removing all the 5, 6 quarters that you talked about, which have got, say, COVID drug Molnupiravir benefits. And just looking at like a 2-year, so that growth has not happened, right? There's been no 10% growth even on that base portfolio, excluding all that. So if you could disaggregate and say, is that underlying that business, has it seen volume growth and all the volume growth has been taken away by price? Would that be one way of looking at it?

Dr. Murali K. Divi:

The volume growth has happened and is happening and we are foreseeing that it will continue. I think double-digit volume growth, we see -- foresee that it will continue. Now yes, the price pressures were there. That has impacted on the profitability, which we are hoping with the raw material prices being stabilized or going down, not going up. So we should be able to get back to the --

our profit margin on the gross level.

On the taxation level, I cannot commente at this moment based on how the project which we planned in the SEZs, how soon they will come into commercial production in terms of clearances with regulatory authority.

As and when they happen, of course, you will see the taxation coming down.

Shyam Srinivasan:

That's helpful. Just following up here. So generic API or nutraceutical, I understand some pricing pressure. But custom synthesis, why should -- that number is also the same, INR 680 crores in 3Q '21 and INR 675 crores this quarter. So just any thoughts there on what's happening on custom synthesis or custom -- that particular line item specifically?

Dr. Murali K. Divi:

On custom synthesis, it's different. It's not on the profit margin. There is no profit margin issue with that. Now after the -- during the COVID and towards the end of the COVID, end of the COVID just happened in the last 2 months, we all were able to remove the masks and were able to freely work around, whether it is in this country or abroad. But everybody, all the companies had preferences towards to see how good we can push the COVID drug, every big pharma, instead of looking at other therapy segments.

Now everybody stepped

on the pedal down for every other therapeutic segment products. So we are seeing now a number of projects coming to us from the various big pharmas, multiple opportunities in all therapeutic segments and we don't have any pricing pressures from the big pharma business.

Shyam Srinivasan: Got it, sir. So just last question. I don't know, maybe you'll answer this, but will we go back to this 10% to 15% historical growth rate that you have talked about in the past in some time in the future?

Dr. Murali K. Divi: Why not more?

Moderator: The next question is from the line of Sameer Baisiwala from Morgan Stanley.

Sameer Baisiwala: Can you update us on the fast-track CS projects that you talked about?

Dr. Murali K. Divi: There were 2 big fast-track projects. We have completed the projects. We have validation completed for both. Both are in the commercial ramping up. You will see some values in the Q1 through Q4 of our financial year. And the Q1, they should be fully ramping up Q1 up '23, '24.

Sameer Baisiwala: Okay. That's great, sir. And this is pandemic-related, non-pandemic-related.

Dr. Murali K. Divi: Both are not non-pandemic-related.

Sameer Baisiwala: Okay. Got it. And sir, just on contrast media, now that you are getting very close to commercialization, any number that you can share? Is it like INR 100 crores to INR 200 crores opportunity to begin with or any color would be great, sir?

Dr. Murali K. Divi: I think it should be bigger. It should be larger because the business is much larger, we are aiming at bigger numbers.

Sameer Baisiwala: Okay. Okay. That's good to hear. And sir, just on margin weight, your normalized margins used to be 40%, give or take, and that's where you used to aim at EBITDA margin. You are probably closer to 29% now. So what's the road map for that? You have explained many things and it's going to improve and all of that. But do you think you can get to this number at all? And is it in the foreseeable future? That would be very helpful, sir.

Dr. Murali K. Divi: We are not talking about immediately in the next 3, 4 quarters to reach such level. But definitely, it is possible. We are making a lot of efforts with the new chemistry to how to minimize material consumption and how to increase the throughput. So I think we will see in the next 2 years, probably we should be back with such. And we have several opportunities we are getting from the big pharma. So we should be able to again see in the next few years, yes.

Sameer Baisiwala:

Okay. Great, sir. And sir, can you split broadly qualitatively, custom synthesis business, what percentage is -- or what part is commercial molecules versus how much is contributed by development quantities? I mean, is it 50-50? Or is it skewed more on one side?

Dr. Murali K. Divi:

We have never disclosed, or given any details on the developmental products for the big pharmas because we we have signed several confidentiality agreements, but it's very good, I would say. We have never seen so many opportunities coming and they'll be implemented in groups. So I think in the next 2 years, these small-volume products will go into the multiple tens of tons or higher.

Moderator:

The next question is from the line of Cyndrella Carvalho from JM Financial.

Cyndrella Carvalho:

You had mentioned on last call that regarding the pandemic supplies that we had, we had almost closed those orders for our partner. Our partner has given some more guidance also now. Just wanted to understand from the inventory that we are carrying with us today, do we have anything pertaining to this pandemic-related goods with us today out of the INR 2,981 crores that we highlighted?

Dr. Murali K. Divi:

We do not have any stocks, whatever we made are already shipped and we don't have any stocks of any API for them. They are shipped as and when made.

Cyndrella Carvalho:

That is very helpful, sir. Sir, coming back to the API pricing that we spoke about and the entire recovery that you're talking about, can you help us understand, can we see the reversal of, say, the top line around INR 1,800 crores, INR 1,900 crores in the coming 1 or 2 quarters' time? Or you think it will take 3, 4 more quarters to be at that run -- at the top line. And as soon as the top line comes back, should we expect the margins also to revive to the same extent?

Dr. Murali K. Divi:

I don't want to say quarters, but definitely we are on the way, a double-digit growth and double-digit growth also reflects for both for the sales as well as profitability

. And going forward, I think we talked about all the six growth engines and they should be able to see as to not only get back to the pre-COVID, but I think further way head.

Cyndrella Carvalho:

Okay. But sir, in terms of … if we try and understand, you are seeing improvement in the volumes on the generic side as well as on the price side should follow. And you're saying that there will be a custom synthesis project also which could start shipping in Q4 and we will see maybe 1Q FY '24, we'll see a full quarter. So in the light of these two comments, how should we see? If you can help us understand qualitatively, we will also do not …. on a number perspective entirely, but that's because the numbers have been fairly moving up and down because of pandemic supplies, so just want to understand some clarity there.

Dr. Murali K. Divi:

Going forward with the two big custom synthesis projects, where their contribution will be seen a big potential from the Q1 of 2023 to '24. And I think with also our generic with a double-digit growth, I think we should see a good growth. We don't want to say anything about the custom synthesis or generic, separating them. But I think overall, the growth should be there and also increase in profitability.

Moderator:

The next question is from the line of Chirag Dagli from DSP BlackRock.

Chirag Dagli:

Sir, quarter-on-quarter, the mix is not very different. Custom synthesis business is 40% this quarter versus 43% in the second quarter. Despite that, our gross margins are down almost 7 percentage points. Two questions there. Why is that? You talked about product mix being different. So if you can just give a little more color around why this large 7 percentage point Q-o-Q dip in margins? And is this across both the pieces, generic as well as custom synthesis? Or is this more to do with generic business?

Dr. Murali K. Divi:

I think we have made it in the past very clear that they were the onetime opportunity. With that -- we didn't -- though we should not wish that the COVID should be there and APIs should be consumed, the profit margin, our profitability as the anti-COVID drug was definitely a better one. And when it was there in those quarters and normal in the quarter just we went through minus COVID drug. I think this is where we are with the pricing pressures on the APIs and also on the increase in raw material costs, which I have explained that going forward in the coming quarters or year, we should be able to get back to the normal mode and growth model without the COVID drug.

Chirag Dagli:

Sir, is generic gross margin more impacted than custom synthesis gross margin?

Dr. Murali K. Divi:

Yes, the custom synthesis, the impact is less because there is no pricing pressure from the customer. It's only the raw material prices probably some of them went up, some got compensated, some did not by the customer, whereas in generics nobody will compensate you for the increase in raw material prices when the generic APIs more are available, if they aren't.

Moderator:

The next question is from the line of Sayantan Maji from Credit Suisse.

Sayantan Maji:

So I just wanted to understand what was the proportion of sales from US and Europe? And do we see the pricing pressure in these markets? Or is it mostly in the US market that you're witnessing this?

Nilima Divi:

Can you repeat the question again, please?

Sayantan Maji:

Yes. I just wanted to understand the proportion that you mentioned in the opening comments on the US proportion of sales coming from US and Europe and exports and the generic pricing pressure that you're observing, is it in the US or the Europe market?

Dr. Murali K. Divi:

The export to Europe and US is about 70% of our revenue for the quarter and 70% for the 9-month period. So between the Europe and US, we don't differentiate because the orders come from Europe and we ship to US, the orders come from US, we ship to Europe. So we don't differentiate much. And there are no price pressure differences between Europe US.

I think the difference is not there, but overall, there can be little lower impact in the regulatory market and of course, in the non-regulated market is much like the pressures are more.

Sayantan Maji:

Okay. And what would be the proportion of export sales for this quarter?

Dr. Murali K. Divi:

Exports accounted to 87%.

Moderator:

The next question is from the line of Naushad Chaudhary from Aditya Birla Sun Life.

Naushad Chaudhary

:

Two clarifications, sir. Firstly, on the CSM business side, can you explain us what is your pricing policy here? And typically, how often you revise your prices, annually, 6-monthly and in which all months it is noted as…

Price revision policy in CSM business?

Dr. Murali K. Divi:

The pricing policy, it's not the revision of pricing policy. It is is being discussed with the customers and see what is happening in the market on a quarter-on-quarter basis. Usually the contracts are over long period of time and some of them are discussed when the pricing pressures are more from the customers. But usually, on a quarter basis, we will discuss, but there's nothing like pricing policy on quarterly basis. It's driven by demand and supply from the customers.

Naushad Chaudhary:

Okay. Secondly, on the operating deleveraging side, sir, is there any challenges we are facing on the operating deleverage because of the infra we had created for the COVID-based product, is that creating us a -- giving a cost load to us on the balance sheet on the P&L or is it forcing us to do some low-margin product and that's why we are facing the challenge currently?

Nilima Divi:

Well, at this point, what we see is …

as the sales increase and the growth is driven more by the profit and the normalcy comes back into place, we would say that we've got the

leverage would be more favorable.

Moderator:

Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to Mr. Satish Choudhury for closing comments.

M. Satish Choudhury:

Thank you, all, as for joining us today for the earnings call of Divi's Laboratories Limited. In case you need any clarification, please reach out to our Investor Relations. Thank you.

Moderator:

Thank you. On behalf of Divi's Laboratories Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

Date: May 25, 2023
To
The Secretary
National Stock Exchan ge of India Limited
Exchange Plaza,
Bandra-Kurla Complex, Bandra (East)
MUMBAI – 400 051

Stock Code: DIVISLAB To
The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
MUMBAI – 400 001

Stock Code: 532488

Dear Sir/ Madam,
Sub: Transcript of earnings conference call held on May 20, 2023

Ref: Regulation 30 of the SEBI (Listing Obligations an d Disclosure Requirements), Regulations, 2015

We hereby submit the transcript of the earnings conference call for the quarter and year ended on March 31, 2023, held on May 20, 2023 at 14.00 Hrs IST. The transcript is also available on the website of the Company i.e. www.divislabs.com , under Investors Relations section.

This is for your information and records.

Thanking you,
Yours faithfully,
For Divi’s Laboratories Limited

M. Satish Choudhury
Company Secretary & Compliance Officer

“Divi's Laboratories Limited
Q4 FY '23 Earnings Conference Call”
May 20, 2023

.

MANAGEMENT : D R. MURALI K. DIVI – MANAGING DIRECTOR – DIVI'S LABORATORIES LIMITED
M S. NILIMA PRASAD DIVI – WHOLE -TIME DIRECTOR , COMMERCIAL – DIVI'S LABORATORIES LIMITED
M R. L. KISHORE BABU – CHIEF FINANCIAL OFFICER – DIVI'S LABORATORIES LIMITED
M R. VENKATESA PERUMALLU – GENERAL MANAGER – FINANCE AND ACCOUNTS – DIVI'S LABORATORIES LIMITED
M R. M. SATISH CHOUDHURY – COMPANY SECRETARY AND CHIEF INVESTOR RELATIONS OFFICER – DIVI'S LABORATORIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Divi's Laboratories Limited for Q4 FY '23. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an op erator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. M. Satish Choudhury. Thank you and over to you, sir.
M. Satish Choudhury: Good afternoon to all of you. I am M. Satish Choudhury, Company Secretary and Chief Investor Relations Officer of Divi's Laboratories Limited. I welcome you all to the earnings call of the company for the quarter and year ended 31st March 2023. From Divi's Labs, we have with us today: Dr. Murali K. Divi, Managing Director, Ms. Nilima Pras ad Divi, Whole-Time Director (Commercial), Mr. L. Kishore Babu , Chief Financial Officer, and Mr. Venkatesa Perumallu, General Manager (Finance and Accounts).
During the day, our Board has approved financial results for the quarter and year ended March 31, 2023 and we have released the same to the stock exchanges as well as updated the same in our website. Please note that this conference call is being recorded and a transcript of the same will be made available on the website of the company. Please note that the audio of the conference call is the copyright material of Divi's Laboratories Limited and cannot be copied, re-broadcasted or attributed in press or media without specific and written consent.
Let me draw your attention to the fact that on this call, our discussion will include certain forward-looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations of future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Divi's Labs or its officials does not undertake any obligation to publicly update any forward-looking statement whether as a re sult of future even ts or otherwise.
Now I hand over the conference to Dr. Murali K. Divi for opening remarks.
Over to you, sir.

Dr. Murali K Divi: Good afternoon, ladies and gentlemen, and welcome to ou r fourth quarter financial year '22-'23 conference call. It's great pleasure to have you all here and I hope you, your families and your loved ones are all in good health. Before we dive into the details of our financial performance, let me update you on our operations. The global pharmaceutical industry has entered a new phase following two years of ad apting to the pandemic. I would like to report that despite the market volatility, Divi's has maintained efficient and sustainable operations. We have capitalized on new opportunities to fuel growth after experiencing a gradual return to normalcy in the core API product portfolio and are actively pursuing our sixpoint strategic approach to unlock further growth potential. With increased opportunities and demand for generic APIs in segments such as contrast media, sartans and products about to go off patent; we foresee multiple gr owth opportunities over the next three years.
Additionally, our custom synthesis proj ect in collaboration with big pharmas for contrast media production is progressing well and commercial manufacturing has started. FY '22-'23 has been a year of significant progress for Divi's with all clearances obtained for our Unit 3 facility near Kakinada.
Construction activity on the 500 acres of land is progressing well and capex of INR 1,200 crores to INR 1,500 crores fo r Phase 1 development is in th

e final stages of strategic refinement.
Looking ahead, we remain steadfast on maximizing sustainable growth potential through investments in new technologies, production capacity expansion and diversification of the pro duct portfolio to meet the requirements

of emerging pipeline and con tinue to maintain a leader ship position in our core products through the implementatio n of Green Chemistry principles.
We continue to operate responsibly and make a positive impact in the communities where our busine ss operates. During the la st quarter, we have actively engaged in various CSR ac tivities in the areas surrounding our manufacturing facilities. As a part of ou r project, Sujalam and Jala Prasadam, we have installed RO plants at variou s temples and schools in Telangana and Andhra Pradesh. Additiona lly, we have developed th e village infrastructure

through the construction of roads and developing sewage systems across AP and Telangana, which benefited thousands of people.
Now Ms. Nilima Divi will highlight the operational and fina ncial highlights of the quarter. Thank you.
Nilima Divi: Ladies and gentlemen, a very good afternoon to each one of you. Thank you very much for joining us today as we ga ther here to discuss the outcome of the fourth quarter of FY '22-'23. Firstly , I'm pleased to inform you that we maintained an unin terrupted customer shipment throughout the quarter. Our commitment to meeting customer requ irements on time remains resolute.
Additionally, there were po sitive developments in global logistics sector concerning sea and airfreight costs during the quarter.
Furthermore, we have achieved stab ility in raw material procurement and availability leading to slig ht softening in material prices compared to the previous quarter. As a conscious continuous effort made by the organization to develop and support domestic supplier base by geographically diversifying the sourcing risk, the dependency on China has been lower as compared to the previous year.
Moving forward to FY 2024, our focus remains unwavering. We aim to operate our facilities at maximum capacity to oversee the evolving demand of an uncertain economic environment. We are successfully progressing with our diversification map and actively pursuing opportunities that lie ahead, all while focusing on long-term prio rities. The company has implemented strategies such as diversifying the supply base to maintain its leadersh ip position in core products while remaining mindful on global development. Our dedication to diligent risk mitigation efforts, ensuring supply chain stability, efficient transit time and uninterrupted provision of APIs to our customers has positioned us as a reliable supplier to the global pha rmaceutical industry. With a robust supply base and inventory control, we are confident in facing challenges that may come our way.
I will now provide you with an overvie w of the financial performance during the fourth quarter of the fiscal year 2022-'23. We have achieved a consolidated total revenue of INR 2,017 crores for the quarter as against a revenue of INR 2,571 crores for the corresponding previous quarter of the last year.

Material consumption for this quarte r came to be about 42% of the sales revenue due to change in the product mix. Profit before tax for the quarter amounted to INR 466 crores and we have a profit after tax of INR 321 crores for the quarter. For the financial year 2022-'23, we have a consolidated revenue of INR 8,112 crores, PBT of INR 2,369 crores and profit after tax of INR 1,823 crores. Exports for the quarter continues to be around 90% and the export to US and Europe is about 68% of our revenue for the quarter and 70% for the year.
Product mix for generics to custom synthesis is 56:44 for the year and it is 59:41 for the quarter.

We have a forex loss of INR 4 crores for the quarter while we had a gain of INR 130 crores for the year. As we had lower sales revenue during the quarter, our constant currency growth for the quarter has been negative at 32%, while it has b een negative at 21% for the year. Our nutraceutical business amounted to INR 150 crores for the quarter and INR 650

crores for the year. We have capitalized assets of INR 480 crores during the
quarter and INR 745 crores for the year. We have capital work in progress of
about INR 212 crores as of the end of the quarter. As of 31
st March, we have
cash on book of INR 4,136 crores, receivables INR 1,793 crores and
inventories INR 3,000 crores. Thank you.
M. Satish Choudhury: Thank you, ma'am. With this, we would request the moderator to open the lines
for Q&A.
Moderator: Thank you very much. The first question is from the line of Tushar Manudhane
from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane: Sir, would like to understand in terms of raw material pricing trajectory where
we stand based having backward integration in place as well and so is 57%,
58% is the new normal in terms of gross margin? We see upward trend based
on backward integration and ra w material prices softening?
Dr. Murali K Divi: The raw material prices -- I think are coming down. Not only they are
stabilizing, they are in fact coming down and we shou ld be able to see benefits
in the coming quarters and going towards where we used to be in the past.
Tushar Manudhane: Sir, any timeline you would like to provi de in terms of go ing back to our
normal gross margin of 67%, 68%?

Dr. Murali K Divi: It's difficult to say exactly when on quarter-on-quarter, but we should be able
to see that towards the end of the year.
Moderator: Thank you. The next question is from the lin e of Prakash Agarwal from Axis
Capital. Please go ahead.
Prakash Agarwal: My first question is on you talked ab out contrast media in the innovator
business segment. If you could talk about how many products are these, what
is the target market and how do you see this ramp-up happening?
Dr. Murali K Divi: Contrast media, the big opportunity we ar e talking about is one thing. We also
have the Iopamidol, Iohexol as our regular generic products, where we increased capacity, qualifications are under completion and growing. We
already are in the market, we have existing customers. But with the increase in demand, we have alread y expanded and the expa nded capacities are under
qualifications with various customers, that should see growth. That's number
one.
Two, with one of the big pharmas wh ere we have contrast media; the
validations are complete, the commerci al production has started. So, you will
see in the coming quarters.
Prakash Agarwal: And what is the size of the opportunity?
Dr. Murali K Divi: Like in every generic product, I think everybody knows what is contrast media
and what is the total busi ness. We are building world-class plants to be as a
supplier of contrast media active ingredients and we should become the leader
in the next two, three years just like we became leaders in naproxen and gabapentin, just about every generic product we are in. And also, I think the
gadolinium compounds, which are the main MRI compounds where the revolution is happening now, with chan ging from gadolinium to other metals,
there also we are heavily involved with the customers as well as our own research to development of processes at our own labs.
Prakash Agarwal: Okay. And second one is on, I think, Nilima ma'am said about change in the
product mix. So, have we talked about what is the custom synthesis, generics
share? I'm sorry if I missed that.

Dr. Murali K Divi: The custom synthesis and generics share, we like to have 50:50, but we always
are seeing either

60:40 or 40:60. Right now on the yearly basis, it is on 56:44, 56% generic and 44% custom synthesis, whereas in the Q4, it was 59% generic
and 41% custom synthesis.

Prakash Agarwal: Okay. And do you expect this trend to little bit chang e? I mean 50:5 0 over what
period of time, sir?
Dr. Murali K Divi: I think it's always. I think from day one when I answered custom synthesis for
you, I have been saying 40:60 or 60:40 is not in our control because it's the
customers' wish and sometimes many products join in the custom synthesis field. You'll see for few quarters, it goes towards 55%, 56%, 57%. In some
quarters, the new generics or generic products take off and the percentage shifts to that side. But, we are in the more or less 40:60, 60:40 and I don't think we'll
be 20:80 or 80:20 even in future.
Moderator: Thank you. The next question is from the line of Surya Narayan Patra from
PhillipCapital India Private Li mited. Please go ahead.
Surya Patra: Sir, my first question is on the margin front. Sir, are we seeing any kind of
unprecedented business environment currently for our business? I'm asking
this question because, let's say, in the s econd half of FY '2 3, third quarter and
fourth quarter, the reported margin if we see, it is less than 25% or around 25%,
which is kind of the lowest in last 10 years. And same is even in the gross
margin front also if we see, that is al so around in the range of 57%, which has
never been the case over last 10-year period. So any specific unprecedented
condition that we are witn essing for our business?
Because product mix wise we have been more or less stable at that level of
40:60 kind of equation. But the cost-wis e and the marginwise, we have seen a
kind of meaningful correction since last quarter, third quarter onwards. So if you can clarify a bit here, that would be helpful.
Dr. Murali K Divi: There is nothing that ha ppened like sky is falling dow n. So there's nothing
unprecedented thing that happened. I think it's the general course that took
place where always I used to say for the last several years, you should not judge the company by quarter-on-quarter and I think it varies. Some quarters maybe
it looks similar, but some quarters up and down is quite common. So, I don't

think there is any particul ar attributable something happened in the last two
quarters.
One, I can say that whatever the anti-COVID drug a one-time opportunity we
had there, it gave us a good push in the sales and PAT. Fortunately, for the
public health, there's no COVID drug requirement now. But there are several other opportunities where we are entering. I think we should be back into the
profitability. I think it's not just that, it is the product mix. It is the raw
materials, which were procured at hi gher prices, which we had to consume
them and we have to charge the pricing based on the inventory we have been
carrying, which were purchased, like, we don't keep normally more than three
month stocks, but we had kept six months, nine months stock of raw materials
anticipating problems from China, CO VID and various things. So, until we
consume them totally, this price fluctuation happens. That is over now. So
going forward we should be able to, as I was mentioning earlier, that we should
be able to see normalcy to wards the end of the year.
Surya Patra: Sure, sir. Sir, my second question is on the opening commentary that you have
given. During your opening commentary you have mentioned for your progressive growth in the business. So in the operation side, you have indicated
that the technology upgrad ation, Green Chemistry principles, adopting those.
So those kind of aspects that you have indicated, for the fi rst time I think the
Green Chemistry aspect also you mentioned. So, can you just add some more colour to that, sir?
Dr. Murali K Divi: See, it's not a choice to add Green Chemistry. It's no

t a choice to come in with
new chemistries. They are a must. To do business in current days with US,
Europe and the big Pharmas, we have to do all that. It has two advantages at
least. One, the new techno logies will bring more prod uctivity bringing down
the raw material cost efficiently using or conserving our resources. These are
right from water to energy to various other solvents, which are rare or rare
metals like pyridium and nickel.
There are various advantages, yes. We have to look at the long-term goal where
in the next one to three years -- if we di dn't do this in the last one or two years,
probably either we will be in a very bad shape or we wouldn't be in business.
Having done all this now, we are very comfortable in looking at for the next

three years, five and 10 years. Otherwise, I wouldn't invest INR 1,200 crores
to INR 1,500 crores in Unit 3 where we started on fast-track construction
activity in the beginning of Ap ril where we received all go.
Now the production buildings under co nstruction are on fast track, utility
buildings and the whole site of 500 acre s is in full swing now. That shows the
confidence of the company on the products and technology and opportunities.
Surya Patra: Sure, sir. Sir, just one last clarification from my side. See, here one of your six
point strategy for growth is that the ge neric opportunity that is coming up. So,
here whether our focus is intermediate or it is the final API? Because the DMF filings if I see, obviously there is lim ited number of filing with USA. So
whether our focus is largel y about intermediates and integrated intermediate?
That is how we should think or how should we think that?
Dr. Murali K Divi: If I am not mistaken, you are talking about our sixth growth engine, which is a
$20 billion (opportunity) expiring between '23 to '25. As we mentioned every
quarter, we updated you that we have submitted dr ug master files. Our first
focus is for the APIs, let me be clear.
Surya Patra: Sure, sir. Okay.
Dr. Murali K Divi: And the intermediates or advanced intermediates we submit are probably for
the innovators or for the supply of some thing else. Otherwise, our objective is
to make APIs and be ready for the patent expiry and have quantities for
supplying, for qualification an d submitting for the regulations.
Moderator: Thank you. The next question is from the line of Cyndrella Carvalho from JM
Financial. Please go ahead.
Cyndrella Carvalho: Sir, just wanted to understand, last call, we had said that two custom synthesis
projects will go somewhere either end of Q4 or Q1, what is the update on that?
Dr. Murali K Divi: Pardon?
Cyndrella Carvalho: What's the update on that? The two custom synthesis projects that we were
supposed to commission either end of Q4 or Q1 is what you had said in our
last earnings call. So, what's the up date on that? Am I audible, sir?

Dr. Murali K Divi: Yes, you are audible. Thank you, Out the two, one product which is a sartan,
it has already gone into commercial production and commercial supply. It will add upin our coming quarters. It has go ne into commercial activity. The second
one, custom synthesis big project; the qu alifications are comp lete, we supplied,
now the ramp up of production is happ ening for supplying in the quarter. I
think both of them will reflect from the coming quarters.
Cyndrella Carvalho: Okay. And sir, if I look at earlier our conversation, we had also said that the
pricing scenario in generic APIs was weaker. How do you see it right now?
And compared to that, how are our realizations given that there is some
softening of raw material cost as N ilima highlighted? So how should we see
the realizations and the pricing scen ario on the key API side of ours?
Dr. Murali K Divi: See, I think it's a mixed fe eling. Some of the generic

products, we do not see
any pressure on the pricing, sales price or on our demand. I think still they are
good. But yes, in some of the generi c APIs because after the COVID impact,
there are huge stocks of dosage forms and the dosage form companies' generics, they're fighting for getting rid of the stocks before the expiry date.
And hence there is a crash in the prices of generic dosage forms and less demand for the generic APIs because they don't need, first they want to get rid
of. But once that happens, they need APIs again. So I expect the prices to stabilize and we should see improvement in the coming quarters.
Cyndrella Carvalho: Sir, just a clarification on this. So woul d you like to give us some guidance on
the growth for FY '24 and on the sartan that you mentioned, are we the
exclusive supplier there?
Dr. Murali K Divi: First of all, I think the confidentiality agreement we supply does not allow us

to talk about the very existence of the contract. Since I think it is in the open
that Divi's supplies some sartan so I me ntioned that yes, th at project has come;
it has been validated, commercial supply already ramped up, one of them.
Cyndrella Carvalho: Right. And on the growth, sir, would you like to help us understand given that
we see things stabilizing here onwards from the coming quarters? Would you like to indicate some kind of growth trajectory on FY '24 for us given that we
are carrying a INR3,000-odd crores inventory, should we expect at least
minimum of INR7,500-odd crores top line on it? Is that a fair assumption at
least or you think we should look at it some other way?

Dr. Murali K Divi: I think, we have been growing at doub le-digit growth. I'm talking about even
without the one-time opportu nity of the COVID drug. And I think we will
continue growing at that rate double-digit growth.
Moderator: Thank you. We have the next question from the line of Shyam Srinivasan from
Goldman Sachs. Please go ahead.
Shyam Srinivasan: Just using the numbers for the quarter for generics, custom and nutraceuticals,
so just want to get your comments on some of the segments. We have finally
seen custom synthesis improve Q-o-Q. I'm talking about Q4 versus Q3, INR
680 crores has gone to INR 800 crores just the CS part. So, is that the 2 CS projects or at least the sartan projects, would that be the reason for the growth
or there are other levers there? That's question one.
When I look at generic APIs excluding nutraceuticals, the jump has been even
better. We have gone from INR 875 crores to about INR 1,000-odd crores. So,
if you can help us understand, I know you don't like looking at Q-o-Q, but what are some of those that is driving the sequential about I thin k 17% Q-o-Q growth
on custom, 14% Q-o-Q growth on generic APIs excluding nutraceuticals?
Dr. Murali K Divi: Again, we cannot really say what will be the exact growth, how many hundreds
of tons they will buy and all that be cause we cannot talk about even the
existence of relationship. Bu t what we can say is that we have built capacity as
per or more than the requirement of the big pharmas or the generic industry.
Always we are one step ahead of whatever is the requirement.
So now coming back to you on -- I cannot disclose the quantities and what kind
of ramp-up we can see in the next quarters as rupee terms or volumes. But
definitely these are very long-term custom synthesis projects and we are seeing several other opportunities in custom synthesis pr ojects from big pharmas,
never seen so many opportunities. Now, coming back to nutraceutical. Nutraceuticals also is growing and in fact we needed expansion of both
nutraceuticals and as I told several custom synthesis projects.
And I think, I need to update also the shareholders that the Unit 3 project what
we are envisaging now INR 1,200 crores to INR 1,500 crores. To begin with, we will be manufacturing

some of the nutraceutical APIs, some of our
advanced intermediates, which are star ting materials, so that our existing

production buildings at Unit 1 and Unit 2 will be freed to that extent whereby
GMP, US FDA inspected, European FDA insp ected buildings will be able to
take advantage to produ ce the required quantities of new opportunities of
custom synthesis and other generic products.
The Unit 3, where we are investing INR 1,200 crores to INR 1,500 crores; first
to begin with, it will st art manufacturing the starting materials, the
intermediates, nutraceutical APIs. And in the second phase, it will enter into
the APIs which usually takes three to fo ur years for the qua lifications and US
FDA inspection, clearance and then be able to sell. So, we are trying to bring
a win-win situation of creating capacity and utilizing the cap acity in the right
way.
Shyam Srinivasan: Okay, sir. Second question, just taking a question from the previous participant
on the margin side. I'm just comparing your fourth quarter all the different cost items to say something like fi scal '19, fiscal

'18. I am just comparing 4Q to
fiscal '19 or '18 pre-COVID numbers. So, material cost then was between 38% 39%, today it's 42% for the quarter. That is one number that I can see, which
you're 300 basis points higher than historical levels.
If I look at the other number, which is other expenses non-wages, that's 19%
for the quarter versus historical number at 15% to 16%. So, if you can kind of explain just these 2 numbers? Is this investments that are going through or on
the material cost, is it the mix that has ch anged? If you could help us understand
and how we should think about it for fiscal '24. I think that's the other question.
Dr. Murali K Divi: See, some of it must have gone into the buildings which we were building in
1995, '96. Several of them have been upgraded and going through upgradation
to meet the new standards or current standards or future standards of both
GMP, safety, environment. This is relate d not only of the building, but also of
the equipment and other accessories. That is one.
Two, I think on the materials, I think I already explained to you that the process
efficiency there is no difference. In fact we have improved our process efficiency. What happened is that where we procured raw materials when they
were shortages nine months ago, 1 year ago. The stocks of six months or nine
months are getting better now; because first come, first out they are being
consumed. That's how the raw material prices are higher. There's nothing else,

either yields are down or production issu es exist, there is nothing like that. In
fact efficiencies have gone up, we see the trend of prices even going down for the raw materials.
So we always wish to go back to where we were definitely on the raw material
costs or better, because of the new technology we have implemented and
because of some of the starting materials we started manufacturing.
Shyam Srinivasan: Got it, sir. That’s helpful. And last que stion, what's our current net block like
in INR 4000 crores and just wanted to understand, historically you used to
guide us on fixed asset turns, would that be, can we go back to like a 2x turns and what's the kind of investments we are looking at? Other than the Kakinada,
what is the non-Kakinada kind of capex you're looking at? Thank you.
Dr. Murali K Divi: I think Kakinada I mentioned that when we planned five years ago the unit, we
have envisaged about INR 1,000 crores of investment, whereas after five years
where we got all the clearances and with the product plans that are currently in
place, we're estimating it should be INR 1,200 crores to INR 1,500 crores for
Phase 1; and we are also in discussions to see in the Phase 2 what kind of
investments we will be doing,

but our fi rst target is Phase 1 implementation.
And of course all these come from the INR 4,000-plus crores of reserves that exists. So, no loans, it's on ly better utilization of reserv es which are in the form
of fixed deposits.
Moderator: Thank you. The next question is from the line of Neha Manpuria from Bank of
America. Please go ahead.
Neha Manpuria: Sir, just in Kakinada, by when can we expect the Phase 1 to start manufacturing
nutraceuticals and advanced inte rmediates that you mentioned?
Dr. Murali K Divi: It is a greenfield project and we just started there last month of the ground
clean-up and we expect to commercialize by end of '24.
Neha Manpuria: Okay. This will be fiscal y ear '24 or calendar year?
Dr. Murali K Divi: Calendar year.

Neha Manpuria: Understood. So then we should start seeing, let's say, higher growth because it
will free up capacity in Unit 1 and Unit 2 from fiscal year '25. Is that fair to
assume?
Dr. Murali K Divi: Yes. Because once we complete in '24, we should be able to see that in '25.
And, as the capacitie s become free in the existing buildings of Unit 1 and Unit
2, we should be introducing addition al products, additional capacities, new
products of custom synthesis or generics into those buildings. You're right.

Neha Manpuria: Nilima, you mentioned raw ma terial prices softening quarter-on-qua rter. But, if I were to look at gross margins despite the contribution from custom synthesis and lower freight cost, raw material cost, we haven't seen as much improvement. Is it fair to assume that we are still consuming the high cost inventory and there is pric ing pressure in generic API, that's why we're not seeing the requisite margins?
Nilima Divi: Well, we are doing a mix of both the materials that are there which are procured from a higher cost and also some of the materials where the material price has softened. And it's a mix that's happening right now because the price is transitioning from a higher price to a lower price so it wouldn't completely reflect in this quarter. Probably in the forward quarters, you might see that particular difference.
Neha Manpuria: Okay. So should we assume a few more quarters where we continue to consume high cost inventory?
Nilima Divi: No, I think it would be slightly improvi ng situation as we go on to the Q1 and forward. And also we did mention earlier that there have been pricing pressures in the generic market and that's also one of the effects that have been reflecting in this particular area.
Neha Manpuria: What would be the pricing pressure that you would have seen in the quarter? Just trying to understand what is the impact in the quarter because of that.
Dr. Murali K Divi: It is very difficult to say that becaus e it's a combination of several products and it's very difficult to say.
Moderator: Thank you. We have the next question from the line of Bino Pathiparampil from Elara Capital. Please go ahead.

Bino Pathiparampil: Most of my questions have been answered. Just one remaining. What would be your corporate tax rates at the conso lidated level going fo rward for the next two, three years given th at your facilities are coming up in various SEZs etcetera? On a blended basis, what sort of margin can we take? Sorry, what sort of tax rate can we take?
Dr. Murali K Divi: I think it's expected to be -- as we are coming to the closing of SEZ and SEZ benefit is slowly phasing out, so we ex pect the tax to be around 25%, 27%. I think that's what I can say in the next 10-15 years.
Moderator: Thank you. The next question is from the line of Nikhil from SIMPL. Please go ahead.
Nikhil: Two, three questions, sir. One is if I go back to our strategi c levers, which we had mentioned in our annual report, an d two of them were to gain further market share in products where we alr

eady have 60%, 70% market share and gain market share in products where we are at 20%, 30%. Now considering the scenario which is playing out in APIs of inventory destocking and excessive price competition, would you say our ability to gain further market share gets restricted in any way in those existing products or would you say our capabilities and our costs rema in the same and probably there is still room for this lever to play significantly?
Dr. Murali K Divi: In the generic products, I think we have two growth engines which we mentioned it to you. Number one, traditio nal and the established products like naproxen, dextromethorphan, gabapentin where we have the 60% to 70% market. That's where in some of the products, the material price is the issue, market is not the issue. And some of our customers where they have large volume stocks of dosage forms due to COVID, I think now they're destocking and once that is over, the price pressures should disappear.
So coming back to the other generic products where we were in 20%, 30% and we increased the capacity su bstantially to become numb er 2 or number 1 in the market. We have done the increase in capacity, qualifications are completed and commercial sales have started. But to see the full benefits, I think it will take at least four to eight quarters to take the full benefit of the capacity we created, because it will happen based on the qualifications by the end customers.

Nikhil: Okay. Second, sir, if I look at the amount of capex, which we did over the last
three years, I would presume that a lot of this capacity would still be at around
65%, 70% kind of utilization versus last year similar quarter when we said we
were at 80%, 85%. Would that be a right assumption? And is that a fixed cost
of these capacity hitting our profitability to some extent because if I look at year-on-year, our other expenses are significantly higher, even the sales is lower in the same quarter last year. So is it the fixed cost which is there, which
is not completely utilized because of lower capacity utilization?
Dr. Murali K Divi: I think it's not the lower utili zation. I think we have me ntioned that the capacity
utilization is around 77% to 80%. It 's a combination of product mix and
probably a mix where some of the produc ts probably require more capacity to
arrive at this stages, more number of stages, some not requiring. And where
we have allocated existin g and created capacity to the COVID drugs, we had
to reallocate to the other products but with some of the probably bottleneck we
faced during coming out of the COVID drug se lling enjoyment or with the
reward of whatever we received. But, also when there is no big demand, there
is no use of keeping the equipment idle , so we started using them, that would
take some time. So the combination I th ink it's very difficult to pinpoint, but
the capacity utilization is about 77% to 80%.
Nikhil: Okay. And last question on contrast media, sir. In one of the questions and the
whole hypothesis, which we mentioned our right to win in this segment was that because the Iodine prices have gone significantly up and our process was
such that our recoveries in iodine we re much better. And as I understand on
the non-gadolinium products, Iodine cost is a significant part. But just if the
Iodine prices were to go down or come back to what it was in pre-COVID, would you say the willingness of the end customer to shift to a new supplier
can go down or is it like are there any structural factors for one is the Iodine prices remaining high and secondly, even the customer looking at more
outsourcing rather than putting new capacities?
Dr. Murali K Divi: Your last point is a very valid point. Th at is what we would like to say that the
customer is looking. See, growth is minimum of 10% and 10% of let's say 2,500 tons to 5,000 tons of each contr

ast media requiring 200 tons to 300 tons
a year extra quantity. Now either they have to inst all new capacity or they have
to outsource. This is where we have an advantage of creating capacity at low

cost, already technologies are in place, drug master files are in place and also
there is an advantage of the Iodine recovery bringing costs into compliance. I think it's an additional advantage for us to be selected as a supplier, then they
do need the extra capacity. The world is growing in contrast media.
Nikhil: Sure. One question if you permit. On the gadolinium side, you had mentioned
in last call that we were still develo ping the product and all; because on our
website, it does not show in the listed products. So are we done with the
validation batches or if you can just he lp us understand where are we in the
development on the gadolinium side so as to participate in the total contrast
media marketplace?
Dr. Murali K Divi: Again this is MRI contrast media. These are not related to th e regular contrast
media. So we have developed process for some of them and we are developing
processes. Usually there are only two or three buyers. We don't need to make a whole list of compounds and publish in the whole world. There are two or
three customers who are in the gadolinium compounds. We are in touch with them. We are in discussions with them.
Moderator: Thank you. The next question is from the line of Ankush Mahajan from Axis
Securities. Please go ahead.
Ankush Mahajan: Sir, as you mentioned in the initial rema rks, can we expect a revenue for media
agents in first quarter? That is my firs t question. And second, sir, we have taken
the name of generic API like gabapentin and naproxen. How was volume
uptake in last quarter and what kind of a volume uptake we are looking in this
quarter?
Dr. Murali K Divi: I think the generic products like gabapentin , it is consistent. There are no issues
up and down. It's only a pr ice variation, but the market is still continuing the
same. What is your other question, please?

Ankush Mahajan: Contrast Media, since that contracting already started, can we expect a revenue in this quarter Q1?
Dr. Murali K Divi: We don't want to say Q1, Q2, Q3 or next year. I think they have invested enough with tech transfer and everything and then validations are completed, commercial ramp-up is already in progre ss. So I think I would leave it to you.

Moderator: Thank you. The next question is from the lin e of Nirali Gopani from Unique Portfolio Management Services. Please go ahead.
Nirali Gopani: Sir, my question is on the EBITDA margin. Sorry to go back to that point. So, in the starting of the year like in our Q1 call also you were very sure that FY '23, 40% margin is sustainable. So what I want to understand is what did happen in the last 6 months, which was not expected by you also, because we went back to a margin which we have not seen in the last 10 years?
Dr. Murali K Divi: I don't think I said unexpected. There is nothing unexpected that happened. There is no one-time events that happened. I think in the course of business moving from COVID three years to closing down and again people getting back to normal business an d pharma business getting, instead of concentrating only on COVID and COVID drugs, into th e general. I think that is what happened. People who had huge stock, destocking them, price pressures, raw materials where we procured at higher prices until they get stock out and be replaced with the materials that come with lower prices now, I think that is the issue. There is nothing like unprecedented, nothing has happened.
Nirali Gopani: Right, sir. Just because we as investors would have expected that if you could have revised your guidance or just guided us, then this would not been as a shocker like it is today.

So that's the only reason that I got back to this point.
Dr. Murali K Divi: Well, nobody thought that the COVID would go away just like that because we had planned for continuing production and we had planned for, the big pharmas or whoever involved also had and we had even additional opportunities into new COVI D drug and all of a sudd en the COVID disappears. So I think it happened within reasonably I would say three to four months all this change.
Moderator: Thank you. The next question is from the line of Prakash Agarwal from Axis Capital. Please go ahead.
Prakash Agarwal: I had a clarification actually on the Kakinada plant. So this is the same plant which had approval issues, now that INR 1,000 crores budget has moved to INR 1,500 crores and Phase 1 construction is on fast track. Is the understanding correct?

Dr. Murali K Divi: The understanding, what is correct is the investments of INR 1,200 crores to INR 1,500 crores is correct. The INR 1,000 crores was originally planned 5 years ago and the products planned were also different at that time. With the current scenario where we are in now, the planning is of product mix is different and the designs ar e different. That's how it's about getting the Phase 1 INR 1,200 crores to IN R 1,500 crores, we planned and it is going on fast-track.
Prakash Agarwal: Okay. Understood. And the construction yo u said is the fast track and do you expect commercialization in next two, three years like fiscal '27 and '28?
Dr. Murali K Divi: Not three years, I said by end of '24 financial year.
Prakash Agarwal: Okay. And it will start revenu e generating from '25-'26?
Dr. Murali K Divi: Yes.
Prakash Agarwal: And any other facilities are th ere we are investing for fu ture growth apart from this major one?
Dr. Murali K Divi: We are in discussions with several big pharmas for several products. So I think we will take decisions as we'll have numb er of opportunities to add capacity in at least the Unit 3 and Unit 1. So let' s wait for the next qu arters to come out with that investments.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would

now like to hand the conference over to Mr. Satish Choudhury for closing comments. Over to you, sir.

M. Satish Choudhury: Thank you all for joining us today for th e earnings call of Divi's Laboratories Limited. In case you need any further clarification, please reach out to our Investor Relations. Thank you.

Moderator: Thank you. On behalf of Divi's Labora tories Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

Date: August 19, 2023
To
The Secretary
National Stock Exchan ge of India Limited
Exchange Plaza,
Bandra-Kurla Complex, Bandra (East)
MUMBAI – 400 051

Stock Code: DIVISLAB To
The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
MUMBAI – 400 001

Stock Code: 532488

Dear Sir/ Madam,
Sub: Transcript of earnings co nference call held on August 14, 2023

Ref: Regulation 30 of the SEBI (Listing Obligations an d Disclosure Requirements), Regulations, 2015

We hereby submit the transcript of the earning s conference call for the quarter ended June 30, 2023, held on August 14, 2023 at 14.30 Hrs IST. The transcript is also av ailable on the website of the Company i.e. www.divislabs.com , under Investors Relations section.

This is for your information and records.

Thanking you,
Yours faithfully,
For Divi's Laboratories Limited

M. Satish Choudhury
Company Secretary & Compliance Officer

"Divi's Laboratories Li mited Q1 FY24 Earnings
Conference Call"

August 14, 2023

MANAGEMENT : D R. MURALI K. DIVI – MANAGING DIRECTOR , DIVI'S LABORATORIES LIMITED
MS. NILIMA PRASAD DIVI – WHOLE -TIME DIRECTOR (COMMERCIAL), DIVI'S LABORATORIES LIMITED
MR. L. KISHORE BABU – CHIEF FINANCIAL OFFICER , DIVI'S LABORATORIES LIMITED
MR. VENKATESA PERUMALLU - GENERAL MANAGER (FINANCE AND ACCOUNTS), DIVI'S LABORATORIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY24 Earnings Conference Call of Divi's Laboratories Limited.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I would now like to hand the conference over to Mr. M. Satish Choudhary. Thank you and over to you, sir.
M. Satish Choudhury: Good afternoon to all of you. I am M. Satish Choudhary - Company Secretary and Chief Investor Relations Officer of Divi's Laboratories Limited.
I welcome you all to the Earnings Call of the Company for the quarter ended June 30, 2023. From Divi's Labs, we have with us today Dr. Murali K. Divi - Managing Director; Ms. Nilima Prasad Divi – Whole-time Director (Commercial); Mr. L. Kishore Babu - Chief Financial Officer and Mr. Venkatesa Perumallu - General Manager (Finance and Accounts).
During the day, our Board has approved unaudited financial results for the quarter ended June 30, 2023 and we have released the same to stock exchanges as well as updated the same in our website. Please note that this conference call is being recorded and a transcript of the same will be made available on the website of the Company.
Please also note that the conference call is the copyright material of Divi's Laboratories Limited and cannot be copied, rebroadcasted or attributed in press or media without the specific and written consent.
Let me draw your attention to the fact that on this call, our discussion will include certain forward-looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations of future performance of the Company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ
materially from what is expressed or implied. Divi's Labs or its official does not undertake any obligation to publicly update any forward-looking statement, whether as a result of future events or otherwise.
Now, I hand over the conference to Dr. Murali K. Divi for opening remarks. Over to you, sir.

Dr. Murali K. Divi: Good afternoon, ladies and gentlemen and welcome to our 1st Quarter FY24 Conference Call. It is great to have you all here and I hope you, your families and your loved ones are well. I shall begin by updating you on our operational progress.
The Indian Pharmaceutical industry is rapidly evolving, fueled by technological advancements and is globally expanding further, driven by increased volume. While we acknowledge the potential impact of price pressures in the US and European markets on operating margins, we remain optimistic about the broader trajectory wherein opportunities keep emerging for a quality API manufacturer to contribute in a sustainable manner.
We anticipate multiple growth prospects over the next 2-3 years, particularly in Contrast Media, Sartans and soon-to-expire patented products. Our recently filed DMFs and about to file DMFs in the next 6 months are expected to contribute to future growth beyond financial year 25, as we actively pursue our six point strategy.
Notably, our Custom Synthesis business is doing well, particularly in phase 2 and 3 projects with enhanced production capacity in small volume APIs and reduced lead times. Both the large volume custom synthesis projects are in commercial phase now and are gearing up for full production capacity.
Registrations for CT contrast media API in various countries are under review and qualifications by customers are underway. We are progressing well in the developme

nt of MRI contrast media and expect to complete validation for some of them by end of this financial year. The potential in contrast media is substantial. Our cost effective capacity, established technologies and iodine recovery advantages combined with our

strong customer relationships, further, broaden our horizons in this growing market.
On the CAPEX front, our Unit-3 construction project is advancing well with an initial investment of Rs. 1,500 crores for phase 1, with scope for further expansion in the future. Our Unit-3 greenfield project will initially manufacture starting materials, a few nutraceutical APIs, advanced intermediates and complex chemistry APIs, thus freeing up Unit-1 and Unit-2 facilities for new opportunities for custom synthesis and generic products.
Our investments in new technologies, expansion of production capacity and diversification of product portfolio, point towards the Company's sustainable future.

We are also pleased to report that Divi's has consistently upheld responsible operations, contributing pos itively to the well- being of the communities surrounding our manufacturing units. Our initiatives such as Sujalam and Jala Prasadam have had a concrete impact on over 2,25,000 individuals improving their access to safe drinking water. To support holistic rural development, Divi's has actively contributed to the upgradation of infrastructure, roads and sanitation system in villages across Telangana
and Andhra Pradesh. We continue to engage in child and women empowerment projects, execute plantation drives and conduct health camps as part of our CSR endeavors.
Now, Ms. Nilima will present you with the financial highlights of the quarter. Thank you.
Nilima Prasad Divi: Ladies and gentlemen, I extend my warmest greetings to each one of you. Thank you for joining us today as we convene to discuss the financial outcomes of the 1st Quarter of FY2024. I trust this message reaches you and your dear ones in good health and spirits.
I am pleased to share that we sustained uninterrupted customer shipment throughout the quarter, reflecting our resolute commitment to meeting the customer deadlines. The global logistics sector saw positive advancements in sea and air freight during the period. This advancement is mainly seen with respect to ease of availability of shipping space as well as reduction in logistic costs. Furthermore, raw material prices exhibited a downward trend and we anticipate continued stabilization in the upcoming quarters.
With the ease of availability of materials and stability in prices, we are focusing on optimizing our inventory levels.
As part of our ongoing initiative to strengthen the domestic supplier network and mitigate sourcing risks, we have notably reduced our reliance on China compared to the previous year.
Moving forward, we are dedicated to optimizing facility utilization to address the uncertainties of the current economic landscape. Our diversification strategy is progressing well and actively pursuing upcoming opportunities while upholding our long-term goals.
Empowered by a robust supply base, optimal inventory, and a vigilant understanding of global dynamics, we stand ready to address future challenges.

I will now present an overview of the financial performance for the 1st Quarter of the fiscal year 2023-24.
We have achieved a consolidated total income of Rs. 1,859 crores for the current quarter as against the income of Rs. 2,343 crores for the corresponding quarter previous year. Material consumption for this quarter is lower at about 39% of the sales revenue as compared to 42% in the immediate previous quarter due to softening of raw material prices and change in product mix. PBT for the quarter amounted to Rs. 492 crores and we have a profit after tax of Rs. 356 crores for the quar

ter.
Exports for the quarter is about 86%. Exports to Europe a nd US is about 67%. Product mix for the generics to custom synthesis is 60% and 40% respectively.
We have a Forex gain of Rs. 3 crores for the quarter as against a gain of Rs. 56 crores in the corresponding quarter of previous year. Our constant currency growth for the quarter has been negative at 29%. Our nutraceutical business amounted to Rs. 178 crores for this quarter.
We have capitalized assets of Rs. 33 crores during the quarter. We have a capital work in progress of Rs. 389 crores as at the end of the quarter, of which Kakinada project

accounts for Rs. 130 crores.
As of 31st March, we have cash on book of Rs. 4,208 crores, receivables of Rs. 1,720 crores, inventories of Rs. 2,967 crores. You would notice from our annual report that dividend payout of Rs. 796 crores is scheduled in the first week of September 2023.
Thank you.
M. Satish Choudhury: Thank you, ma'am. With this, we would request the moderator to open the line for Q&A.
Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question and answer session. The first question is from the line of Tushar Manudhane from Motilal Oswal. Please go ahead.
Tushar Manudhane: I was referring to your comment with respect to the raw material prices moving down, so just would like to understand what is the scope of passing this further to our customers and hence what would be the sustainable gross margin as far as generic API business is concerned?

Dr. Murali K. Divi: In the generic portfolio, based on the competition, if the general prices of raw materials have come down, probably the demand from the generic industry may be there asking us to bring down the prices, but where we are in generic industry lump products where with long term arrangements, usually we don't have that. So we will be able to retain the extra margin whereas in custom synthesis, we can retain the margin when the raw materials goes down or raw materials go up to a certain percentage beyond which we will discuss.
Moderator: Thank you. The next question is from the line of Cyndrella Carvalho from JM Financial. Please go ahead.
Cyndrella Carvalho: Congratulations on the guided gross margin improvement, we are seeing this improvement coming and Nilima highlighted that this is driven by lower raw material cost as well as the further improvement in the other expenses that we are seeing is largely the logistical cost also coming down. So, how should we see this, the gross margin. A) is: do we see some improvement in our generic pricing portfolio also or it is purely by the raw material and the B) part is: on the other expenses side, should we see further scope of improvement as we go ahead?
Dr. Murali K. Divi: Yes, not only there is some improvement in the raw material prices, but also there is an improvement happening in the coming quarters by process improvement or by yield improvement and reducing manufacturing costs by energy efficient operations.
Because we have to look from the holistic point of view, it is not just raw material prices came down from China or elsewhere, but as a holistic, as Nilima mentioned about the freight outward, carriage outwards coming down from Rs. 2,000 a container, it went up (earlier) to Rs. 12,000 a container and came back to Rs. 2,000 a container by sea. I think these are kind of things, sometimes they go up and come down, but the raw material prices coming down, the process efficiency going up, increasing yields, they will help the Company to be on elephant footing making consistent margins.
Cyndrella Carvalho: And any thoughts on the overall API pricing scenario, you see or you highlighted that there is a pricing pressure across, but you also highlighted that there is a scope for an emerging opportunities that you see going ahead in terms of generic filing that we

are
doing, so how should we see the overall pricing scenario and any new products that you want to highlight for us to track, going ahead?
Dr. Murali K. Divi: In our growth engines, the growth engine on established products like Naproxen Sodium, Gabapentin products like that, they are stabilized, the price pressure is a question mark in some of them. Whereas most of the generics, I think they are settled

and there are no price pressures now. So going forward, we see an improvement in terms of margins and a slow growth. On compounds where we improved capacities recently, increase of capacities, their filings have already taken place by us and our customers are waiting for the clearances, (new customers); as and when that happens in the coming quarters, we should see improvement.
Cyndrella Carvalho: And sir, one request from my end that is we have been requesting for the analyst meet for a very long time. Initially we used to do that after our AGM, but as AGM has shifted on the virtual platform, we are not able to meet you and the entire team for a very long time, requesting you to please consider one analyst meet for all of us that

will be very helpful.
Moderator: Thank you. The next question is from the line of Shyam Srinivasan from Goldman
Sachs. Please go ahead.
Shyam Srinivasan: Just on the split of generic and custom that was shared, so when I just add the generic piece and the nutraceuticals together and look at growth on Y-o-Y basis, it seems to be still subdued, like low single digit, like flattish kind of a Y-o-Y trend, even if I look at it compared to the quarter before also, it seems to have declined. So, just want to understand and also reflect upon our guidance for fiscal 24 when we exclude Molnupiravir we are looking at double digit growth, so if you can help us understand that, sir?
Dr. Murali K. Divi: I wouldn't say there is a decline in the quantity of generic API, yes, I agree with you the growth of the matured generics is in the single digit, yes, but when you say that in a compound of 5000 tons even a single digit can be substantial, let's say 5% growth. We are talking about 250 ton growth year-on-year, then there will be always new entrants to take some of the capacity or some of the products from the market, but we are in the advanced markets where it is highly regulated. So there, after the COVID which is over towards the end of the last year, now everything is getting stabilized to see first anti-infective, then antibiotics ant-infectives, then life-saving medicines, lifestyle medicines. We are more into the lifestyle medicines in the generic market. So, now we will see they are stabilized, we will see an improvement and we are the major player there.
Shyam Srinivasan: Just a second question on the custom synthesis with the current base, I am assuming, there is no one-off or special opportunities like Molnupiravir on the base anymore and I remember you have said that you stopped shipping it some time back. But just trying to understand the path forward for custom synthesis, the 40% number, should we now

start assuming that with your projects that you mentioned also the commercialization of say, Sartans and even the second project, you will likely see a sequential or a Y-o-Y growth starting quarter 2?
Dr. Murali K. Divi: I don't think we should look it on quarter-to-quarter basis, but Molnupiravir is not the only one. We are seeing several opportunities. We don't know which one will become again all of a sudden Molnupiravir. We are working on number of projects with number of big pharmas in the small molecule segment..At the same time, we are also in the peptide building blocks, which have really become a hot cake all of a sudden with requirements of hundreds of tons, where we have just started the sample approval qualificati

on after long waiting of 10 years. Because some of the new drugs are coming in the obesity, anti-glycemic compounds with these synthetic liquid-phase peptide drugs. So, in the custom synthesis, we see a great opportunity and we cannot predict in which quarter, which blockbuster may happen. But overall, we have a number of phase 2, phase 3 compounds and these protected amino acids for the peptides and also the nucleotides for the nucleotide drugs. So, the opportunity is great, we just have to wait for our customers to come.
Moderator: Thank you. The next question is from the line of Surya Patra from PhillipCapital.
Please go ahead.
Surya Patra: Sir, my first question is on the inventory provision that we are having, so earlier that we have indicated one of the key reasons for suppressed margins is the high cost inventory what we have been carrying. So, from the annual report, if I see they both are in front of the raw material inventory as well as the work in progress inventory, both have gone up by Rs. 500 crores kind of levels from the normalized level, so when do you think that this high cost inventory or what portion of this is a high cost inventory and when do you think that it would be liquidated, so that you can go back to your normalized margins?
Nilima Prasad Divi: So when we are looking at the high cost inventory, we did mention at the last quarter call that the prices have been softening in the earlier call itself, but the high cost inventory was being reflected at that time and that is why there has been a higher raw material consumption at that point in time. But the materials that have been procured at higher price have been diminishing and right now in the quarter Q1 that you have been seeing the reduction in the raw material consumption has been taking place mainly because of consuming the lower cost ones, and it has been a lower trend in some of the materials which we consume in larger quantities and we are definitely

seeing that the downward trend happening much more in the coming quarter. So this is something that we feel would enhance not just the production cost, but also based on what we are looking at improvement in our own processes. It would be kind of advantage that the organization would have.
Surya Patra: But is it possible to kind of indicate, what portion of this elevated inventory is relating to the high cost base, so that your process of blending with the low cost ones and managing your margin, so that process will continue?
Nilima Prasad Divi: Well, as I mentioned earlier, most of the high cost procured material has been consumed, which has been reflected in the earlier quarters.
Surya Patra: And is it fair to understand that the elevated work in progress inventory that is to do with the kind of inventory rationalization that is going on industry wide largely for the APIs, is that the case?
Nilima Prasad Divi: I wouldn't generalize it as for the entire industry because each organization has their own strategy and way of taking these kind of decisions.
Dr. Murali K. Divi: The difference between the API industry and the pharma industry that are in the formulations is different, where for us is the processing industry, so when we buy raw materials at high price, they become the API and gets sold out. Our inventory of API is not high, it is marginal, whereas in the dosage forms, they convert and warehouse them in India, abroad and in the stores. So there is a long gestation period between manufacturing of the dosage form and realizing the sales. That is the reason till that time it will be inventory whereas for us, once you convert to API and out, our inventory is over. The reason it was more 1 year ago, 2 years ago is that for assurance of supply, we procured extra quantities at higher price, anticipating there could be a substantial shortage because of the explosions that happene

d in China or because of shortages we have seen; that is the reason and the COVID where there were problems of the transportation of these raw materials. That is the reason we have procured at that time and they have been, as Nilima said, consumer now and the APIs are already out.
Surya Patra: Sir, second question is about the import price correction, so in the general trend, what we are witnessing for the chemical industry, hence for the solvents and all that, there is a dumping from China that is also happening worldwide and that has brought down the prices meaningfully and hence helping API sales more. So, possibly we would have also seen some benefit out of that, but how sustainable or to how long that trend can continue that is one? And secondly, when we are seeing the trend of inventory

rationalization across industry, including APIs as well as supply chain of APIs, so do you see the similar kind of trend even for custom synthesis product?
Dr. Murali K. Divi: The solvents you gave example, I think there are what goes down like that always bounce back, because is that the realistic cost they will be able to supply continuously at that price is a debatable question, but I think we do not source from one country or we do not source from one supplier. We have quite a good distribution and there are certain solvents you want to keep in mind that are very common like methanol, ethanol, propanol and there are certain solvents like acetonitrile, tetrahydrofuran, these are very rare solvents and only so much is available by production. We have equipment available, installed to recover, reuse with the right specifications whereas not many companies are equipped to do that. This is where we have an advantage over other API manufacturers, but coming back to your question, yes, price variations could be there again in solvents, but we are not dependent on that.
Surya Patra: And regards to the question, sir, whether the inventory rationalization happening even for custom synthesis, can you respond, please?
Dr. Murali K. Divi: In custom synthesis, there is nothing like inventory as and when they are made, if the first shipment lot is 1 metric ton, (or) if the shipment lot is 5 metric ton as and when the lot is ready, it will go out.
Surya Patra: Sir, just last question, sir, from the carotenoi d side, so what is the pricing trend, sir that is one, and secondly, what we have been seeing since last few quarters that it is kind of a stagnated at that level, it is very narrow range. So, are we operating currently at 100% utilization and unless until we see expanded facility, we may not see growth in the carotenoid that is one question? And secondly whether the prices of carotenoid have also seen some impact because of the current situation?
Dr. Murali K. Divi: We have not seen any price pressures in the carotenoids. In fact, our plant of carotenoids is running in the 90-95% capacity. In fact, we needed more capacity of the

API of carotenoids that is where, at Unit-3, we are putting additional capacity of carotenoids which will come in line sometime in the Q1-Q2 of next year.
Surya Patra: So, carotenoid is not witnessing any kind of pricing pressure and you are operating at a kind of optimal utilization anyway, so with the input price correction, this is one segment which has seen the best improvement in terms of margin and spreads?

Dr. Murali K. Divi: Now the import prices coming down need not be carotenoid raw materials because most of the carotenoid raw materials we make it ourselves, we start from the basic materials like ethylene, propylene, ethylene, including…. now we are putting a plant of ethylene production itself. So there we are very strong with base materials. That is not an impact based on the imported raw material. Now, as I mentioned that we are

installing additional capacities in Unit-3, it indicates that the demand is much more than right now what we can do. I am not saying there are no competitors, I think we have enough business to expand and needed more capacity.
Moderator: Thank you. The next question is from the line of Anirudh Shetty from Solidarity Investment. Please go ahead.
Anirudh Shetty: I have two broad questions. So my first question is, in FY23 we have a gross block of about Rs. 6,800 crores and I presume this is just Unit-1 and 2, so wanted to get a sense of what is the broad range of peak sales that we can kind of generate with this gross
block and range is okay with and we have different products and the asset turns will depend on what product mix we are making, so a broad range is fine?
Dr. Murali K. Divi: Because we have a peculiar situation of projects of custom synthesis, projects of generic and nutraceutical, so some of them need more equipment which will give less value, like some of our 5000 tons of Naproxen or 3000 tons of Gabapentin, they may need large equipment, but at the same time some of the products we do in custom synthesis need a smaller equipment in volume cubic meter capacity, but that will yield higher production value. So it is difficult for us to say gross block, meter cube reactor capacity and so much of crores of business. I think it is very difficult and also in the last 5-8 years, we have started doing, as much as possible, automation and bringing a lot of instrumentation into the processes to bring safety, environment controls, all these add up into the gross block assets.
Anirudh Shetty: Is the right way to look at asset turn, then by segment wise that given the instrument requirement is more in generics, would it be fair to look at what the asset turns could be for generics and what it could be for custom synthesis and if yes, could you share what the asset turn s are by segment?
Dr. Murali K. Divi: We cannot differentiate because we don't have blocks built for custom synthesis and buildings built for generics. We have buildings dedicated to type of chemistry like chlorination, hydrogenation, so different products go into different buildings for different stages of chemistry, but a product like Molnupiravir or Raltegravir where we have built production buildings as per the requirement of the customer; that is different,

but usually that is not the case. We use our custom synthesis; we use our multi-purpose plants available for that.
Anirudh Shetty: And sir, my final question is, I understand that in the near term there could be some short term benefits to our margin as raw material and other costs fall, but when you think about more long term steady state numbers, what kind of EBITDA margin do you think Divi’s can achieve because when I look at your history, I see for long periods of time you have been between 35% to 40% and in 2021 and 2022 you broke that and went to 40%-43%, so what is the steady state number that you all think you can achieve?
Dr. Murali K. Divi: I think we used to be 35%-40% before the COVID and with the COVID up and down and when the COVID drug came, again it went up. So we see a stable probably a steady 30%, 35%-40%, I think that is what we can comfortably say.
Moderator: Thank you. The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria: Sir, in the opening remarks, you mentioned that custom syntheses had a lot of phase 2, phase 3 projects that are doing very well. When should we see conversion of these products into revenue monetization based on the progress that you are seeing, would you say some of these start contributing in FY25-26, based on your assessment, what is the best guess in terms of conversion date of this pipeline?

Dr. Murali K. Divi: I think I would like to say in general based on the strengths we have in sartan

s, based
on the strengths we have in contrast media, we should be able to see a good growth in
the coming year. I can't be specific on a product or a customer, and I am talking with
reference to the big pharma only, contrast media or the sartans.
Neha Manpuria: I think sir mentioned that the MRI contrast media products are also progressing well
and a lot of them should be completed by the end of this year, did I hear that correctly?
So would that mean that would be ready for filing monetization, what was it, sorry I missed that?
Dr. Murali K. Divi: What it meant is that the contrast media processes are ready for customer sampling and
customer clearance to submit the file. That is what it would be. Because the $2 billion MRI contrast media or Gadolinium
compounds, there are only few players, 2 or 3. The
same thing of course, Iodine based contrast media players also there are only 4 in the
world, so already we are in the Iodine contrast media. The contrast media for the

Gadolinium compounds, we will be ready towards the end of the year, total process
ready for scale up. So that should result that will take one more year for the filings and
commercial.
Neha Manpuria: And sir, this would be $2 billion opportunity, you said, right, the MRI contrast media?
Dr. Murali K. Divi: The formulations of contrast media of MRI Gadolinium is about $2 billion and contrast
media for Iodine is $5 billion maybe plus and growing very fast because the contrast
media is used quite a bit and there is really requirement of more manufacturing required
right now. That is what we are seeing, API requirement.
Moderator: Thank you. The next question is from the line of Chirag Dagli from DSP BlackRock.
Please go ahead.
Chirag Dagli: Sir, if I look at the last 4-5 years, your CAGR in INR terms is about 12% and in US
dollar terms is about 8%. When you think of your business, do you think which are the
two numbers kind of broadly indicates the core business growth because if I look at
your EBITDA growth also, it is inching closer to that US dollar growth rather than the
INR terms, so just broadly, how do you think about, which number kind of broadly
indicates the core growth?
Dr. Murali K. Divi: It is very difficult to say about the last 3-4 years because first of all, we are fortunate
we are alive escaping the COVID, I think that is true with everybody. So there were a
lot of uncertainties with reference to launch of new products of other therapeutic
segments, investment into research of other therapeutic segments and the whole world
looked at towards a single point, anti-COVID drug. That is all. They forgot that there
are other therapeutic segments that would also require newer medicines, but now
having COVID either controlled, disappeared, may be reduced. Now everybody is
concentrating on the newer therapies for anticancer, antidiabetic, losing weight and
lifestyle medicines. Our expertise more is in lifestyle medicines where they need
hundreds of tons or thousands of tons. I think we see last 3-4 years cannot be
considered normal for any business, not only in the pharma segment, I think in any
other segment because it was very unusual. So I think from now whatever growth we
are seeing, I think we should start saying, this is 0 and look at how we are going to
grow from now.
Chirag Dagli: So the next few years will be substantially better than the last 5 years is how you are
kind of thinking about the business?

Dr. Murali K. Divi: That is not optimism. I think it should be as much fact it should be.
Chirag Dagli: And sir, the contrast media gets categorized in custom synthesis only, right, there is no
generic opportunity?
Dr. Murali K. Divi: Contrast media is there in generic market also as it is there in India, but if you look at
the volume of consumption by the innovators,

the consumption in the rest of the market
is much less because usually they are connected with the instrument and supplied along
with it or dominated by the innovator, so rest of the world marketing is there. It is not
negligible, but yes, it is much less, but it is growing very fast in the developing and
underdeveloped countries.
Chirag Dagli: So for us also, it will reflect in the generic line item as well as the custom synthesis?
Dr. Murali K. Divi: It will, yes. That is depending upon the name of the contrast media compound, some

of the compound like Iopamidol an old product, it is also being supplied into the generic market, probably it will reflect in both.
Chirag Dagli: And the two projects that you talked about in your opening comments as scaling up in this year, those were both custom synthesis products and are these both contrast media products?
Dr. Murali K. Divi: Yes, no. What I meant to say is that yes, they are the custom synthesis 2 projects, very large and we never disclosed what they are, but for your question, I think I would say yes, no.
Moderator: Thank you. The next question is from the line of Cyndrella Carvalho from JM Financial. Please go ahead.
Cyndrella Carvalho: So I am asking that if we look at our top generic API products in past like Naproxen, Gabapentin, Dexamethrophan, going forward, over 2-3 years ahead, should we see more of sartans, contrast media and new off-patent products for part of these top products in over 3-4 years' time frame, do you see that happening, sir?
Dr. Murali K. Divi: If I understand your question right that our top products in the generic, the Naproxen, Gabapentin, Dexamethrophan that number is growing where we are the major players and it will keep happening as we are updating our technologies which will give these newer technologies of photochemistry, atom efficient chemistry. These will give lower cost and will allow us to produce large volumes with least effluents and more

environment friendly that will allow us to be the leader, but they will add up 2, 3, 4, 5 each year and we expect a much bigger basket than what we are in now. We are not talking about new products, new generics, we are talking about the generic products where we are already in, where we have a presence and we see that they will grow.
People are living longer. As I said we are more into lifestyle medicines than lifesaving medicine…. our generic products, so as people live longer they have to use longtime the lifestyle medicines.
Cyndrella Carvalho: And sir, if I may understand that from a 3-4 year perspective, what should be our goal from a topline and the margin perspective, you mentioned 35% to 40% is the larger range, but again the earlier call also, you ha ve mentioned the doubl e digit, should we affirm these two numbers again?
Dr. Murali K. Divi: Barring COVID and any unforeseen incidences or issues of China or any other country, we should be able to see good growth, a double digit growth. I don't want to talk too much, but first we need to prove that yes, we are on that track and I think a quarter result towards the Rs. 2,000 crores plus, I think that is what will give confidence again coming out of the Molnupiravir (no sales now), coming out of Rs. 1,700 crores of sales, going towards the Rs. 2,000 crores per quarter, then jumping into the Rs. 2,200 crores per quarter. Ours is, we don't jump, slow, steady, consistent, and debt free, these are our models.
Cyndrella Carvalho: And sir, on the Kakinada you have highlighted in the annual report around Rs. 700 crore CAPEX in this FY25 and we are looking at commercialization somewhere second-half of FY25 with the intermediates and the advance material, is it the correct timeline to look forward to?
Dr. Murali K. Divi: I don't remember that. We did not project any sales of Rs. 700 crores in Kakinada unit.
Cyndrella Carvalho:

CAPEX of around Rs. 700 crores we have written for FY24?
Dr. Murali K. Divi: CAPEX anticipated when we planned the project it was about Rs. 700 crores long time ago. Then we said, it is Rs. 1,200 to Rs. 1,500 crores of CAPEX, Rs. 700 crores being spent in the very immediate near future, but it is a Greenfield project. What it meant is, right from boiler, heating, cooling systems, the environment treatment plant, all need to be built. So total infrastructure right from administration, hostels, the total employees situation has to be created which would take time, but we cannot say how much of turnover, but we know that CAPEX is about Rs. 1,500 crores, on that project, we will be doing that. Expanding nutraceuticals, just to give you clarification, as I was

mentioning that there are more opportunities, we needed more capacities in nutraceuticals, also intermediates, we have lot of business and we are also looking at some of the advanced intermediates and new chemistries and APIs. This will free up lot of our existing US FDA inspected facilities, both of them Unit-1, Unit-2, which can be… immediately that capacities are available for the custom synthesis project from our big pharmas. So it has a double edged advantage.

Cyndrella Carvalho: I was just asking like for all the advanced intermediates and KSM perspective, should we aim that a formal commercialization could happen mid of FY25 or beyond FY25 that is what I was just trying to understand?
Dr. Murali K. Divi: It should be mid FY25.
Moderator: Thank you. The next question is from the line of Ravi Purohit from Securities Investment. Please go ahead.
Ravi Purohit: Most of my questions have been answered, just one, broadly I think you mentioned somewhere that lot of our business in CRAMS comes from sma ll molecules, but you also spoke of the new obesity drugs where we are kind of… and these look like large molecules, so can you just kind of give us broad insight into how do we look at small molecules versus large molecules as opportunities going forward?
Dr. Murali K. Divi: Yes, we are experts of small molecules. We are not experts of large molecules. When we take small molecules, these are big products like Naproxen, Dexamethrophan, Gabapentin, several APIs which are produced by synthesis. The large molecules we refer to are peptides, monoclonal antibodies, vaccines, these are the large molecules where the molecular weight goes into thousands, whereas usually we work with molecular weight up below 500. So, these large molecules with the molecular weights of thousands, they are peptides, they are nucleotides, but there also, our presence is required. It is like if there is a big building, but still it needs the brick, motor, cement, steel, so we supply all the building blocks for the amino acids, protected amino acids or dipeptides, tripeptides. They will be assembled together in liquid phase and that is how the peptides will come out, which are large molecules they are called.
Ravi Purohit: At the time of our IPO in IPO doc you had mentioned about work on peptide technologies and lot of the peptide products and I think last few years, we have not heard too much about that, but suddenly Semaglutide family of obesity drug become very large molecules, just wondering if we have been working on these or these are the opportunities that you anticipate for future when they become more generic products?

Dr. Murali K. Divi: I am glad you remember all that hard work we did and we were leaders at one time supplying lot of protected amino acids and coupling agents and protecting agents to the T20 projects at that time. Then, of course, everything was silent on peptides. Now all of a sudden people started on peptides, so we again approached the few customers who are involved in this, they are trying to qua

lify us and we should be in good shape to supply these after approvals and properly qualifying us. These are very big volumes.
That is what we are thinking in the antiobesity and antidiabetic. You may note the difference. The reason it was not successful at that time was they were trying to give it by IV, intravenous, a large peptide putting it in oil and giving to intravenous was quite painful and that is how it couldn't succeed whereas today you are talking about these drugs, they are oral. So, by oral I think capsule, it is much easier.
Ravi Purohit: And sir, is there like a typical timeline to this as well process of like approvals or filings or something like that or how does it because the opportunity is right there right now so?
Dr. Murali K. Divi: We are not doing any filing. We will be supplying them the building blocks. We are not doing the API. I think we don't need to…. It is not a waiting period because it is only a customer approval and we meeting customer’s requirements on the impurity profile and that should lead to the business.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Satish Choudhary for closing comments.
M. Satish Choudhury: Thank you all for joining us today for the Earnings Call of Divi’s Laboratories Limited. In case you need any further clarifications, please reach out to our Investor Relations. Thank you.
Moderator: Thank you. On behalf of Divi's Laboratories Limited, we conclude today's conference. Thank you for joining, you may now disconnect your lines.

Call: Nov 2023

Date: November 11, 2023
To
The Secretary
National Stock Exchange of India Limited
Exchange Plaza,
Bandra -Kurla Complex, Bandra (East)
MUMBAI – 400 051

Stock Code: DIVISLAB To
The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
MUMBAI – 400 001

Stock Code: 532488

Dear Sir/ Madam,

Sub: Transcript of earnings conference call held on November 06 , 2023

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015
We hereby submit the transcript of the earnings conference call for the quarter and half year ended September 30, 2023, held on November 06, 2023 at 14.00 Hrs IST. The transcript is also available on the website of the Company i.e. www.divislabs.com , under Investors Relations section.

This is for your information and records.
Thanking you, Yours faithfully,
For Divi's Laboratories Limited
M. Satish Choudhury
Company Secretary & Compliance Officer

"Divi's Laboratories Limited
Q2 FY24 Earnings Conference Call"
November 06, 2023

.
DIVI'S LABORATORIES LIMITED MANAGEMENT :

DR. MURALI K. DIVI, MANAGING DIRECTOR

M S. NILIMA PRASAD DIVI, WHOLE -TIME DIRECTOR
(COMMERCIAL)
M
R. L. KISHORE BABU, CHIEF FINANCIAL OFFICER

MR. VENKATESA PERUMALLU , GENERAL MANAGER
(FINANCE & ACCOUNTS)

MR. M. SATISH CHOUDHURY , COMPANY SECRETARY
&C HIEF INVESTOR RELATIONS OFFICER

Divi's Laboratories Limited
November 06, 2023

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call of Divi's Laboratories Limited for Q2 and FY2024. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star th en zero on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. M. Satish Choudhury. Thank you, and over to you, sir.

M. Satish Choudhury: Good afternoon to all of you. I'm M. Satish Choudhury, Company Secretary and Chief Investor Relations Officer of Divi's Laboratories Limited. I welcome you all to the earnings call of the company for Q2 FY '24. From Divi's Labs, we have with us today Dr. M urali K. Divi, Managing Director; M s. Nilima Prasad Divi, Whole -Time Director, Commercial; Mr. L. Kishore Babu, Chief Financial Officer; and Mr. Venkatesa Perumallu, General Manager, Finance and Accounts.

During the day, our Board has approved unaudited financial results for the quarter and half year ended September 30, 2023, and we have released the same to the stock exchanges as well as updated the same in our website.

Please note that this conference call is being recorded and a transcript of the same will be made available on the website of the company. Please also note that the audio of the conference call is the copyright material of Divi's Laboratories Limited and cannot be copied, rebroadcasted or attributed in press or media without the specific and written consent.

Let me draw your attention to the fact that on this call, our discussions will include cer tain forward -looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations of the future performance of the company. Please note that these estimates involve several risks and uncertainties that co uld cause our actual results to differ materially from what is expressed or implied. Divi's Labs or its officials does not undertake any obligation to publicly update any forward-looking statement, whether as a result of future events or otherwise.

Now I hand over the conference to Dr. Murali K. Divi, Managing Director for opening remarks. Over to you, sir.

Dr. Murali K Divi: Good afternoon, ladies and gentlemen. Welcome to our second quarter financial year '24 conference call. We are pleased to have all of you here and I hope that you, along with your families and loved ones are in good health.

I shall commence the meeting with a review of our operational performance. Following our update to the previous quarter call, we anticipate numerous growth opportunities, particularly in contrast media, sartans, and products with soon -to-expire patents.

The demand for most of our established generic products remained stable, despite continued pricing pressure. We're actively pursuing our comprehensive 6- point strategy and expect our recently filed DM Fs to contribute to growth beyond financial year 2025.

Notably, with expanded production capacity for small -volume APIs and reduced lead times, our custom synthesis business continues to garner interest from several customers. The large -volume custom synthesis projects are now operating at full production capacity.

On the capex front, our Unit 3 200-acre Phase I construction project is progressing well and this greenfield project shall free up facilities in Unit 1 and 2 for new opportunities in Custom Synthesis and Generic Products. The plan is to start commencing production acti vities towards end of Q1 '24-'25.

Furthermore, we are pleased to report that Divi's has consistently operated respons

ibly, benefiting the communities surrounding our manufacturing units. Divi's has actively contributed to infrastructural upgrade, road development and sanitation system renovations in villages across Telangana and Andhra Pradesh. As part of our CSR initiatives, we are committed to projects that focus on empowering children and women, promoting af forestation and supporting rural health care.

Now Ms. Nilima Divi will present you with financial highlights of the quarter. Thank you.

Nilima Divi: Good afternoon, ladies and gentlemen. I extend my warmest greetings to each one of you. I appreciate your presence as we gather today to discuss the financial outcome f or the second quarter of FY '23 -24.

I am pleased to report that we have maintained uninterrupted customer shipments throughout the quarter, meeting customer deadlines efficiently.

Notably, positive developments in sea and airfreight persisted in global logistics during this period. Supply dynamics exhibit promising signs with a slight supply chain stability, resulting in improved pricing for starting materials. Nonetheless, we remain vigilant and adaptable in anticipation of potential consequences stemming from the ongoing geopolitical and economic fluctuations. Empowered by a robust supply base, optimized inventory management and a keen understanding of global dynamics, we are well prepared to address any future challenges that may arise.

I will now provide an overview of the financial performance for the second quarter of the fiscal year 2023-'24. We have achieved a consolidated total income of INR 1,995 crores for the current quarter as against an income of INR 1,935 crores for the corresponding quarter last year. And our total income for the immediate previous quarter was INR 1,859 crores. Compared to FY '22-'23 ex-Covid portfolio, there has been a double -digit growth for the quarter as well as the half year.

Material consumption for this quarter is higher at 42% due to change in product mix and pricing pressure on current portfolio. Inventory of about INR 20 crores has been written off during the quarter. Profit before tax for the quarter amounted to INR 469 crores, and we have a profit after tax of INR 348 crores for the quarter .

Exports for the quarter is about 87%. Exports to Europe and U.S. is about 68% for the quarter. Product mix for Generics to Custom Synthesis is 60% and 40%, respectively.

We have a forex gain of INR11 crores for the quarter as against a gain of INR 31 crores in the corresponding quarter of last year. Our constant currency growth for the quarter has been negative at 1%. Our Nutraceutical business amounted to INR 205 crores for the quarter.

For the current half year, our consolidated total income came to INR3,854 crores, and we have a profit before tax of INR 961 crores and a profit after tax of INR 704 crores. We have capitalized assets of INR 91 crores during the quarter and INR 124 crores for the half year. We have a capital work in progress of about INR 496 crores as at the end of the quarter, of which Kakinada project accounted to INR263 crores. On this project, an amount of INR 76 crores was spent till last year. In addition, we also have ad vances of about INR 67 crores for the project as of end September 2023.

As of 30th September 2023, we have cash on book of INR 3,604 crores, receivables INR1,858 crores and inventories INR 2,969 crores. Thank you.

M. Satish Choudhury: Thank you, ma'am. With this, we would request the moderator to open the lines for Q&A.

Moderator: The first question is from the line of Mr. Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just on -- firstly, on this inventory write -off of INR 20 crores, so how different is this from a typical over past many quarters?

Dr. Murali K Divi: These are some of the materials that were l

eft over from the COVID drug. So that's what they were.

Tushar Manudhane: Understood. And secondly, with respect to Unit 3, where the construction is currently ongoing, but the production is expected to commence from first quarter FY '25, so what kind of operational cost one should build in?

Dr. Murali K Divi: The operational expenses will definitely go up because we are creating a total setup of Unit 3 with all infrastructure. H ence, there will be increase in operational expenditure. And also, it will be directly proportional to volume of business we are going to load into that by quarter -on-quarter.

Tushar Manudhane: Okay. sir, any broad ball -park number you would like to highlight?

Dr. Murali K Divi: We can't anticipate at this moment.

Moderator: The second question is from the line of Mr. Surya Patra from PhillipCapital.

Surya Patra: Yes. Sir, my first question is on the growth. The like -to-like growth, if you consider , adjusting for the, let's say, Molnupiravir -related base. then overall business looks a very strong growth the way Madam has indicated in the opening remarks. And also, similarly, the Custom Synthesis growth also look, on a like -to-like basis , really strong. So what has driven this Custom Synthesis growth, sir? This Custom Synthesis segment is not facing any kind of inventory rationalization

or anything. Is t hat the kind of understanding one should have? And even if you have seen a very strong robust growth on a like -to-like basis in Custom Synthesis , what has driven… whether your second contract that got started, if you can give some clarity about Custom Synthesis growth?
Dr. Murali K Divi: The Custom Synthesis growth is not just one company or one product, it is distributed over several therapeutic segments. I think we mentioned that one of the growth engine is the big Custom Synthesis projects from big pharma, 2 of them. Now , both are geared up and they're fully on production line, and you will see the additions in the next quarters.
Now on the sartans, I think both in Custom Synthesis, also Generics are on growth mode, and we have seen after the COVID, many of the Custom Synthesis opportunities coming , as several of them were kept aside looking on focusing only for last 3, 4 years on COVID. Now I think the COVID being under the table now, all projects have been resumed, and that's what you are seeing now, anything you'll see in the future.
Surya Patra: Okay, sir. Sir, then , a related one is that -- so although we have seen a kind of strong growth in the Custom Synthesis side, despite generics witnessing some moderation or muted growth due to possibly the price pressure what you have indicated as well as the inventory rationa lization aspect might be continuing. But then sequentially, we have seen the gross margin has deteriorated almost like 400, 500 basis points despite the strong performance at the Custom Synthesis side.
Is it because of your -- the high cost inventory or raw material that you have been talking about that is still hitting us or it is the realization in the API side that really suffered? What would have contributed to the weakness in the gross margin, sir?
Dr. Murali K Divi: I think Nilima has mentioned the pricing pressure. Yes, there are pricing pressures in the Generics, and there is no issue with the Custom Synthesis. P robably some of t he still (high cost) stock towards the end of consumption has already happened, all that happened, I think, together.
So I think going forward, we should be doing better.
Surya Patra: Okay, sir. Sir, just one last question from my side. Let's say, in terms of the custom synthesis business, if I talk about a bit. See, the industry trend, what we are currently seeing that because of the funding -- venture capital funding issues and all that, the small and midsized biotech companies, they are fac

ing some challenge; and that is what is impacting the service provider or CRO or CMO or CDMO players to some extent, and that is what we have witnessed for many global CDMO players also .

But here, as we know that Divi's is largely known for -- in the CMO or CDMO, it is for the late - stage projects. And we have seen a very strong growth in the Custom Synthesis this quarter. So is it fair to believe that since we are associated with the late-stage projects more, so we have not seen any kind of industry challenges in terms of inventory or slower pickup by the customers and all that ; is that understanding correct, sir?
Dr. Murali K Divi: We are not working with the start -up companies and small companies needing funding from various institutions, we are working with the big pharmas either for their pipeline or the pipeline they acquired from some of these small companies. So , we are not seeing any of that slowdown or -- we're seeing a number of opportunities.
Moderator: The next question is from the line of Mr. Shyam Srinivasan from Goldman Sachs.
Shyam Srinivasan: Just wanted some more clarity around the ‘excluding COVID opportunity ’ growth, which has been called out. Sir, we have not called this number out in the past. So, if you could help us with what those numbers roughly are. So when I do the math, using your 60- 40 for this quarter, for example, for Custom, I arrive at a INR 765-odd crores number for quarter 2. And I remember last year, last quarter, it was around INR 800 crores, right? So what is the base that you're talking about? Is it like a double -digit growt h Y-o-Y? I know there is Q -o-Q growth on Custom, but I'm unable to see the very strong growth. Maybe it's the base I'm not adjusting correctly. So if you could help me understand that, please.
Nilima Divi: So you can assume that the Molnupiravir sales could be around the numbers that you are mentioning, but -- because of the nondisclosure that we signed, we cannot disclose the actual value of the sales that we have done for that particular product. But what we can actually say is, we did see a double -digit growth year -on-year for the quarter as well as half year, excluding the COVID drug.
Shyam Srinivasan: Nilima, madam, are you saying this for the custom only? This is total corporate? If you could clarify, please.
Nilima Divi: This is for the entire corporate. It's not just for the Custom Synthesis. It is Custom Synthesis plus

Generic's total sales together.
Shyam Srinivasan: And if you could just bifurcate that between Generic and Custom, any directional color that will be helpful?
Nilima Divi: I would love to do that. But at this point in time, we cannot say more than what I'm saying currently.
Shyam Srinivasan: And let me impute because we were at 48% Custom at the half last year, we are at 40% now. So that would imply, let's assume, I don't know, 7%, 8% is Molnupiravir, I'm just making it up, but that still wouldn't mean any Y -o-Y growth in custom? I'm just tryi ng to -- am I directionally right?

Nilima Divi: Probably.
Shyam Srinivasan: Okay. Okay. So yet to see probably Y -o-Y growth in Custom, maybe it's coming ahead of us. Would that be a fair...
Nilima Divi: Yes. We would be seeing more from the third quarter , the sales happening where you will have the clarity.
Shyam Srinivasan: Understood. That's very helpful, ma'am, for that. Just a second question, I'm just wondering, we had a high base growth last year same quarter, INR 900 crores was the number for Generic API excluding nutraceuticals. When I see that number today based on your 60% number, again, INR940 crores is what I have. So we have grown 5% on Generic API despite the pricing pressure that you talked about, so is there very good volume trends we are seeing on Generi

c API?
Nilima Divi: Yes, I would say we are seeing good volume trends in generic APIs. But yes, because of the pricing pressure, the revenue, which we would have, say, like, for example, last year prices, if you would have had this year, the revenue would have been much bette r. But because of the various pricing pressures that the entire pharma industry is facing in the generic industry, the volume is there. It's just that the pricing is lower, so that's when you're seeing the revenue is moderately more than what it was last year.
Shyam Srinivasan: Got it. Just squeezing one in. Is that like double -digit volume growth and like mid-single -digit price erosion, would that be a way to desegregate it?
Nilima Divi: Yes, I would say so.
Moderator: The next question is from the line of Damayanti Kerai from HSBC.
Damayanti Kerai: Sir, my first question is on contrast media opportunity. So you obviously talked about ramp-up, which is happening in your business. So can you elaborate a bit, like what is the progress in the Iodine -based supply so far? And what is the progress on the G adolinium -based product development part? That's my first question.
Dr. Murali K Divi: The Iodine -based contrast media, we are doing well. We are already in the 2 products, for the generic market Iopamidol, Iohexol, they are growing well. And also, we are entering into the other Iodine -based compounds , at least 2 of them, they're going to be doing very well. On the Gadolinium, just we are in the final stages of completing our process. And once that is done, we need to get the approvals from the customers to go . That's where we are on the contrast media.
Damayanti Kerai: So for G adolinium -based most likely towards end of this fiscal, you expect to start supplies and then pick up will maybe more in next fiscal year?
Dr. Murali K Divi: Probably it is more towards the next year than – because, first the qualifications, the samples, that would take time, so we have to look more at '25.

Damayanti Kerai: Okay. Got it. My second question is on Generic pricing pressure, which we discussed earlier during this call. So just want to understand like in some of the newer launches, are you seeing more competition compared to what you have seen in the past. That's where we are seeing like overall higher pricing pressure or something else is there? Like you said volum es are g oing -- or demand is steady, et cetera. So is it mainly due to competition you are seeing higher pricing pressure? And how do yo u see this trend ahead?
Dr. Murali K Divi: It's not in the newer generics where we introduced recently. It is mainly in some of the large volume generics we were doing from a long time. There was some price pressure in certain markets. I think we need to see in the next coming quarters, I think it should settle down. When

there is little price pressure, everybody would like to enter the market, get rid of their stocks, and then the stock will deplete, then everybody looks for a product, which is not available. It
happens.
Damayanti Kerai: Okay. So prices may be in like cyclical move, but on the newer launches, you said not much of pricing pressure.
Dr. Murali K Divi: Correct.
Moderator: The next question is from the line of Mr. Ravi Purohit from Securities Investment Management Private Limited.
Ravi Purohit: Sir, just a couple of questions. Most of the other questions have been answered. One is that in the earlier calls, you mentioned about a couple of our projects going commercial in the custom synthesis side in Q1-Q2 of this year. So, have they kind of gone into production mode or we are still kind of waiting for that?
And the second question was on the peptide business, which I think we briefly discussed on the last call as well, and you have said that you were doing basic amino acids. So any progress on
that, becaus

e that opportunity seems to become bigger and bigger as time passes by? Those are
my 2 questions.
Dr. Murali K Divi: Yes, I think I did mention in the beginning of the call that the 2 big custom synthesis projects , they have gone on full -scale production. Now we reached that, which you will see in the coming quarters, the results update. That's your first question.
Second one, on the peptides, I think we are going to have excellent opportunity based on the GLP agonist, the glutides, the type 2 diabetes going towards the weight loss. All of them requiring large number of peptide building blocks, dipeptides, tripeptide s. I think this is where we have done a lot of progress and we will become one of the major suppliers very soon.
Ravi Purohit: Okay. So how large is the opportunity size for us in terms of absolute scale of business? Like I think you had mentioned, we don't do the APIs, right? But you do the basic amino acid, so -- in your assessment, is it like it would be a substantial opportuni ty going forward? I mean, there is like -- add to all of those, I think, you have -- we have been talking about our growth engines,

like does this kind of -- the scale is as big as both of those growth engines or is it more like decent opportunities, not like a very large or a very significant one?
Dr. Murali K Divi: First of all, I think outside China, there are not many companies who can supply these building blocks. We are not talking about amino acids. Everybody buys the amino acid for $3, $4 a kilo. But these are the specialized protected amino acids with a lot of chemistry involved and there are not many companies who can supply hundreds of tons. I think we are one of them, number one.
The opportunity is like another growth engine, you are right. It's not a small opportunity. It can be even bigger than a single growth engine. So , because you're not talking about 1, 2, 3, 4, there are several products coming up in this segment of the GLP -1 agonist, so we see a lot of demand for our building blocks.
And in the building blocks, there's always can be a value addition by going forward integration into dipeptide, tripeptide up to at least 4, 5 residues. That's where we see in the next 2, 3 years, jumping with substantial added value. Yes, we may not go to the protein peptide, the 29 or 32 amino acid whole chain, but we can graduate to the major segment.
Ravi Purohit: Okay. And just to clarify, sir, I think we had mentioned in the earlier call , for these products, we don't need U.S. FDA approval. So if our new capacities come on stream, we can actually start manufacturing some of this. Is that a correct assessment?
Dr. Murali K Divi: As long as they are key starting material, yes . But the qualification is very, very tough, it's that easy. So it depends upon where they are adding. If they're adding at the 31st last amino acid, probably it needs U.S -FDA inspection. But if you are talking about the very beginning of the chain, maybe not. So , whether you're getting qualified for starting material, key starting mater ial, advanced intermediate or N minus 1 ….
Moderator: The next question is from the line of Ms. Charul Agrawal from Bank of America.
Charul Agrawal: So sir, continuing on the lines of the previous question regarding the GLP -1 products, sir, could you give more color on the timeline that we can look for this product? Would it be FY '26 opportunity or would it come even later? And what stage are we doing -- are we already -- can we exhibit batches to customer or where to we lag in terms of progress over there?
Dr. Murali K Divi: I think you'll see some value towards the '25 and going forward, you will see much bigger numbers.
Moderator: The next question is from the line of Nithya from Bernstein.
Nithya: Another follow -up question on the GLP -1 peptide opportunity. If I look at eit

her the commercial
peptide, the one that's in Phase III, the 2 that are based on a synthetic process are tirzepatide and retatrutide. Tirzepatide, we understand that there are CDM Os that have been disclosed as supporting Lilly, and they are setting up substantial capacities in the range of 32,000 liters. So ,

the question is what sort of capacities is Divi's invested in? Is this something that will be part of Kakinada as well? And if you can give us a little bit of color on what sort of capacities you're investing in for peptides?

Dr. Murali K Divi: Thank you for repeating the names of the products, neither am I allowed to say the name of the product nor the name of the company nor the name of the billion dollars of orders received by CDMOs. I'm not allowed to talk about that, the names and the product. But what I can tell you is that they all need the building blocks. And outside China, there is no company that can supply at this moment hundreds of tons of those. This is where we see a great opportunity.

We started working from the beginning of this year . So once the approvals and qualifications complete, we see light towards the '25 happening and probably then on very large volumes. See, it involves not just 1 step of amino acid conversion. It involves coupling agents, activating agents, building blocks with protection and making from the very basic raw material, that is the most important thing. One can buy all of them and put together, then you are not cost competitive ; and you can't control impurity es pecially in products like that, doing by solid phase , they will be ending up with several impurities if they don't control the starting materials or building blocks.

Nithya: So follow -up on that, I fully appreciate that you already have the capabilities to make and you're commercializing coupling agents as well. My question was on your capacities to actually produce multiple fragments, which are chains of amino acids. Is there any color you can provide us on the capacities you're setting up?

Dr. Murali K Divi: The capacities we have already available. All the reagents will be produced in Kakinada or at our Units 1 and 2 and all the building blocks, including the di, tripeptides can be produced in our existing facilities. We do not require any additional capacity.

Moderator: The next question is from the line of Mr. Anirudh Shetty from Solidarity Investment Management.

Anirudh Shetty: I had just 1 question. In our contrast media, I just wanted to know how backward integrated are we, up to what level?

Dr. Murali K Divi: We are the most backward integrated company, number one. We make from Iodine . Iodine is the basic starting material. We make some Isophthalic acid, that is the basic petrochemical.

Moderator: The next question is from the line of Mr. Nikhil from S IMPL.

Nikhil: Just 2 questions. One is a clarification. Sir, you mentioned that most of the pricing pressure we are finding is on our existing molecules where we were always present. If you can just give some highlights that this is pricing pressure led by new capacitie s or new players coming in? Or is it still inventory destocking, which is leading to the pricing pressure? And additionally, what we have seen is that many of the solvents and the intermediate prices have been falling for last 1

year. And most companies have talked about that prices are now stabilizing at the intermediate level. But still for us, the prices are going down, so how should we understand?

Dr. Murali K Divi: It is not from any new players or new entrants. I think even in the existing players, maybe -- so getting some stock play, getting rid of the stocks, there are price pressures for that. And I think I answered the same question earlier saying that once thes e stocks are over

, then people look
and there's no more stock available, the prices go up. We are seeing this happening in the last, I think, 10 years, at least 2, 3 cycles. For a stable player like ours, it should not matter. We don't disappear when the price comes down and we don't appear when the price increases by 20%, 30%.

Nikhil: Okay. So it's only a matter of time by when inventories settle down and things should improve for us?

Dr. Murali K Divi: That's what we think based on the experience of earlier cycling mechanism.

Nikhil: Okay. And just last question. Actually, over the last 2 years, we've been talking about sartans as an opportunity. And if we see in most of our facilities, we have been making sartans not exactly as a number, but if we consider the whole sartan as a family , would it be now featuring it among the top 7 or top 10 product segment for us. So generally, when we say top 5 products contributes 40% to 45% of revenue, would you say sartans would be now in the top 10 segment for us? Or just some clarity on how we hav e shaped up or scaled up that opportunity?

Dr. Murali K Divi: I think it will be in the top 10 in the opportunity that we have.

Nikhil: Okay. So existing revenue contribution, they would be among the top 10?

Dr. Murali K Divi: Yes.

Moderator: The next question is from the line of Mr. Surya Patra from PhillipCapital.

Surya Patra: Just one viewpoint that I wanted to have from you, see in the recent quarter, we have seen US FDA Commissioner visiting your facility. And subsequently, we have heard a few positive statements by him about Indian industry and all that. So, if you can just comment your experience of his visit, and what would be the priority that we are currently looking for? And how would that be helpful for our progressive growth that we are having currently?

Dr. Murali K Divi: Yes, it was quite an exciting moment when the US FDA Commissioner visited our facilities along with 12 officials from the US FDA ; and visiting our plants, touring in our plant and seeing the facilities in detail… all the departments, definitely gave him or gave the team a better picture about how the API industry, at what kind of magnitude and the quality systems exist. I think they were quite pleased. Now I am sure they have gone with good feeling, but now we need to see. It doesn't mean that you will be automatically approved or you will never be inspected. I think the routine business is business . There will be US FDA inspection. And always inspection means each inspection is different.

But when we do our day-to -day production in line with the full GMP, I think in the last 20, 25 years, we have seen several inspections and we have gone through without any issues. So it's a good opportunity for us. I think it's a good feeling. The world knows that he has visited us and carried some good impression.

Surya Patra: Okay. Okay. So sir, is it fair to believe that India, the way it has been talked about is : India is positioned currently as a partner of choice so far as, let's say, the supply chain for the -- even innovative molecules are concerned for the global market? And truly China Plus One can play out in Indian pharma and more importantly, in the APIs and intermediate space. And possibly, we are just on the inflection point. Is that understanding can be deduced from the experience, whatever that you wo uld have had from you?

Dr. Murali K Divi: I think you are right, with all the large capacities available in India and the requirements being there in U.S. and Europe, I think -- it's fair to say that.

Moderator: The next question is from the line of Ms. Nithya from Bernstein.

Nithya: I just had a quick bookkeeping question. So, when you say custom synthesis is that -- are these only patent -protected products that you're working with big pharma? Or would this include any produ

ct, generic product as well that you would be selling to big pharma?

Dr. Murali K Divi: It's very difficult to say that. When we enter most of the products, we enter when they are still under patent maybe just discovered or maybe just getting launched. And over a period of time, yes, they would go out a patent and some of the generic companies will enter. So we always are in the basket that some Phase I, Phase II, Phase III compounds, some launch ed compounds, some patent just expired, but still we will be making post patent expiry. And sometimes it can be a generic compound from our own process and also, we will be following a process that the innovator wants for a particular reason.

Nithya: Is it then fair to say that your custom synthesis to generic ratio is actually big pharma to non- big pharma ratio?

Dr. Murali K Divi: No, the custom synthesis and generic ratio is about -- we'd like to maintain 50 -50, but it changes 60-40, 40-60 year -on-year, which is not in our control.

Nithya: No, sir, just, let's say, a big pharma company comes to you and asks you to sell N aproxen, which is one of your older generic products, is that sale being accounted for in CS or is it accounted for in generics?

Dr. Murali K Divi: It is a generic product. It is like they can shop from anywhere as long as the US FDA inspects it and after qualification, there's no difference in that, it is generic. But if the big pharma comes with their own product just going out of patent, and they want us to produce as per their process, then it comes under CDMO.

Nithya: Sir, one of your peers also mentioned demand weakness in this segment because of inventory destocking and in addition to pricing pressure, so are these 2 linked, are these 2 separate, when do you see these getting sorted out in the future?
Dr. Murali K Divi: I think these are cyclic in nature. Every 3, 4 years, you will have people build inventory, cannot hold, how to dispose them, then the pricing starts going down. They will deplete the stock. These are not the very large players. These are mid - to low. And then the demand remains same. It won't go up, but there's no product, then the shortages happen, price goes up, then it sets down. We have seen these cycles. It was -- 1 year, it can be 2 or 3 A, B, C product, next year it can be D, E, F product. So it does happen.
Nithya: In your experience of having seen these cycles, how long does such an inventory destocking phenomenon last before demand picks up again?
Dr. Murali K Divi: Not more than 2 years.
Moderator: The next question is from the line of Ms. Charul Agrawal from Bank of America.
Charul Agrawal: Sir, this quarter, we also saw an increase in sales for the carotenoid products by around 15%. And given the carotenoid were already at 90%, 95% capacity, would this be more price driven or is there something else that is going there?
Dr. Murali K Divi: The nutraceutical growth, I think, 10% to 15% it has been happening. And there are not too many players in the product we are in. More so in the animal nutrition, the complex astaxanthin and compounds, we're almost the major players now.
Charul Agrawal: Yes. So we also saw some bit of a jump in the other expenses this quarter, so could you please explain what drove the expenses and do we see these expenses as sustainable from here?
L. Kishore Babu: It is an increase in repair and maintenance expenditure mostly, and it is because Unit 1 and Unit 2, we did a little bit of modernization and upgradation. So that is the reason.
Moderator: The next question is from the line of Mr. Poga z, who is a retail investor.
Poga z: My question is related to the contrast media division related to the MRI, sir. Sir, I just want to know what is the market size, complete market size and which geography are we targeting? That's my first question, sir.
Dr. Murali K

Divi: The contrast media is about $5 billion. That is the market. You are taking about the MRI or the contrast media?
Poga z: The contrast media for MRI, sir, related to MRI.
Dr. Murali K Divi: Contrast media for the MRI is mainly the G adolinium compound and we are not targeting about any region. We only target the main innovator or innovator companies. So, we do not compare because they will market them in India, U.S., Europe, we are not involved in that.

Poga z: Sure, sir. The reason for that question is, out of the whole $5 billion that you mentioned, sir, the contrast media 70% to 75% market share is with the top 4. And one of our Indian players is saying, they're claiming, they hold 70% market share in it. So w hat is the opportunity that Divi's, as a company, we are looking, sir? T he statement that they are making, is it correct, sir? Just correct me if I'm wrong, sir.
Dr. Murali K Divi: I think the $5 billion, what I mentioned is for the Iodine contrast media, Iodine -based. Whereas the MRI is Gadolinium -based. That is different. So I was referring to the Gadolinium compound, where the supplying to the innovator . Yes, you're right, there are only 3 or 4 companies worldwide this contrast media they do. And I'm not sure whether it's 70%, 80% market is with 1 company in India. I'm not sure about that.
Poga z: Okay. So the claim is -- the 70% to 75% market share is with these top 4 companies. In that the 70% to 75%, the 4 companies, right, they're supplying for 3 companies, which is 72%, 70%, they are supplying for it. Out of the 70%, they are supplying 70%. And they are also claiming, sir, these people are not looking at an API level, they are looking at the intermediate level. So those companies just want the intermediaries and they want to form the API on their own. So are we trying to do the API here o r like are we into intermediaries, sir? Because the names in our company and that companies are same when I checked the product list. So just little got confused there, sir. Can you clear me there, sir?
Dr. Murali K Divi: In the contrast media, we make APIs, the Iopamidol , Iohexol and also, we make other contrast media for the innovators. To do that, we also make our own starting material, intermediate from Iodine . I think , I hope I've given a clear picture.
Poga z: I got it, sir. So we are saying we are doing API for some other companies who needs direct API

itself. Okay. I got it.
Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Satish Choudhury for closing comments.
M. Satish Choudhury: Thank you all for joining us today for the earnings call of Divi's Laboratories Limited. In case you need any further clarification, please reach out to our Investor Relations. Thank you.
Moderator: Thank you. On behalf of Divi's Laboratories Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

(no extractable text — likely a scanned image PDF)

Call: Feb 2024

Date: February 16, 2024
To
The Secretary
National Stock Exchan ge of India Limited
Exchange Plaza,
Bandra-Kurla Complex, Bandra (East)
MUMBAI – 400 051

Stock Code: DIVISLAB To
The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
MUMBAI – 400 001

Stock Code: 532488

Dear Sir/ Madam,
Sub: Transcript of earnings conference call held on February 10, 2024

Ref: Regulation 30 of the SEBI (Listing Obligations an d Disclosure Requirements), Regulations, 2015

We hereby submit the transcript of the earnings conference call for the quarter and nine months ended December 31, 2023, held on February 10, 20 24 at 14.00 Hrs IST. The transcript is also available on the website of the Company i.e. www.divislabs.com , under Investors Relations section.

This is for your information and records.
Thanking you,
Yours faithfully,
For Divi's Laboratories Limited

M. Satish Choudhury
Company Secretary & Compliance Officer

"Divi's Laboratories Limited Q3 FY24 Earnings Conference Call"

February 10, 2024

MANAGEMENT : D R. KIRAN S. DIVI – WHOLE -TIME DIRECTOR & CHIEF EXECUTIVE OFFICER
MS. NILIMA PRASAD DIVI – WHOLE -TIME DIRECTOR (COMMERCIAL)
MR. L. KISHORE BABU – CHIEF FINANCIAL OFFICER

MR. VENKATESA PERUMALLU – GENERAL MANAGER
(FINANCE AND ACCOUNTS)
MR. M. SATISH CHOUDHURY – COMPANY SECRETARY
AND CHIEF INVESTOR RELATIONS OFFICER

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Divi's Laboratories Limited for Q3 of FY 2024.

As a reminder, all participants' lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal the operator by pressing "*" and then "0" on your touch-tone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. M. Satish Choudhury. Over to you, sir.

M. Satish Choudhury: Good afternoon to all of you. I am M. Satish Choudhury – Company Secretary and Chief Investor Relations Officer of Divi's Laboratories Limited. I welcome you all to th e Earnings Call of the Company for Q3 FY24.

From Divi's Labs, we have with us today, Dr. Kiran S. Divi – Whole-time Director and CEO; Ms. Nilima Prasad Divi – Whole-time Director (Commercial); Mr. L. Kishore babu – Chief Financial Officer; and Mr. Venkatesa Perumallu – General Manager (Finance and Accounts).

During the day, our board has approved "Financial Results" for the Quarter and 9 months ended December 31, 2023, and we have released the same to the stock exchanges as well as updated the same in our website.

Please note that this conference call is being recorded, and a transcript of the same will be made available on the website of the Company. Please also note that the audio of the conference call is the copyright material of Divi's Laboratories Limited and cannot be copied, re-broadcasted or attributed in press or media without the specific and written consent.

Let me draw your attention to the fact that on this call our discussion will include certain forward-looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations of the future performance of the company. Please note that these estimates in volve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Divi's Labs or its officials does not undertake any obligation to publicly update any forward-looking statement whether as a result of future events or otherwise.

Now I hand over the conference to Dr. Kiran Divi for opening remarks. Over to you, sir.

Dr. Kiran S. Divi: Good afternoon ladies and gentlemen. Welcome to our Earnings Call for the 3
rd Quarter of the
Financial Year 2024. We are pleased to have all of you here and I hope that you a nd your families and loved ones are in good health.

I shall commence with a review on the "Operational Performance" of Divi's Laboratories:

Divi's witnessed a steady quarter driven by expa nding market opportunities, a slight decline in raw material prices, subdued by persisting pricing pressure across the generic markets.

Coming to our generic business segment: The business remains stable with sustained demand for most of our established products. While opportunities from patent-expiry products continue to create positive prospects, we expect the products with recent regulatory filings to fuel our growth beyond the Financial Year 2025. The custom synthesis segment is on the rise, particularly with the 2 major projects from the big pharma entering into full-scale production where we expect their contribution to further increase in the coming quarters. We have several molecules at various regulatory stages at our customers, and with the expanded production capacity for both large and small volume produc ts, we are ready for the new opportunities.

Likewise, we are actively involved in the peptide building blocks used in the new anti-diabetic and anti-obesity drugs and are strategically focused on developing this specialized portfolio.

On the CAPEX front: Our forward mo

mentum continues with unit 3 infrastructural establishments. The production activity in the 200 acres phase I greenfield project will commence in Q2 of 2024-25. Moreover, Divi's remains committed to responsible business practices and making positive contributions to the communities we operate. Throughout the year, we have actively undertaken infrastructural im provements, road developm ents, and sanitization system renovations in villages across Telangana and Andhra Pradesh. As a part of our CSR initiatives, we dedicate ourselves through projects empowering children and women and encouraging afforestation and supporting rural healthcare along with long-lasting impacts.

Now Ms. Nilima Divi will present you with the financial highlights of the quarter. Thank you.
Nilima Prasad Divi: Good afternoon ladies and gentlemen. I extend my Warmest Greetings to each one of you. Thank you for joining us today, as we gather to discuss the financial outcomes of the 3
rd Quarter FY
2023-24.
During the quarter, we sustained uninterrupted customer shipments efficiently meeting their deadlines. However, the ongoing Red Sea crisis has introduced disruptions to the global supply chains, leading to escalations in freight costs, mandatory war risk insurance, and noticeable delay due to rerouting. With increased vessel diversion resulting in longer voyages and increased oil prices, international freight rates and insurance premiums are on the rise. While the resolution of the situation remains uncertain, we remain vigilant regarding potential challenges stemming from ongoing events and implications for global trade. Nonetheless, strengthened by a resilient
supply base, streamlined inventory management, and the implementation of various adaptive strategies, we continue to respond swiftly and closely monitor every shipment to ensure normal
and timely supplies.
I will now provide an overview of the "Financial Performance" for the 3
rd Quarter of the Fiscal
Year 2023-24:

We have achieved a consolidated total income of Rs. 1,950 crores for the current quarter as against an income of Rs. 1,821 crores for the corresponding quarter last year. And our total income for the immediate previous quarter, i.e., Q2, was Rs. 1,995 crores.
Material consumption for this quarter was down to 39% of the revenue due to the favorable product mix and softening of raw material prices. Profit before tax for the quarter amounted to Rs. 489 crores and we have a profit after tax of Rs. 358 crores for the quarter. Exports for the quarter continued to be around 87%. Exports to Europe and America is about 71% for the
quarter. Product mix for generics to custom synthesis is 54% and 46% for the quarter. We have a forex gain of Rs. 18 crores for the quarter as against a gain of Rs. 47 crores in the corresponding quarter of last year. Our constant currency growth for the quarter has been 7% while it is negative at 10% for 9 months. Our nutraceutical business amounted to Rs. 153 crores for the quarter.
For the 9-month period of FY 2023-24: Our consolidated total income came to Rs. 5,804 crores and we have a PBT of Rs. 1,450 crores and PAT of Rs. 1,062 crores. We have a forex gain of Rs. 32 crores for the current 9-month period. We have capitalized assets of Rs. 77 crores during the quarter and Rs. 202 crores for 9 months' period. We have capital work in progress inclusive of advances, of about Rs. 712 crores at the end of the quarter.
On the Kakinada project, we have spent Rs. 458 crores during this financial year. You may recall that we have spent Rs. 76 crores on this project till the end of last financial year. As of 31
st of
December, we have cash on a book of Rs. 3,913 crores, receivab les of Rs. 1,792 crores, and inventories of Rs. 3,201 crores.
M. Satish Choudhury: Thank you Madam, With this, we would request the moderator to open the lines for Q&A.
Moderator: We wi

ll now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.
The first question is from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.
Alankar Garude: In your discussions with CDMO customers, do you get the impression that big pharma companies are really looking to curb their exposure to China? And there has been a lot of anticipation on this over the last 4 years now since COVID. By when do you think this would start translating into business for Indian CDMO companies like us?
Dr. Kiran S. Divi: We are seeing a huge amount of growth and a lot of opportunities coming on our side, especially since there is a direction that the big pharmas should work more with the Indian companies and towards European companies. So, we are seeing good opportunities with our existing customers.
Also, opportunities from new custom ers, which are coming in, which we will see in the next few years what will happen with them.

Alankar Garude: Sir, the second question is, within the peptide segment, you had a lot of prior experience in protecting groups like t-Boc and Fmoc within solid-phase synthesis. I think you have also developed di-boc. For Semaglutide, tirzepatide, as well as the upcoming GLP-1 combinations, can either of these protecting groups be used? Is it that a few of these protecting groups are only

one or maybe some protecting group is more appropriate than the other?
Dr. Kiran S. Divi: I cannot mention the name of the drugs unfortunately. But what I can mention is to create a protected amino acid, you need either a Boc or an Fmoc. We produce a chain of protected amino acids. There are dipeptides and tripeptides; they are basically a group of 3 amino acids or 4 amino acids. Some of the compounds have about 30 to 40 amino acids to create the drug. And in some cases, they almost have about 45. These are done by innovators or the innovator's contract manufacturers. What we produce are the building blocks. These building blocks either use an Fmoc or a Boc, and that's how you can only protect the amino acids.
Alankar Garude: And one final question if I may. There are already multiple developers of Semaglutide API globally. Do you think there is an opportunity for us even in the GLP-1 API space or we would like to remain restricted to the building blocks for now?
Dr. Kiran S. Divi: I cannot comment on the drug again, but what I can say is we are active with the building blocks right now and we are working with the innovators very closely. We are also supplying dipeptides and tripeptides at this point, and we are under qualifications.
Moderator: The next question is from the line of Surya Narayan Patra fro m PhillipCapital India Private Limited. Please go ahead.
Surya Narayan Patra: The first question is on the margin front. While we have seen a kind of good ramp-up on the custom synthesis front and there is a visible ramp -up in the contrast media and all that and hence the gross margin improvement is quite significant sequentially. But on the other expenses front, there is a kind of impact that we are witnessing . Is it entirely because of this Red Sea situation or what is this impact that we are seeing? And what incremental impact that we can see going ahead in the subsequent quarters because of the Red Sea?
Nilima Prasad Divi: I would say it's partially Red Sea and partially also because of the Red Sea, not just the logistics but also the insurance and all other factors kickin g into it. But the Red S ea started during the end of November, if I am right, and we have seen it partially in the last month of the quarter. But going forward, we see this is going to highly impact the logis tics cost, the supply chain cost, wherein we are seeing reports where they are saying it's going to be a 30% spike in the freight cost. So, we ha

ve to be conscious. We have to be looking forward to seeing how this is going to not just regarding the cost but also the rerouting is what we are more looking into currently because we need to make sure that the material reaches our sites on time and they have to reach our customers on time. We are very conscious of the fact that we have to make sure that the timelines are met.

Surya Narayan Patra: But because of this longer route shipments, whether any portion of your export got impacted this quarter, ma'am?
Nilima Prasad Divi: Not this quarter. We haven't seen any delays in shipments or any material not reaching our customer in this quarter. This quarter we have been very comfortable, I would say, but we have to look into the future quarters.
Surya Narayan Patra: My second question is on the contrast media. We have obviously seen ramp-up there. There are multiple contrast media product opportunities and we have been working on a basket of products there. How many products that we would have so far launched and contracted and started supplying to big pharma? And how many product opportunities that we are targeting to capture further going ahead? And also, an extended question here is that whether it is China which is the bigger competition so as the contrast media is concerned for Divi's?
Dr. Kiran S. Divi: To answer this question, contrast media there are 2 types. One is CT scan where we use Iodine-based contrast media. And then they have the Gadolinium compounds where we use it for MRI.
In terms of Iodine-based compounds, we are very strong in Iopamidol and Iohexol. Dr. Divi has also mentioned this in the previous call. And we are going forward with a good growth rate.
Apart from this, on the Gadolinium compounds, we are working with the innovators at this point and we are under qualifications. Coming back to the Iodine-based products, we are also looking at a few other generic molecules where the qualif ications are going on. You are also well aware that in the world, there are about 3-4 innovator companies which control about 80% of the market share, where we are working with them very closely, and in some stages, we are undergoing qualifications to be their additional supp lier and then take over the quantities.
Surya Narayan Patra: Sir, here, particularly on the contrast media further, the China-related thing that I ask is that we have seen in many of the products that the key suppliers so far are Chinese, the input material suppliers. Hence, the China-plus-One could be a kind of big real trigger and the China-plus-One really can play out a big opportunity for us in the contrast media. Is it fair to believe that way or how do you see Chinese competition particularly in the contrast media?
Dr. Kiran S. Divi: You are talking mostly about generic molecules. When you look at China, China is a competition in the generic world but that is mostly in the ROW markets, not in the regulatory markets. So, we are focused mostly at the regulatory markets right now, selling to the US and Europe and other regulatory countries. Apart from this, we are also entering into the ROW market. We don't look at it as a threat because

we start from basi c raw material. We start our chemistry right from
Iodine. We know the art of recovering Iodine thereby bring our costs down. And that's why we are efficient in atom-to-atom efficiency. So, pr ice-wise, cost-wise, and quality, we are much
more superior in the generic market andnd that's where a lot of people are qualifying and moving
towards.

Surya Narayan Patra: Slightly differently, sir, on the contrast media. What is the current size of the global market in the contrast media? The number of products that we are currently already marketing, what
portion of the target market that we are addressi ng or capturing so far? What

is the potential
opportunity further that is there with the potential pipeline that we might be addressing those?
Dr. Kiran S. Divi: Like I said, right now, actively we are working on Iopamidol and Iohexol. We have launched it in several markets, and we are increasing our vo lumes and our market shar e in several products.
Globally, the Iodine-based contrast media is about $5 billion, and the Gadolinium compound is
about $4 billion to $4.5 billion market share and most of it is controlled by the innovators. On
the innovator side of the business, as we get qu alified and as the volumes come to us in the
coming years, we will see a much better opport unity in this. But as of now, the compounds we
have launched are generic. We are towards the process of having a good market share in them.
Surya Narayan Patra: Sir, my next question is on the peptides and peptones. What is the practical progress of us on that front in terms of the development in terms of molecules or the products as well as in terms
of the manufacturing capabilities? And when is that we can see the co mmercial opportunities
really fructifying for us?
Dr. Kiran S. Divi: Coming to GLP-1 products, as I explained before, we produce protected amino acids with 3
chains or 4-chain amino acids. We are in the pro cess of getting qualified with several customers.
Basically, customers are innovators where they are using it for their molecule at their contract sites. We will see opportunities more towards 2025 since the qualific ation takes time, their
impurity profiles take time, they have to get into their filings. The whole process is almost a 1-
year process once the qualifications are completed.
Moderator: The next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.
Shyam Srinivasan: If I see Ms. Nilima's comments, 46% is custom synthesis for the quarter. Did I get that right?
Nilima Prasad Divi: Yes, it is 46% from the custom synthesis and 54% from generics.
Shyam Srinivasan: If I were to put that in numbers, we have seen a very good QoQ improvement in CS, right? It
was 40% last quarter, now it's 46. What has driven some of the growth in this CS segment? If
you could give us some qualitative sense. And also for the path forward, I know these numbers vary between quarters, but how should we look at custom synthesis contribution when we look
forward? Are we in the phase now where custom is starting to pull its weight a lot more versus
whatever the historical quarters, at least the last 4-5 quarters?
Dr. Kiran S. Divi: To answer this question, like Dr. Divi had mentioned in his previous call, the 2 big custom
synthesis projects have commercialized, and we have started production, started supply, and we
will see much more benefits in the coming quarters as the volumes scale up and the shipment starts. That's why you have seen a change in the CS business. Now, coming to CS in general, I

have explained we have several molecules which we re in discussion which are in phase 2, phase
3, some are much more advanced, and some are in the final stages of FDA approval for our
innovators. Once the approval comes in, we are ready with capacities to go forward. The
opportunities are very positive at this time and we will see growth in the coming years.
Nilima Prasad Divi: And also, we would like to say at this point th at the generics to custom synthesis differs from
quarter to quarter based on whether the material is going is shipped in one particular quarter on another quarter. We should look from an overall pe rspective of the entire year rather than looking
at quarter to quarter. And sometimes, we need to also look at it from the perspective that this is
not the quarter where that defines the business. The Q3 is the quarter where our business actually slows down a bit compared to the other quarters.
Shyam Srinivasan: My second question

is on the rest of the business. I think generics and nutraceuticals or
carotenoids, both of them have seen a softer quarter. I think Dr. Kiran at the start talked about generic pricing pressure. But we are getting a little mixed signals here. All the formulation
companies are talking about low pricing erosion. If you could kind of give us an outlook for the
generic piece specifically and also the elaboration on the comments you said that once the patents
expire, we will start seeing opportunities beyond 2025. If you could just clarify those two.
Dr. Kiran S. Divi: Coming to the first part of your question, in the generics, it's like a cycle. It happens every 4

years or 5 years where we see a lot of our competitors starting to destock their products whereby there will be a drop in price and that's why we see pricing pressure across the world. And though
we have been maintaining our market share despite all the price pressures, we have gained about
3% to 5% of market share in most of our large-volume products. The corrections and everything would happen in the near future once our competitors stop destocking and when things start
stabilizing again. We th ink maybe in the next 2-3 quarters, we will start seeing stability in the
generic business.
Shyam Srinivasan: And your elaboration of the point about the patent expiries, that lever of growth, Kiran?
Dr. Kiran S. Divi: We have several molecules. It's one of our growth engines on future generics which we have
been working on. We have completed all the quali fications. We have also submitted quantities
to our customers where they have done their vali dations and stability studies. Now it is just
waiting for the patent to expire and FDA to approve it. And then, we will launch it into the
market. You are also well aware that Divi's are ve ry selective on what they select as a molecule.
If you look at our traditional big-volume products like Naproxen, Naproxen Sodium,
Gabapentin, Nabumetone, Levetiracetam, or Carbidopa & Levodopa, even though we started late, we are one of the world market leaders controlling about 70% to 75% market share. When
we come in, we look at backward integration, we look at cost-to-cost efficiency, atom efficiency,
and then think about how to brin g the products in with green chemistry and green concepts. With
that being thought in process, we have selected certain molecules where we feel we can become

market leaders and we have brought it in. So, we believe by 2025, one or two of the patents will
start getting off and the products will start commercializing a nd we will see it from there.
Moderator: The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria: My first question is an extension on the generic commentary that you gave. Given your
commentary that generic API pricing probably would take a couple of quarters to recover once
the new molecules will come in into 2025, how do we see recovery in the generic API business?
Would that then be more next year onwards or is there levers that we have to improve the generic
API business?
Dr. Kiran S. Divi: The generic business, in general, we have not lost any market share. In fact, we have gained
market share in several of our large-volume APIs. We have also increased capacity in several of
our APIs. For example, if I take Levetiracetam, we increased from 400 tonnes to 1,000 tonnes; from Valsartan, we increased from 400 tonnes to 700 tonnes; Levodopa, almost doubled the
capacity. There are several molecules where we increased the capacity. We know the market
share. We know what's happening in the market. We are very close to the molecules. With this in mind, we believe that we will grow in gene rics. Apart from this, we have our future generic
molecules which I just explained that some products are coming off patent in 2025, some in '26, and some in '27

and '28. We have molecules in line. We are backward integrated. We started
from the basic raw materials. We have total control on the process. So, we believe the generic business will grow once…. If you say the pricing pressure, it's there once every 4 years. We
have seen it in 2017. We have seen it before in 2011. It is a cycle, where the prices go down and
then they raise up. It's not something new that it's the first time in the market but it is something
that's very standard.
Neha Manpuria: And Kakinada should start contributing to the gene ric business as well, in the second half, right?
Or will it be more for the custom synthesis business in the beginning?
Nilima Prasad Divi: You can say we can start production in Kakinada around the end of Q2 next year. And it would
be also like we need to consider the time to be given for regulatory approvals because we are
mostly the export oriented and very little dom estic market we supply . By the time we start
actually commercializing, it should be the end of Q3 of next financial year is what we are looking at, subject to regulatory approvals.
Neha Manpuria: My second question is on the margins. If you look at our pre-COVID margins versus where we
are today, my custom synthesis business which was Rs. 2,000 crores in 2020 and 2019, in the north of Rs. 3,000 crores now, even though the share is the same, I understand that, plus we have
gained more share in a lot of generics, but margins have come down. Can this margin improve and go back to what we were at pre-COVID levels, and would that need a lot of this pipeline
and GLP-1, etc., to kick in for that to happen? Ju st trying to understand th e trajectory of margin.

Nilima Prasad Divi: If we are looking at like we do have a lot of opportunities, we do have pricing pressures. We
need to look at pre-COVID, during COVID, and post-COVID as 3 different scenarios. Pre-
COVID, we were driven more by generic business and partial custom synthesis. During COVID,
we were driven mostly by the custom synthesis business. And post COVID, we are now trying

to establish and create new products and new markets and new molecules in a place where we are also looking at logistical costs being increase d and the margins are being affected, but this is not a long-term thing that we are foreseeing. So, comparing it to pre- COVID to now is not a similar scenario. What we can say, however, ex-COVID, the last 9 months if you compare it to the last financial year's 9 months, we did see a double-digit growth.

Neha Manpuria: But is it fair to assume that margins can improve from here? Or this is the steady state margin that we should build in given the expansion and all of the investments that we are making on new molecules and new products?

Nilima Prasad Divi: With all the backward integration and the green chemistry and everything that we are foreseeing, we are hoping that there will be a better margin in the near future.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Os wal Financia l Services. Please go ahead.

Tushar Manudhane: The GLP-1 protected amino acids where you are under qualification with various customers, would this require subsequent CAPEX and then the commercial benefit or we already have the capacity to gain the traction post-approval?

Dr. Kiran S. Divi: As of now, we have enough capa city to take care of their initial requirements and what they have requested. If the volumes go beyond expected what we are seeing right now, because they also have in-house manufacturing and then if they require additional volumes beyond what we expect and beyond what we are discussing, then yes, we will have to invest and then build additional capacity.

Tushar Manudhane: And typically, this would be what as a percentage of API cost of this GLP-1, the protected amino acids?

Nilima Prasad Divi: I would say that at

this point we would not like to disclose it for various reasons because it also is like sensitive information.

Tushar Manudhane: Secondly, on this gross margin; at least for the quarter-to-quarter improvement, you attributed 2 reasons. One was the generics and custom synthesis mix, and another one was the raw material. Let's say, out of 200 bps improvement, broadly could you share what would be the benefit on account of lower raw material cost and how much to Divi's because of the custom synthesis share?

Nilima Prasad Divi: As you have seen, the CS is more in this quarter. There were multiple things that affected it. 1) The CS is more in this quarter. 2) There was softening of RM prices which we have been mentioning in the last few conference calls; that we are seeing the softening, and we are hoping that the trend would continue to be the same go ing forward. And yes, there are multiple factors that are affecting the change, but these are the 2 key reasons that I would share.

Tushar Manudhane: Just extending to that, as the proportion of custom synthesis increases because these 2 major projects scale up, to what level of gross margin can we expect at a consolidated level?

Nilima Prasad Divi: We cannot explain product by product. But as I mentioned earlier, it's just a product mix how it happens in that particular quarter. Like this quarter, the custom synthesis did increase but the next quarter it may or may not be the same. So, it's hard to define quarter by quarter custom synthesis to generics. Like is the business growing and create a future outlook based on that, I would say rather we look at it as a whole year rather than just a quarter-on-quarter basis.

Tushar Manudhane: And just the last one if I may. This Kakinada project involves primarily generic APIs or is it to do with these innovator projects? If you could just give some comments on that.

Nilima Prasad Divi: It is a mix. We are not focusing only on one pa rticular segment there. As you are aware, we are an organization where we have multi-purpose plants , we don't build a block just dedicated unless we see a long-term benefit in doing just a dedicated block. But most of our manufacturing blocks are multi-purpose, so we use it between generics and custom synthesis. I would say, Kakinada would have a mix of both.

Tushar Manudhane: The GLP-1 would not require a dedicated one, right? That capacity can also be quite fungible.

Dr. Kiran S. Divi: GLP-1, like I already explained, we already have the capacity and we have already built the capacity required for it for the existing demands or projected demands the customers have given us and where we are undergoing qualification. So, as of now, we don't need additional capacity. But yes, for GLP-1, it will be a dedicated capacity.

Moderator: The next question is from the line of Da mayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: My question is to Nilima. You mentioned supply chain challenges due to adverse geopolitical developments, etc. I just wanted to ask, do yo u have any headroom to pass on additional costs to customers or is it not possible for you to do so?

Dr. Kiran S. Divi: I would answer this because it's more related to the customers. We have long-term contracts with the customers with various price locks. Ther e are certain price links which are linked to it. And when the upper threshold hits in the contract , that's when we have the opportunity to sit and discuss with them. Some contracts are once in 6 months and once in 1 year. Some are based on 6 months' average. It depends on the contract that we have that we have leveraged with customers to discuss.

Damayanti Kerai: But in case that doesn't happen, you will incur a ll the elevated costs? You will absorb it if there is not much room to pass it on?
Dr. Kiran S. Div

i: At every stage, everyone will be absorbing. Let's take an example that the dollar has gone to let's say Rs. 90 a dollar. At that point, I am getting benefited, right? When it goes down and I am still selling at that price, I lose it. It is at the end of the day; you average the gains and see what happens. So, at some quarters, you may take it in, some you may lose, and sometimes you have the benefit. We have been doing this based on averaging out over the years.
Damayanti Kerai: So, for near-term margins, we should be focuse d more on cost efficiency, etc., like what was discussed earlier, that should be driving the margins and then obviously if the top line increases better, then operating leverage benefits will be coming in?
Nilima Prasad Divi: I would say that, yes.
Damayanti Kerai: My second question is on nutraceutical business. This remains a tiny part of your business. I just wanted to understand what the constraining factor is here. Whether it's the capacity or something else? Because it seems like a good business, but it remains broadly range bound in some time in the last few years or so.
Dr. Kiran S. Divi: Nutraceutical business, we are largely into prod ucts like Astaxanthin, Canthaxanthin, or Beta Carotene. We have picked certain vitamins and the food supplements or vitamin D3 where we are looking strongly at the regulatory market. If you look at products like Astaxanthin, we have almost about 80% market share. These are very specific products we are going in. As of now, we are running at full capacity. And as you know in the world, right now, the consumption of natural products and everything has slightly gone down. Though we have not lost any market share, we are now being cautious on the nutraceutical side and we are seeing about a 10% steady growth year on year.
Damayanti Kerai: For nutraceuticals, do you have plans to add capacity in the near term or it's not required like you have enough, although you said it's running at full capacity?
Dr. Kiran S. Divi: If the need be, we might. Like I said, right now, the demand worldwide has been very stale. And because the prices are a challenge at this point , we will add when the opportunities increase. As of now, we have a double-digit growth in the nutraceutical business.
Moderator: The next question is from the line of Amey Chalke from JM Financial. Please go ahead.
Amey Chalke: I have 2 questions. The first one is on the innovator projects or the custom synthesis projects that you were talking about, the 2 projects. Is it possible to explain whether these projects are lifecycle management projects for the clients where the patent expiry has already happened or about to happen or these are newly commercialized or novel projects where the patent protection

would be there? That is the first one. And the second question I have is on the capacity front. If you can explain the final gross block number for the Kakinada and also the GLP-1 capacity.
Dr. Kiran S. Divi: Coming to the 2 branded molecules, the products are under patent and they are being produced by us for them. And that's why the commercialization just took place and we have a long time as the patent will expire and we have a good opportunity with them. I cannot give the breakdown or anything on those products at this point because of confidentiality but what we can say is they are very good opportunities, and we have several molecules in the pipeline, which hopefully with FDA approval and EU approvals, should see the light very soon.
Coming to GLP-1 compounds, we have dedicated capacities – I would put a ballpark of several hundreds of tonnes at this point – which we have kept ready for commercialization once we have all approvals in place from our innovators.
Amey Chalke: Sir, on the Kakinada block, how much would be the CAPEX we have spent or the asset which we are booking on the balance s

heet, if you can?
Dr. Kiran S. Divi: We have built about 7 production blocks there as of now with a total investment of Rs. 458 crores during the financial year.
Moderator: The next question is from the line of Nikhil from SIMPL. Please go ahead.
Nikhil: Just 2 questions; one was on capacity. In the last 2 years, we added a lot of capacity and now the gross margins have improved because of the mix change. But sequentially, can you help us with how the utilizations have improved? Are they the same as they were last quarter?
Dr. Kiran S. Divi: Like I explained, in the large-volume generic markets, we have picked up about anywhere from 3% to 5% market share. If you take an example of a large-volume product, we produce about

5,000 tonnes and 5% of it is almost 100 tons. Capaci ty wherever we have buil t, it is being utilized
and it is operational and in some cases qualifications are going on and you will see commercial realizations in the near quarters. And also, the 2 big projects we have done for the big pharma,
we have done investments over there, where the commercialization has now taken place.
Nilima Prasad Divi: As you said that you have seen the gross block improved, we can say that the capacity utilization for this quarter is around 80%.
Nikhil: If we look in the last 4 to 6 quarters, the utilization has improved. But the operating leverage,
because the cost inflation which has happened on the employee and other expenses, is not
covered because of the fall in realization. And that is why it’s not reflecting in our EBITDA
margin. Would that be a right assumption to make?
Nilima Prasad Divi: We need to look at it as a product mix over a period of time. We can’t just say that looking at one particular quarter that this is the future outlook.

Nikhil: Secondly, post Kakinada coming up, would we look at going slow on capacity additions for the
next 1 or 2 years? Or would the investment and opportunities which we have talked about
through our strategic 6 levers, do you see this investment phase to continue at Rs. 500 crores to
Rs. 600 crores over the next 3-4 years? How should we think about this?
Dr. Kiran S. Divi: If you look at Kakinada in general, we have about 500 acres right now. Out of that, we are utilizing 200 acres and also I have explained we still have 300 acres available in Kakinada as a greenfield for future development. As the opportunities with big pharmas increase and as we see
potential volumes keep increasing and the new generic volumes that we are launching in the next
coming years, we see more opportunities and as the Kakinada gets all the regulatory approvals,
we will see investments coming in again.
Nikhil: Sir, just to flip it, what I am trying to understand is that when you decide to put a CAPEX or
even say something like a new block, what is the time period in which you believe the optimum utilization of this CAPEX will be achieved? When you are thinking about it based on the orders
from the customers and all, is it like 2 years, 3 years? Just getting a sense of how you think about
when to put a new block. Because, if the block remains unutilized, it will start hitting our
operating leverage. So, how do you think about this?
Dr. Kiran S. Divi: Typically, it’s about 2 years since we build the bl ock. There are several fa ctors we have to take into account. One is the length of the chemistry; how long it takes. Then, we also have to look
at the qualification; how critical it is. In some cases, there are Nitrosamine impurities; you need
additional qualifications. The FDA can come back and ask you several more questions before
they approve the drug. With all these in place, typically our history tells us it’s about 2 years,
but we have also seen 2-1/2 years in some cases.
Nikhil: Last question. On the GLP side, I think someone had asked this question, but you excused. But
putting it differ

ently, if the GLP products come in for us, would they be accretive to the overall
gross margin than what we are doing as of now?
Dr. Kiran S. Divi: I would agree with that.
Moderator: The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.
Nitin Agarwal: On your custom synthesis projects, in your experience when the project that you’re working
with, with the innovator goes off patent, typically how does the cycle really play out
subsequently? Do your volumes stay as they are or do you have a meaningful loss in volume as
well as pricing subsequent to the patent expiry fo r the innovator?
Nilima Prasad Divi: Usually when the product is under patent and it expires from the patent, what we normally notice is the competitors do search for a much more cost-effective way of manufacturing the same compound. And also, the product cost and the pricing of the product do go down because of the

competition being there for that particular molecule. So, yes, we do see that whenever the
product goes off patent, the price falls and there are multiple competitors in the market and the
cost also is substantially lower than what th e innovator initially had in novated the cost with.
Dr. Kiran S. Divi: Typically what happens is, when the molecule is coming off patent at Divi’s with the innovators,
we work on a late life cycle management for the molecule. During that process, we bring the
most effective route, we discuss with the innovator in hand, and then we work with them in re-qualifying this new process which is more cost effective and helping them to keep the market share. In the process, we also keep a decent amount of share.
Nitin Agarwal: But per se, is it fair to say that from a gross profit contribution perspective, the contribution for
the product comes off after the patent expires? And is the drop meaningful which happens with
whatever initiatives you undertake?

Nilima Prasad Divi: I would say that yes, both for the customers and whoever is involved in that patented product; for them, if they move on, on ce off patent, it does affect.

Nitin Agarwal: And if I can take the second one, you talked about 2 major growth opportunities for our business which are, 1) the contrast media products, and 2) the GLP-1 intermediate building blocks that you're working on. If I take a 5-year view of the business, which is going to be in your assessment probably a bigger contributor to Divi's business between the two?

Dr. Kiran S. Divi: We cannot say that. We cannot go by a growth engine because we have about 7 growth engines right now and we cannot say which one is bigger and which one is smaller. In both of them, we see really good opportunities, we see promising opportunities. And the opportunity which one will kick in first, which one will kick in later, we cannot say that right now. But what we can say is, from 2025, we w ill start seeing some good numbers on both the fronts and positive results.

Moderator: The next question is from the line of Prasha nt Nair from Ambit Capi tal. Please go ahead.

Prashant Nair: The first question is on the broader business mix. You seem to be now ge tting back to close to the 50% generic to custom synthesis split that you have maintained generally. Looking at whatever you have in the pipeline over the next say 3 to 5 years, do we see this split broadly remaining in this range or could it get skewed towards one or the other business?

Dr. Kiran S. Divi: I would say that the ratio we should always look at it as year on year, and we believe that both generic and custom will grow parallelly hand in hand. It's not like we are concentrating only on one segment of the business and ignoring the other segment. We believe both the segments have good opportunities based on the growth engines, our future generics or our existing generics where we increase capac ities and qualifications

are in the process; and also in the custom synthesis, the 2 big molecules which are just commercialized. Apart from that, we also have

several molecules in the pipeline where our innovators are awaiting for FDA to approve or EU to approve.

I would say they are hand in hand. I wouldn't say that one is dominating the other at this point.

Prashant Nair: And the second question relates to the Kakinada plant. How much would it add to your fixed cost on the P&L or fixed overheads?

Nilima Prasad Divi: We can't be very specific about every product, every unit, and everything, but the only thing we can see is with Kakinada adding into the portfolio 2024-25, we do foresee a double-digit growth year on year.

Moderator: The next question is from the line of Omkar Kamtekar from Bonanza Portfolio. Please go ahead.

Omkar Kamtekar: First a clarification. What was the number that you quoted for the nutraceutical business, the revenue generated from the nutraceuticals business?

Nilima Prasad Divi: The nutraceutical business for this quarter has been about Rs. 153 crores.

Omkar Kamtekar: The question was with respect to the asset turn s. Currently, the Kakinada block is approximately Rs. 450 odd crores and the total gross block as at the end of FY23 was Rs. 6000 odd crores. Currently, we are at close to 1.2x to 1.3x sales to gross block. How are we looking to ramp it up? Because historically we have been at 1.5x, cu rrently we are at lower. So, how far materially higher will this asset turn increase? And as you said in the previous question's answer that we will be looking to add capacity as and when the opportunities come. So, with that being said, could we say that we could reach close to Rs. 10,000 crores top line by the next 2-3 years if we ramp up taking into factor both the incr ease in the asset turns and the capacity?

Dr. Kiran S. Divi: Like you said, we invested into Kakinada, and I have also explained to you that by end of Q2 of 2024-25, we will start operations in the plant and then commerci alization is subjected to all regulatory approvals which will take anywhere from 6 months to 1 year depending on the product and the qualification state. It is hard for us to explain when Kakinada will come fully on board. Like I explained before, once we build the block, we usually see 2 years before it is fully commercialized.

Coming to the new opportunities, we have alr eady invested for new o pportunities. And we are waiting for regulatory approval for several of our branded products and generic molecules and future generic molecules which I have explained to you in my previous conversation. This opportunity will definitely help us to improve. Now, coming to your top line growth, what we can comfortably say is that year on year, we will show a double-digit growth.

Omkar Kamtekar: And finally, with respect to the composition of the revenue, it is 60:40 now, generics to CSM. And you had mentioned in the previous circular that it is based on opportunities. If you see an

opportunity in the custom synthesis business going ahead, the custom synthesis contribution might increase. That is how it would ebb and flow year on year and it is not a specific strategy that we are focusing on or anything. Would that be a fair understanding?

Nilima Prasad Divi: The generics to custom synthesis is 54 to 46. And growth is there on both the sides. It's not just in the custom synthesis. We do see growth in our older products volume-wise and also newer generic products while we are seeing growth even in the custom synthesis. I would say growth is there on both sides. So, it is difficult to say how the percentage is going to change quarter-on-quarter basis, but also year on year, we do see growth happening in the next few years on both fronts.

Omkar Kamtekar: But we look at it to

be remaining the same. So, are we looking at synthesis growing faster in the near term or generics too? It's just that I was trying to understand how the composition will work over the next 2-3 years? If the CSM is going to grow faster than the generics, then that would account for a change in the margins also. And I think the margins, as you said, would be increasing. That would be on account of the increased contribution from the synthesis business. That is what I wanted to understand.

Dr. Kiran S. Divi: Like I explained in my previous conversations, we have several opportunities in the generic volumes which are coming off patent. I have also explained that a certain amount of regulatory approvals are required for existing molecules with customers where we increase capacity and we are increasing volumes with them. For all these, regulatory approvals are required, and we do not have control on the timelines. In the same way, in the custom synthesis project, our customers are waiting for their FDA approval so that we can start sending commercial quantities. Now, we have no control on their qualification timeline. So, this is not something that I can say that no one is going to grow, and the other is not. We are hoping both will grow. And maybe in 1 quarter, CS may be slightly higher and in 1 quarter, generic may be slightly higher based on the approvals that come in. So, I cannot comment on which one will go up at what time. It all depends on regulatory approvals at this point.

Omkar Kamtekar: Just as a suggestion, if we could start giving a PPT for the results, it would be helpful.

Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Mr. Satish Choudhury for closing comments. Over to you, sir.

M. Satish Choudhury: Thank you all for joining us today for the Earnings Call of Divi's Laboratories Limited. In case you need any clarifications, please reach out to our Investor Relations. Thank you.

Moderator: On behalf of Divi's Laborato ries Limited, that concludes th is conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2024

Date: May 30, 2024
To
The Secretary
National Stock Exchan ge of India Limited
Exchange Plaza,
Bandra-Kurla Complex, Bandra (East)
MUMBAI – 400 051

Tradin g Symbol: DIVISLAB To
The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
MUMBAI – 400 001

Scrip Code: 532488

Dear Sir/ Madam,
Sub: Transcript of earnings conference call held on May 25, 2024

Ref: Regulation 30 of the SEBI (Listing Obligations an d Disclosure Requirements), Regulations, 2015

We hereby submit the transcript of the earnings conference call for the quarter and year ended March 31, 2024, held on May 25, 2024 at 14.30 Hrs IST. The transcript is also available on the website of the Company i.e. www.divislabs.com , under Investors Relations section.

This is for your information and records.

Thanking you,
Yours faithfully,
For Divi's Laboratories Limited

M. Satish Choudhury
Company Secretary & Compliance Officer

"Divi's Laboratories Limited
Q4 FY 24 Earnings Conference Call"
May 25, 2024

.

MANAGEMENT : DR. KIRAN S. DIVI – WHOLE -TIME DIRECTOR AND CHIEF EXECUTIVE OFFICER
M S. NILIMA PRASAD DIVI – WHOLE -TIME DIRECTOR (COMMERCIAL)
M R. L. KISHORE BABU – CHIEF FINANCIAL OFFICER
M R. VENKATESA PERUMALLU PASUMARTHY – GENERAL MANAGER (FINANCE AND ACCOUNTS)
M R. M. SATISH CHOUDHURY – COMPANY SECRETARY AND CHIEF INVESTOR RELATIONS OFFICER

Divi's Laboratories Limited
May 25, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call of Divi's Laboratories Limited for Q4 FY 2024. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone phon e. Please note that this conference is being recorded.

I now hand the conference over to Mr. Satish Choudhury. Thank you, and over to you, sir.

M. Satish Choudhury: Good afternoon to all of you. I am M. Satish Choudhury, Company Secretary and Chief Investor Relations Officer of Divi's Laboratories Limited. I welcome you all to th e earnings call of the company for Q4 FY24. From Divi's Labs, we have with us today Dr. Kiran S. Divi, Whole-Time Director and Chief Executive Officer; Ms. Nilima Prasad Divi, Whole-Time Director (Commercial); Mr. L. Ki shore Babu, Chief Financial Officer; and Mr. Venkatesa Perumallu, General Manager, Finance and Accounts.

During the day, our Board has approved audited financial results for the quarter and year ended March 31, 2024, and we have released the same to stock exchanges as well as updated the same in our website. Please note that this conference call is being recorded, and a transcript of the same will be made available on the website of the Company. Please also note that the audio of the concall is the copyright material of Divi's Laboratories Limited, and cannot be copied, rebroadcasted or attributed in press or medi a without the specific and written consent.

Let me draw your attention to the fact that on this call, our discussi on will include certain forward-looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations of future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Divi's Labs or its officials does not undertake any obligation to publicly update any forward-looking statement, whether as a result of future events or otherwise.

Now, I hand over the conference to Dr. Kiran Divi for opening remarks. Over to you, sir.

Dr. Kiran S. Divi: Good afternoon, ladies and gentlemen, and welcome to our Q4 financial year 2024 conference call. We are pleased to have you here and hope that you along with your family and loved ones are in good health. Before we dive into the financial details, please let me update you on our operational performance.

The global industrial landscape, including the pharmaceutical sector are undergoing significant changes with ongoing worldwide geopolitical events. I would like to report that despite of such volatilities, Divi's witnessed another steady quarter, marked by sustained st ability in raw material prices and growing market opportunities. I'm pleased to say Divi's has continued to maintain sustainable operations.

While the pricing pressure continues to exist in our generic business segment, continues to have stable demand for most of our established products. Our strategic investment and expansion over the past 2 years have aimed at fueling our 6-point growth engines, which have begun to yield

tangible results. Notably our emerging generic products are progressively gaining market share, unlocking further growth potential. Coming to our future generics, we have submitted all regulatory submissions in various countries across the world and these products will be commercialized once they go off patent.

Within the custom business segment, we continue to see several new projects coming our way in all clinical phases. With multiple ong

oing projects, consistent value realization from our existing commercial projects and opportunities in the peptide space. Our custom synthesis segment will continue to fuel our growth. We are in the process of entering into a long-term supply agreement with an MNC and planning for a capacity addition with an estimated investment between ■650 crores to ■700 crores, which will be funded from internal accruals.

The proposed facility is expected to be operational by January of 2027.

Unit III facility near Kakinada is progress ing well with production activity expected to commence phase wise during financial year 2024-25.

Looking ahead, our focus remains unwavering on maximizing sustainable growth, while upholding our commitment to corporate social resp onsibility and sustaina ble business practices.

Through our flagship initiative aimed at providing safe drinking water in various regions of Telangana and Andhra Pradesh, we have positively impacted over 6,65,000 people, including over 3,72,000 people through Jalaprasadam during the year 2023-24. Along with our focus on addressing the primary challenges faced by rural communities and empowering them through livelihood improvements and interventions, we have actively engaged in enhancing the

educational infrastructure and fostering children's holistic development in schools, with the aim of creating lasting positive changes in the communities that we operate in.
Now Ms. Nilima Divi will update you with the financial highlight s of the quarter and the year ending 2023-24. Thank you.
Nilima Prasad Divi: Good afternoon, ladies and gentlemen. I extend my warmest greetings to each one of you. Thank you for joining us today as we convene to discuss the outcome of the fourth quarter of FY23-24 and the full financial year.
Considering the operational front, we ensured efficient supply chain management, thereby reliably meeting our customer requirements. Over the year, the raw material prices have seen a decline and have stabilized. However, with evol ving challenges, we have remained extremely resilient in streamlining inventory management and diversifying the supply base. Building on the Make in India concept, we are actively developing indigenous sources for most of our key raw materials, wherever possible.
The ongoing Red Sea crisis has precipitated disruptions across global supply chains. The recent quarter witnessed profound impact of the crisis globally, which manifested in increased freight cost and transit time extensions with prolonged voyages attributed due to rerouting measures. In response, we maintained the vigilant stance closely monitoring each shipment and diligently implemented our risk mitigation measures including expedited shipping schedules and proactive communications with suppliers and customers.

I will now provide you with an overview of fina ncial performance for the fourth quarter of the fiscal year 2023-24 and full year ended March 31, 2024.
We have achieved a consol idated total income of ■2,382 crores for the current quarter as against an income of ■2,017 crores for the corresponding quarter last year. Material consumption for this quarter came to be around 39% of the sales revenue. Prof it before tax for the quarter amounted to ■713 crores, and we have a profit after tax of ■538 crores for this quarter.
For the financial year 2023-24, we have a consolidated income of ■8,184 crores, profit before tax of ■2,163 crores and a profit after tax of ■1,600 crores. Exports for the quarter continues to be around 89% and for the year is about 87%. Exports to U.S. and Europe is about 70% for the year. Product mix for generics to Custom Synthesis is 49% to 51% for the quarter and 55% to 45% for the year.
We have a forex loss of ■2 crores for the quarter, while we had a gain of ■30 crores for the year.
Our constant currency growth for the quarter has b

een at 21%, while it is negative at 2% for the year.
Our Nutraceutical business amounted to ■188 crores for the quarter and ■724 crores for the year.
We have capitalized assets of ■201 crores during the quarter and ■402 crores for the year. We have a capital work in progress of about ■778 crores. As of 31st March, we have cash on book of ■3,980 crores, receivables of ■2,156 crores and inventories of ■3,184 crores. Thank you.
M. Satish Choudhury: Thank you, ma'am. With this, we would reques t the moderator to open the line for Q&A.
Moderator: Thank you very much. We will now begin the question-and-answer session. We take the first question from the line of Neha Ma npuria from Bank of America.
Neha Manpuria: My first question, Kiran, you mentioned in your opening remarks that the pricing environment for generics continues to be under pressure. Are you seeing or do you expect some signs of improvement of this in the coming year? And how should we then, therefore, look at growth for the generic business, assuming as it remains stable or continues to remain weak?
Dr. Kiran S. Divi: Yes. So there is pricing constr aints across the world, we are seeing both in the regulated and nonregulated markets. It's very hard to say when this will stabil ize. Sometimes it takes one year, sometimes it takes 2 years. This has happened in the past in the year 2009-10, so it's repeating again, but prices will stabilize over time. It's not that everything stays fixed.
Coming to our generic business, our major generic products are very stable. We have not lost any volume. In fact, we have a slight gain. Even for a product like Naproxen, Naproxen Sodium 1% itself is a huge growth in the market space. And the other growth, what we are seeing is in our future generics like Ticagrelor, Lacosamide, Brivaracetam to name a few, where the growth will take place in the next few years.
Neha Manpuria: And in terms of the new DMFs that we have si gned, that will start cont ributing from FY27, -- '26 -- is that fair to assume?

Dr. Kiran S. Divi: Yes, that is still there. Like I explained in my speech, we have fi led all the regula tory filings and our customers are in the process of filing theirs. So once the product comes off patent, we will be their suppliers and slowly, our volumes will increase.
Neha Manpuria: Okay. And my second question is on the Custom Synthesis business. This long-term project that -- agreement that you talked about, couldn't this have been serviced through Kakinada given that capacity is coming on board? Is this a different technology? And are we seeing any fallout of innovators wanting to move out of China after the recent noise in the U.S. around BIOSECURE? Have you seen increasing inquiries?
Nilima Prasad Divi: Can you please repeat the question again?
Neha Manpuria: On the Custom Synthesis business, the long-term agreement that we announced, the separate capex, couldn't this have been done in Kakinada given that capex is coming through? Is this a separate technology? Or do you think Kakinada would hit capacity by then? And are we seeing any benefit from BIOSECURE and innovators wantin g to look at alternate options outside of China?
Dr. Kiran S. Divi: So I could answer the first part of the question. This is a very unique technology. So it requires specific investment and is very specific to the product. So, we will have to invest ■650 crores to ■700 crores to take product to commercialization.
Coming to your second part, yes, we are seeing op portunities coming our way. But it is not something that says we're exiting China and they're coming to India. We are seeing a lot of Phase II, Phase III new molecules coming to us where we are working on, some of them are on fast track.
Moderator: We take the next question from the line of Surya Narayan Patra from PhillipCapital India Private Limited.
Surya Narayan Patra: And c

ongratulations for the great set of numbers. Sir, my first question is about the ■700 crore kind of a capacity expansion project that they have -- you have indicated in opening remarks. So generally, we have not seen Divi's taking this much long gestation period before commercial supply of any new product. We are talking about ■700 crore dedicated project and almost like 2.5 years later, which will be commercialized.
So how should one really look at it, whether it is a kind of a project for -- which is currently in the early developmental stage and hence, we are targeting to supply the product when the product would be commercialized? Or it is already -- can you give some clarity about it? Or it is a project that is at the mid-development stage generally against our trend of -- earlier trend of getting projects at the late stage of our development and commercialization?
Dr. Kiran S. Divi: So coming to the CS projects, like every product when it gets commercialized, right? We have to build the plant. It takes about 1, 1.5 year. Once you erect the plant and get it functioning, you have to go through validations. We have to supply to our customers. Then it goes through regulatory approvals. So the whole process is -- we have assumed it to be 2.5 years, and that's why we said from 2027, we will have commercial operations.

Surya Narayan Patra: Okay. It is a commercialized project then, fair to believe that way, sir?
Dr. Kiran S. Divi: It is -- again, it's a CS project. I cannot talk too much about it. But what I can tell you, it will -- from 2027, our customers will start taking commer cial quantities. And by that time, we will complete construction, validations, all regulatory filings, what we have to do with him and what he has to do and we will go forward.
Surya Narayan Patra: Okay. Sir, since you have mentioned also about the CS projects, now you have started seeing inquiries more about Phase II, Phase III kind of project also. So does that really mean we also participating in the developmental process of the new molecule, unlike the earlier trend where the focus used to be the commercial scale-up activities?
Dr. Kiran S. Divi: So I mean, Divi's has always been there in Phase II and Phase III molecules with all our customers. It's not something new we started now. But what we have seen is a shift of a large number of opportunities coming to us than what was there before. And a lot of them running into fast track, you have to understand that during COVID for 2 years, a lot of development was almost on hold. Several companies did not finish their pipeline.
So all these are coming out and we're having a lot of opportunities, a lot of fast-track projects with multinationals where we will see further more commercializations in the near future.

Surya Narayan Patra: Okay. Sir, my second question, if I say, is about th e margin profile. So this quarter, we have seen a kind of a big positive surprise in terms of the other expenses. Obviously, there is an improved revenue mix towards Custom Synthesis that we are witnessing for the quarter, but that has not really changed the gross margin scenario from last quarter to this quarter.
But the positive surprise on the margin front, what we are witnessing sequentially is because of the saving in the operating expenses front. So is it because of any specific cost getting saved, could be energy and all that despite of this Red Sea issues what you have mentioned. So what is really bringing this surprise apart from the improved product mix this quarter? And how sustainable is this throughout FY25?
Nilima Prasad Divi: I would actually say, as we have said in the earlier concalls over the last few concalls if you see, we wouldn't see the business quarter-on-quarter. We would say, look at it year-on-year and how it is operating because the product mix keeps ch anging quarter-on-quarte r. But if y

ou see the entire year, it gives you a more stable projections.
Yes. This quarter, we have been operationally slightly better. And you can see that across various factors also, like this quarter, we did have a slig ht increase in the CS than in the generics as compared to the Q3. But if you look at the overall year again, the generics has been a higher share. So it's -- it needs to be looked at for the entire year and not quarter-on-quarter.
Moderator: The next question is from the line of Amey Chalke from JM Financial.
Amey Chalke: Congrats on a great set of numbers. The first question I have is this full year, the generic business has seen a good amount of price erosion for our few set of molecules. However, we have been successful enough to gain market share in some of these products. So is it possible for the

management to give volume price breakup on an average, how it has been for the year for the Generic segment and the outlook on the same for FY25?
Nilima Prasad Divi: The price erosion has been there, but we did get an advantage from the reduction in the raw material prices as well and certain other variable costs also has affected the margins being a better way. But if I'm looking at the volume base, the volume has been consistently increasing.
And if we are looking at it from the growth pers pective, I think during this time when we are going through the price erosion, we can say that we haven't lost any business. Our volumes are consistently increasing, and we are confident that it would be the same in the next year.
Amey Chalke: So we expect going ahead pricing erosion to be there. At the same time, the volumes will keep supporting the growth?
Dr. Kiran S. Divi: So like I explained previously, it is difficult fo r us to say till how long the pricing erosion will be there across the markets. Because we've seen, like I told in my previous statement, we have seen similar situations for year 2009-10, I think where we had price cost, market pricing pressures, where, again, the market stabilized over time.
So we have to see how long this is? Is it 1 year, 2 years? Or is it 6 months? It's hard for us to say at this point. But we, Divi's as a company, we are equipped to concentrate and keep our market share without losing any customer.
Amey Chalke: Sure, sir. The second question I have on the contrast media. Last call, we had spoken about the Gadolinium compound. Is it po ssible for us to say when the commercialization will happen on this compounds? And how big this market is in the APIs?
Dr. Kiran S. Divi: Gadolinium compounds, we are working closely with innovators. This is not something we are doing the generic side. We are working on the CS side. So some of them are in Phase III, some of them are in fast track. So we are working on the projects. Some of them are going through advanced R&D. Some of them are in the pilot scale right now. At this point, I cannot discuss further because it's on the CS side, but they are on fast track right now.
Moderator: The next question is from the line of Praful Kumar from Dymon Asia. As there is no response from the current questionnaire, we move on to the next question. The next question is from the line of Shyam Srinivasan from Goldman Sachs.
Shyam Srinivasan: First one on the Custom Synthesis. I think when you mentioned 49%, I was just trying to do the calculation. 49% is the contribution of the Custom Synthesis this quarter. So if I do the simple math between quarter 3 and quarter 4, 46% has gone to 49%, if I recollect, right? So there's a huge jump. I know you don't ask us to look at quarter-on-quarter. But Kiran, anything we can tell qualitatively on what are the projects? Is it th e 2 CS projects that we have mentioned in the past? Or is there something new?
Nilima Prasad Divi: Firstly, I would like to say that the 49% is Generic and 51% is the Custom Synthesis. And

we
can't talk much about Custom Synthesis projects because we are binded by the confidentiality
of how we can talk about it. So I don't think we can clearly answer your question in detail.

Shyam Srinivasan: So 500 basis points change between 46% going to 51%, and maybe the question -- let me rephrase. Is it a sustainable new base for us to look at Custom Synthesis or do you think the quarterly variations can remain? How should we look at fiscal '25? Maybe if you can answer this even top down, like what should be the growth outlook or the top line growth overall, maybe you're not going to share whatever CS versus Generic is, but if you could help us understand how should we look at growth for the overall company, Fiscal '25?

Nilima Prasad Divi: I would say not to look at it quarter-on-quarter because the composition keeps changing every quarter. Some quarters, we would have more Generic shipments; in some quarters, we would have more Custom Synthesis shipments. But it's a complete year that you need to look at. And Kiran might want to extend on this.

Dr. Kiran S. Divi: So on the CS side, what you're asking, you know Divi's has always been in the CS business and we always had our steady business and we are steady customers who have been -- where we have long-term molecules. As long as the product comes off patent, we are with the customer till it either goes off patent and then we do late life cycle management. So this is not a onetime opportunity or something. This is steady growth, th at the opportunities that are adding up in the CS side where the business is growing.

Shyam Srinivasan: Understood. Understood. The second question in is on cash flow from operations for full year fiscal '24 and '23, roughly similar PBTs, like ■100 crores difference here or there, add back some amortization D&A. But when we convert that to cash flow from operations, right, there has been a much more lower number this year when I compare to '23. Anything that we keep in mind, maybe I just looked briefly at the trade receivable number seems to be the big swing, but anything you would like to tell us in terms of working capital [inaudible 0:27:32]?

Moderator: Sorry to interrupt Mr. Shyam, we're losing your audio, sir.

Shyam Srinivasan: All I was trying to say was that when we compare cash flow from operations, fiscal '24 versus '23 and compare what is the PBT or even EBITDA, there has been much lower cash flow from operations generated last year. So I was just trying to understand why working capital seems to have been stretched this year versus last?

Nilima Prasad Divi: Well, I would also ask you to look at the capex that's been taking place. I mean we are going through a market expansion plan. We are having our new greenfield project going on. Even that would be -- need to be taken into consideration while you are calculating.

Shyam Srinivasan: I'm looking in operations. I'm not looking after capex. Before capex, I'm looking.

Nilima Prasad Divi: So if you are looking at our quarter-on-quarter sales, the Q4 sales were quite high compared to Q1, Q2 and Q3. And when you are looking at such as huge sales, the receivables also fall into the Q1 of this year. So I think that's what is the difference that is being first seen in cash flows.

Shyam Srinivasan: Understood. And you should expect this to normalize going forward, right?

Nilima Prasad Divi: Yes. This is a normal course of business...

Shyam Srinivasan: Year-end quarter thing, which has come through rather than anything change in the way we do, at least manage our working capital?

Nilima Prasad Divi: Yes.

Moderator: The next question is from the line of Dama yanti Kerai from HSBC S ecurities and Capital Markets India Private Limited.

Damayanti Kerai: Coming back to your performance in the CS segment. So Dr. Kiran mentioned y

ou're getting
like more projects coming on the way. So just want to understand this quarter's performance, whether it includes contribution from new projects, which would have come to you or it's more driven by the scale-up in the prior project, which you were working on?

Dr. Kiran S. Divi: So like I mentioned, Divi's has always been in the CS space. Our share of business between CS and Generics would have always been between 50% to 50%, 45% to 50%, the 5% ratio always varies. But we have our existing product portfolio, which is steadily growing for the brand companies. Apart from that, in the previous calls, Dr. Divi has mentioned, and I have mentioned

that we have 2 huge CS projects additionally added to our portfolio, which is slowly commercializing now, and you would see the benefit.
So that is happening also at the same time. And there are several new projects, which are in Phase III in fast track, which are in R&D or they are in the pilot plans. Some are going through further studies. So there is steady growth and steady opportunities.
Damayanti Kerai: Yes. So Dr. Kiran, these 2 huge CS projects, I assume one of that is for this Iodine contrast media, right, which is picking up -- now in pickup stage?
Dr. Kiran S. Divi: I'm not at the liberty to talk about product specific or what they do. I'm so sorry.
Damayanti Kerai: Okay. My second question is on commercial activities from Kakinada. So you mentioned this year, you should be seeing start of such supplies, ri ght? So -- just can you elaborate like you're starting first with emerging market like non-re gulated market and then you might be looking for validation and then ultimately, supplies to re gulated markets should pi ck up, maybe later on?
Nilima Prasad Divi: So Kakinada would start operations during this year, probably around Q3 is what we are looking at currently, Q2-Q3. But when we are talking abou t commercialization, whether it is to regulated, non-regulated markets or -- and some of them could be even backward integration, what we need to see is we need to go phase wise. We need to go first validation. We need to get their necessary approvals and wherever we need regulatory authorities inspection. That needs to be completed. It is a phase wise. That's why when Dr. Divi has mentioned that it is phase wise. That's what he meant that some of the products don't need as stringent process as some of the other products.
Moderator: The next question is from the line of Tushar Manudh ane from Motilal Oswal Financial Services.
Tushar Manudhane: Ma'am, just on the API side where the prices have been sort of reducing, now it's almost -- I guess, for 2 years, maybe partly because of there was excess inventory in the system because of COVID. But if you could comment whether this inventory in the system has been now

stabilized? Or do you still see a subsequent -- stil l some time for stabilization of inventory as far as API segment is concerned?
Dr. Kiran S. Divi: So the API inventory at the cust omer end has pretty much stab ilized everywhere because during COVID, they bought huge quantiti es to stock because they were not sure about shipments. So there was a lot of stock with the customers, which are stabilized now. Now what we are seeing is pricing pressure in the market because of the geopolitical situations across the world and we have to see when this will end. But in terms of market share, we have not lost any business.
Tushar Manudhane: Okay. So geopolitical situation is , in fact, adversely impacting th e prices instead of -- and while the prices are reducing and while we have worked on the backward integration, so will we be able to protect the gross margin as far as the API business is concerned or gross margin is trending down, but we are able to maintain EBITDA margin because of higher volume offtake ?
Dr. Kiran S. Divi: While we are protecting our marke t share, you also have to understand that Divi's is completely backward integrated in most of our large volume molecules. Thereby, we do try to minimize wastage. We work on the green principles, where we look at atom-atom efficiency and try to reinvent and see how we can cut costs and make the product more efficient. So we do not see any losing business share or losing market share. And this is purely only for the generic side. So it should be fine.
Tushar Manudhane: And even the gross margin level, there's no big dip per se. Is that the safe assumption?
Nilima Prasad Divi: Can you please repeat the question?
Tushar Manudhane: And there is no dip or fall in the gross margin also because of backward integration. Is that a safe assumption?
Dr. Kiran S. Divi: I mean, I would say that is a fair assumption for now.
Tushar Manudhane: And secondly, on this ■650 crores, ■700 crores project. So this wi ll -- from a location point of view, if you could elaborat e, this will be there?
Dr. Kiran S. Divi: It will be manufactured at the Divi's unit. It will be invested at the factory. So I cannot talk more about it now.
Tushar Manudhane: I meant to ask whether this wo uld require another land acquisitio n, so from that perspective?
Dr. Kiran S. Divi: No, no. It will be in one of the two regulated units.
Tushar Manudhane: Understood sir, and is this to do with peptides, if you could share that, please? Peptide -- is it related to peptides as a product category per se? And is it to do with the product, which is already commercialized by the innovator, and we are sort of an alternate supplier? Or is it to do with altogether new product for which innovator will also require regulatory approvals? These 2 questions from my side.

Nilima Prasad Divi: I'm really sorry to say, but we can't disclose the product because we are bound by the confidentiality agreement.
Tushar Manudhane: And about the other question, whether this product is already commercialized by the innovator or this is undergoing the regulatory development approval process? If you could share that part.
Nilima Prasad Divi: You can say that we are in the process of commercializing the product, and it would require regulatory approvals.
Moderator: The next question is from the line of Ritika from Value Quest.
Ritika: My question is -- first question on contrast media. In the Iodine space, we are currently supplying to one innovator. Are we also looking working wi th other innovators in this space as there are only 4 innovators. And if yes, the current unders tanding is that these i nnovators have in-house manufacturing of API and other completely backward integration. So how will Divi's grab this opportunity with the innovators?
Dr. Kiran S. Divi: So first, I cannot commit that I'm working with an innovator or a particular innovator. All I can say is I'm working with all the 4 innovators. Okay? And we're at various stages with them.
Ritika: Okay. Sir, my question was stemming from the news also that we hear one of the innovators, GE is expanding its API capacity by 30%. So are we still seeing a good oppo rtunity in the Iodine space with these innovators as these are legacy molecules and not newer molecules?
Dr. Kiran S. Divi: I cannot comment on that, I cannot comment on customer requirements or their expansion plans so.
Ritika: Right. Okay. My second question is on Kakinada Ca pEx. Is it correct that in the first phase, we would be spending ■ 1,500 crores and of that, how much has already been spent?
Nilima Prasad Divi: In the first phase, we have already spent about, you can say, approximately ■ 700 crores.
Ritika: Okay. And when do we expect to start the next phase?
Nilima Prasad Divi: So we need to first start commercializing the Phase I. And once we are fully commercialized is when we will start the Phase II. We are -- or like it could also be when we are towards near

commercialization, is when you would start planning the Phase II.
Ritika: Got it. That's helpful. Last question would be what would be the capex guidance for next year, FY '25?
Nilima Prasad Divi: So, let's say ■1,500 crores and there is also another ■700 crores is what we are currently planning to do the capex currently. So I think post that, any information we would be sharing as and when they are occur.
Ritika: So, what you mentioned that ■1,500 crores of Phase I of which ■700 crores is done. So, balance ■800 crores and another ■700 crores. So probably we should expect ■1,500 cores, ■1,600 crores capex in the '25? Is that the correct understanding?

Nilima Prasad Divi: Yes, that's the correct understanding.
Moderator: The next question is from the line of Sanjay Kular from Acme Private Limited.
Sanjay Kular: Okay. Complements to you for delivering excellent results, madam. My questions are following. Madam, you said we are going to spend ■1,500 crores capex for current year -- next year. So how much sales we expect to generate from that? I mean, asset turn? Then second question is that we have done long-term agreement with a multinational. So it has opened opportunities to enter into more tie-ups with other multinationals. So are we talking to so me more multinationals for such tie-ups? And the third question is madam, what is the vision for next 3 to 5 years? Can we become $2 billion, $3 billion revenue company going forward?
Nilima Prasad Divi: So if you are looking at like year-on-year, we have always said we would look at a double-digit growth and that's what we've been seeing constantly. Like even this year, ex-COVID products, we did see a double-digit growth. And coming forward, that's what we are expecting to see a double-digit growth.
Sanjay Kular: Okay, madam. Any more such tie-ups with MNCs likely.
Dr. Kiran S. Divi: Yes. So like I explained in my previous discussions, Divi's is actively engaged with several multinationals. All approvals, there are products in Phase III, fast track, all products take time with regulatory approvals. So we are in discus sions with several custom ers. We have several existing customers. So as and when the produc t gets approved, we will have opportunities.
Moderator: The next question is from the line of Vinay Bafna from Bajaj AMC.
Vinay Bafna: Congratulations on a standout quarter. I just have 2 questions. First is that if you can probably clarify to some extent if the current quarter's CS businesses has some benefit from pilot projects?

And the second question is that when you're talking about increased inquiries, if you can probably speak about the kind of clients qualitatively. Are these small and mid-tier biotech companies who are wanting to shift projects on a short-term basis? Or are these large companies who are doing pilot testing with us?
Nilima Prasad Divi: Can you please repeat it again?
Vinay Bafna: So my first question is that if you can probably help me understand, in the CS business, was there any benefit of pilot project benefit in this particular quarter? And my second question is that qualitatively, if you can help me understand that the increased inquiries that you're getting from clients in the CS business probably because of the Biosecure act, are they largely small or mid-tier biotech companies? Or are these large companies who are wanting to look at our capabilities and then create long-term contracts with us?
Dr. Kiran S. Divi: So coming to your first topic, like I explained previously, we have several projects in Phase III and fast track. So there will be products in pilot plant. There will be products going through validation. There might be even products in R&D. So as manufacturing in CS, I'm not at a liberty to discuss, where the revenue came from, which one it came from because of confidentiality agreement.

Coming to your other questions, Divi's works with 8 out of the top 15 companies in the world where we get several opportunities. And we work with most of the multinationals for the CS business.
Vinay Bafna: I understand that, sir. Actually, what my question was that on the increased inquiries, which you highlighted in your opening remarks, was thos e extra inquiries that you're seeing in this particular year versus previous year. Are they la rgely around your existing clients, are these new clients? And if these are new clients and are these new clients large MNC clients only? Or are they also small and mid-tier biotech companies?
Dr. Kiran S. Divi: It's a mix of everything. It's existing clients, new MNCs and also other niche product companies.
Vinay Bafna: Got it. And last clarification. If you can probably help quantify. For example, if you had 100 client inquiries last year in this particular quarter, would you say it was 200 or 250 or 150 , if you can help us understand that? That's my last question.
Dr. Kiran S. Divi: All I can say is that we had substantial inquiry increase. I cannot put a number on it or quantify it, okay? It depends on different segments. We are working on new therapeutic segments. So I would say the increase is phenomenal. That's all I would say. Again, these are opportunities of what we can absorb, what we can do. So let's just keep it as -- there is a good increase in demand.
Vinay Bafna: I'm sorry, there is one last clarification. So generally, when you have these inquiries, when you have these RFPs, generally, what is the time line for revenue generation from converted contracts from RFPs? Is it 6 months, 9 months, 12 months?
Dr. Kiran S. Divi: We have to look at what kind of RFP we're getting. Is it a Phase I? Is it a Phase II? Is it a Phase III? Somebody coming in Phase I, will bring a structure of a molecule and sa y, can you make me a few grams and we go through the journey with them. So -- or is it Phase II? Or is it Phase III where they're doing human trials? And then we have to produce kilo quantities for them. They have the process. They have the technology.
So it depends where it is. And then what regulato ry approval stages it is, it could be anywhere from, I would say, the quickest would be 2 to 3 years and the longest we have seen up to 5 to 7 years.
Moderator: The next question is from the line of Hrishit Urvish Jhaveri from Pi Square Investments.
Hrishit U. Jhaveri: Congratulations for the great quarter, this quarte r. Sir, I wanted to un derstand in the market space, we are seeing good demand in the CS segment. So as a company that has COVID stock [inaudible 0:47:32].
Moderator: I'm sorry to interrupt si r. Sir, we are not able to hear you. We're losing your audio.
Hrishit U. Jhaveri: I just wanted to understand what's our outlook for next 2 to 3 years in terms of as the inventory levels are going down, the demand will come in again, right?

Nilima Prasad Divi: The demand is already there. It's not that we have any loss in volume. It's the price erosion that has taken a hit. And the volumes are there and the volume growth is there. So I would say the next few years, we are hopeful that the double-digit growth will be there.
Hrishit U. Jhaveri: The current consistent margins, because we have the backward integration advantage?

Nilima Prasad Divi: Yes.
Moderator: The next question is from the line of Vivek Gautam from G S Investments.
Vivek Gautam: So just wanted to have a feeling of the sector for both CDMO and generics. Congratulations -- your numbers are good and for being the leader from same segment. And what I wanted to know is the worst over for both the sectors and how the tailwinds are back for both the sectors as such? Or is it sort of applicable only to Divi's?
Nilima Prasad Divi: Can you please repeat the question?
Vivek Gautam

: Yes. My question was regarding the tailwinds for the sector in both in generics and in the CDMO segment. So is the worst over for the sector because the sector was sort of suffering for the last 2, 3 years, is the worst now over and things are looking very good in the future?
Dr. Kiran S. Divi: So like I explained, we have several opportunities. We have the 6 growth engines in place, which are slowly materializing. Our generic business, if we take our traditional products, they are having a decent growth. At large volumes and large scale, even 1% or 2% is a very decent growth. Again, we have our existing generic portfolio, another set of molecules where we are growing in volume tremendously, I would say at least 20% to 30%, where we are trying to attain market leadership.
Then we have the sartans where we have qualifie d, we have completed all regulatory filings, and we have commercialized some of them. Our Contrast Media business, we are trying to work with both the innovators on the generic side, and that is a high ly growing business, Gadolinium compounds. Apart from that, we have CS projects where we are working extensively. So with all these growth engines in place, I would sa y that there are good opportunities, and we are hopeful that we will see good growth in the coming quarters and years.
Vivek Gautam: And sir, your Kakinada plant is up and running now fully and all the past delays and everything has been sort of sorted out and that can also act as a trigger in increasing the top and bottom line? Because earlier, we were facing the capacity constraints, sir?
Nilima Prasad Divi: The Kakinada project is not up and running. We just mentioned that it would commercialize around the second half of this financial year and then it would be a phase-wise commercialization that would take place.
Moderator: The next question is from the line of Nitin Agarwal: fro m DAM Capital.
Nitin Agarwal: Sir, based upon some of the comments you made regarding the outlook for the CS business. I mean, do you see a probability that over the next -- as we go forward, in general, from a business mix, CS will start to sustainably become larger than the generic business for us?

Dr. Kiran S. Divi: I think both grow hand-i n-hand, right? Traditionall y, if you see over the last several years, from the time -- from the inception of Divi's, we have grown CS and generic business hand in hand.
The new product portfolio coming off patent in the future, then we have new pipelines in Phase III and fast track. They do grow together. The ratio may vary by 5% either side, but we feel and we see that they grow together.
Nitin Agarwal: Okay. You don't see a situation where you see far bigger CS opportunities -- growth opportunity than probably what you've seen in the past?
Nilima Prasad Divi: That's a onetime opportunity that we have seen in the past. But ideally, as an organization, we would like to keep it around 50%, both.
Nitin Agarwal: Okay. And secondly, in the comments that you mentioned a few times that there are a lot of fast track CS projects which are coming your way. I mean in your assessment, what are you define as fast track and what motivates the companies to going, how do you -- what is -- when you classify something as a fast-track project, what is the motivation for the innovator to really push the project at that point of time?
Dr. Kiran S. Divi: So fast track could be any reason, right? You can be first-in-class, first in kind, okay. It could be something that there is a need and FDA would push it. So there are several reasons why a product would be classified into fast track.
Nitin Agarwal: And have you seen more of these more instances of the fast track projects or faster requirements coming through from your partners than what you've seen in the past?
Dr. Kiran S. Divi: I can't comment on it, but we have a few fast track project

s at this point.
Nitin Agarwal: And a typical fast track project would typically lead into commercialization quicker versus the typical traditional project. Is that the right understanding?
Nilima Prasad Divi: Can you please repeat the question again?
Nitin Agarwal: Typically, from the time you get the contract to commercial revenues coming through, you typically will get much fast -- quicker turnaround in a fast track project than in a typical traditional contract?

Dr. Kiran S. Divi: It would depend on, again, the regulatory agencies and the document being submitted, they're satisfied. Okay? Though it is in fast track, we would have to go through all regulatory submissions and filings, right? So yes, if everything is smooth, it could be faster. Otherwise, it takes a typical time line.
Moderator: The next question is from the line of Surya Narayan Patra from Phillip Capital India Private Limited.
Surya Narayan Patra: Sir, in fact, in regards to contract media busine ss, so we do both generic as well as CS under contrast media. And possibly last year would be one meaningful year in terms of progression in the contract media side. So what would be the mix between the Custom Synthesis and Generic

there sir. And if you can also indicate that whether the second project Sacubitril, whether that has reached its kind of a peak potential by now?
Dr. Kiran S. Divi: I'm sorry, I cannot give you the ratio of how much is in the generic side, how much in the CS side and on the contrast media. All I can say is contrast media is a very important engine for us, and then we are -- we will grow and attain a very decent market share. Coming to your second question, I'm not at the liberty to say anything or talk anything about it. Thank you.
Surya Narayan Patra: Okay. Then if you can talk something about -- see, in fact, since it is a full year number that we are discussing. So last year, Dr. Divi had indi cated about investment in the new technologies and all that, apart from the capacity addition and capability buildup. So if you can share your progress on the new technology front and all?
Dr. Kiran S. Divi: We have set up a complete innovative lab right now, where we are using flow chemistry, we are using mechanochemistry, okay? We are using different equipments -- microwave technology. We are conducting our experiments seeing how to bring efficiency in the product, how to minimize wastage, how to reduce the price. Again, we have to keep the earth green. We can't just start wasting raw materials because we can.
So we look at -- now we're looking at atom-to- atom efficiency, seeing where the byproducts are coming, how can we minimize this and then have a regeneration where the product comes back.
So the most important thing what we are doing right now is we built a specialized R&D lab, and we are doing all these studies right now.
Surya Narayan Patra: Okay. So is that -- since we are targeting now more of even generic products, which are going off patent and where we may not be having a full end-to-end integrated model in the initial stages. Still we wanted to have a kind of a cost leadership. So it is the objective. That is why we are thinking about all these technological upgradation and developments.
Dr. Kiran S. Divi: So these are 2 factors, right? When Divi's started in the year 1994-95, okay, the price of Naproxen was at $100. It doesn't mean I was making $80 profit. And the raw material -- the process in which the product was made was expensive, okay? Then you keep reinventing yourself. And today, the price is wh ere the price is, in the sub-$40s.
So when you look at it, you kept reinventing yourself. You've been using new technologies. Now there's -- there are new technologies like flow chemistry, you have spray dry technique, you've mechanochemistry. You have different technologies that are available where you can take it -- d

o trials, see how you ca n reduce solvents, reduce energy, reduce utilities.
So we look at all these factors and see whether it makes financial sense for the product. Then we have to go through regulatory approvals or maybe we don't need to if a minor change. So we have to do all these studies to keep the product always cost efficient and attain to Green Chemistry.
Surya Narayan Patra: Okay. Just last one, sir, if you can indicate how many post-patent expiry generic opportunities that you're targeting for, let's say, FY '25?

Dr. Kiran S. Divi: We have about seven molecules that we have identified, okay, which from FY '25 onwards, for the next 5 years will come off patent, some, maybe -- I mean they depend on the molecules. By when if there is a para IV, whether the customers will fight. So, I don't know. Right now, we know from FY '25, we have 1 or 2 molecules coming off patent, and it will continue for the next 3, 4 years.
Moderator: Ladies and gentlemen, due to paucity of time, that was the last question for the day. I would now

like to hand the conference over to Mr. Satish Choudhury for closing comments.
M. Satish Choudhury: Thank you all for join ing us today for the earnings call of Di vi's Laboratories Limited. In case you need any further clarification, please reach out to our Investor Relations. Thank you.
Moderator: Thank you. On behalf of Divi's Laboratories Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

August 08, 2024
To
T
he Secretary
National Stock Exchan ge of India Limited
Exchange Plaza,
Bandra-Kurla Complex, Bandra (East)
Mumbai – 400 051
Trading Symbol: DIVISLAB To
The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai – 400 001
Scrip Code: 532488
Dear Sir/ Madam,
Sub: Transcript of earnings conference call held on August 03, 2024
Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015
We hereby s
ubmit the transcript of the ear nings conference call for the quarter ended June 30, 2024, held on August 03, 2024, at 14.00 Hrs (IST). The transcript is also available on the website of the Company i.e. www.divislabs.com , under the Investors Relations section.
T
his is for your information and records.
Thanking you,
Yours faithfully,
For Divi's Laboratories Limited
M. Sati sh Choudhury
Company Secretary & Compliance Officer

"Divi's Laboratories Limited Q1 FY25 Earnings
Conference Call"

August 03, 2024

MANAGEMENT : D R. KIRAN S. DIVI – WHOLE -TIME DIRECTOR & CHIEF EXECUTIVE OFFICER
MS. NILIMA PRASAD DIVI – WHOLE -TIME DIRECTOR (COMMERCIAL)
MR. L. KISHORE BABU – CHIEF FINANCIAL OFFICER
MR. VENKATESA PERUMALLU PASUMARTHY – GENERAL MANAGER (FINANCE AND ACCOUNTS)
MR. M. SATISH CHOUDHURY – COMPANY SECRETARY AND CHIEF INVESTOR RELATIONS OFFICER

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Earnings Conference Call of Divi's

Laboratories Limited for Q1 FY'2025.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call. Please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. M. Satish Choudhury. Thank you and over to you sir.
M. Satish Choudhury: Good afternoon to all of you. I am M. Satish Choudhury – Company Secretary and Chief Investor Relations Officer of Divi's Laboratories Limited. I welcome you all to the Earnings Call of the Company for the Quarter Ended 30
th June 2024.
From Divi's Labs, we have with us today, Dr. Kiran S. Divi, Whole-Time Director and CEO, Ms. Nilima Prasad Divi, Whole-Time Director (Commercial), Mr. L Kishore Babu, Chief Financial Officer and Mr. Venka tesa Perumallu, General Mana ger (Finance and Accounts).
During the day, our board has approved the Unaudited Financial Results for the Quarter-Ended June 30, 2024, and we have released the same to the Stock Exchanges as well as updated the same in our website. Please note that this conference call is being recorded and a transcript of the same will be made available on the website of the Company.
Also, please note that the audio of the conference call is the copyright material of Divi's Laboratories Limited and cannot be copied, rebroadcasted or attributed in the press or media without the specific an d written consent.
Let me draw your attention to the fact that on this call, our discussions will include certain forward-looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations of the future performance of the Company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Divi's Labs or its officials does not undertake any obligation to pu blicly update any forward-looking statement, whether as a result of future events or otherwise.
Now, I hand over the conference to Dr. Kiran Divi for opening remarks. Over to you, sir.
Dr. Kiran S. Divi: Good afternoon, ladies and gentlemen, and welcome to our Q1 Financial Year '24-25 Conference Call.
We are pleased to have you all here and I hope that you along with your families and loved ones are in good health.

I shall begin by updating you on our “Operational Performance”:
As we reflect on the 1st Quarter of FY'24-25, I would like to report that Divi's remain resilient, ensuring another steady quarter. This is despite of persistent worldwide geopolitical events that are leading to volatile trade co nditions. We have been diligently meeting our customer requirements through strategic supply chain management and operational excellence. The industry continues to observe pharmaceutical shifts that create room for expanding market opportunities.
Building on our “Six Growth Engines”, Divi's is focused on strategically pursuing new opportunities across various portfolios. Alongside the tangible results from our previous investments and expansions, we are experiencing stable demand for most of our established generics, which balances the pricing pressure on our product mix.
Our emerging generic products cont inue to gain market share and our future generics with filings planned for completion in the next few months will be commercialized in FY'26.
The Custom Synthesis segment is advancing with several new projects across all clinical phases and we are working on several Phase-II and Phase-III molecules. Our

existing major commercial projects with big pharma continue to yield positive results. With continued focus on opportunities in the peptide segment, in addition to manufacturing peptide building blocks, we are also pursuing the manufacturing of peptide fragments required for various GLP-1 and GLP-2 compounds.
Our Greenfield expansion at Unit-III is progressin g rapidly and the upcoming production activity in the 200 acres Phase-I is expected to gradually begin during FY'24-25.
We are pleased to announce that we had a successful US FDA inspection at our Unit-II production facility. It was a general CGMP inspection, which was completed with one procedural observation. This ou tcome reflects our commitment to maintaining high regulatory standards and ensuring compliance across all our operations.
Complementary to this, Divi's prioritizes environmental sustainability by promoting resource efficiency throughout the supply chain. We are committed to oper ating our busine ss responsibly in all aspects and have been implementing initiatives to support ecological balance and nature conservation.
Our CSR initiatives are aimed at making meaningful contributions to the communities we operate, and we are actively wo rking to facilitate their sustai nable growth. One of our core

initiatives, which focuses on holistic development and empowerment of children, has made a
tangible impact on the lives of over 1 lakh students in more than 1,100 schools across the states of Telangana and Andhra Pradesh during the year 2023 and '24. We also remain persistent in

our effort to uplift rural communities and have successfully empowered nearly 2.5 lakh
individuals across 44 villages surrounding our manufacturing units.

Now, Ms. Nilima Divi will update you on the “Financial Highlights” of the 1st Quarter of the
Financial Year 2024-25. Thank you.

Nilima Prasad Divi: Good afternoon, ladies and gentlemen. I extend my warmest greetings to each one of you. Thank you for joining us today as we continue to discuss the outcome of the 1st quarter of FY'24-25.

Divi's has been resilient in ensuring efficient supply chain operations and reliably meeting our customer requirements. Despite the ongoing volatility in the current geopolitical landscape, the environment presents growth mark et opportunities. We have been proactive in navigating these dynamics and optimizing our performance.

On the procurement front, we have witnessed a relatively balanced Q1 scenario. Raw material prices remained stable; however, we are monitoring the situation carefully considering the current global event that may quickly alter. To mitigate risk, we are maintaining safety stocks for extended periods and diversifying our supply base for most of our key raw materials.

Logistics and supply chain challenges continue to persist, resulting in significant freight hikes and long-transit times due to rerouting and vessel cancellation. In response, we have been vigilant and are closely monitoring each shipment diligently implementing our risk mitigation measures.

Divi's have been efficiently streamlining inventory management and advancing shipping schedules by three to four weeks. Despite all these global challenges, our team has been proactive in managing any potential risks and ensuring operational continuity. We remain committed to delivering the highest quality APIs and sustaining our partnerships.

I will now provide you with an “Overvie w of the Financial Pe rformance for the 1
st Quarter of
the Fiscal Year '24-25.” We have achieved a consolidated revenue of ■ 2,197 crores for the current quarter as against the income of ■ 1,859 crores for the corresponding quarter of previous year, a growth of 18% year-on-year.

Material consumption for this quarter is at about 40% of the sales revenue as compared to about 39% in the immediate previous quarter, and 39% for the corresponding quarter of

previous year
due to change in product mix.

PBT for the quarter is ■ 604 crores as against ■ 492 crores for the corresponding quarter of previous year, and PAT for the current quarter is ■ 430 crores as against ■ 356 crores for the corresponding quarter of previous year.

Exports for the quarter is about 86%. Exports to US and Europe is about 70%. Product mix for generics to custom synthesis is 51% and 49% respectively. We have a forex loss of ■ 1 crore for

the quarter as against a gain of ■ 3 crores in the corresponding quarter of previous year. Our constant currency growth for the quarter has been at 18%. Our nutraceuticals business amounted to ■178 crores for this quarter. We have capitalized assets of ■ 60 crores during the quarter. We have a capital work-in progress of ■ 1,062 crores as at the end of the quarter, of which Kakinada project accounts for ■ 837 crores. Total amount spent on Kakinada project till the end of this current quarter including advances is ■ 1,018 crores.

As of 30th June 2024, we have cash on books of ■ 4,229 crores, receivables of ■ 1,942 crores, inventories of ■ 3,108 crores. You would notice from our annual report for FY'23-24 that the dividend payout for FY'23-24 of ■ 796 crores is scheduled in the second fortnight of August 2024. Thank you.

M. Satish Choudhury: Thank you, ma'am. With this, we would request the moderator to open the line for Q&A.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Amay from JM Financials. Please go ahead.

Amay: I have a first question on the API pricing environment. We have been witnessing price deflation in many of these products in the API side. So, how has been trend for us over 4Q if you can guide on the same? The second question I have is on the emerging product side. We mentioned that we are gaining market share in emerging API generic products. So, if is it possible for the management to name some of these products and how has been our market share improvement in these products over the last few years?

Ms. Nilima Pasad Divi: Can you please repeat your first question again? It wasn't very clear.

Amay: I wanted to know how has been the API pricing environment. We have been seeing a price
deflation in the API side for last one year. So, how has been the trend in the recent quarters for us, and if any outlook you can give on the API pricing side?
Dr. Kiran S. Divi: So, coming to your first spot, we are experiencing pricing pressure across our large volume
products like Naproxen, Gabapentin, Dextromethorphan; but we being one of the largest producers and player and having long-term contracts with our customers, we are able to maintain
sustainable market share, and, in fact, growing in those products. If you look at a product like
Dextromethorphan and Naproxen or even Naproxen Sodium, even a 2% to 3% or a 5% growth
in the product itself is a substa ntial growth. With that being sa id, the pricing and the volume is
actually complementing each other. That's what I told in the speech where we could balance and not lose the overall numbers. But yes, we do have pricing pressure and we feel it should settle
down in the near future.
Amay: So, Q4 to Q1, we did experience pricing pressure or do you think it was stabilized?

Dr. Kiran S. Divi: No. We have seen pricing pressure throughout the last two years ever since Covid took place
and also with the geopolitical situations across where there are several factors like in availability
of raw materials to everything. But now we see that slowly we believe in the future that prices
will stabilize and normalize again. Coming to your second question, we have several products
in the pipeline like Ticagrelor, a few others just to name, which are coming off-patent which we
have filed our DMF, our custome

rs are filing their regulatory approvals and their submissions. So, as when patents expire from '26, we will start seeing revenues from those products.
Moderator: The next question is from the line of Surya Patra from PhillipCapital. Please go ahead.
Surya Patra: First question is on the custom synthesis business. This quarter, we have been continuing to see
a kind of a strong performance in terms of growth YoY in the custom synthesis over 40%. And one of the key contributor to this, obviously, the Valsartan, Sacubitril in the recent period. Given
the patent expiry what we have witnessed there and the generic entry, so, whether it will have a
temporary impact to the momentum what we are currently seeing, sir?
Dr. Kiran S. Divi: I would request that we don't speak about products because we are bound by confidentiality.
What I would say is we have se veral molecules in CS which are in Phase-II and Phase-III. Apart
from this, we also produce several molecules for the brand companies in large volumes and based on this, our sales have been very positive, and we see a lot of growth either in volumes or new opportunities coming our way.
Surya Patra: Then, sir, in the contrast media side, what is the progress that we would have achieved so far,
and from the target whatever that we are trying to achieve over a period of time, to what extent
that we have progressed on the contrast media side in terms of the volume progression and
growth, if you can give some sense, that will give a clarity?
Dr. Kiran S. Divi: On the contrast media side, we work on two specific segments; one is the iodine-based
compounds which we which work to wards CT scans, the second on e is Gadolinium compounds,
which they use in MRIs. On the co ntrast media, we sell both to several of the brand companies,
I mean the innovators and also to the generic houses. In some of the Iodine-based products we
have been successful, and we have been shippi ng commercial quantities to a few of the brand
companies. Apart from this, we are also supplying in the regulatory markets, and we are seeing
considerable growth in those volumes. Coming to Gadolinium compounds, we are working on
several Phase-III molecules and as and when the in novators are ready to take it to pilot based on
regulatory approvals, we will take that forward.
Surya Patra: Since sometime that we are hearing about the trade challenges, that was because of the Red Sea
issues impacting the trade route and hence the cost, and simultaneously of late we are also hearing availability of containers. And to some extent, from the channel checks and what we are
witnessing in the month of June, I think the industry has faced a tremendous pressure in terms
of the trade challenges impacting their export activities. So, whether we have faced anything of

that sort, and if that is the case, whether the subsequent quarter is likely to be impacted to some
extent, how should one think about this trade challenge that you would be facing currently?
Nilima Prasad Divi: I don't think we are immune to something that the industry is currently facing. We did face some challenges and we are continuing to face those challenges, but we are also making sure that we are planning well in advance, we are keeping that in mind, we are taking all these situations into
consideration while planning our shipments. So, so far, we have been slightly more careful and consistent in our shipments, wherein we are making sure that the customer is not affected at the end of the day.
Moderator: The next question is from the line of Tushar Manudhane from Motilal Os wal Financia l Services.
Please go ahead.

Tushar Manudhane: Sir, first of all, I missed your comment on the peptide block. You referred to something additional with respect to the investment. If yo u could clarify and elaborate on that first?
Dr. Kiran S. Divi: So, in the peptide business, i

nitially we were just manufacturing protected amino acids, that's called building blocks for amino acids and we have been manufacturing that, we had the experience for 14-years ago and then we started again and we were manufacturing for the customers who are making the GLP-1 and 2. But now we have started working on Tetramer and Decamer, basically four chain amino acids, 10 chain amino acids, either through solid phase or liquid phase and our pilot plant is almost ready where we will be producing decent quantities and also we will be taking this forward commercially. We have already ordered a few 500 litre reactors to take this forward. The interesting thing here is, even the customers who are producing GLP-1 and GLP-2 finished products are quite interested to work with us on these molecules.
Tushar Manudhane: So, this will subsequently go through the exhibit batches to scale up batches and then the compliance and so effectively…. -?
Dr. Kiran S. Divi: Yes, the peptide building blocks we are actively supplying to the innovators and to the companies. Now we are taking one step forward and building the fragments. So, from the fragments they combine two or three fragments, and the API comes out.
Tushar Manudhane: Sir, in contrast media, whatever development th at has been happening at the innovator level in terms of those products, the intent is to redu ce the concentration of let's say Iodine or Gadolinium. As you know they are sort of in creases impurity as far as human beings are concerned. So, from that point of view, does this still stand as a good volume opportunity or it is going to be a relatively sm all volume opportunity for us?
Dr. Kiran S. Divi: Are you talking about Iodine-based compound or Gadolinium compounds?
Tushar Manudhane: Gadolinium compounds.

Dr. Kiran S. Divi: Everyone requires an MRI. The volumes are huge. But now like in the olden days, anyone would take a Gadolinium compound and have a full body scan. Now, the compounds are specific to the heart, to the brain, to the lungs, and the comp ound that directly goes and sits there. So, the innovators are now specializing on these type of compounds. So, we are a part with them in the journey and of course they will have opportunities.
Tushar Manudhane: You mean the volume would be there, but the co ncentration let's say that will continue to reduce in terms of dosage?
Dr. Kiran S. Divi: No, the dosage will be the same. It doesn't matter . It's just that the binding agent that takes the product directly to the area that is required.
Tushar Manudhane: On API at least, the industry feedback has been that the inventory in the channel post-Covid and given the shelf life of products being four to five years, does it mean that we still face another 12 to 15 months where prices continue to slide and so we continue to deliver more volume to at least grow the revenue. Is that also the case for Divi?
Dr. Kiran S. Divi: On the generic side of the business, like I explained in my presentation, we have long-term contracts with several customers. That being said , our customers have not lost any market share, but only there is a price erosion, because there are several people trying to destock. At such times, we support our customers. That's why we have a short setback. Once the price is stabilized, we still cannot give a date on it, but I am sure it has to stab ilize at some point. This happened about 10 years ago we had this kind of cycle. So, we are confident it has to stabilize at some point. Things will be back to normal.
Tushar Manudhane: If you could share the breakup of the API business into the legacy molecules and the new molecules?
Nilima Prasad Divi: Can you elaborate on your question, please?
Tushar Manudhane: Let's say we have the Naproxen, Gabapentin, such kind of legacy molecules as a part of the API generics business and new molecules typical

ly which you would have launched over the last two years? So, if you could help us break down the sales of API generics into these two buckets?
Nilima Prasad Divi: We normally wouldn't want to break that up because we normally break up and see what we are supplying to US and Europe or what we are doing in the generics and the custom synthesis business. But breaking it up molecule-by-molecule is not something we would normally like to do, because we need to look at the entire basket. We wouldn't want to be a product-heavy Company wherein we are depending more on one particular product and that would drive the Company's growth. So, we would want to keep the mix between the products as equal or as balanced as possible.
Moderator: The next question is on the line of Sanjay Kular from ACME Private Limited. Please go ahead.

Sanjay Kular: I have a couple of questions. One is what kind of sales we can generate from expansion, but at optimum capacity utilization, since our Kakinada unit is beginning this year? Second question is what is the update on your tie-up with the multinational for 700 crores unit which we are going to put in our business will start probably from '27. Are we experiencing new businesses from CDMO opportunities because we are hearing that there are lots of CDMO enquiries are flowing to India. What is your view, sir?

Dr. Kiran S. Divi: So, the expansion in Kakinada like I explained in my presentation, it will start phase wise and then it has to go through regulatory approvals, regulatory approvals take one to two years. Once the approvals and everything we get, we also have to file DMF from there, do our validations, our customers have to file their ANDAs or NDAs and then the whole process will take one to two years. But right now we will start doing our validations and we will also start certain pre-chemistry products. So, I would say, you have to look at any product coming into market, we will require about at least 1-2 years with all the regulatory approvals that are taking place.

Coming to your second question on the ■700 crores investment, this is an increase in capacity for one of our projects for a base from the CS side which the investment is going through, where the growth will happen.

Sanjay Kular: And how were the enquiries from the US regarding your model? India is experiencing lot of enquiries from US and European clients. What is your view, sir?

Dr. Kiran S. Divi: Like I explained in my presentation, we are getting a lot of Phase-II, Phase-III molecules, lot of fast track molecules where it is in advanced st ages and it's waiting for regulatory approvals from the CS companies and from multinationals. So, we are seeing a lot of opportunities coming our way.

Moderator: We will take the next question from the line of Dheeresh from WhiteOak Capital. Please go ahead.

Dheeresh: A couple of questions. If you can share the volume growth in the API business?

Nilima Prasad Divi: As we said like it is in line with our double-digit growth, which we always say that we are very optimistic about our double digit growth be it both volume based and price based which is reflected in our revenue. So, I would say it is the same.

Dheeresh: Just to understand it properly, the value growth in constant currency is flat, but you're saying volume growth is double digit in the quarter in the API business? Second question is on GLP-1 which is you're making building blocks, now, you're going to make fragments and then you should go into the final API. So, do we have the capability and the aspiration to go into further downstream into making the final API?

Dr. Kiran S. Divi: See, everything depends on the innovators, right, wh at they prefer to outsou rce, what they prefer to give it out. Right now, they're interested in looking at opportunities, working w

ith us on fragments. So, we are working on the fragments. Before this, if you asked me six months ago, they were looking at working with me only on peptide building blocks. So, it is on what they want and when they need it. When the opportunity comes, of course, definitely we would be interested in it. Right now, we have been asked to look into fragments and we are investing into fragments.

Dheeresh: In contrast media, can you just give a rough split of how much of the revenue you book under API and how much you book under custom synthesis?

Dr. Kiran S. Divi: I can't comment on that because we work with the brand companies, I can't comment on that, I am sorry.

Dheeresh: Like without giving exactly any more skewed towards one or is it fairly straight between the two segments?

Dr. Kiran S. Divi: That's a very, very simple question. If you look at the world market itself, the major chunk is controlled by the brand companies, not by the generic houses, the generic houses only hold about 10% to 15% market share, the brand companies are the ones who own about 85% to 90% market share even today because they manufacture th e equipment and everything, they have strong control on the product.

Dheeresh: Second question was that if you have your own DMF and you're supplying to the brand, you will still classify it under custom synthesis, right, not under API?

Dr. Kiran S. Divi: For the brand, I would produce it by his process and his route of synthesis, not by mine.

Moderator: We will take the next question from the line of Surya Patra from PhillipCapital. Please go ahead.

Surya Patra: First, what could be the implication of this Bi osecure Act, which is expected to be implemented in the later part of the year to our generic business as well as the custom synthesis business, whether generic is also likely to be benefited, that is my first clarity that I want to have?

Secondly, about the custom synthesis -

Nilima P Divi: Your voice is not too audible for us. Can you be a bit louder?

Surya Patra: I wanted to have a sense about the implication of this BioSecure Act, which is expected to be implemented in the later part of the year by US. So, impact on the generic business and impact on the custom synthesis. While it is believed that the custom synthesis generally will see the benefit, whether that is restricted to only custom synthesis or even generic can have a benefit? And just an extension to the custom synthesis point, see, even if this will be implemented, there will be a gestation period till 2032. So, during that period whether we will get a benefit for

custom synthesis or not? So, your understanding about this Biosecure Act and the likely implication if you can share?

Dr. Kiran S. Divi: See, the Biosecure Act is something what the US has decided, and we are definitely seeing a lot of opportunities, lot of them in Phase-II, lot of them in Phase -III, some are already commercialized on the CS side, which they would like us to be their second source where we are looking at the opportunity and the feasibility over there. So, there are several opportunities that are coming on our way and with several of the brand companies, we are their preferred supplier, and in some of them we are one of their sites on where we get to bid with their own sites on the product. So, with all that being said, we do have good opportunities on the CS side. Now, with Bio Secure Act, we are seeing more number of Phase-II and Phase-III molecules than what we saw before. Coming to whether it is implicable even to the generic side, yes, we are seeing interest coming on the generic side too. But that is a long haul because generics are something that are price sensitive. We have to see how this will pan out, but right now we are seeing a lot of interest only from the custom synthesis side of the business, more than the generic side.

Surya Patra: And

it will be visible from now on ward itself, you mean to say?

Dr. Kiran S. Divi: Yes, we are seeing visibility from now. 2032 is only eight years away, for qualifications, for everything to go through is about three to four years itself for brand companies to get us into their filing and then go forward. So, it is long-haul.

Surya Patra: Sir, just an extension to that. So, in the generic business, while we are expecting the new pipeline or the new product opportunities are likely to be the key growth driver over next two to three years for us. So, since you are already prepared for those potential opportunities, so here I just wanted to understand that, okay, what would be the level of your integration there at the API level? So, obviously it would be lesser compared to the existing ones because there it could be end-to-end integrated but here what could be the level of integration?

Dr. Kiran S. Divi: Divi's as a concept for generic molecules whenever we enter into a generic product, we look from manufacturing everything from our basic raw materials all the way to the finished API. The reason being we would like to control all our impurity profile, thereby we don't have any regulatory issues in the future. So, it's not that we buy a key starting material from someone we will buy and one of the intermedia tes from someone and then start making it, we prefer to make everything. One, we control our costs, we have better costs, we have better impurity profile management and we have supply chain continuity in the product. So, even on all the future generics we are filing right now which are going to come off-patent, some in '25, some in '26, some in '27, all of them we have completely backward integrated.

Moderator: We will take the next question from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Sir, since you mentioned that we have a lot of Phase-II, Phase-III mole cules post the Biosecure Act that will be out there, how are we thinking ab out Phase-II in Kakinada given it takes one or two years to get approval, do you think there is a need for us to possibly think about fast tracking the next phase or do you think this phase would be enough for us to capture any growth that comes our way over the next three, four years?

Dr. Kiran S. Divi: See, the way we increase capacity is when we come to about 90% utilization, then we think about starting Phase-II and then fast tracking it. But right now, based on the customer requirement based on Phas e-II and Phase-III, we can run it in ou r pilot plants, we have sufficient pilot plants because the volumes are small, they are not like tons of volume. But once it goes into commercialization, we will know that in one year in advance. And as we know, we will take it forward and then we will start either using it from our existing capacities or we will build new capacities as and when required. Like recently we have asked for investment because we saw huge opportunities with few of the CS projects and this will be commercialized in the coming years. So, in the same fashion, we will have good visibility an d we will invest based on… we won't keep the plants idle.

Neha Manpuria: So, currently where we are, Kakinada should be enough to service these projects that we should get in the next two, three years?
Dr. Kiran S. Divi: But now, between the three units, the capacity should be sufficient and maintenance between 80% to 85%. So, if any of the products again spike up, we don't know. Maybe it may happen in six months or one year. We will look at Phase-II of Kakinada immediately.
Neha Manpuria: Sir, given you talked about two or three new DM F opportunities, since it's going off-patent in '25, if we look at the DMF filings, we don't see as many filings for generic products from Divi's. So, are these products that are going to be more back-end weig

hted rather say in the next 12-
months, is that the case that a lot of these are coming probably post calendar year '25?
Dr. Kiran S. Divi: I am sorry I didn't understand your question.
Neha Manpuria: So, one of the growth drivers that you talk about for the generic business, drugs that are going to go off-patent between in the next two, three years, '25 to '27, you said one or two of these DMF should come through. But, if we were to look at the DMF filings, the US FDA, we don't see as many DMF filings from Divi's to show that the launch pipeline on the generic API side. So, are these opportunities more back-end weighted probably in calendar year '26-27, hence we are not seeing as many filings?
Dr. Kiran S. Divi: Like I explained, some products are coming off-patent in '25, some are coming off in '26, some are coming off in '27, we finished the regulatory filings, now, the customer has to trigger for the DMF to become active. So, they have to do thei r ANDA, their validation, submit stability studies

and then file with FDA, have th e deficiencies answered for them to be active. So, filing is in process well in advance. That's all I can say.
Moderator: We will take the next question from the line of Girish Bakhru from OrbiMed. Please go ahead.
Girish Bakhru: Just wanted a bit more clarity on the peptide thing. You commented initially on the pilot plant. Possible to give the total reactor capacity you're aiming for?
Dr. Kiran S. Divi: See, right now, we have set up our pilot plant which has 50-litre reactors where we will be doing Kg level, and once the pilots have been successful, in the meantime we have ordered commercial scale 500 litres reactors where we will produce larger volumes of the fragments.
Girish Bakhru: You said you are mainly doing solid phase, right?
Dr. Kiran S. Divi: We are making both solid phase and liquid phase. We have capability both for solid and liquid phase.
Girish Bakhru: But 500-litre is, I mean, I am just trying to understand, is that say sufficient to meet the demand?
Dr. Kiran S. Divi: GLP-1s are not large volume products. If you look at in terms of tonnage, they are not large volume products. So, we will add multiple of 500 litre reactors which we have ordered a few reactors now where the sy nthesizer will take place. But it's no t that you need huge volumes like API like 10,000 litres, 20,000 litres reactors.
Girish Bakhru: And just on the simila r line, these fragments, will they attract FDA or any other inspection?
Dr. Kiran S. Divi: I am sorry, I didn't understand.
Girish Bakhru: I mean, once you're doing fragments to the peptides, does that come under CGMP and would attract FDA inspection?
Dr. Kiran S. Divi: Yes, it will come under CGMP, and it will ca ll for an inspection at an appropriate time.
Moderator: The next question is from the line of Alok Dalal from Jefferies India Private Limited. Please go ahead.
Alok Dalal: One question is on nutraceuticals. If the revenue for the quarter 178 crores, did I hear that correctly?
Nilima Prasad Divi: Can you repeat that question again, please?
Alok Dalal: Yes, madam, the revenue for nutraceuticals segment was 178 crores, is that correct?

Nilima Prasad Divi: Yes.
Alok Dalal: Was the revenue of Rs.178 crores in 1Q '24 as well?
Nilima Prasad Divi: Yes.
Alok Dalal: So, there's been no growth in this segment. What could be a reason for that?
Nilima Prasad Divi: See, I would say that the same quarter of the last year, it was around the similar number, but I would look at it just like how we look at our API business, the nutraceuticals business, I wouldn't look at it on quarter-on-quarter basis, I would look at it in the whole year. And I would say if I am looking at the whole year of how the business is going to phase out, we are also very confident in that pa

rticular segment to have a double-digit growth. But yes, sometimes the
shipments would happen more in certain quarters and certain quarters it would be a stable

business. You would have also noticed that our Q4 is heavy and compared to Q1 of last year. So, that kind of a comparison should not be taken into consideration quarter-on-quarter, it's something that you should look year-on-year.

Alok Dalal: Second question is on the product mix change. So, from your commentary, it appears that your custom synthesis business will have a much larg er share of revenue over the next two, three years. Does that mean that the Company goes back to the historical margins of 35% plus which it used to do when custom synthesis was a larger contributor?

Nilima Prasad Divi: Our custom synthesis and generic business usually, some quarters it would be 45:55 and some quarters would be 50:50, but as a Company we would like to have it at 50:50 wherein we are equal in both generics and custom synthesis, and we are not product-heavy or a customer-heavy Company. So, I would not look at the organization going heavy on custom synthesis, rather I would want it to be on par with the generic business. But yes, the wishful thinking is that what the historic number we had one particular year back in the day, I wouldn't say it's something that we don't desire, we are working towards it, but every product can't be that.

Moderator: The next question is from the line of Amay from JM Financial. Please go ahead.

Amay: Is it possible for the management to give CAPEX guidance for the next two years?

Dr. Kiran S. Divi: I think we will have a new CA PEX guidance more towards next quarter or the quarter after, because right now we are trying to complete Kakinada project, also we have few CS projects where we are investing money in. So, we would like to first complete the existing projects before we look at new CAPEX, and like I explained, as opportunities come, we take CAPEX. We don't build plants and keep them idle. We are around 82% occupancy on the plant. Once we reach 90% or we feel we are reaching there soon, we will start investing again.

Amay: And what maintenance CAPEX should one assume for the year -- would be around 250, 300 crores or -?

Nilima Prasad Divi: I would say that would be the number, around 250-300 crores.

Amay: Is it possible to give like what has been our capex on the GLP-1 blocks so far and any future plan which we have on the fragment side, how much we plan to spend?

Nilima Prasad Divi: Generally, we wouldn't want to break that up regarding product-by-product. We do mention unit-by-unit but not product-by-product.

Amay: We have been around 2,000 crores kind of a quarterly revenue run rate. So, if we have to break from this number, what would be that one project which would drive that change, would it be GLP-1 product or it would be led by some of the custom synthesis opportunity?

Dr. Kiran S. Divi: See, the investment is across our six engines. We have the Sartans which are growing, almost one of the Sartans is growing at 60% growth. Our increase in capacity for our existing generic products even from products like Levetiracetam or Valsartan, Pregabalin, Carbidopa, Levodopa, they're growing tremendously. Our CS business is growing. We have several projects and for some of them, customers are asking us to increase capacity. So, even that side, there is a considerable amount of growth. We are having growth in our contrast media business where I think one of the contrast media, we almost have to double our capacity now. We are in discussions on that. So, I cannot point out one product or one growth engine, saying, we will grow. In GLP-1 is something where we have been doing peptide building blocks. Those were non-regulatory based material. You make individual amino acids, protected amino acids and you sell them to the innovator or to th

e fragmenter and then he would sell it. Now, because there is huge demand in GLP-1 and we have the expertise in making fragments, innovators are showing interest in working with us and they have been giving us fragments. Immediately, we have set up an R&D where we could manage both solid phase and liquid phase since we have experience in it and we have manufactured samples, we have now just almost finished constructing our pilot plant and we will start making kilo batches and commercial volumes we have ordered a few reactors and as and when the customers approve because we have to go into their filing, there's a huge process, when the time is right, we will invest into that and then take it forward.

Moderator: We will take the next question from the line of Keshav from Guardian Capital. Please go ahead.

Keshav: So, can you please confirm between API and custom synthesis segments and how do you foresee the profitability in these segments for the upcoming year, if you could give some guidance on that sir?

Nilima Prasad Divi: So, our generic to custom synthesis is 51% to 49% this particular quarter, and going forward, like I would say, we are confident that we would be having a double-digit growth.

Keshav: And my second question would be like any upcoming CAPEX, would it be towards the custom

synthesis segment or to wards the API segment?
Nilima Prasad Divi: Well, I think the existing and the future capex th at we are planning currently is spread across the generics and custom synthesis. I would say, we are focusing on all the six growth engines simultaneously and the expansion plans are spread across all of them.
Moderator: The next question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha: I think I missed the number of 500-litres synthesizer that we have ordered. So, can you please share for the GLP-1 product?
Dr. Kiran S. Divi: If I am not wrong, we ordered about for commercial scale about two or three of them, but I think it is two or three. I will just check again, but to my knowledge it is about two.
Kunal Dhamesha: Which plant this would be housed in?
Dr. Kiran S. Divi: This will be in Unit-1. Like I explained, once we fi nish our pilot work, wh ich we have already have equipment of 50-litre reactors in, we will start doing commercial scale with the equipment we have. We don't need a large number of equipment for peptide. Once we run the pilot batches, then we will go ahead and buy further reactors based on the volume the innovator will be giving us.
Kunal Dhamesha: And sir, we will have the basic in fra ready, let's say if you want to order or install more capacity on this. So, do we have enough vacant production suite available in Unit-1 to rapidly scale up?
Dr. Kiran S. Divi: You're talking about GLP-1, right, the fragments?
Kunal Dhamesha: Yes.
Dr. Kiran S. Divi: These are skid mount units. So, there is enough space to put them in the plant.
Kunal Dhamesha: So, it doesn't require like footprint like the full finish line, etc., right, I mean these are more….
Nilima Prasad Divi: Can you please repeat it again?
Kunal Dhamesha: So, these are not like full finish line which requ ire proper fitment, etc., this can be moved around in the production area, is that what you are suggesting?
Dr. Kiran S. Divi: No. What I am saying is the unit comes as a skid mount unit, it's not that you have to build a whole block and then you have to put it at a certain place. These can be easily accommodated in a row.

Nilima Prasad Divi: And also, you need to understand like as we mentioned in the previous con calls most of our facility is a multi-purpose facility.
Kunal Dhamesha: Is it fair to understand that some of these innovator companies, scientists would be here at our precinct now helping us with the techno

logy transfer?
Dr. Kiran S. Divi: I am sorry I cannot comment about it.
Moderator: The next question is from the line of Tushar Manudhane from Motilal Os wal Financia l Services. Please go ahead.
Tushar Manudhane: If you could elaborate, given that the product mix, generics, custom synthesis, peptide also getting further higher contribution, so what kind of asset turn can be expected?
Nilima Prasad Divi: If we are looking at a very long-term horizon, then it is one-to-one is what we are expecting.
Tushar Manudhane: Currently, it is just 0.7, 0.6 if I am not wrong?
Nilima Prasad Divi: Yes.
Tushar Manudhane: So, with this Kakinada CAPEX specifically and with this API new products which would come in '26-27, so can that build up to one, is that the safe assumption?
Nilima Prasad Divi: I would say in a long-term, yes, that's a safe assumption to have in the next two to three years.
Moderator: The next question is from the line of Karthi k, an individual investor. Please go ahead.
Karthik: Can you please provide the physical progress of the Kakinada plant and are we on schedule for the commissioning and commercialization?
Nilima Prasad Divi: The Kakinada plant would be ready for commercialization towards the end of '24-25 but it would take time to like make it for the product to be approved going through all the regulatory requirements. So, if you want to really see the benefits from Kakinada plant, it would take another two years.
Karthik: Out of the addressable market, like as we were discussing, many products are going for losing of exclusivity by '25-26, what is the total addressable market which Divi's is seeing in the products which are going out of exclusivity, and are we ready to capture the market with the capacity which is available with us, in short notice w ill be able to cater those
Dr. Kiran S. Divi: If I have to answer this question, if you look at Divi's historically, whether we produce Naproxen, Dextromethorphan, we were not the first player to come in, we might have been the 25th player, in Valsartan, we were the last player, but today we hold large volume share because we start

from basic chemistry, we make our own raw materials, we make our own intermediates and we produce our own products. So, we only get into molecules that we are confident we will have a market share in it.

Karthik: What is related to the API pricing effect, how is the competitive intensity now and do we expect it to go down in the upcoming one year?
Dr. Kiran S. Divi: See, like I explained right, as of now, because of our long-term contracts with several of our customers, we're able to sustain market share and actually increase in a few cases, while our pricing pressure is still there. That's how the pricing pressure and with the increase in market share, we were able to maintain and balance generic performance. Now, that being said, when will the pricing stabilize? I wish to stabilize this today, but I don't have control on that. It should happen soon, we are hoping in the coming fe w quarters things shou ld slowly stabilize.
Moderator: Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to Mr. M Satish Choudhury for closing comments. Over to you sir.
M. Satish Choudhury: Thank you all for joining us today for the earnings call of Divi's Laboratories Limited. In case you need any further clarifications, please reach out to our investor relations. Thank you.
Moderator: Thank you, members of the Management. On behalf of Divi's Laboratories Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

November 15, 2024
To
The Secretary
National Stock Exchange of India Limited
Exchange Plaza,
Bandra-Kurla Complex, Bandra (East)
Mumbai – 400 051
Trading Symbol: DIVISLAB To
The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai – 400 001
Scrip Code: 532488 Dear Sir/ Madam,
Sub: Transcript of earnings conferenc e call held on Novembe r 09, 2024
Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosur e Requirements),
Regulations, 2015
We hereby submit the transcript of the earnings conference call for the quarter and half year ended September 30, 2024, held on November 09, 2024 at 15.00 Hrs. IST. The transcript is also available on the website of the Company i.e. www.divislabs.com , under the Investors Relations section.
This is for your information and records.
Thanking you,
Yours faithfully ,
For Divi's Laboratories Limited
M. Satish Choudhury
Company Secretary & Complianc e Officer

"Divi's Laboratories Limited's Q2 FY'25 Earnings
Conference Call"
Held on November 09, 2024 at 15:00 hrs. (IST)

MANAGEMENT : DR. KIRAN S. DIVI – WHOLE-TIME DIRECTOR & CHIEF EXECUTIVE OFFICER
MS. NILIMA PRASAD DIVI – WHOLE-TIME DIRECTOR (COMMERCIAL)
MR. L. KISHOREBABU – CHIEF FINANCIAL OFFICER
MR. VENKATESA PERUMALLU – GENERAL MANAGER (FINANCE AND ACCOUNTS)
MR. M. SATISH CHOUDHURY – COMPANY SECRETARY AND CHIEF INVESTOR RELATIONS OFFICER

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Earnings Conference Call of Divi's Laboratories Limited for Q2 FY2025.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. M. Satish Choudhury. Thank you and over to you, sir.
M. Satish Choudhury: Good afternoon to all of you. I am M. Satish Choudhury, Company Secretary and Chief Investor Relations Officer of Divi's Laboratories Limited. I welcome you all to the earnings call of the

company for the quarter and half year ended 30th September 2024.
From Divi's Lab, we have with us today Dr. Kiran S. Divi, Whole-Time Director and Chief Executive Officer, Ms. Nilima Prasad Divi, Whole-Time Director (Commercial) Mr. L Kishore Babu, Chief Financial Officer, and Mr. Venkatesa Perumallu, General Manager (Finance and Accounts).
During the day, our Board has approved unaudited financial results for the quarter and half year ended 30th September 2024 and we have released the same to the stock exchanges as well as updated the same in our website.
Please note that this conference call is being recorded and a transcript of the same will be made available on the website of the Company.
Also, please note that the audio of the conference call is the copyright material of Divi's Laboratories Limited and cannot be copied, rebroadcasted, or attributed in press or media without the specific and written consent.
Let me draw your attention to the fact that on this call, our discussion will include certain forward-looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations of future performance of the Company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Divi's Labs or its official does not undertake any obligation to publicly update any forward-looking statement, whether as a result of future events or otherwise. Now, I hand over the conference to Dr. Kiran Divi for opening remarks. Over to you, sir.
Dr. Kiran S. Divi: Good afternoon, everyone, and welcome to Divi's Laboratories Earning Call for the 2nd Quarter of the Financial Year 2025. It's a pleasure to speak with you today and to share an overview of our recent performance and progress we are making across various areas of businesses.

We are pleased to report that Divi's achieved significant revenue growth in the 2nd Quarter, reflecting the success of our efforts to harness expanding market opportunities. This growth comes amidst a significant shift in custom synthesis landscape, where we see an increasing demand from both existing and new customers.
Our strategy to diversify across portfolios is yielding favorable results and the impact of our previous investments and expansions are becoming clear.
We are not only expanding our market presence, but also reinforcing our reputation as a trusted partner in complex and high value green chemistry.
In the generic market, we are indeed facing some pricing pressure - an industry-wide challenge, but we are optimistic that this will stabilize in the near future. Despite of this, our emerging generic products continue to perform well, creating positive momentum that supports our overall generic business. Importantly, our future pipeline is robust with a range of generic products, advancing towards customer qualifications and regulatory approvals in the United States and Europe. We anti

cipate these products to start contributing to our revenues from 2026 onwards.
Our Contrast Media segment is another area of noticeable progress, where we are currently engaging with most of our key customers and our projects are moving through various stages from qualifications to commercial supplies. This strong engagement underlines our growing demand for our capabilities in contrast media and providing us with significant growth potential.
Within our Custom Synthesis division, we are seeing increased interest and engagement from our customers. The number of RFPs and onsite visits from our existing customers and potential customers has been steadily rising. With the focus on securing long term partnerships, that emphasize supply chain resilience and backward integration. Our approach in custom synthesis continues to be collaborative and forward thinking, ensuring we are well positioned to support the evolving needs of our customers.
In response to the wave of new peptide drugs, particularly those targeting GLP-1, we are making investments to expand our technical capabilities. We have established infrastructure dedicated to Solid Phase Peptide Synthesis (SPPS) and currently operating multiple 500-litre reactors. With the demand continuing to rise, we are now expanding our Solid Phase Peptide Synthesis facilities further.
On the technology front, Divi's has been successfully utilizing continuous flow chemistry technology. We have successfully applied this technology in our labs and at a pilot scale. Divi's is set to expand its use into commercial scale production in the next one to two years. This step not only

talks about enhancing our efficiency, but also reflects our commitment to innovation and advanced technology.
We are also excited to report that our Greenfield expansion at Unit-III is progressing well. This 200-acre project represents a significant step forward in our growth trajectory. With phase-wise

production activity expected to begin in December 2024, this facility will provide us with added capacity needed to support our growth and further extend our production capabilities.
In Q2, we have successfully concluded a USFDA inspection at our Unit-II facility in Visakhapatnam. This positive outcome reaffirms our commitment to the highest quality and regulatory compliance standards, underscoring our reliability as a global supplier.
Beyond our operations, Divi's Laboratories remains deeply committed to corporate social responsibility. We believe in contributing to the well-being and sustainable growth of the communities around us, particularly in Telangana and Andhra Pradesh where our manufacturing units are based.
This quarter, our community initiatives were centered around expanding access to primary healthcare in rural areas. We deployed mobile health screening vehicles to bring essential services directly to the rural populations, ensuring daily healthcare needs are met. We also supported the establishment of community healthcare centers conducted in school health checkup camps and extended assistance to several government hospitals in Visakhapatnam. These initiatives are aligned with our commitment to fostering healthier and more resilient communities around us.
Now, Ms. Nilima Prasad Divi will present you with the financial highlights of the 2nd quarter of the Financial Year 2024-25. Thank you.
Nilima Prasad Divi: Good afternoon, ladies and gentlemen. Thank you for joining us today as we gather to discuss Divi's Laboratories Operational and Financial Performance for the 2nd Quarter and the first half of FY'24-25.
I'm pleased to share that Divi's has achieved sustainable double-digit growth in the first half of this fiscal year. This is a testament to the resilience and dedication of our team as this growth has been realized despite significant logistical challenges, continued disruptions in red sea ha

ve impacted
global shipping lanes, with increased attack on commercial vessels prompting the routing of shipments via South Africa. This change has extended our transit times from around 45 days to approximately 70 days and raised associated logistics costs. In anticipation of these issues, we have been in close communication with our customers to plan shipments well in advance, ensuring that we meet their requirements with minimal disruption. Our commitment to efficient supply chain

management has been paramount in maintaining a steady flow of products to our customers even amidst these disruptions.
On procurement front, we have observed stability in raw material prices over the past six months. While the stability has been favorable, we are approaching it with caution as the market remain sensitive to developments in the Middle East and fluctuations in crude oil prices. A sudden shift in these factors could impact raw material costs and our teams are closely monitoring the situation. To mitigate the risks related to inventory management, we have adopted a proactive approach, by advancing shipments by three to four weeks, maintaining extended safety stock levels and diversifying our supply base, wherever feasible. These measures are designed to safeguard against potential supply chain disruptions and ensure that we can continue to meet our customer demand without compromising on quality or timeline. Our commitment to operational excellence and our strategic adaptability have been key in navigating the challenges of this first half of the year.
I will now present an overview of the financial performance for the 2nd quarter and first half of the Financial Year 2024-25. We have achieved a consolidated total income of ■2,444 crores for the current quarter as against the income of ■1,995 crores for the corresponding quarter of previous year and of ■2,197 crores of the immediate previous quarter of the current financial year. Profit before tax for the current quarter is ■722 crores as against ■469 crores for the corresponding quarter of previous year. Profit after tax for the current quarter is ■510 crores as against ■348 crores.
For the first half year, we have earned a consolidated total income of ■4,640 crores as against the income of ■3,854 crores for the corresponding half year of previous year. Material consumption remains at about 41% of the sales revenue for the first half of the current financial year. Profit before tax for the current half year is ■1,326 crores as against ■961 crores for the corresponding half year of the previous year. Profit after tax for the current half year is ■940 crores as against ■704 crores for the corresponding half year of previous year.
Exports for the half year is about 87% of the total sales revenue. Exports to Europe and United States combined are about 71% of the total sales revenue.
Product mix for generics to custom synthesis for the half year is 49% and 51% respectively.
We have a forex gain of ■28 crores for the current half year as against a gain of ■14 crores in the corresponding half year of previous year. Our constant currency growth for the half year has been at 21%.
Our Nutraceutical business amounted to ■406 crores for this half year.

We have capitalized assets of ■64 crores during the current quarter and ■124 crores during the half year. We have a capital work-in progress of ■1,316 crores as of September 30, 2024, of which Kakinada project accounts for ■1,006 crores. Total amount spent on Kakinada project till 30th September 2024 is ■1,181 crores. As of 30th September 2024, we have cash on book of ■ 3,602 crores, receivables of ■2,181 crores and inventories of ■3,145 crores. Thank you.
M. Satish Choudhury: Thank you, ma'am. With this, we would request the moderator to open the line for Q&A.
Moderat

or: We will now begin the question-and-answer session. Our first question is from line of Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: Dr. Kiran, you mentioned there are multiple 500-litre reactors right now in operations for your peptide projects, etc. So, can you elaborate a bit more like are you like close to supplies or it's still like some time before you will start supplying to your customers? And also, if you can mention whether you are just working on the solid-state peptide or you are also working on the liquid state peptide also?
Dr. Kiran S. Divi: So, as I explained before in the previous call, we have been in the peptide business for the last 14-years where we have developed protected amino acids and we have been supplying these to several innovators for them to produce their GLP-1s. Now, we have got into solid phase peptide synthesis and also liquid phase peptide synthesis, both to produce fragments. These are for tetramers, octamers, decomers and we are right now producing and they are undergoing qualifications then they have to go into filing. So, it will take some time before they totally commercialize. In terms of peptides, right now we are supplying the individual protected amino acids, while the qualifications are going on.
Damayanti Kerai: Approximately say in another 12 to 15 months, do you think supply can start for these products also?
Dr. Kiran S. Divi: We are hoping it would be sooner because the sooner we can get approvals we can sell, but all this depends on the regulatory bodies both in US, Europe, Japan, different countries. So, it completely depends on when we would get regulatory approvals.
Damayanti Kerai: My second question is on the generic business. You mentioned the future generic opportunities will start from '26 onwards. So, can you provide some color like how many new products you can launch under that bucket? And in terms of performance of the existing business, are you seeing pricing challenge across the board or it's particular to certain products only?
Dr. Kiran S. Divi: To answer on the steady generic business, we have like Naproxen, Gabapentin, Carbidopa, Levodopa, we are seeing pricing pressure across the board. It's not related to one segment or one therapy. We are seeing an overall pricing pressure and though volume wise, we have not lost any

volume. We have seen a volume-based growth on these products. But however, due to pricing pressure, sales on the generic side do not show what it has to be showing. Coming to your second question, the future generics, these are mostly products which are coming off patent from 2026 onwards and they're in various stages of qualifications with our customers both in US and Europe, some of them have filed their ANDAs and they are waiting for their approval from various regulatory agencies. Once they get their approval, we will start supplying them quantities.
Moderator: Our next question is from the line of Surya Narayan Patra from PhillipCapital (India) Private Limited. Please go ahead.
Surya N Patra: The first question is about the GLP preparations and our preparedness about it. So, you have already indicated a couple of times about your manufacturing capability in that; and the fragments what you have been dealing with now the technical grade things what you are talking about. So, with this, are you ready for the peptide blocks with a end-to-end capability or it will still be kind of a fragments and hence focus would be around that?
Dr. Kiran S. Divi: See, right now we are going by what the customer has requested us to do. Right now, our customers have shown interest in procuring fragments from us. So, if our customer wants end-to-end, we do have the capability to provide end-to-end, the final API. But, since this is a complete custom synthesis project, we would only abide by what the customer requires and wishe

s to procure from us.
Surya N Patra: This involves a kind of a complex or difficult chain of things in the API manufacturing or even the fragments manufacturing. So, could you share what could be the kind of a value potential of API or let's say the services that you are providing from the total API opportunity?
Nilima Prasad Divi: Can you please elaborate your question a bit more?
Surya N Patra: Yes, if the API opportunity is X, then our current capability what we are offering, that would be capturing what, around 60% 70% of the total API opportunity in the peptide blocks that I'm trying to understand.
Dr. Kiran S. Divi: In the peptide segment, we are very optimistic that we will be a major player in the long-term. Right now, we have just entered into the fragment manufacturing, and as time goes and as the custom

business on the fragment side keeps increasing, we will get lot of opportunities. As of now, we have good opportunities and a decent pipeline in it.

Surya N Patra: Sir, just last one, sense about the RFQs that you have indicated because there is a spike that we are witnessing for everybody, that is those who are present in the CDMO space, but while this is giving a kind of a great visibility and opportunity, since that is the trend for everybody, so what is the

likelihood of those RFQs getting converted into business and what timeline it generally takes for converting a RFQ into a business, so some sense on that would be helpful sir?

Dr. Kiran S. Divi: See, generally we get RFQs from several customers. They can either be in phase-I, they can be in phase-II, they can be in phase-III or ready to launch. It depends on what stage we are getting any RFQ at, and also based on regulatory approvals. It can be a new chemical entity completely or a new therapeutic category or they're going for a particular type of dosage. Now, all these, we have to go through regulatory approvals across all continents and once the approval process comes in, then the commercialization takes place. We have been in the business for the last 30-years on this and we have been dealing with RFQs. For us, it's not a trend, we have been in it for a long time. So, we know when the customer can see, whether it is looking promising or it is not looking promising or whether this molecule will go on fast track or is it something that will go on a slow pace because they are seeing some issues and they have to go back on the bench. So, there are a lot of factors to be involved before we can just put a number and say, okay in three years we will see something. It is hard to say on RFQs, it depends completely at what stage the molecule is at the innovator's end and how fast he is planning to take this molecule, and if the success rate is good.

Surya N Patra: Just one more about this ■650 to ■700 crore project. Could you update sir, what is the status of that project? Just one clarification. Whether the project is about an existing product or that we would be supplying, let's say, at the early stage or something like that, hence it is a dedicated project, if you can give some color on that?

Nilima Prasad Divi: Can you just repeat your question again please?

Surya N Patra: The ■650 to ■700 crore project dedicated one, what we are working on it, and it should be a kind of FY'27 opportunity, so the nature of the project whether it is that we have been associated with the customer for some early component and now it is getting converted into a kind of dedicated project or what is the nature of this?

Nilima Prasad Divi: The information we already shared is what we could actually share till even now, because we are bound by confidentiality not to share more information regarding that particular venture.

Moderator: Our next question is from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Nilima, just to confirm, you me

ntioned that the generic business is 49% of the revenue, right?

Nilima Prasad Divi: Yes.

Neha Manpuria: In the generic business other than the large APIs that we've been supplying, one of the strategies that we've talked about is increasing market share in some of the smaller APIs. Given the pricing pressure,

have we still been able to see success in sort of growing share in the smaller APIs to make it larger in size or has that process been slower because of the pricing environment?

Nilima Prasad Divi: I would say not just the larger molecules, but also the smaller molecules, all put together. I would say that this half year for the generic business, we have seen a good volume-based growth and it is 49% for the similar reason that in spite of having pricing pressures, we were able to sustain the generic business to that particular percentage.

Neha Manpuria: So, we are still seeing market share gains in the smaller APIs as well?

Nilima Prasad Divi: Yes.

Neha Manpuria: And when you say pricing should normalize in the near future, would this be in the next six months, one year, what according to you would be a good timeframe where we see pricing stabilizing for generic?

Nilima Prasad Divi: It is very hard to answer that particular question, but that is the hope that in the next six months to a year, we should see at least some stability with respect to the pricing pressure.

Neha Manpuria: My second question is on the Contrast Media. I think you mentioned that we're moving from qualification to commercial supplies. These are for the newer Iodine-based or the Gadolinium-based products, if you could give some color for which products are these, not the names because I remember you talked about some Gadolinium-based products also that we are working with innovators and when can we see commercial supplies for these?

Dr. Kiran S. Divi: So, on the contrast media, on the Iodine-based products, few of the molecules we are in qualification stages, and few of them we have already commercialized with our customers where we have even long-term contracts with them and as time goes, the volumes will increase even with them. So, that

answers the Iodine-based products. Coming to Gadolinium compounds, we are still in qualification stages with our customers and we hope in the next one to two years, we will be commercializing on them.
Neha Manpuria: These are a lot of Gadolinium compounds or a few of them?
Dr. Kiran S. Divi: As of now because we have CDAs with several customers, I can just say that we are working quite a bit with a lot of customers on several compounds. I would leave it there.
Moderator: Our next question is from the line of Abdul Kader Puranwala from ICICI Securities. Please go ahead.

Abdul K Puranwala: My first question is with regards to your GLP products. So, just wanted to understand, are you trying to target a basket full of products or these are quite specific products what you're doing for your customers currently?
Dr. Kiran S. Divi: As of now GLP compounds, we are only manufacturing specific to what customers require. Every molecule is different. Okay. Some might be a 40-chain amino acid where the amino acids are in a particular line. So, what we are doing is we are manufacturing fragments for them, based on whichever fragments they decide to source from us. A fragment can be an octamer, decamer whichever one they prefer to buy from us. We are not looking at the generic side. So, we are not producing different octamers or different decamers or APIs and keeping it ready. We are strictly looking it as a CS business at this point.
Abdul K Puranwala: If you could help us with the quantification, I mean what would be the kind of investments you would have done so far, would that be possible for you to quantify?
Dr. Kiran S. Divi: At th

is point, it would be difficult to quantify because our investments are still ongoing with the increase in demand we are investing, but yes, we are expanding our capacity in this product. So, it would be difficult for me to quantify it.
Abdul K Puranwala: One final is on the generics business to understand about the pricing pressure. But in terms of the volumes could you please highlight in the things which are the products where there is a volume growth? And lastly, if you could quantify the volume growth for this particular quarter would be helpful?
Nilima Prasad Divi: I would say most of our generic products, we did have a good growth in most of our key products which we have been having quite a substantial market share where we are the leading market share we did have a very good growth, which is a volume-based growth which is almost like a double digit growth that I would say, but beyond that, I don't think I can’t be more specific about product wise.
Abdul K Puranwala: And how about the volume growth for the quarter?
Nilima Prasad Divi: That's what I just mentioned. It's the similar situation across the quarter as well.
Moderator: Our next question is from the line of Vivek Agarwal from Citigroup. Go ahead.
Vivek Agarwal: Kiran sir, you have alluded that you are working on both solid phase peptides and liquid phase peptides. So, just want to understand that you working for only one innovator with these two technologies or you are working with the different innovators?

Dr. Kiran S. Divi: With regards to peptides and fragments, we are working with several customers and each one has their own requirements in terms of fragments, in terms of the chain, whether they want octamers, decamers, or purification. Whatever the customer requires we're producing. But, in simple words we are working with several customers.
Vivek Agarwal: And you are working with the projects which are already commercialized, right, if I understand correctly?
Dr. Kiran S. Divi: We are working with customers who have projects already commercialized, we are working with customers who are in phase-III, phase-II. So, we have a pipeline which is working right now.
Vivek Agarwal: Second question is you highlighted that you are operating multiple 500-litre reactor. So is it possible for you to quantify what is the current capacity that you have for solid phase peptide synthesis and over the next couple of years, how much capacity you plan to add although you are not quantifying the investments, but if you can quantify in terms of capacity of solid phase peptide synthesis, that would be helpful.
Dr. Kiran S. Divi: In terms of capacity, because we have confidentiality agreements where we have procured reactors based on product specific for a customer, I'm not at liberty to talk about capacities. I can just talk about my general plant. I have a few 500-litre reactors which I'm using it for qualifications, but product specific whichever I'm working for customers I cannot discuss, I'm sorry.
Vivek Agarwal: Is it fair to assume that given that you are working with innovators in the GLP-1, you will not work for the generics or you are still interested in the generic opportunity as well that may open in 2026-27.
Dr. Kiran S. Divi: As of now, our focus is on custom synthesis in peptide business because all the GLP-1s are right now

still under patent and we are focusing more in that segment.
Vivek Agarwal: This is related to contrast media. In the previous call, you talked about that you are seeing a strong demand and expanding the capacity for one or two of your products, right? So, is it possible again here that how much the volumes can increase as far as the contrast media is concerned over the next two to three years?
Dr. Kiran S. Divi: So, in contrast media, we have several customers, you know who are the big players, it's nothing secret and

some of them we are undergoing qualification, some of them we have commercialized.
And while commercializing, it is a long-term contract with year-on-year increase in volume. So, it's hard to say that. I would say about year-on-year, we would have a 20% to 30% increase in volume would be a fair statement.

Moderator: Our next question is from line of Bino from Elara Capital. Please go ahead.
Bino: Just two quick questions from my side. One, if I look at in the consolidated other expenses, I see it is flat or maybe slightly down YoY. What has helped us there?
Nilima Prasad Divi: Can you please repeat the question again? It wasn't clear.
Bino: I was looking at the other expenses and the consolidated P&L, it is flat YoY or slightly down. What has helped us there?
Nilima Prasad Divi: What you have seen is mainly because we implemented a lot of green chemistry and we have improvised a lot on the efficiency front and also the backward integration that we went into. So, I think it's a culmination of all the factors that have taken into consideration that you are seeing slightly lower other expenses.
Bino: So, it's going to be like this for the near future?
Nilima Prasad Divi: Yes, I would say approximately in the similar lines.
Bino: And what would be the total CAPEX all put together this year?
Nilima Prasad Divi: I would say including Kakinada and everything put together, another ■1,000 crores is what we are assuming.
Bino: That takes it to around ■1,600 crores?
Nilima Prasad Divi: Yes.
Bino: For next year, a year after, I mean, I'm not asking for an exact guidance or something, rough, would CAPEX be in similar lines or significantly lower than that?
Nilima Prasad Divi: The thing I would say that the CAPEX is an ongoing thing; and as and when our CS projects are finalized and expansion plans going ahead, the CAPEX would keep on adding to it and we would be bringing it to the notice as and when we feel that there is going to be substantial CAPEX that's being invested in the organization.
Bino: But my question is coming from the perspective that usually your CAPEX till last year was I think around ■700 crores or so every year. This year it just shot up. Next year, would it normalize based on your visibility as of now?

Nilima Prasad Divi: This year it has shot up mainly because of the Greenfield project that we have installed at Kakinada. And as you know, there's a huge difference between a Greenfield expansion and a Brownfield expansion. A Brownfield would have other services such as warehouses or your boiler facilities. Everything is united at one place, whereas for Greenfield everything has to be set up from start. So, definitely the CAPEX expansion would definitely be larger when it is a Greenfield. From the next year, because it's going to be Brownfield expansion, it's going to be slightly lower than what it has been this year, unless there is a huge opportunity that we would be seeing, it would require again a massive investment.
Moderator: Our next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.
Shyam Srinivasan: Just the first question is on Unit-III. I think in the opening remarks, you mentioned about December 2024. I couldn't get it. So what happens in December 2024 -- is it where the unit gets ready for inspections or it's ready for commercialization, if you could elaborate? What could be the subsequent steps that we can track from a milestone perspective on Unit-III?
Nilima Prasad Divi: So, the Unit-III we are planning to commence production from December 2024 and it would be in a phase-wise manner wherein we would start initially a certain block and as and when they are picking up and other blocks are coming to completion, they would also start getting to the production line, but the starting wo

uld happen in the December of 2024.
Shyam Srinivasan: Nilima, maybe I'm wrong, but I remember we were doing some intermediates, some backward integration in Unit-III already, right, like may be six or nine months back I know which didn't require

inspection. So that will stop, is it
Nilima Prasad Divi: We haven't started any production in Unit-III as of now. I mean, I don't remember mentioning that in any of the calls, because it is a Greenfield and the construction was still going on. Kakinada is going to be a combination of multiple things and certain regulatory requirement and non-regulatory requirement products maybe planned over there. But as of now, there is no production happening over there, if that's what your question is.
Shyam Srinivasan: And when do you expect like a reasonable amount of utilization for this particular unit-III for phase-I?
Dr. Kiran S. Divi: So, Unit-III will start in December in a phase-wise manner. We think about in the next six to seven months, we will use complete phase-I. Since we have to search for regulatory approvals which will take time. We will do some backward integration over there and free up capacity at our regulatory units where we can produce additional products; and then in the meantime we will see as and when the products will get approved for regulatory inspections for Unit-III.

Shyam Srinivasan: Second question quickly is on this number. QoQ we have seen like a 10% revenue increase, Q2 versus Q1, but our gross margins have kind of declined. Like material cost, I think Nilima, you called out at 41% versus 40% in Q1. So, anything that has changed, is it the generic pricing pressure that is leading to this, any qualitative color please?
Nilima Prasad Divi: I would say generic pricing pressure would play a role in that, but that's not the complete scenario. We would normally, as an organization, say not to look at quarter-on-quarter, but to look at complete year because there could be lumpiness happening in one particular quarter whereas the other quarter would have a downside, another quarter would have an upside based on the shipments and the customer requirements, when the shipment should take place. So ideally speaking, we would say look at the whole year rather than looking on quarter-on-quarter.
Shyam Srinivasan: And versus fiscal '24, you think things have changed on just the material cost angle, are we getting better or worse?
Nilima Prasad Divi: The material cost actually has stabilized. I mean, if you see my previous year's investor call, there would be information that the material cost has been rising. Right now, what we see is like downward trend and stabilizing trend. So, we are hoping this year it would be a stable material cost.
Moderator: Our next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane: Sir, just on these peptides again, so have we commercialized the liquid phase for the peptides?
Dr. Kiran S. Divi: We have been there for a long time on the liquid phase peptide synthesis. What we have introduced in the last one year and we have been working on is solid phase peptide synthesis and we are working only on custom synthesis projects. So, it's based on whatever the customer requires; if he prefers us to make in liquid phase, we will make it in liquid phase, if he wants us to go by the solid phase peptide synthesis, we will produce in that model.
Tushar Manudhane: With respect to this Unit-III, this is for like custom synthesis, generics, peptides, if you want to call out in terms of what kind of products we manufacture?
Dr. Kiran S. Divi: I didn't understand your question. I'm sorry.
Tushar Manudhane: At Unit-III, the one which is going to start the production, if you could call out like segment-wise, this unit-III will have more of the generics or the custom synthesis

or these peptides products?
Dr. Kiran S. Divi: It will be a mix of everything. Like I explained previously, initially we will be producing certain backward integrated products, to free up capacity in our existing plants so that regulatory products

can jump in, while we will be qualifying regulatory products here too. So, it is a product mix like we have Unit-I and Unit-II.
Tushar Manudhane: And lastly, maybe even just a clarification. This contrast media product segment, so we put it under generics or custom synthesis?
Dr. Kiran S. Divi: It depends on the molecule. We have certain molecules which are under custom synthesis and certain molecules which will come under generics. It depends on whom we are selling to. It also depends on whose process is it, is it the innovators process or is it our own process.
Moderator: Our next question is from line of Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha: One of the GLP-1 for the project that we are doing for the already commercialized product, would you say the projects that we are getting are more of a supply chain derisking or would it be more like incremental supply that the innovators are seeking because some of these GLP-1 molecules which used to be on sorted lists, have been removed from FDA sorted lists and given that we'll be qualifying maybe a year later, what's your take on this?
Dr. Kiran S. Divi: So, like I explained right, it depends on what the customer strategy is, whether he's derisking the

model, whether he wants to have increased capacity because of the demand in the market, because we are working with several GLP-1s and also with several products which are in phase-II and phase-III. So, we do not know the customer strategy and clarity. Of course, as for volume, we would like to take the maximum volume and the maximum benefit being a strong player in CS. So, as of now, we are seeing good opportunities and good demand.

Kunal Dhamesha: The related question is for the Unit-III. Since it's starting in December, would it have a lot of fixed operational cost to start with and as and when we kind of ramp up gets basically leveraged. How should we think about that, for the first full year, would it be like a breakeven, in first full year EBITDA level or -?

Nilima Prasad Divi: Can you please repeat the question again?

Kunal Dhamesha: So, Unit-III will be operationalized in December, right? So, it will start with some fixed operational cost, right, which will be utilized over a period of time as the revenue ramps up. So, what is your timeline to EBITDA breakeven for this unit for the Phase-I commercialization?

Dr. Kiran S. Divi: It will slowly scale up. Like I explained to you, right now we will be producing certain backward integrated products while we're undergoing qualifications for certain products; and we have to go through regulatory approvals for commercial supplies. So, it will take time before we can stabilize phase-I of Kakinada.

Moderator: Our next question is from the line of Anubhav Agarwal from UBS. Please go ahead.

Anubhav Agarwal: One question I just want to understand. On the generic side, you made a comment that on the price reversion. Trying to understand what's causing this price reversion because my sense is that most of the molecules you are supplying, have been manufacturing for a very long time, you have a very large market share. So is it high inventory at the customer level, basically I'm doubting that there will be new approvals which is causing the price reversion. Can you elaborate on the generic segment here?

Dr. Kiran S. Divi: If you hear from my previous calls, there is lot of inflation globally where there's a huge pressure either to drop the prices to make the medicines more affordable and is passed on to our customers from the government

agencies, which is coming to us. So, it's not that there are new approvals. Of course, some customers may want to venture in, they will qualify us. So, the volumes are growing. So, on the volume base, we have increased our sales volume, but on a pricing pressure, the pressure seems to still continue and we are just hoping it will normalize soon.

Anubhav Agarwal: Second clarity. I think Nilima mentioned about that advancing shipment by three to four weeks to take care of the logistic issue. Just trying to understand this more. Since when you would have done this this quarter, or the last two or three quarters you've been doing it? That's one question here. Second is, what does it mean -- the customer is holding a month inventory higher here?

Nilima Prasad Divi: It is, you can say this quarter we've been proactively planning and we are advancing the shipments of our customers as well as our suppliers, not just our customers, the material we are holding at our end. The customer shipments are taking much more longer because of the red sea crisis because it needs to go around Africa and because of that we are looking at something like a 70-day shipping period. So, definitely we need to advance it by a few weeks.

Anubhav Agarwal: Would it have led to you guys getting benefit of this in terms of extra sales in this quarter or would this still be in transit and not booked as revenue this quarter?

Dr. Kiran S. Divi: No, this is not that, we have advanced the shipments. The shipments have been planned according to customer requirements and have been sent. It is not sending material in advance and stocking at the customer end. The customer is also using it just in time.

Moderator: Our next question is from line of Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: Two questions. Among your top five products, what is the mix of custom synthesis and generic mix because you give around 40%, 45% is from your top five products as per the annual report.

Nilima Prasad Divi: I wouldn't talk about my top five products generic and custom synthesis because there's a lot of confidentiality as well sitting there. But I would say in general, in my complete portfolio, we would have a 49 to 51.

Lakshminarayanan: In terms of the GLP-1 products, do we intend to supply to generic firms as well, and if so, what is the opportunity you see in the next three to five years supplying not to the innovator but to the generic firms?

Dr. Kiran S. Divi: Right now, we are concentrating on custom synthesis projects on GLP-1. There are huge opportunities for us lined up and also a lot of molecules are in phase-III and then we are looking at various other new opportunities. We are not looking at generic peptide APIs at this point.

Lakshminarayanan: In the generics, can you just quantify the revenues coming from the products we are supplying only

in the last three years and removing the Dextromethorphan, things like that, what is the mix of revenues there?
Nilima Prasad Divi: It's not something that we have calculated and kept ready for the con call, but I would say it is quite substantial if I have to say the top five.
Lakshminarayanan: No, I'm saying the products that have been launched in the generics in the last three to five years, you're saying it's a substantial portion of our generic sales?
Dr. Kiran S. Divi: To answer this question, generics we always look at when we do our numbers, we look at generics as one portfolio, we have never broken it down to future generics, generics recently launched. So, it would be very difficult for us to substantiate it. All what Nilima is trying to say is that we have gained decent to better market shares in those molecules which we have launched in the last two to three years and we are growing in them with the qualifications and going forward.
Moderator: Our next question is from t

he line of Dikshan Mulchandani from DB Wealth. Please go ahead.
D Mulchandani: The first question is really on, if I were to track you and find the right metrics to judge you by, what are the things that we are looking in the future that we should really be focusing on? This is regarding the… -
Nilima Prasad Divi: Can you please repeat the question?
D Mulchandani: What are the right metrics that you would like us to track you as you mentioned to track you from an H1 perspective to H2 perspective as we are doing more launches, what are the key things that we should be looking forward?

Dr. Kiran S. Divi: So, if I understand your question correctly, like I explained in my previous calls, we have the six growth engines in place, right from our existing business generic products which we are maintaining them quite stable and then increasing it in growth in terms of volume, we also have our Sartan business, which is growing steadily. Our future generics, which are ready to be launched from 2026 and we are undergoing various stage of qualifications with our customers and we are gearing up a launch from 2026, some are going to be launched in '27-28 all the way to '29. Apart from that, we are working on the next set of molecules for them to come off patents.
D Mulchandani: Regarding these launches that we are having in 2026, what we have alluded in the previous con calls some products are going off-patent and we'll be able to do on generics, can you share some particular drugs that we can think and look at right now?
Nilima Prasad Divi: Can you just repeat your question once again?
D Mulchandani: In the previous con calls, you had mentioned and even in this one that in 2026 we will be launching more drugs and these drugs would also be drugs which were previously patented and are coming off patents and we are going to go on generics as well. So, could you just give us some key drugs that we are focusing on right now so that it would be easier for us to track it?
Dr. Kiran S. Divi: Typically, I would not like to disclose these drugs. The only one I can talk about is what I spoke last time is Ticagrelor which is coming off in 2026. But, we have several other molecules coming out in '27, '28 and '29. That's all I would answer right now.
D Mulchandani: Just one last follow up is on the Ozempic drugs that we have been working on, can we really talk a little bit more on the GLP-1?
Dr. Kiran S. Divi: I'm extremely sorry. Due to confidentiality, I cannot talk about a drug or a product because you're mentioning a particular name and I'm not at the liberty to answer that question.
Moderator: Ladies and gentlemen, in the interest of time, that was our last question for the day. I would now like to hand the conference over to Mr. M Satish Choudhury for closing comments.
M. Satish Choudhury: Thank you all for joining us today for the earnings call of Divi’s Laboratories Limited. In case you need any further clarification, please reach out to our investor relations. Thank you.
Moderator: On behalf of Divi’s Laboratories Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

February 07, 2025
To To
The Secretary The Secretary
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Phiroze Jeejeebhoy Towers,
Bandra-Kurla Complex, Bandra (East) Dalal Street
Mumbai – 400 051 Mumbai – 400 001

Trading Symbol: DIVISLAB Scrip Code: 532488

Dear Sir / Madam,

Sub: Transcript of earnings conference call held on February 03, 2025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015

We hereby submit the transcript of the earnings conference call for the quarter and nine months ended December 31, 2024, held on February 03, 2025 at 15.00 hrs. (IST). The transcript is also available on the website of the Company i.e. www.divislabs.com , under the Investors Relations section.

This is for your information and records.

Yours faithfully,
For Divi's Laboratories Limited

M. Satish Choudhury
Company Secretary & Compliance Officer

“Divi's Laboratories Limited
Q3 FY25 Earnings Conference Call”
February 03 , 202 5
.

MANAGEMENT : DR. KIRAN S. DIVI – WHOL E-TIME DIRECTOR AND CHIEF EXECUTIVE OFFICER – DIVI'S LABORATORIES LIMITED
MS. NILIMA PRASAD DIVI – WHOLE -TIME DIRECTOR (COMMERCIAL) – DIVI'S LABORATORIES LIMITED
MR. L. KISHORE BABU – CHIEF FINANCIAL OFFICER – DIVI'S LABORATORIES LIMITED
MR. VENKATESA PERUMALLU – GENERAL MANAGER (FINANCE AND ACCOUNTS) – DIVI'S LABORATORIES LIMITED
MR. M. SATISH CHOUDHURY – COMPANY SECRETARY AND CHIEF INVESTOR RELATIONS OFFICER – DIVI'S LABORATORIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Conference Call of Divi's Laboratories Limited for Q3 FY '25. As a reminder, all participant lines will be in the listen -only mode, and

there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. M. Satish Choudhury. Thank you, and over to you, sir.
M. Satish Choudhury: Good afternoon to all of you. I am M. Satish Choudhury, Company Secretary and Chief Investor Relations Officer of Divi's Laboratories Limited. I welcome you all to the earnings call for the company for the quarter and nine months ended 31st December 2024.
From Divi's Labs, we have with us today, Dr. Kiran S. Divi, Whole -Time Director and Chief Executive Officer; Ms. Nilima Prasad Divi, Whole-Time Director (Commercial); Mr. L. Kishore Babu, Chief Financial Officer; and Mr. Venkatesa Perumallu, General Manager (Finance and Accounts).
During the day, our Board has approved unaudited financial results for the quarter and nine months ended 31st December 2024 and we have released the same to the Stock Exchanges , as well as updated the same in our website.
Please note that this conference call is being recorded and a transcript of the same will be made available on the website of the Company . And also , please note that the audio of the conference call is the copyright material of Divi's Laboratories Limited a nd cannot be copied, rebroadcasted or attributed in press or media without the specific and written consent.
Let me draw your attention to the fact that on this call, our discussion will include certain forward -looking statements which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations of the future performance of the Company .
Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Divi's Labs or its official does not undertake any obligation to publicly update any forward -looking statement, whether as a result of future events or otherwise.
Now I hand over the conference to Dr. Kiran Divi for opening remarks. Over to you, sir.
Dr. Kiran S. Divi: Good afternoon, everyone. And welcome to Divi ’s Laboratories earnings call for the third quarter of the financial year 2025. As always, its a pleasure to connect with you and share updates on our performance and key developments from the past quarter. This quarter has been another step forward in the positive momentum we have built over the last few periods.
Divi's has continued to deliver steady growth in both revenue and operations, driven by our focused efforts to capitalize on emerging opportunities in the generic and CDMO segments.

The custom synthesis business remains highly dynamic and we are excited about the new opportunities it presents.
Our long-standing relationship with customers combined with our technological expertise , positions us uniquely in this space. We are witnessing a rise in customer engagements . reflected in an increased number of RFPs and on -site visits. The benefits of our past investments and capacity expansions are becoming more evident, reinforcing our position as a trusted partner for complex, high -value and sustainable chemistry solutions.
We are also actively involved in multiple new projects at different stages of the product life cycle and will continue collaborating closely with customers to develop innovative solutions tailored to their evolving needs.
In our generic business, despite the ongoing price pressures affecting the industry, we have maintained stability, while we expect this pressure to gradually ease as we continue to strengthen our overall performance.
Looking ahead, as we approach a wave of patent expirations, we anticipate that our additions to our generic portfolio will play a crucial role in driving future growth. Our Nutraceutical division continues to gain market share. Our efforts in deriving production efficiencies and introducing new value product aligned with our long-term vision to establish a strong presence in this growing market.
A significant milestone this quarter has been the commissioning of part of Phase I of our Unit 3 facility near Kakinada, which went into commercial production from January of 2025. Our on-going investments in backward integration and capacity expansions have started yielding results, particularly with the initiation of starting materials and registered starting material manufacturing at Unit 3.
This strategic development allows us to respond more efficiently to customers' needs , while

strengthening our competitive edge. We believe that Divi's Laboratories will keep ahead in the right direction, balancing business growth while making meaningful contributions to society.
Over the years, we have worked diligently to bridge the education gap in rural areas surrounding our manufacturing units. In Q3 alone, we reached out to more than 27,000 students across 137 schools in Telangana and Andhra Pradesh. We are promoting education by providing better amenities, nutritious food and drinking water in these schools. We have also focused on renovating schools and facilities , conducting regular health camps and offering scholarships to meritorious students to make quality education accessible to everyone.
As we move forward, our focus remains on operational efficiency, strategic investments and deepening customer partnerships. With a strong pipeline, expanding capabilities and commitment to innovation, we are confident in our ability to sustain long -term growth and create value for all stakeholders. Thank you for your continued trust and support.

Now, Ms. Nilima Prasad Divi will present with you the financial highlights of the third quarter of the financial year 2024- 25. Thank you.
Nilima Prasad Divi: Good afternoon, ladies and gentlemen. Thank you for joining us today as we review Divi's operational and financial performance for the third quarter of financial year 2024 -2025. It is always a pleasure to connect with you and share insights into our progress over the past few months.
I'm pleased to announce that our Phase I G reenfield project at Unit 3 facility in Kakinada commenced commercial operations in January 2025. This milestone marks a significant step forward in our expansion strategy with the facility also manufacturing starting materials. The launch of this unit strengthens our backward integration effort, enhances supply chain resilience and expands our manufacturing capabilities to better serve our global customers. With this development, we not only reinforce our position as a trusted industry partner, but also lay a strong foundation for future growth. On the procurement front, raw material prices remained stable throughout the third quarter with no major disruptions in the availability. However, given the dynamic nature of the global markets, we continue to take a proactive approach to risk management.
Our team constantly monitors macroeconomic trends and geopolitical developments to anticipate potential challenges. To further safeguard our operations, we have strengthened supplier diversification and maintained a strategic inventory buffer where necessary ; ensuring continued operational efficiency despite fluctuations in supply and demand.
Moving on to trade and logistics. We have observ

ed a gradual easing of supply chain pressures in recent quarters. However, disruptions in Red Sea and port congestion posed challenges during Q3, leading to delays and increased costs as vessels were routed via South Africa. Additionally, the surge in demand for air cargo further strained on global transportation networks. Despite these headwinds, our logistics team acted swiftly and effectively by securing container bookings in advance, collaborating with reliable freight partners and closely tracking geopolitical and shipping conditions.
Their efforts ensured minimal impact on deliveries, enabling us to support our customer production schedules and uphold our reputation for reliability. Encouragingly, the overall logistics environment is showing signs of stabilization. With the recent ceasefire agreement in the Middle East, there is cautious optimism that key trade routes will return to shorter, more efficient pathways.
As carriers adjust their networks and increase shipping frequency, freight rates are expected to normalize, further alleviating the logistics constraint. Our robust logistics strategies and operational agility position us well to meet evolving customer needs while ensuring uninterrupted business continuity.

I will now present an overview of the financial performance for the third quarter of the

financial year 2024 -25 and for the nine month s period ended on December 31, 2024. We have achieved a consolidated total income of ■ 2,401 crores for the current quarter as against a total income of ■1,915 crores for the corresponding quarter of previous year.
Profit before tax for the current quarter is ■ 726 crores as against ■ 489 crores for the corresponding quarter of previous year. And the PAT for the current quarter is ■589 crores as against ■358 crores for the quarter of last year.
For the nine month s period, we have earned a consolidated total income of ■7,041 crores as against the income of ■ 5,804 crores for the corresponding nine months period of previous year.
Material consumption continues to remain at 40% of the sales revenue for the nine months period of the current financial year.
PBT for the current nine month s period is ■ 2,052 crores as against PBT of ■1,450 crores for the corresponding nine months period of previous year. PAT for the current nine month s period is ■ 1,529 crores as against ■ 1,062 crores for the corresponding nine months period of previous year.
Please note that the company has decided to exercise the option to avail the new tax regime under Section 115BAA of Income Tax Act 1961 from the current financial year. Accordingly, the current tax expense and the deferred tax expenses are estimated for the nine months ended 31st December 2024, and for the quarter ended on that date. We have a Forex gain of ■38 crores for the current nine month s period as against a gain of ■ 32 crores in the corresponding nine month s period of the previous year.
Our constant currency growth for the nine month s period has been at 22%, whereas it is negative 10% for the corresponding period of nine months of previous year. Exports for the current nine -month s period continues to be at 87% of the total sales revenue. Exports to Europe and U.S. are at 72% of total sales revenue for the current nine months period. Product mix for the generics to custom synthesis for nine month s period of the current year is 48% and 52%, respectively.
For the current quarter, the product mix for generics to custom synthesis is 47% and 53%, respectively. Our Nutraceutical business amounted to ■ 576 crores for the current nine months period and ■ 170 crores for the current quarter. We have capitalized assets of ■ 433 crores during the current quarter which comprises assets of ■ 417 crores of Kakinada project.
We have a capital work in progress of ■1,157 crores as of December 31

, 2024, of which Kakinada project accounts for ■745 crores. Total amount spent on Kakinada project, including assets capitalized till December 31, 2024 is ■1,340 crores.
A part of Kakinada project Unit 3 commenced commercial operations. Implementation of the rest of the Kakinada project is progressing well and is expected to be operational in about 6 months. As of December 31, 2024, we have cash on books of ■3,659 crores, receivables of ■2,366 crores, and inventories of ■2,986 crores. Thank you.

M. Satish Choudhury: Thank you, Madam. With this, we would request the moderator to open the lines for Q&A.
Moderator: The first question is from the line of Meet Katrodiya from Niveshaay.
Meet Katrodiya: So I have only two questions. First question on the side of contrast media. So could you provide an update on the -- any latest developments in the contrast media segment? Specifically how are you positioning Divi's against the competition? What kind of traction are you witnessing in terms of client adoption and market growth?
Dr. Kiran S. Divi: Sure. On the contrast media, there are 2 segments we follow. One is Iodine -based compounds, the second one is the Gadolinium compound, which we are working on. Okay. So on the contrast media side, we are working with most of the innovators. We are at different stages where we are working with them. In some cases, we are undergoing qualifications, some of the products qualifications have already started. And some of the products we are in commercial discussions. So these are at different stages right now. And we believe that we will be very strong in Iodine -based contrast media products.
Coming to Gadolinium compounds, right now, we are working with several innovators where the molecules are still being developed. There are new technologies that are coming out. So these are at different stages. And as and when we get -- our customer gets regulatory approvals or the next Phase II or Phase III or whichever stage they are, we will be joining the journey with them.
Meet Katrodiya: Next question is related to tariffs. So considering the potential for the changes in U.S. trade policy, particularly around tariffs under Trump's influence, what risks do we foresee for this in

terms of cost structure, supply dynamics and overall export? Like also how are you mitigating this risk?

Nilima Prasad Divi: Can you be slightly more elaborate in your question?

Meet Katrodiya: I want to know that what are the risks related to tariff if the Trump government has came right? So do we face any issue in the supply chain dynamics or how are we seeing this issue? Or also do we take any steps going forward?

Nilima Prasad Divi: So, as of now, we haven't seen any tariffs for India. So I don't think we are having anything to worry about at this point in time. And as and when it comes, we would be taking proper strategic decisions concerning that. And also, we are exporting to Europe, and that also would add to our advantage.

Moderator: The next question is from the line of Neha Manpuria from Bank of America.

Neha Manpuria: My first question is on Kakinada. I think you mentioned that we have partly commissioned this facility and the full commissioning would be 6 months. Just wanted to understand how we think about ramping up the capacity, given it will take some time to get necessary approvals from regulatory bodies. So when should we start expecting this facility to contribute or start the cost impact to sort of get neutralized because of the revenue ramp up, just the progression of that, please?

Dr. Kiran S. Divi: Sure. So Kakinada, we are implementing it on a phase wise. And like you said, in the next 6 months, Phase I should be commercialized. As you know, this is the greenfield side where we just sta

rted manufacturing operations over there. So we will bring our -- initially as a policy, we have brought in our starting materials from Unit 1 and Unit 2. Thereby, we have emptied capacities in Unit 1 and Unit 2, which are from GMP plants.

These capacities will be used for our existing opportunities where we see a growth. As and when Kakinada in a phase -wise go through validations, go through customer approvals and then through submissions and filings, we will then see regulatory products being made there.

Neha Manpuria: So is it fair to assume that because we are bringing -- starting materials to this, there won't be a necessary negative impact because of the facility getting commissioned in terms of the operating cost that will come through once this is fully ramped up?

Nilima Prasad Divi: There would definitely be no negative impact on the facility being ramped up. Yes.

Neha Manpuria: Okay. Okay. My second question is on the custom synthesis. We have been seeing strong growth in the segment for 5 to 6 quarters now. As we look at our pipeline, how should we think about the next stage of scale up in this business? Are there any milestone that we need to watch out for where you think some of our projects become -- the projects which are there in the pipeline become larger and we move from the run rate that we have for the last few quarters of between ■1,000 crores to ■ 1,200 crores, ■1,300 crores, that stepping up to the next level? How should I think about that?

Dr. Kiran S. Divi: In custom synthesis, Divi's has always been a major player and we have several opportunities like I've explained even in my speech and previous calls. We have several opportunities either in Phase III, some are being commercialized. Some are in -- validations are going through.

We're getting into the part of our customers' filing. So there are several opportunities which are in place, and we see them very promising.

We have several -- because of our long-term relationship with several of our customers and our commitment to on -time supply and being a trustworthy supplier, we are seeing several opportunities, RFPs, late life cycle management coming our way. And Divi's is proactive in all these opportunities. So , to answer your question, we are very active on the CS side of the business, along with being active on the generic side, too.

Neha Manpuria: And is there any milestone that I need to watch out for, sir, in terms of new projects coming through, say, we have a big project coming in that will start contributing in 2 quarters down, 3 quarters down that we need to be mindful of?

Dr. Kiran S. Divi: See, this would be very difficult for us to say because this depends on regulatory approvals, right? So , we have to see when the U.S. FDA will approve, when EU GMP will approve , or you know the country we are selling to has to approve. So this is something that we cannot commit or say. But all I can say is we are active on several projects. And as and when we know something and we are at the liberty to announce, we will announce them.

Moderator: The next question is from the line of Surya Narayan Patra from PhillipCapital
Surya Narayan Patra: Congrats for the good set of numbers. Sir, my first question is about the Kakinada site. So you have already -- said about the kind of likely progression in that. Sir, the point is also about the Nutraceutical business. So that has been seeing a kind of a stagnated momentum in the recent past because of the capacity constraint and all. And it was believed that this Kakinada site is likely to provide some fill into that. So hence, what is the kind of way forward there that we would see for Nutraceutical s?
And what growth, hence, one should think about this business segment, which has been kind of one of the core but not been growing at a kind of -- or growing at a kind of lim

ited pace?
Nilima Prasad Divi: Yes. The Kakinada site mainly is looking at a lot of backward integration at this point in time, a part of the Phase I. And definitely, Nutraceutical s is also a part of it. And once it is -- like as it is freeing up the space, that's where the expansion is slowly going to happen as well, along with the current facilities that is there at the other units. So , this is the growth that we are trying to make sure that it is being done on a phase -wise basis.
Surya Narayan Patra: Okay. This will be part of the phase I or it will be part of the Phase II?
Nilima Prasad Divi: It is currently a part of the Phase I as well. And Phase II, we cannot comment as of now. But as and when, we will let you know.
Surya Narayan Patra: Sure. And second point is that, obviously, this unit is likely to provide, as you indicated that free up capacity in the Unit 1 and 2. But could you give some sense what is the kind of utilization in the Unit 1 and 2 that we will be operating at? Or what capacity free up it can provide because of this Kakinada unit?
Dr. Kiran S. Divi: Right now, we are at 80% capacity at both the units. With Kakinada Phase I coming into place, we should be manufacturing moving some of our starting materials over there, along with some of the Nutraceutical APIs over there. While doing that while freeing capacity, we also have to understand that there are several projects in the pipeline, which are also filling up. So the filling up and everything, we would know better in the next quarter.
Surya Narayan Patra: Okay. Just last one point. Sir, is it possible to share in the 9 -month period so far, what would be the kind of in the c ontrast media, what is the portion of the business that would be in the custom synthesis and what portion would be in the generic business?
Nilima Prasad Divi: We cannot disclose that information, unfortunately.
Surya Narayan Patra: I mean, whether the growth momentum in both the space, it is similar or how is it?
Dr. Kiran S. Divi: Definitely, if you see the contrast media business, majority of the share is controlled by the innovators. So, no, it is up to the assumption of how you would like, what I'm not free to talk about.
Moderator: The next question is from the line of Vivek Agrawal from Citi Group.

Vivek Agrawal: Kiran sir, just a question on GLP -1, right? In the recent call, you mentioned that you will be doing fragments like octamer, decamer, et cetera, right? Just want to understand that are these 2 fragments of a particular product that you're doing? Or there are multiple or all the fragments of a particular product that you are doing? Or is it just that these 2 fragments you are just showing as an example? Actually, I'm just trying to understand the scope of this opportunity, is it just limited to certain parts of the product? Or is it a larger one?
Dr. Kiran S. Divi: Okay. So let me give you an update on GLP -1. So while you talk about GLP -1, there are 3 segments of business. One is building blocks of peptides, basically Fmoc -protected amino acids. You have the fragments anywhere from tetramers, decamers, octamers, which are nothing but chains of amino acids, and then you have the peptide molecule itself.
We are working closely in the last 6 months, we have seen several opportunities and we are working closely with most of the MNCs on their interest, and we are seeing several new growth molecules coming into place. How is Divi's unique? We are manufacturing both by SPPS and LPPS, that is solid phase peptide synthesizer and liquid phase peptide synthesizer.
And we are looking actively at these fragments and also at building block resins. So we believe we are in a very good position. We are investing actively and we should see the future to be much better as we go forward in the coming quarters. I mean I'm talking to what

I can talk
right now.
Vivek Agrawal: Understood. Just a related question, right? If you look at globally, especially in GLP -1, right, there are either players in China or there are players in Europe at this point of time. So how we see Divi's positioning, let's say, over the next 3 to 5 years down the line? And especially against the players in China like WuXi, right. So can Divi's reach to a scale what WuXi is doing today? Any qualitative comment would be helpful.
Dr. Kiran S. Divi: Like I said, the difference -- why is Divi's different from others, okay? We make our own resins. We make our own building blocks. Okay. We make our own protected amino acids. And that's why we have a much more edge over working over others. So I would say in this GLP -1 right now the way things are looking, sky is the limit.
Vivek Agrawal: Understood, understood. And last question, actually, if I just ask you, right? So GLP -1 again, actually is going to be a big segment. Demand is increasing, et cetera. So why the innovators are not putting more capacity in Europe or, let's say, in the U.S., right? So what are the challenges, especially in these territories and why it is only limited to India, China, et cetera?
Dr. Kiran S. Divi: I cannot answer that question. You may have to call them and ask them.
Moderator: The next question is from the line of Shyam Srinivasan from Goldman Sachs.
Shyam Srinivasan: Just the first one on the split of generic to custom, and if I just back out what the generic number is excluding Nutraceutical s, that seems to have grown Y -o-Y. I think this is happening after some time, 7%, 8% growth. Can you help us split and understand from a volume and a price basis? Because I thought in the opening remarks, you still talked about pricing pressure.

Nilima Prasad Divi: So, if you are like looking at the way the business is growing in the generic segment, some of the new molecules are getting more stabilized and they are -- like we are seeing the pricing pressures are there, but it's mostly a volume -based growth also that we are seeing. So , if I'm looking at my volume, yes, there's a huge growth but also with the pricing pressures that growth is not as much as we would have wanted to see it.
Shyam Srinivasan: Yes. Understood, Nilima, but when we look at the path forward, when do you think you will have enough molecules. It could be even the new generics at some time that this business again starts growing more convincingly you think? Is there a point in time we can probably look at it?
Nilima Prasad Divi: See, the wishful thinking is we would want our generics and custom synthesis to be 50%, 50% and that's where our efforts are always towards, like we don't only run behind the custom synthesis. We also run behind our generic business. Would, Kiran, you want to throw some light on that?
Dr. Kiran S. Divi: Yes. So what we are seeing right now is the markets are slowly stabilizing. We are seeing some hope. So I cannot put a timeline on when will stability take place but what we can say is we are seeing increase in demand in several molecules, which we haven't seen from COVID time, there's a lot of destocking in stabilization and everything. Now we are seeing that slowly moving away.
And the customers who have stocked for a long time have slowly started buying again. So we are seeing normalization of the market, provided there's no more global surprises or wars everywhere, I hope things would again ease out and things will become back to normal.
Shyam Srinivasan: Just the second question is on our numbers in terms of, one, the EBITDA margin we have achieved 32%, just want to understand what's a sustainable level of margins? Or do you think there's something in this quarter which leads to a one -off? That is one part of the question. The other one is the easy base effect for us in terms of Y -o-Y growth probably reduces going forward, right, if I were to just assume you do the same top line number for next quarter, your growth comes down to 1% Y -o-Y. So I just want to understand how should we look at like the next couple of quarters? Is it going to be a little bit more Y -o-Y growth slowing down for us when we look at it?
Nilima Prasad Divi: So the Y -o-Y growth that we are seeing currently is, I would say, we always say we have a double -digit growth. It would be -- the certain quarters would do exceptionally well and certain quarters would not do so exceptionally well. But it is something that we look on a yearly basis. Our target has always been to be conservatively thinking that we want to have a double -digit growth.
Shyam Srinivasan: And margins?
Nilima Prasad Divi: The margins are mostly -- like it's a result of the product mix that we would have. So say, for example, sometimes the custom synthesis and generics, the various mixes that happen there

and the new products that we would be getting into. So it's quite difficult to tell at this point in

time with all the expansion plans coming into play. We have to just watch what's going to happen.

Moderator: The next question is from the line of Girish Bakhru from OrbiMed.

Girish Bakhru: Kiran, did I hear correctly that you said you also make your own amino acids in GLP?

Dr. Kiran S. Divi: No, I said we make our protected amino acids.

Girish Bakhru: Yes. So amino acids will be largely imported, right?

Dr. Kiran S. Divi: Amino acids, we either import or we get them locally.

Girish Bakhru: Okay. Can I ask what is the extent of backward integration in GLP -1, if you can give that number?

Nilima Prasad Divi: At this point, we wouldn't want to disclose so much detailed information in that particular segment.

Girish Bakhru: Sure. Sure. No, no worries. And just elaborating on the peptide confidence given that you're seeing a lot of interest from innovators, are you also exploring related products like oligonucleotide, given the technology is largely similar?

Dr. Kiran S. Divi: We're looking at multiple products, multiple technologies, oligonucleotides. So we are looking at different segments at this point, and we are active in most of them.

Girish Bakhru: And is it possible to give a broad timeline ? Like would you see a significant pickup in supplies probably next first half year or later half of FY '26? Ballpark guideline would be very helpful.

Nilima Prasad Divi: When you mean supplies, you're talking about? Can you be more elaborative on that?

Girish Bakhru: Supplies of peptide segments, yes.

Dr. Kiran S. Divi: See, all this depends on at what stage my customer is. We have some customers who are in Phase II, Phase III, some of them are already commercialized. They have to qualify me and go through the whole regulatory approvals. So I cannot put a proper timeline on it. But all I can say is Divi's is very active in this field right now.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just on the gross margins, given that we have achieved 60%, while the segmental mix has favored. But as we go forward, the backward integration as well as the logistics cost easing out. So across both gross margin and EBITDA margin, directionally, it would be better off or how to think about it?

Nilima Prasad Divi: This mostly depends on the product mix, as I mentioned earlier, that our target and our aim is to see double -digit growth, a stable double -digit growth year -on-year with having efforts

placed both on the generic and the custom synthesis business. The backward integration would definitely help us not only make our supply stable and reliable -- I mea

n be a reliable supplier to customers, but also would ensure that our costs are much better taken care of. So I would say we would definitely look at a double -digit growth in the coming future.

Tushar Manudhane: And what kind of operational cost to be considered either as an employee cost or other expenses on account of starting of the Kakinada Unit 3 in the coming quarters?

Nilima Prasad Divi: So we have similar processes across all the 3 units. There is no differentiation in the way we operate in any of the units. So, considering that the operational costs would remain approximately the same across all the units.

Tushar Manudhane: Okay. But on an absolute basis, how much would be sort of building in terms of cost, while we don't have a clarity in terms of how much Unit 1, 2 revenue is getting shifted to Unit 3.

Nilima Prasad Divi: Can you please repeat the question again?

Tushar Manudhane: I meant to ask that given that there is a limited clarity in terms of how much of the revenue from Unit 1 and 2 is shifting to Unit 3. So accordingly, it's a difficulty in terms of estimating the operational cost with respect to that revenue. That's the reason why it's possible to share, in particular, how much additional operational costs to be building with respect to unit 3?

Nilima Prasad Divi: So, the revenue being shifted to Unit 3, I don't think we ever mentioned that the current revenue is being shifted. The starting materials are being shifted to Unit 3 as a part of the Phase I. So if we are -- but yes,

whatever additional new products and new opportunities are
there, we are considering all the 3 units to create the -- to support the existing pipeline and the
new pipeline. Now considering that the operational cost would be approximately the same as a percentage of the total revenue.
Moderator: The next question is from the line of Krishnendu Saha from Quantum AMS.
Krishnendu Saha: Just quick. Sorry, I might be little bit gated on all the developments at Divi's. But last quarter --
a couple of quarters back, I heard that on the GLP, we were putting up pilot capacity of 50
liters. And we had other 500-liter reactor capacity also. So I'm just -- sorry, I am gated. So
could you give me some update as to has the pilot plant worked to the requirements of the
client and the order of the 500 liters, where are we on that? Sorry, if I'm gated again.
Dr. Kiran S. Divi: So, coming to GLP -1s, we have built our pilot plant. We have been very successful in
conducting several products for our customers at different phases, and still a lot of work is going on. Based on the customer needs, we are right now working on -- every customer has
different needs. So based on their needs, we will -- as and when required, we will go forward.
Krishnendu Saha: We did order the 500-liter reactor capacity. So when is that expected?
Dr. Kiran S. Divi: Yes. Because of confidentiality, because it's their design, I cannot really talk too much about
anything. I hope you understand.

Moderator: The next follow -up question is from the line of Vivek Agrawal from Citi Group.
Vivek Agrawal: Kiran sir, on custom synthesis landscape, you continue to highlight that there is a significant
shift. You are seeing increasing demand from the existing as well as new customers, more
RFPs, et cetera. If you want to elaborate, why there's a shift? Or what has changed? And separately, how do you see the things changing since U.S. Biosecure hasn't gone through?
Nilima Prasad Divi: Can you please repeat the question again?
Vivek Agrawal: So on custom synthesis landscape, right, Divi's has continued to mention that there is a significant shift, you are seeing more RFPs, increased customer visits, et cetera. So why there
is a shift, let's say, and what kind of the shift that is there in the last 1 to 2 years? And how do
you see the dynamics changing

given that the U.S. Biosecure hasn't gone through?
Dr. Kiran S. Divi: See, if you look at Divi's in its history, we have always been in the custom synthesis business.
This is not something new that we started today. From the inception of the company, Divi's
always did the generic APIs and also as manufactured custom synthesis APIs for this innovator
customers. Okay . Why did we -- why are we different from others? Because we respect patent,
okay. And that's how our -- that's how trusting our philosophy from the inception, where we
are a reliable supplier and customers know that when they bring their process here, it is 100%
secure.
So, they developed a long relation with us, apart from redeveloping our in- house skill on
sustainable chemistry, okay, learning complex chemistry, learning how to meet the demands of
whatever the customer needs, gives us this unique opportunity for them to believe in us and
move forward. So this is not something that we developed in the last 2 years or last 3 years.
This is a relation we have been developing from the inception of the company all the way till
now where opportunities are flowing in.
Vivek Agrawal: Understood. And how you see that this dynamic is changing, let's say, U.S. Biosecure hasn't
gone through at the last moment? What's your take on this?
Dr. Kiran S. Divi: We have seen increase in RFPs based on the U.S. Biosecure Act. But apart from this, we also
have seen several regular -- of our regular customers bringing in opportunities in their regular
way. But yes, in terms of Biosecure Act, we have seen certain few new opportunities from
customers , where they had existing pipelines elsewhere and they are bringing it down here.
Vivek Agrawal: Okay. And just one last question from my side, especially on the generic side. So when you see this segment
-- only the generic segment get to a double -digit growth? Can we expect in
FY '26? Or it may take, let's say, 1 to 2 years?
Nilima Prasad Divi: The generic side business, if I am looking at the volume base, there is double -digit growth. We
still hold a substantial market share in some of our products, where we are one of the -- either
number one , number two or number three manufacturer in the world. We haven't lost business.
We haven't reduced our production. We haven't lost our customers. It's just that because of

pricing pressure, the number is not looking great. But if I'm looking at the volumes, we are pretty strong in our volume.
Moderator: The next question is from the line of Bino Pathiparampil from Elara Capital.
Bino Pathiparampil : I was looking at your business from last 10 years perspective. 10 years back, you used to do consistently 37% to 38% EBITDA margins. Now it has come down to around 31% or so. It has gone down and it has improved to 31%. What has structurally changed in the business from 10 years back and now? Is it only the generic pricing pressure that is leading to this?
Dr. Kiran S. Divi: I think it's a very -- this question can be answered for hours. But just to tell you, A lot of things have changed in terms of the regulatory landscape, the cost of regulatory landscape, the cost of GMP requirements for what it was 10 to 15 years ago to what it is now. For a product launch, what used to be the cost to what it is today, it's a complete separate -- we have to look at it like a cost structure itself to understand the product viability and everything.
So, to answer your question, there has been several increases in -- on the regulatory side on what GMP requirements have increased. And also on QC equipment, 5 -6 years ago, nobody spoke about Nitrosamine impurities. Today, every product has to be tested, qualified, understood if there are Nitrosamine impurities. All these add a lot of cost.
So I cannot pinpoint why one, but this is a requirement to be in business in the generic or

in the custom synthesis that we adhere to all GMP norms, and that does cost in. Apart from that, the logistics costs have been increasing because of the Red Sea issue and other issues which have been frequently coming in. So, this is a long subject. So I hope I gave you a little gist.
Bino Pathiparampil : Yes. So this is sort of a new normal compared to 10 years back.
Nilima Prasad Divi: Yes.
Moderator: The next question is from the line of Amarnath Bhakat from Ministry of Finance of Onam.
Amarnath Bhakat : Actually, my question also a little bit similar on this margin front. Now if I ask the question, little in a different way. Previously, we thought from the new plant in the Kakinada will be fully operational by another 6 months or 8 months, and the order flow looks like quite strong because if we read from what you say that even from this higher base of the current year, you are still optimistic to have at least double -digit growth even from the next year.
This year, we got a base effect positively for us. But next year, probably that is difficult but still -- but it's good to hear the optimism. But if that is the case, don't we expect a higher operating leverage in our favor which can take our margin, not necessarily at the earlier level, but at least higher level than where we are, assuming the pricing pressure or whatever is happening at the moment will continue the same.
Nilima Prasad Divi: See, at this point, what we would say is Kakinada plant would take about 6 to 8 months and in the Phase I and Phase I part of it is backward integration, which would free up the facility at the other two units. And we are also looking at some of the materials being manufactured even

at Kakinada provided the regulatory approvals come in play, which would be an expanded facility. But the freed -up place that has been like cleared up in Unit 1 and Unit 2, which has already been regulatory approved can be used for any immediate requirement as well.
So, considering all that, also considering Kakinada would have a little operational additional expenses, we don't see a massive dip in the entire margin. We also are aware and we are very conservative when we project that we are looking at a double -digit growth. This we are saying keeping in mind the additional expenses that would be incurred in Kakinada till we see a proper growth there.
Amarnath Bhakat : Yes. Understood, ma'am. But just to follow up on the same, what we understood and please clarify this part that the level of order or the level of upcoming orders, which are in our way, either in 6 months or 1 year or 2 years, it will be far better outlook compared to what it was given so far in the last 2- 3 years by Divi's.
That was -- if we read all your con calls and hear your con calls, yes, the quarter after quarter, that is the thing, which is clearly visible. The things are working better than what was previously expected in terms of the order flow, either it is due to China Plus One or some other things happening across the group, but Divi's are getting benefited due to that.
And at the same time, luckily or, you can say, due to good planning, we have our planned capacity ready to fulfill those requirements, which is on our way. So I'm just coming back to them. If that is -- if that reading is right, then whatever incremental expenditure that Kakinada

can have in a future time, the incremental revenue due to this demand revive should be far outpace whatever the incremental expenditure is. And that must result in higher operating
margin than the current level.
I know you don't give guidance, but I'm trying to understand that macro themes, which I'm
hearing from you from all the last con calls and even in this call, I'm trying to paint the bigger
picture at the higher level. Correct me if my understanding is somewhere something wrong.
Nilima Prasad

Divi: Firstly, I would like to say, like our founder would say, there is nothing like luck. There is only
hard work. And that is proper planning, advanced planning and execution in a proper way. So I
wouldn't say luckily, we are able to do it. I would say our entire team worked really hard to get
where we are today as an organization.
Secondly, all I can say at this point is we are looking at -- if you see the history of Divi's, we
have always tried to optimize our costs, like be it green chemistry or be it actively -- proactively planning our materials or taking advantage of the available supply chain. We have always tried to see where we can optimize the cost so that we can provide better to our
stakeholders. So yes, operationally, we want to be more efficient than what we currently are
and provide a better outlook.
Amarnath Bhakat : And the last one, if any -- I am not hearing something about this Nutraceutical part. How is the
business outlook looking in that side because that Nutraceutical market across the globe is
getting a solid momentum due to -- especially from the Western countries demand about those

products. So can you guide us how that part of the business outlook is looking like at the
moment?
Dr. Kiran S. Divi: Yes. So on the Nutraceutical side, there has been a dip in the last few years because from
COVID, there's been a lot of shift in demand from Nutraceutical s, which we are seeing a
steady increase, and we believe, once Kakinada Phase I is complete, it would give us an edge
in position in increasing our volumes in Nutraceutical s in several of the new vitamins we are
getting in, giving us capacity to produce. So, in the coming 6 months, we should see these
results coming in.
Moderator: The next question is from the line of Ketan R. Chheda , who is an individual investor.
Ketan R. Chheda : I wanted to know for the quarter and for the 9 months, could you give us a figure -- the
revenue figures for contrast media segment? Would that be possible, please?
Nilima Prasad Divi: I don't think we can dissect and give such numbers.
Moderator: The next question is from the line of Neha Manpuria from Bank of America.
Neha Manpuria: A quick bookkeeping question. I think you mentioned that we are moving to the new tax regime from the quarter. I just wanted to understand what should be the tax rate that we should look at going forward, given, I think there was some adjustment that you made in the quarter,
right?
Nilima Prasad Divi: So, we are looking at a 25% tax regime that was the new regime. So , it would be 25% for the
year from here on.
Neha Manpuria: Understood. And you do have some adjustment related to the 9 months in the quarter. That's
why the lower tax rate. Would that be right?
Nilima Prasad Divi: Yes, because the earlier 2 quarters have been the old tax regime rate. So that has been adjusted
in this particular quarter. But if you look at the entire 9 months, it would be at 25%.
Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the
conference over to Mr. M. Satish Choudhury for closing comments.
M. Satish Choudhury: Thank you all for joining us today for the earnings call of Divi's Laboratories Limited. In case
you need any clarification, please reach out to our Investor Relations. Thank you.
Moderator: On behalf of Divi's Laboratories Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

May 23, 2025
To To
The Secretary The Secretary
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Phiroze Jeejeebhoy Towers,
Bandra -Kurla Complex, Bandra (East) Dalal Street
Mumbai – 400 051 Mumbai – 400 001

Trading Symbol: DIVISLAB Scrip Code: 532488

Dear Sir / Madam,

Sub: Transcript of earnings conference call held on May 17, 2025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),
Regulations, 2015

We hereby submit the transcript of the earnings conference call for the quarter and year ended March 31, 2025, held on May 17, 2025, at 15.00 hrs. (IST). The transcript is also available
on the website of the Company i.e. www.divislabs.com , under the Investors Relations section.
This is for your information and records.
Thanking you, Yours faithfully,
For Divi's Laboratories Limited

M. Satish Choudhury
Company Secretary & Compliance Officer

“Divi’s Laboratories Limited Q4 FY’25 Earnings Conference
Call”

May 17 , 2025

M
ANAGEMENT : DR. KIRAN S. DIVI – WHOLE -TIME DIRECTOR & CEO
MS. NILIMA PRASAD DIVI – WHOLE -TIME DIRECTOR
(COMMERCIAL)
MR. L. KISHORE BABU – CHIEF FINANCIAL OFFICER
MR. VENKATESA PERUMALLU – GENERAL MANAGER
(FINANCE AND ACCOUNTS)
MR. M. SATISH CHOUDHURY – COMPANY SECRETARY
AND CHIEF INVESTOR RELATIONS OFFICER

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Divi ’s Laboratories Limited for Q4 FY2025.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “ *” then “0” on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. M Satish Choudhury. Thank you and over to you, sir.
M Satish Choudhury: Good afternoon to all of you. I am M Satish Choudhury – Company Secretary and Chief Investor

Relations Officer of Divi 's Laboratories Limited. I welcome you all to the Earnings Call of the Company for the Quarter and Year -ended 31st March 2025.
From Divi 's Labs, we have with us today Dr. Kiran S. Divi – Whole -Time Director and Chief Executive Officer; Ms. Nilima Prasad Divi – Whole -Time Director (Commercial); Mr. L Kishore Babu – Chief Financial Officer, and Mr. Venkatesa Perumal lu – General Manager, Finance and Accounts.
During the day, our Board has approved audited financial results for the quarter and year ended March 31, 2025, and we have released the same to the Stock Exchanges as well as updated the same in our website.
Please note that this conference call is being recorded and a transcript of the same will be made available on the website of the company. Please note that the audio of the conference call is the copyright material of Divi 's Laboratories Limited and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent.
Let me draw your attention to the fact that on the call, our discussions will include certain forward-looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management 's current expectations of future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Divi's Labs or its officials does not undertake any obligation to publicly update any forward-looking statement, whether as a result of future events or otherwise.
Now, I hand over the conference to Dr. Kiran Divi for Opening Remarks. Over to you, sir.
Dr. Kiran S. Divi: Good afternoon everyone, and welcome to Divi 's Laboratories Q4 FY2025 Earnings Call. Thank you all for joining us today. I hope you and your families are safe and in good health.

As we convene to review our fourth quarter and full year financial performance, I 'd like to take a few moments to reflect on our broader operational progress and strategic initiatives as we wrap up fiscal year 2025.
This year has been marked by significant external volatility, geopolitical uncertainties, persistent global supply chain constraints and continued pricing pressures, particularly in our generic segment due to heightened competition. These challenges tested our resilience and demanded nimbleness in how we operate.
I am proud to share that our teams across the globe grow to the occasion, b y implementing targeted pricing strategies, process optimization measures and enhancing our responsiveness to market dynamic s. Hence, we were able to ensure seamless and timely delivery of product to our customers without ever compromising on quality. This operational discipline has enabled us to complete FY25 stronger, more agile and better prepared for the future .
Let me now walk you through the Key Performance of our Key Business Verticals –
Starting with our Generic Business :While pricing headwinds remain a persistent challenge, we have successfully maintained stable volumes in all our core product

s. The competitive intensity in the
market continues to be high. However, Divi 's sustained its leadership position by constantly investing in process innovation, operational efficiency and long-term capability and capacity building. These efforts reinforce our position as a dominant player in the industry.
Turning to our Custom Synthesis Segment : We are witnessing strong and sustained momentum in this business. Customers engagement level remains high with a healthy upt ick in RFPs and regular site visits, reinforcing our stature as a Partner of Choice in the CDMO space. A significant recent highlight was the signing of a long -term manufacturing and supply agreement for an advanced intermediates with a leading global pharmaceutical company. This partnership not only strengthens our presence in custom synthesis space but also opens new avenues for our innovation -led growth.
Coming to our peptide business : Our peptide business is gaining significant traction as a global demand for novel peptide -based therapies including GLP -1's, GIPs and GLP -2 analogs , continue to accelerate. To address this rising demand, we have made strategic investment s in both solid-phase and liquid- phase synthesis capabilities . These investments will be instrumental in expanding our offerings and sustaining our competitive edge in this rapidly evolving therapeutic area.
Our progress in Contrast Media segment remains steady and encouraging. We continue to invest in expanding our capacity and capabilities in this high growth market as we work towards becoming a leading player in this space.

On the manufacturing front : I am pleased to share that construction and commissioning activity at

our Unit -III facility near Kakinada are progressing as per s chedule. Phased production has already commenced , supporting our b ackward integration strategy and enhancing our capability to manage input costs effectively.
In parallel, we continue to invest in next -generation technologies such as Continuous Flow Chemistry and Biocatalysis, b oth which are integral to our strategy for sustainable and scalable small molecules manufacturing.
Beyond our business and operational achievements, we remain deeply committed to create long -term value for our communities w e serve. Our Corporate Social Responsibility initiative this quarter continues to focus on core areas of education, healthcare and rural empowerment. I am proud to share that these efforts have positively impacted over 1.3 million lives this year alone , truly a testament to our belief that inclusive growth is the foundation of sustainable success .
In conclusion, t his quarter underscores our continued focus on strengthening our fundamentals through capacity expansion, technological innovation and proactive risk management. Despite the complex global environment, our integrated efforts across generics, custom synthes is, peptides and emerging growth areas supported by resilient procurement and logistical strategies , placed us in a strong position to capitalize on future opportunities and enhance our competitiveness in global market.
Thank you once again for your time and continued support. I will now hand over the call to Ms . Nilima Prasad D ivi, who will walk you through the Financial Highlights for Q4 '25 and p rovide an outlook for the Full Year -ended March 31, 2025. Thank you.
Nilima Prasad Divi: Good afternoon, everyone, and welcome to Divi 's Laboratories Q4 FY25 Earnings Call . It's a pleasure to connect with you today and I appreciate you taking the time to join us. I hope you and your families are in good health and high spirits .
Before we dive into financial performance for the year , I would like to begin with a detailed update on our supply chain and logistics operations , areas that have played a critical role in ensuring business continuity and customer satisf

action in a volatile global environment.
Let me start with the Procurement and Raw Material Sourcing Landscape :
This quarter we witnessed relative stability in raw material pricing, which is an encouraging sign given the fluctuations seen in the previous quarter s. Our multi -source procurement strategy spanning suppliers from across the US, European Union, Middle East a nd Asia, while promoting domestic

sources, has continued to serve us well, ensuring consistent availability of key inputs and insulating us from regional disruptions. This geographical diversification remains a cornerstone of our supply resilience.
However, while pricing remains stable, global transit times were notably impacted by persistent disruptions in maritime routes. Specifically, the security situation in the Red Sea has necessitated widespread rerouting of cargo vessels around the Cape of Good Hope in South Africa. This alternate route has extended lead times for shipments from both the US and Europe by approximately two to three weeks, creating ripple effect across planning, production and cost structure s.
In response, we have taken several proactive measures. Our teams have intensified inbound logistics planning, optimize safety stock levels and work closely with suppliers to implement contingency sourcing models. These efforts are designed t o mitigate delays and ensure continuity of raw material inflows, thereby minimizing any operational impact.
Looking ahead, we expect this proactive approach combined with continued price and supply stability to keep our procurement environment favorable over the next two quarters.
Shifting focus to Outbound Logistics : The Red Sea disruptions have not only affected inbound shipments but have also significantly influenced our global delivery time lines. Vessel diversions and increased congestion at transshipment ports have resulted in extended shipping times and elevated freight costs, especially to key markets such as European Union, the United States and Latin America.
To tackle these challenges, our logistics and supply chain teams have adopted a pro-active customer -centric approach. We are working in close coordination with reliable freight forwarders , securing container space well in advance, and maintaining regular transparent communication with customers through timely s ea trade updates. This enables our partners to plan their inventory and production schedule with greater confidence despite prevailing global uncertainties.
We have also enhanced our tracking capabilities, allowing us to monitor each shipment closely and respond swiftly to any unforeseen disruptions. This end- to-end visibility has significantly improved
our service reliability and allowed us t o maintain a high degree of fulfillment assurance across our markets.
Looking ahead to the first quarter of FY2026, we anticipate that sea freight rates will remain broadly stable. However, we do expect air freight charges to gradually normalize in alignment with the revised transit expectations a nd improved route predictability. Our logistics team will continue to

monitor these trends closely and make tactical adjustments where necessary.

In conclusion, despite an increasingly complex global trade environment, Divi ’s Laboratories remains well -positioned to navigate these challenges. Our continued emphasis on strategic sourcing, agile inventory management and reliable logistics e xecution ensures that we are able to support our customers efficiently without disruption while preserving operational agility and cost- effectiveness .
I will now provide you with an “ Overview of Financial Performance for the 4th Quarter of Financial Year 2024 -25 and the Financial Year -ended on 31st March 2025. ” We have achieved a consolidated total income of Rs. 2,671 crores f or the current quart

er as against the consolidated total income of
Rs.2,382 crores for the corresponding quarter of previous year.
Profit before tax for the current quarter is Rs. 864 crores as against a PBT of Rs. 713 crores for the corresponding quarter of previous year. Profit after tax for the quarter is Rs. 662 crores as against a PAT of Rs.538 crores for the corresponding quarter of previous year.
For the current quarter, we have a Forex gain of Rs. 10 crores as against a Forex loss of Rs. 2 crores for the corresponding quarter of previous year.
For the year 2024 -25, we have earned a consolidated total income of Rs. 9,712 crores as against Rs.8,184 crores for the previous financial year. PBT for the current financial year is Rs. 2,916 crores as against Rs. 2,163 crores for the previous financial year . PAT for the current financial year is Rs.2,191 crores as against Rs. 1,600 crores for the previous financial year .
For the current financial year, we have a Forex gain of Rs. 48 crores against a gain of Rs.30 crores for the previous financial year .
Material consumption remains at about 40% of the sales revenue for the current as well as the previous financial years . Our constant currency growth for the current financial year has been at 18%, whereas it was negative 2% for the previous financial year.
Export for the current financial year remains at about 88% of the total sales revenue . Export to Europe and the US accounted to 73% of the total sales revenue for the current financial year and 70% of the total sales revenue for the previous financial year .
Product mix for Generics to Custom Synthesis for current financial year is 46% and 54% respectively.
Product mix for Generics to Custom Synthesis for current quarter is 49% and 51% respectively.
Our Nutraceutical business amounted to Rs.781 crore s for the current financial year and Rs. 205 crores for quarter-ended 31st March 2025.

We have capitalized assets of Rs. 560 crores during the current quarter , of which assets capitalized for Kakina da project amounted to Rs.337 crores. We have capital work -in progress of Rs.1,022 crores as at 31st March 2025 , of which Kakinada project accounts to Rs. 562 crores. Total amount spent on Kakinada project, including assets capitalized and advances given till 31st March 2025 is Rs. 1,497 crores . As of 31st March 2025 , we have cash on books of Rs. 3,696 crores , receivables of Rs. 2,855 crores and inventory of Rs. 3,033 crores. Thank you.
M Satish Choudhury: Thank you Madam. With this we would request the Moderator to open the lines for Q & A.
Moderator: Thank you very much, s ir. We will now begin with the question -and--answer session. The first question is from the line of Surya Narayan Patra from Phil lip Capital (India) Private Limited. Please go ahead.
Surya N Patra: Yes. Thanks for the opportunity and c ongrats for the good set of numbers in t he difficult time. My first question is on the growth number that we have witnessed on the generic business front. Interestingly, after kind of a two -year period, we are seeing a kind of strong momentum in the generic business both sequentially as well as YoY. And similarly , if I just comparatively see that even the margins also had seen a similar improvement , the exit rate for the quarter is strongest in the last two year period. So , how should we see this the generic growth, whether it is driven by the price rise and whether that has contributed to the overall margin scenario here?
Dr. Kiran S. Divi: As I have mentioned during my speech, right now , the generic performance itself is at a high competition level whereby we have continuous pricing pressure in the generic side . As market share continues, we are still a dominant player in the market, and we continue to play that role . In terms of new molecules that are being coming off -patent , as and when they come off

-patent, we will start
producing them and slowly start building our shares.
Surya N Patra: And regards the margin scenario, sir, that we are seeing the exit rate for the quarter in terms of either

gross margin or even the EBITDA margin , it is, I think one of the strongest number over the last two-year period. So how should one think going ahead or it is just a quarter -specific product mix that is driving this number or how should one going ahead think about the margin scenario?

Nilima Prasad Divi: This is mainly to do with the product mix that we have and it would keep changing quarter -on-quarter. So , I would recommend like looking at it on a yearly basis rather than just focusing on one quarter .

Surya N Patra: Okay. Just last question from my side is that , see in the last one year period, obviously , we have seen a significant p ricing trend in the RFQs for the CDMOs generally. Obviously , that was supported by the potential implementation of the Bio secure Act, China Plus One and those kind of things. But

now, those kind of things are now in the back stage . So any practical change in terms of your R FQs or the customer engagement, although that you have indicated there is a heightened engagement that is still t here. But since we are completing the financial year , any commentary that you can provide for the next year in terms of your outlook or guidance or anything on that front?

Dr. Kiran S. Divi: Firstly, we have always been in the CS business, custom synthesis business right from the inception. It’s not something that we started after China Plus One or the Biosecure Act has started , our business was there. We’ve been in this business even before anyone has ever been in it. So for us , RFQs, RFPs coming in on a continuous basis is always there. W ith the Bio secure Act or China Plus One , we are seeing a little more than what we have seen before. And we have several products in the pi peline , some are going through R&D phases, some are in pilot scales right now. So it ’s hard for us to p ut a finger on it because of confidentiality. But what I can say is Divi ’s is very strong in the custom synthesis business as well as the generic side of the business.

Surya N Patra: Sure, sir. Yeah, I have a couple more. I will come in the queue, s ir.

Moderator: Thank you. The next question is from the line of Neha Manpur ia from Bank of America. Please go ahead.

Neha Manpuria: Yes. Thanks for taking my question. My first question you know j ust understanding the gross margin expansion that we have seen . While I understand you mentioned the product mix, but has the backward integration, given the Ka kinada that just commissioned, has the backward integration from Kakinada started already helping gross margins or would that take time to reflect a nd that ’s something that we should build i n going forward?

Dr. Kiran S. Divi: So Kakinada definitely, we started in January; the production and the backward integrated material has slowly come into the product. So we will see the benefits going in the future as Phase -I and slowly we will start constructing Phase-II where we will add additional blocks. Definitely , we will see benefits that ’s coming in. But Kakinada more than creating space or controlling our price , the main reason of having Kaki nada is for having continuous supply of our own raw materials and our critical starting materials . So, to avoid any disruption in supply for us , to have continuous supply for our customers , is why Kakinada also started , apart from pricing and controlling our impu rity profiles and several other factors.

Neha Manpuria: Understood. And if I have to also think about Kakinada ’s impact on earnings, would it be fair to assume that it will take a couple of quarters for Kakinada to become like an EBITDA -neutral fr om a cost versus the benefit from Kakinada , would t

hat be a right way to look at it?

Dr. Kiran S. Divi: I would rather instead of looking at Kakinada as a single unit because see the raw material or the starting material it ’s producing goes straightly into one of the units where GMP material is being produced. So we have to look at the molecule as a whole. We cannot look at the molecule into separate unit and then break it up. So as a whole, yes, there will be a benefit. I would look at it more as a company and then look at the molecule being manufactured in different areas.

Neha Manpuria: My second question is just understanding our peptide capabilities, just wanting to know if we ’ve expanded these capabilities to non-GLP -1 areas as well ? And just an extended question is on the capabilities. If I look at pre sence across other modalities, are we targeting ADC s or even nucleotides, any updates that we can give on the capabilities that we are developing in terms of client interest on custom synthesis ?

Dr. Kiran S. Divi: Could you just repeat your question again please?

Neha Manpuria : So first is on peptides, do we have capabilities that extend outside of GLP , are they extending even to non-GLP areas and also are we focusing on A DCs or nucleotides , when should we start seeing there, are investments that we are making there b ased on client RFPs?

Dr. Kiran S. Divi: So to answer about the peptides , we are right now looking at peptides only for manufacturing for the innovators and looking at their pipelines and working with them. As you know , Divi 's is very strong in manufacturing their individual peptides and protected amino acids and that is how w hich we have entered about 18- years ago and that 's why we are now entering into manufacturing fragments either by solid -phase or by liquid- phase , I cannot comment more on these because I am bound by confide ntiality, so I can only talk about that w e are working with several customers and at several phases right now . Divi's has actively invested in both solid -phase and liquid- phase so that , as and when required , we can support customer requirements. Coming to your ADCs and nucleotides, it 's still in the preliminary phases right now . I cannot comment too much on those molecules .

Neha Manpuria: Got it. Thank you so much.

Moderator: Thank you. The next question is from the line of D r. Kunal Dhamesh a from Macquarie. Please go ahead.

Dr. Kunal Dhamesha: Hi, thank you for the opportunity. One more strategic question. Several of the large pharma compan ies in the US have announced large capital expenditure to kind of reshore the manufacturing. So, how are you viewing this announcement in context of overall industry growth rate a nd specifically, do you read across for Divi 's since we kind of work with all these large pharma companies ? And recently , because of this, have you seen any change in c onversations that you are having with the se compan ies?

Dr. Kiran S. Divi: So as you know, Divi 's is in both custom synthesis , custom also includes peptides or if you look at we are in contrast media, generics . Any business related to custom synthesis is based on a long-term contract. It is not like we just jump in , make something and then we forget. So , we have long -term multi-year contracts with structures in it; and we are seeing new opportunities in the pipeline. We do not see any issues at this point. But if something arises , of course , we will definitely k now. As of now we don' t see anything.

Dr. Kunal Dhamesha: Sure. And the second one on the GLP -1 portfolio that we have with multiple innovator s. Would you say that our portfolio would extend beyond peptide GLP -1s, we would have some non- peptide or maybe small molecule GLP -1s also in the portfolio?

Dr. Kiran S. Divi: Like I told you in my presentation, Divi 's is working on

GLP -1s, GIPs, GLP -2 analogs and on small molecules and w e are very active with different customers at different phases … they are at different phases in our development or in our advancement.

Dr. Kunal Dhamesha: And lastly, if I can just ask one more o n the Kakinada plant, I think we are more or less done through phase -1. So one part is how much we can scale here, how many phases we should expect, you know whether it 's a 3 -Phase journey, five phase journey? And In terms of whatever phase -1 that we have commercialized, what proportion of that is as percentage of total phase-1 capacity ?

Dr. Kiran S. Divi: So Kakinada is a total of 50 0 acres. In 500 acres we have occupied about Phase -I we have used 200 acres and we have built production blocks which about seven of them which will help us in taking care of certain raw materials s o that it helps us in our backward integration. Apart from this , it will also free some of our existing blocks in our Unit -I and Unit -II; thereby we can add certain molecules and manufacture G MP products , while Kakinada goes through its own regulatory phase . We still have 300 acres . Based on the requirement in the market and opportunities we see, we will e xpand, it can be either in two phases , maybe it will be Phase-II and III, or it will be in one phase y ou may use the remaining 300 acres . Everything is based on the opportunities we have and when f or example in a CS molecule will come to life and we need space immediately , of course we have t o invest and move forward.

Dr. Kunal Dhamesha: Sure. Thank you a nd all the best.

Moderator: Thank you. The next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan: Good afternoon. T hank you for taking my question. Just the first one on the announcement in April and also from last April, right, similar kind of amounts like Rs. 700- crores odd that was a long -term supply agreement , this is again a long -term supply agreement . Can you just compare in Contrast? I

don't know whether you put out anything on the last year, but this year was a dvanced intermediates. So, if you could help us, I know you are not going to call out the names but just want to understand, why not API in this one ?. So just to compare in Contrast the type of a nnouncements , these are the largest two announcements we have done , so just wanted to understand the qualitative color ?

Dr. Kiran S. Divi: That's quite a difficult question because I am bound by confidentiality. Both are related to CS projects. Yes, the recent one is an advanced intermediate, the one before all I can say is it is an active

API.
Shyam Srinivasan: Helpful Kiran . In your opening remarks, you alluded two projects in the latest announcement to s ay it has opened new avenues of growth. Can you like double click?
Dr. Kiran S. Divi: Could you repeat your question again please?
Shyam Srinivasan: So, Kiran, in your opening remarks, when you talked about the second announcement, you said that this had opened more avenues of growth o n the innovation side . So wh at do you mean?
Dr. Kiran S. Divi: So within the peptide division or if you look at our existing… new chemistry development like continu ous flow chemistry, this is a new thing that several customers are looking at a nd also on biocatalysis where we have been investing heavily and this is where most of t he innovation and new molecules are coming from, so that ’s what I meant by new opportunities.
Shyam Srinivasan: Understood. Thank you. Just the second question is o n the financials. So if you look at full year Fiscal ‘25 versus Fiscal ‘2 4, EBITDA margins have gone from 29% to 32%, gross margins have been flat, but the biggest delta has come from other expenses, which is excluding wages I am talking about which has come down by 250, 300 basis points. So if you

could explain like what is driving and that’s been the case for the quarter as well , so just want to understand what are we doing right to keep other expenses to actually i n fact declining for the year when we had like 18 %, 19% growth?
Nilima Prasad Divi: Can you just repeat your question again? The voice was not pretty clear.
Moderator: Mr. Srinivasan, I would request you to use your handset, s ir. Voice is muffled.
Shyam Srinivasan: Yes, sure. The question was on other expenses. Other expenses as a percentage of sales last year was 17% and this year was 14% . This is despite we are having 18% constant currency growth. So just want to understand what is driving this o perating leverage.
Moderator: I am sorry, ma ’am, you are not audible.

Nilima Prasad Divi: So, I would say the major drive r behind it could be like quite a few things , it’s not just one thing that has led to the other expenses being the way it is. It could be from various expenses , it’s not just one expense that I could put my finger on. We did have higher repairs on the older plant and machinery considering some of the units are about three decades old. And besides that , there has been an increase in freight and travel expenditures and as well as the environment management expenses.
Shyam Srinivasan: So the costs have come down, not gone up. I am just confused.
Nilima Prasad Divi: These are the ones that have made all the changes. That ’s what I was trying to say.
Shyam Srinivasan: Understood. And then lastly, any guidance for the revenue and EBITDA for Fiscal ‘2 6? Thank you.
Nilima Prasad Divi: The revenue guidance, as I would say like I have said earlier, we would always look at double -digit growth and we would always assume, and our work would always be towards making sure the organization grows at a consistent pace of double -digit growth.
Shyam Srinivasan: Thank you. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Amay from J M Financials. Please go ahead.
Amay: Yes. Thank you for taking my question. M ost of the questions are answered. So one incremental question is on GLP -1. We said that we are only working with innovators. So, next year, which the generic opportunity in the Semaglutide which is opening up, so are we not going to participate in that opportunity?
Dr. Kiran S. Divi: : Like I said, we are working with innovators on several phases. A s of now, we are not looking at working with GLP -1s at the generic space.
Amay: And any rationa le behind is it because we are bound by the contract with the innovator, or you believe that it’s not lucrative enough to enter?
Dr. Kiran S. Divi: See, as of now, I am bound by confidentiality. It is whether I am producing for innovator, I mean, based on our knowledge , knowhow and everything, we believe we are best suited now to work on innovative molecules in t he GLP space.
Amay: Sure. For the innovator space, b ecause the products have been there in the market for a w hile now , so is there any wallet share being committed to us by the customer or like how are we thinking about that?

Dr. Kiran S. Divi: So like I said, because we have long -term supply agreements with several customers . Apart from the ones which are also in the market, you also have to understand, there are several molecules in the pipeline at various phases, GLP -1s, G IPs, GLP -2s in place which are in various stages of development where we are active ; and we will see as an d when opportunities grow w e have long -term contracts in place and we will see how it forms out.
Amay: Sure. And the next question I have on the next year, we have given the double -digit growth guidance.

So within segments, do you expect API also to grow in double -digit , the generic segment ?
Nilima Prasad Divi:

I cannot comment on that. I would say the overall revenue of the organization would be approximately double -digit growth.
Amay: Sure. Thank you so much. I will join back in the queue .
Moderator: Thank you. We will take the next question from the line of Abdul kader Puran wala from ICICI Securities. Please go ahead.
Abdulkader Puranwala: Yes, hi. Thank you for the opportunity and c ongrats on a good set of numbers. Sir, my first question is with regards to your investments on the new project. You talked about GLP -1, GIPs and GLP -2 products. So, in terms of whatever you have spent in terms of your capacity addition , any color if you could provide to us what is the investments done into this space so far?
Nilima Prasad Divi: Can you repeat the last part of your question?
Abdulkader Puranwala: Yes. My question was with regards to the capital investment, which you would have done for your newer projects which include GLP -1s and other opportunities.
Dr. Kiran S. Divi: We haven't classified it as a particular investment towards GLP -1s because several of the equipment s could be used both for the API or other custom products or GLP -1s. So we haven 't classified it in particular saying that this is only a GLP -1 base d situation.
Abdulkader Puranwala: Okay. Next one is on the two new projects which you have announced on the CS side. So, any color on when the revenue generation would start from these plant s? And secondly, with the quantum of investment what you have done, a ny of this project could it be in line with what the opportunity you would have seen during the COVID time?
Dr. Kiran S. Divi: Firstly, this is a long -term opportunity is how I would put it which are quite promising molecules . Number 2, we completely depend on the regulatory approvals of our customer s, once we produce our commercial batches . So maybe by 2026 end, or 2027 is when we hope to see commercialization of these projects.

Abdulkader Puranwala: Understood. Thank you. I will get back in the queue .
Moderator: Thank you. The next question is from the line of Bino Pat hiparampil from E lara Capital. Please go ahead.
Bino Pathiparampil: Hi, good afternoon. Most of my questions are answer ed. Just one. What would be the CAPEX for the coming financial year?
Nilima Prasad Divi: It would be mainly the projects that have been announced this particular financial year , would be the additional CAPEX that we are expecting .
Bino Pathiparampil: So sorry, so that is around Rs. 1,400 crores if I get it correct, plus some maintenance CAPEX?
Nilima Prasad Divi: Yes, so it would be Rs. 1,400 crores plus some maintenance CAPEX, I mean, that would be the one that we would be looking forward to.
Bino Pathiparampil: Got it. Thank you very much.
Moderator: Thank you. The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.
Nitin Agarwal: Hi, sir, t hanks for taking my question. Sir, on the two long-term contracts , by when would the commercial impact of these two contracts likely to be visible?
Nilima Prasad Divi: I think there would be around late 2026, early 2027 we would be seeing the impact of those, but this is also subject to when the regulatory approvals would take place. It 's not just the CAPEX that we need to look into, but one is the CAPEX, b ut also when we start manufacturing, we need to also get regulatory approvals , so that would take time as well.
Nitin Agarwal : Just to clarify, t his calendar year '26 end that you are talking about , right ?
Dr. Kiran S. Divi: Yes, we are talking about sometime in 3rd Quarter end of 2026 or 4th Quarter or January of 2027 around that time hopefully if all regulatory approvals come in place.
Nitin Agarwal: : And just secondly on Kakinada, how much incremental CAPEX have we planned for the first phase?
Nilima Prasad Divi: Currently Phase-

II, we haven 't planned anything, we are still in the phase one and we are working on, like based on the newer opportunities we are getting and how we are planning , we are still working on how to go about Phase -II, w e haven 't started anything in Phase -II.

Nitin Agarwal: In Phase -I, we 've spent almost Rs. 1,497 crores so far. How much more are we intending to spend in Phase-I?
Nilima Prasad Divi: About Rs.200 crores is what we are looking a t Phase -I.
Nitin Agarwal: Thank you so much.

Moderator: Thank you. The next question is from the line of Lakshmi Narayan from Tunga Investments. Please go ahead.
Lakshmi Narayan : Thank you. So what I understand is the success of our company is dependent on three aspects ; one is production, one is research and thi rd is the client development or the business development /sales , right. Now, while on the first angle , we had mentioned the capacity . Just want to understand in the last two, three y ears, how have you beefed up your research capabilities and also your front end sales capabilities ? That 's my first question. My second question is that qualitatively how do you think the next three years is going to be far better t han the past few years, and can you just help me understand what are the two or three things as investors we should look for and what gives you confidence that the next three y ears is going to be better than the last t hree years ?
Nilima Prasad Divi: I will answer your second question first. We have always been a conservative organization. We have not been extremely competitive or extremely proactive in sharing our numbers or revenues or growth so because we believe in being conservative in the way we project, and we would want to deliver what we promised. So my stand on that would be, as I said earlier, we would be thinking about having a double -digit growth for the next few years. Now , coming to your first question, we weren't clear what the question is in the first place. So can you please repeat your question a gain?
Lakshmi Narayan: My question is that success for a company like us comes from three different part s in my view ; one is the production capability, second is the research capabilities and third are your sales /client mining capabilities, right? While on the first one , you have outlined kind of capital expenditure you have incurred in the last c ouple of years. just want to understand at least in the last two or three years, how have you enriched our research capabilities, some kinds of a quantitative or qualitative feedback would be helpful, which means that we have increased our workforce and research or we have actually got into two or three new areas , that could be one way to think about it . And the last is from a client mining capabilities , how have we beefed up our you know front end or so-called front -end workforce?
Dr. Kiran S. Divi: Okay. So coming to research and development, we have always been very proactive and yet being very, very smart in grabbing opportunities, which has been one of our biggest strengths . I mean, If you ask what D ivi's has done in the last two, three years and for the years going forward, we have

been very active in peptide chemistry , we have been very active in fragments , then we have gone into solid -phase peptide synthesis, liquid- phase peptide synthesis. Apart from this, we have gone into flow chemistry , biocatalysis . So we are constantly looking at opportunities and discoveries and innovations across the world u nderstanding what t echnologies are available and how it is helping us in our own manufacturing by increasing either our yields or going towards green chemistry or we are looking at atom -to-atom efficiency , looking at all these factors is one of the Div i's biggest strength . If you look at customer base wh

at have we done, our reputation as one of the top CDMO for being on-time delivery for someone w ho has supplied material with zero recalls and on -time delivery and maintaining our commitment itself gives us a lot of credibility in the market whereby several customers approach us and we have continuous business and continued molecules which keep coming to us.
Lakshmi Narayan: Got it. Okay . And in terms of your sales or the mining team, how have you enriched that particular part?
Dr. Kiran S. Divi: I didn 't get your question. What were you trying to ask?
Lakshmi Narayan: Like what I understand is we keep going deeper with the ir end client in terms of their research and trying to understand what are the products the re are there, what are the molecules they are coming out with a nd so we are actually proactively looking at it and s o in that count, how have we increased our sales force or the client development activities qualitatively in the l ast two , three years ?
Dr. Kiran S. Divi: So to answer this right, D ivi's has been in custom synthesis from the from the inception, i t's not that it's something new we started today where I have to develop my BD and then give them incentives and ask them how to move forward. Like I explained to you, our reputation is where we have been given opportunities with several of our existing a nd new customers . We have already been working with several multinationals , it's not something today that I am developing this story, I mean, if you go back even 10 years or 15 years, our CS business worth 50% of our total revenue. To answer this question, our teams are already in place, there's nothing new about it.
Lakshmi Narayan : Got it. O kay. Thank you, sir. Thank you for a detailed answer .
Moderator: Thank you. The next question is from the line of Gaurav T from Antique Stockbroking. Please go ahead.
Gaurav T: Hi, good afternoon and congratulations to the team for every accomplishment. We understand the confidentiality nature of the custom synthesis business , you can't talk about clients or products, but any insight that we can get in terms of the quantum of total order book contracted which is yet to be executed ?

Nilima Prasad Divi: I am sorry we cannot comment much about that particular kind of numbers.
Gaurav T: Any insight on how that Contract ed backlog has been growing over the last two, three years? I respect that you can 't disclose the number, but any growth trends historically?
Nilima Prasad Divi: See, historically and as well as in the future, what we've seen so far has been a double -digit growth year-on-year , be it generics or our revenue as a whole or custom synthesis. So , that's something that we also expect to see in the future , its the double -digit growth.
Gaurav T: Okay. Just in terms of understanding the sales cycle from RFP to contracting in the custom synthesis business how long can that take from contracting to revenue accretion start, typically what 's the timeline we can see, some kind of insights on your sales cycle please , if that's possible ?
Dr. Kiran S. Divi: So just to give a brief about it, right, so when you get an RFP, it could be a Phase-I, Phase-II, Phase -III. You don't know which phase is the molecule first. So once you get an RFP, the time cycle of what the customer is expecting, then his regulatory approvals, then our regulatory approvals, whether the lifecycle of the molecule is going to go through. So t ypically, once you get an RFP, it could be anywhere that we have seen RFPs where we launched it and got it commercialized within one and a half to two years as an aggressive RFP to all the way we have seen an RFP, which we even took about six, seven years . So it's hard to comment because there's not a fixed timeline , it completely depends on the nature of the molecules, the approvals from the regulatory bodies

and how interested the agencies are in getting this product into the market . So there are several factors entangled into it. We are only a part of it who only manufacture the active ingredient and then supply to innovators who has to take it much, m uch forward. So it 's a complete matrix . It's very hard for me to say it goes in certain times . But what I can say is we have executed projects within two years ' time and there were also times where even some projects even took six to seven years.
Gaurav T: Thank you. I will come back in the queue. All the best.
Moderator: Thank you. The next question is from the line of Nikhil from SIMPL . Please go ahead.
Nikhil: Hello ! I have two questions. So in the initial comment, Nilima mentioned that there are still issues at the logistics side and it 's taking time and all. But if I look at our inventory build up over last four years since Mo lnupiravir sales, our inventory was held around Rs. 2,800, Rs.3,000 cr ores; and this year we've hit the highest sales, but still our inventory is around Rs. 3,000 crore s. So how should we see it? One way to look at it is that you see the RM environment or the material environment on the pricing side and availability side easing a lot, which is why you are not building a larger inventory, how should we understand here?

Nilima Prasad Divi: If you see t he sales that are going up but also our portfolio is increasing over a span of many products and we are also maintaining the raw materials based on the entire product portfolio , and if you are seeing from the time we are looking at Molnupiravir , from that time , there has been some or the other crisis be with respect to COVID or be it with respect to China or be it with respect to the logistics, we have been constantly facing p ressure with respect to various factors. So based on the product mix, the kind of raw material that requires attention , we've been stocking those kind of raw materials for the product mix we have.
Nikhil: Would it be right to say that going forward as we clock a double -digit revenue growth, like as a percentage of sales t his is the kind of inventory level we would like to keep b ecause in initial year between '23-24 we hit almost 40 %, 45% of inventory versus our sale which today on our year -ending sales is around 30%. So is this like a normalization on the working capital side?
Nilima Prasad Divi: It's difficult to comment on this . I wouldn't normalize it. I would say it would depend on the products that we are manufacturing, whether it is a large molecule or is it a small molecule project or is it a combination of which particular unit we are manufacturing it from and is the material available domestically , are we developing new sources t hat are manufacturing locally within the country or are we forced to procure only from international sources. So, it all depends on various aspe cts. But if you ask me what my wishful thinking is, I would love to maintain a lean inventory. I wouldn't want to have lo t of inventory st ocks, I would definitely want to have a lean inventory wherein I can implement more of just in time and have it just source what I am manufacturing at that point in time.
Nikhil: Sure. Second question is, see, if I look at our last 15 -years we've been doing this CSM business for almost 20 , 25 years now and we always had a good relationship with the top- 20 pharma companies. But prior to COVID, we never had dedicated blocks, all our plants used to manufacture a ll our products . But since the time of Molnupiravir, this is like in a way saying this is like third or two molecules, which are where we are going for dedicated blocks. So , what I am trying to understand is what are the underlying guardrails on which we decide whether we will go for a dedicated block or not and is it a quantum of business size which we want to go for like

tomorrow if someone comes
and says for a Rs. 300, 400 crores kind of a top line , even there we will go for a dedicated b lock. Just some idea if you can share what are your guardrails and what are your benchmarks on which you decide whether we go for a dedicated block or not ?

Nilima Prasad Divi: I would say that we did have dedicated blocks way back i f it is a product of large volume and where we are manufacturing throughout the year and we did have multi -purpose blocks for the products that are smaller volume, we would take advantage of t he facility by doing campaign -based production. However, I don't think we ever mentioned that we are setting up dedicated blocks for the expansion plan. We said we are going to invest a certain CAPEX of certain value but we have never mentioned that it's a dedicated block.

Nikhil: Okay. So even for the two new molecules, the Rs. 700, Rs. 800 crores CAPEX we announced, these would all be multi- purpose plants like this is not dedicated for any customer ?

Nilima Prasad Divi: Since these products are mainly custom synthesis projects, I am not at a liberty to divulge on information , I would refrain from answering that question.

Nikhil: Sure. Thanks. I will come back in the queue.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to Mr. Satish Choudh ury for closing comments. Thank you and over to you, sir.

M Satish Choudhury: Thank you all for joining us today for the Earnings Call of Divi 's Laboratories Limited. In case you need any further clarifications, please reach out to our investor relations. Thank you.

Moderator: Thank you, m embers of the management . On behalf of D ivi's Laboratories Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines .

Call: Aug 2025

August 12, 2025
To To
The Secretary The Secretary
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Phiroze Jeejeebhoy Towers,
Bandra -Kurla Complex, Bandra (East) Dalal Street
Mumbai – 400 051 Mumbai – 400 001

Trading Symbol: DIVISLAB Scrip Code: 532488

Dear Sir / Madam,

Sub: Transcript of earnings conference call held on August 06, 2025
Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),
Regulations, 2015
We hereby submit the transcript of the earnings conference call for the quarter ended June 30, 2025, held on August 06, 2025, at 13:30 hrs. (IST). The transcript is also available on the website of the Company i.e. www.divislabs.com , under the Investors Relations section.
This is for your information and records.
Thanking you, Yours faithfully,
For Divi's Laboratories Limited
M. Satish Choudhury
Company Secretary & Compliance Officer
Page 1 of 17

“Divi's Laboratories Limited
Q1 FY2026 Earnings Conference Call”
August 06 , 2025

MANAGEMENT : DR. KIRAN S. DIVI – WHOL E-TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DIVI'S LABORATORIES
LIMITED
MS. NILIMA PRASAD DIVI –WHOLE -TIME DIRECTOR
(COMMERCIAL) – DIVI'S LABORATORIES LIMITED
MR. VENKATESA PERUMALLU PASUMARTHY – CHIEF
FINANCIAL OFFICER – DIVI'S LABORATORIES LIMITED
MR. M. SATISH CHOUDHURY – COMPANY SECRETARY
AND CHIEF INVESTOR RELATIONS OFFICER – DIVI'S
LABORATORIES LIMITED

Divi's Laboratories Limited
August 06, 202 5

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Divi's Laboratories Limited for Q1 FY 2026. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. M. Satish Choudhury. Thank you and over to you, sir.
M. Satish Choudhury: Good afternoon to all of you. I'm M. Satish Choudhury, Company Secretary and Chief Investor Relations Officer of Divi's Laboratories Limited. I welcome you all to the earnings call of the company for the quarter ended 30 th June 2025. From Divi's Labs, we have with us today Dr. Kiran S. Divi, Whole -Time Director and Chief Executive Officer; Ms. Nilima Prasad Divi,

Whole -Time Director, Commercial and Mr. Venkatesa Perumallu Pasumarthy , Chief Financial Officer.

During the day, our Board has approved unaudited financial results for the quarter ended June 30, 2025, and we have released the same to the stock exchanges as well as updated the same in our website. Please note that this conference call is being recorded and a transcript of the same will be made available on the website of the Company . Please also note that the audio of the conference call is the copyright material of Divi's Laboratories Limited and cannot be copied, rebroadcasted, or attributed in press or media without the specific and written consent.

Let me draw your attention to the fact that on this call, our discussion will include certain forward -looking statements, which are predictions, projections, or other estimates about future events. These estimates reflect management's current expectations of future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied.

Divi's Labs or its officials does not undertake any obligation to publicly update any forward-looking statement, whether as a result of future events or otherwise. Now I hand over the conference to Dr. Kiran Divi for opening remarks. Over to you, sir.

Dr. Kiran S. Divi: Good afternoon, everyone. It's a pleasure to welcome you all to Divi ’s Laboratories Q1 FY2026 Earnings Call. We truly value the continued trust and interest from our investors, analysts, and shareholders , and I hope you and your families are safe and doing well. As we reflect on our performance in the first quarter of the financial year, I would like to share some key insights that speaks of Divi's enduring strength, our operational resilience, innovation-led strategy, and deep commitment to sustainable inclusive growth.

Let me begin with our generic portfolio. We maintained a robust and competitive position in the global market, continuing to lead despite persistent pricing pressures. This resilience is a result of our strong backward integration model, which safeguards o ur cost structures and ensures supply reliability. Equally important are the trusted , long-term partnerships we have cultivated with our customers over the years.

A critical contributor to the ecosystem is our Unit 3 facility in Kakinada, which became operational in Jan uary 2025. This facility is strategically focused on producing key starting materials and intermediates, reinforcing our self -sufficiency, and adding strength to our overall value chain.

Turning to Custom Synthesis , this vertical continues to be a core growth engine. We are witnessing increased traction from global innovators who are actively seeking partners that can offe

r both scalability and reliability in a changing global supply chain landscape. Divi ’s track record, marked by timely delivery, rapid capacity creation and long -standing customer relationships has positioned us as a preferred partner. We are seeing a healthy pipeline of RFPs and customer site visits , alongside multiple active projects progressing through R&D, pilot, and validation stages. Several of these are expected to transition into commercial scale within the next 12 to 24 months.

We have also made significant strides in expanding our scientific and technological capabilities. We now offer advanced platforms in flow chemistry, biocatalysis and green chemistry, which are increasingly becoming differentiators for our global partners. Notably, our newly commissioned Solid Phase Peptide Synthesis capacity has garnered strong interest from large pharmaceutical companies, particularly those developing GLP -1-based treatments.

In parallel, we are executing three major capex programs backed by long-term supply commitments, further strengthening our forward visibility. Looking ahead, we anticipate our estimated total capital expenditure for the financial year to be in the range of ■2,000 crores. These investments will be directed towards advancing key strategic projects, expanding capacity, and upgrading technologies across our operations.

At the heart of our strategy lies our unwavering commitment to sustainable and inclusive growth. We continue to integrate principles of green chemistry, energy and resource optimization and process excellence into our daily operations with a commitment to reduce our environmental footprint while enhancing long-term competitiveness.

Our effort extends beyond our factories. Through sustained CSR initiatives across Andhra Pradesh and Telangana, we have positively impacted over 82,000 students across 977 schools and improved the quality of life of nearly 1.3 lakh villages. These contributions affirms our belief that true success must be shared and that business growth must be aligned with the well -being of the communities around us.

Thank you and once again for your time and continued support. I will now hand over the call to Ms. Nilima Prasad Divi, who will walk you through the financial highlights of Q1 FY26.

Nilima Prasad Divi: Good afternoon, everyone. Thank you for the opportunity to present the financial overview for the first quarter FY 2025 -26. As we look back on the quarter, it's clear that our industry is at a pivotal moment, shaped by evolving market dynamics, regulatory developments and shifting global supply chains. The broader macro environment continue to be influenced by geopolitical uncertainties that are reshaping the global trade flows. Despite these challenges, our strategic clarity, disciplined execution, and agile decision -making have enabled us to stay on course. We

have continued to advance our operational excellence agenda by embracing digitalization and data-driven decision -making across our value chain. Strategic investments in automation, process analytics and digital monitoring tools have enabled us to enhance s wiftness and reduce variability in plant operations.

These efforts not only support cost and efficiency improvements but also reinforce our commitment to quality, compliance, and long-term scalability. In parallel, we have strengthened our capabilities through targeted investments in process innovation and capacity expansion. These initiatives have helped us optimize costs, improving manufacturing efficiencies and uphold the highest standards of quality, positioning us well for sustainable growth. On procurement front, raw material prices remained stable throughout the quarter with healthy availability.

We have taken a proactive approach by maintaining adequate safety stocks and diversifying our sourcing mix across d

omestic and international markets to ensure uninterrupted supply.

Inventory levels remain broadly consistent with our historical norms, refle cting a calibrated approach to stocking, aligned with our expanding product portfolio.

While we are steadily moving towards leaner just -in-time inventory models, our current priority is ensuring supply continuity. In the face of ongoing global uncertainties, maintaining prudent buffer stock remains a strategic necessity. Our backward integration efforts continue to play a crucial role here, enabling in -house production of key intermediates and starting materials, thereby strengthening supply assurance, quality control and cost efficiency.

We are pleased to share that our Unit 3 facility in Kakinada, which commenced commercial productions in January 2025, is already contributing meaningfully to our production. The facility is playing a critical role in supporting our backward integration str ategy, strengthening supply reliability, enhancing quality management, and driving cost efficiencies.

I will now move on to present the financial performance for the first quarter of FY 2025- 26, which ended on June 30, 2025. We have achieved a consolidated total income of ■ 2,529 crores for the current quarter as against a consolidated total income of ■ 2,197 crores for the corresponding quarter of previous financial year.

Material consumption remains at about 40% of the sales revenue for the current quarter as well as corresponding quarter of previous financial year. Profit before tax for the current quarter is ■733 crores as against a profit before tax of ■604 crores for the corresponding quarter of previous year. Profit after tax for the quarter is ■ 545 crores as against PAT of ■ 430 crores for the corresponding quarter of previous year.

On standalone basis, we have achieved a total income of ■ 2,476 crores for the current quarter against ■2,142 crores for the corresponding quarter of previous year. Profit before tax for the current quarter is ■ 747 crores against ■ 603 crores for the corresponding quarter of previous financial year. Profit after tax for the current quarter is ■ 557 crores as against ■ 430 crores for the corresponding quarter of previous financial year.

Exports for the quarter is about 88%. Exports to Europe and US during the current quarter are about 58% and 14%, respectively. Product mix for generics to custom synthesis is 47% and 53%, respectively. For the current quarter, we have a forex gain of ■ 39 crores as against a forex loss of ■1 crore for the corresponding quarter of previous year.

Our constant currency growth for the quarter has been at 14%. Our global nutraceutical business amounted to ■250 crores for this quarter as against ■ 178 crores for the corresponding quarter of previous financial year. We have capitalized assets of ■261 crores during the current quarter, of

which assets capitalized for the Phase 1 of Kakinada project amounted to ■114 crores.
We have capital work in progress of ■ 1,319 crores at the end of the quarter. As of the end of the quarter, we have cash on books of ■4,205 crores, receivables ■ 2,521 crores and inventory of ■3,087 crores. Thank you.

M. Satish Choudhury: Thank you, madam. With this, we will request the moderator to open the line for Q&A.

Moderator: Thank you, sir. We will now begin the question and answer session. The first question is from the line of Mr. Tushar Manudhane. Please go ahead.

Tushar Manudhane: Sir, just considering the generic custom synthesis ratio with API segment seems to be lower for the quarter. And despite that, the gross margin is sort of lower sequentially. So if you could throw some light on this aspect? That's my first question ?

Nilima Prasad Divi: Can you please repeat the question again?

Tushar Manudhane: Ma'am, considering the ratio of generics to cust

om synthesis of 47% to 53%, it implies that the API business has sort of been more or less flat year -over -year, in fact, reduced quarter -on-quarter as well. And given this backdrop, still the gross margin see ms to be lower on a quarter -on-quarter basis. So basically, the reasons for the lower API trends and subsequently a reduction in the gross margin as well ?

Nilima Prasad Divi: So the generics to custom synthesis ratio is 47%, 53% this quarter. The entire thing would actually reflect that the generics business had a higher component in this quarter compared to the custom synthesis. However, we have always maintained the stand that there could be lumpiness in one particular quarter with respect to gen erics and in another quarter with respect to custom synthesis.
So, it's not that what's being reflected in this quarter is going to be there for the rest of the year.
We would ask you to look at it in a holistic way in the complete year. We would preferably have it at 50% each.

Tushar Manudhane: Secondly, in the opening remarks, sir commented on biocatalysis as well in terms of the platform. If you could throw some light in terms of the kind of work that's happening in this aspect?

Dr. Kiran S. Divi : Sure. So as I explained in my speech, right, we are working on biocatalysis. We are working on resins. We are working on several different platforms, based on what the market is looking for

and what future we see. So at this point, we are more at the pilot scale working with few of the innovators on how to move forward on this. I'm not at the liberty to speak much more than this.

Tushar Manudhane: But this implies that we're going to get into the biologics route of manufacturing over a period of time, is that a correct understanding?

Dr. Kiran S. Divi : I'm not at the liberty to comment on that, okay.

Tushar Manudhane: And last, just one more, if I may. This backward integration impact is already reflected in the gross margins?

Nilima Prasad Divi: Yes, it is reflected in the gross margin, the backward integration and not just with respect to the revenue aspect but also with respect to the supply consistency and not being affected by various other disturbances that the other competitors would be havi ng.

Moderator: The next question is from the line of Mr. Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha: Just a clarification. So generic business is 53% of the revenue this quarter or it's 47%?

Nilima Prasad Divi: Generics business is 47% this quarter.

Kunal Dhamesha: Sure, sure. And again, I think in the opening remarks, we alluded to pricing pressure in the generic business. Is that something that would have impacted the gross margins of generic business this quarter?

Nilima Prasad Divi: Yes, the pricing pressures are there in the first quarter as well, like they have been there the last few quarters we've been mentioning. Apart from that, there are also additional costs that are being incurred by the generic business, which are also there in custom synthesis but they are affecting more the generic business.

Kunal Dhamesha: Can you, ma'am, elaborate on that? What type of cost?

Nilima Prasad Divi: It could be the logistical cost or it could be, say, for example, the Red Sea problem hasn't been solved yet. So the shipping problems are still there or it could be with respect to various other geopolitical issues that we are facing currently. So we are having -- I would say it's a mix of both. But yes, the pricing pressures are definitely being seen and they are still continuing. We are hoping that they would stabilize over the next few quarters.

Kunal Dhamesha: Sure. And second question is on the peptide capacity. Is it now fully functional for us? And if you could now share how much is the capacity that we have put up and in whi ch plant, that would be helpful?

Dr.

Kiran S. Divi: So in terms of peptide capacity, we have created capacity for both our pilot work and also in terms of commercialization of our Tetramers or Octamers . As you know, the total process is not that we just qualify and then we can start supplying. It has to go through the total qualification process, validations, customer approvals. So it's a time-taking table.

So we will have to wait till the validations are done or some of them are in process and the qualifications. And once that is done, then we will have customer approvals and regulatory approvals. So, this will take some time.
Kunal Dhamesha: So if I remember correctly, we had said a couple of quarters back that this thing could get commercialized in 12 to 14 months. So that leaves us with more like 6 to 8 months now. Is it a fair time line?
Dr. Kiran S. Divi: I would -- again, our wishful thinking is 12 to 14 months. It all depends on the regulatory approvals. And then, I mean, we being a part of the innovator, it's based on his time line on getting the product commercialized.
Kunal Dhamesha: Sure. And with your permission, if I may?
Moderator: Yes, please go ahead.
Dr. Kiran S. Divi: Please tell me what you're saying.
Kunal Dhamesha: Yes. The last part is with Kakinada Phase 1, let's say, if we have to look at a broader level, how much raw material dependency can we reduce, let's say, our FY25 raw material consumption was around ■3,700 crores. So if you could provide a reduction with reference to that? And the second part is, would you be focusing on doing more backward integration for your CS projects or for generic products?
Dr. Kiran S. Divi: So to explain what Kakinada is doing right now is, we are freeing up GMP capacity in our existing Unit 1 and Unit 2. So we were in the past making critical starting materials, raw material, backward integrating in a GMP facility, which we have moved it to Kakinada right now, emptying space for us to do further new molecules , validations and using the capacity for new molecules, new innovation products that are coming into space. So Kakinada is right now working on the existing molecules we were making at Unit 1 and Unit 2. I hope that answers your question?
Kunal Dhamesha: So then it would have a more revenue impact rather than a gross margin impact, right? Because these things we were already doing at Unit 1, Unit 2, now that with the freed up capacity, you can do more projects on the GMP side for clients?
Dr. Kiran S. Divi: That is absolutely correct . But again, you must understand, while we go through qualifications, validations, all these will take time. See, we have emptied it now by 2025, January production started, qualifications took place, then we have to qualify it in our own plant. After that the place gets empty, we have to start validation. So this will take some regulatory approval time, validation time. So it will take us some time before we see revenues from those streams.
Moderator: The next question is from the line of Ms. Damayanti Kerai from HSBC.
Damayanti Kerai: My question is again on Kakinada. So right now, you're utilizing it for reducing your dependency on third-party KSMs, etc. So just want to understand for supplies to start to the customers, third-

party supplies, say, to the U.S. and Europe, how long it might take to get the required qualifications approval, et cetera?
Dr. Kiran S. Divi: So you're asking about the qualification of Kakinada material in our APIs. Am I correct?
Damayanti Kerai: No, sir, I'm asking, say, like we are supplying from Unit 1 and Unit 2, which are GMP approved, right? So for Kakinada, when do you expect the GMP approval to come in, which will enable you to start supplies the way you are doing right now from Unit 1 and Unit 2?
Dr. Kiran S. D

ivi: So right now, strategically, what we have done is, we have emptied Unit 1 and Unit 2 with all the key starting materials and moved it to Kakinada Unit 3, so that we have GMP space immediately available for our immediate growth. While that is being done, certain long forward - looking products, which are getting off patent much later , we are qualifying them in Kakinada and then we will start the process, which will take at least 1 to 2 years before we have regulatory approvals in place for Kakinada. Till such time, instead of keeping capacity idle, we are making all -- we are working a lot on backward integration.

Damayanti Kerai: Okay. That's helpful. So Unit 1, Unit 2, with capacity freed up, what kind of utilization is there right now? Like how much headroom we have from current level to push forward?
Nilima Prasad Divi: Currently, our capacity utilization is at 80% this quarter, which has been consistent in the last 1 year. So even with additional capacity of Kakinada being -- coming into play, we are still at 80% capacity utilization, which is ideal for our organization.
Damayanti Kerai: Okay. And my second and last question is, Dr. Kiran mentioned about your Solid State Peptide Synthesis capacity gaining a lot of interest from customers, et c. And as you said earlier, it will take some time for getting the required approvals to see the numbers, et c.. But can you just explain a bit how much capacity you have added? A few quarters back, you said you are adding 500 KL reactors, etcetera. So if you can provide some color on the capacity part, please?
Dr. Kiran S. Divi: So what I can tell you is, in the pilot scale, we have included a few 500 KL SPPSs. And then the commercial, we have procured a larger volume based on customer requirement. So since it is under a CDA and we have a long- term contract, I'm not at the liberty to talk about their capacity commitments.
Damayanti Kerai: Okay. So this already you have put in place and as customer demand comes in, you will utilize for commercial supplies?
Dr. Kiran S. Divi: As and when the qualifications and regulatory approvals are completed, we will start seeing commercial supplies.
Damayanti Kerai: Okay. And you are working with multiple partners, right, not only with one partner, if you can...
Dr. Kiran S. Divi: That is correct.
Moderator: The next question is from the line of Mr. Surya Narayan Patra from PhillipCapital.

Surya Narayan Patra: Sir, my first question is on the 3 dedicated plants that we are likely to commercialize over the next 12-month odd period. So in terms of the asset turnover, it would be similar to the kind of existing line of asset turnover what we are having for our plants. And any of these 3 unit are relating to peptide or contrast media?
Dr. Kiran S. Divi: So since they are CS projects, I'm not at the liberty to t alk too much about it. But the three projects are going as per schedule. They have long- term contracts with volume commitment. So as and when the projects get commercialized, we will see the projects commercializing and you will see the future revenues.
Surya Narayan Patra: Okay. Sir, about the peptide product capacity again. So is it possible to give some sense that, okay, what is the target market in terms of the volume for the peptide products, given the global market that is there we are targeting? And what volumes share that we can ultimately targeting over a period of time?
Dr. Kiran S. Divi: So see, what I would like to say in terms of peptides is, Divi's is backward integrated, which gives us in a very strong position in terms of we make our key starting materials. We also make -- we're going forward with Tetramers , Octamers . This gives us a unique position. Now that being said, we are working with several multinationals on several projects.
I cannot give a capacity or a volume -ba

sed figure because I'm bound by confidentiality. But what I can say is most of the customers are coming to us because we have a strong backward integrated position.
Surya Narayan Patra: Sure. Sir, just slightly differently, sir, if I try to understand the quantum of the substance -- drug substance for peptide drugs that would be required. Let's say, if we are talking about the injectable product, so let's say, for 1 billion or 100 million kind of cartridges, what quantum of the drug substance that would be required or let's say, if it is solid product for 1 billion tablets, what is the quantum of the drug substance that would be required in case of semaglutide or any other peptide? If you can give some sense about that, that would be helpful ?
Dr. Kiran S. Divi: So that is something the innovator can answer, not me because we only produce the fragments and supply to various of them. So we do not know their dosage capacity and variability. As an API supplier, our job is just to supply the fragments, nothing more than that.
Surya Narayan Patra: Okay. Just one clarification, sir, from my side regards the tariffs. If we see the kind of fine details of the U.K. and the U.S. transaction, so it is believed that pharma is not exempt out of this and more so about the branded products and also the interm ediates for the branded products. So if that is the case, then what is the likely impact? I mean, sir, whether we should also be worried about the kind of a tariff impact on the custom synthesis supplies?
Dr. Kiran S. Divi: So see, right now, there is not a clear methodology on what the tariff will be. And whether it is for the intermediates or the APIs, I mean no clarity is given or set forth. Without that, it's hard to comment on what is expected from our side. But what all I can say is, we have long -term supply agreements, which will protect the Company . And if there are tariffs, we will then work

with our innovator companies and see how to move forward.

Moderator: The next question is from the line of Ms. Neha from Bank of America. Please go ahead.
Neha: First question on the generic pricing. It's been 2 years since we've seen pricing pressure. And I think Nilima ma'am made a comment about probably pricing stabilizing in the next few quarters. If you could just give some color on what essentially would hel p stabilize this price? Is this more supply going off the market? What gives us the confidence that you would probably see stabilization in pricing versus this trend continuing probably for longer?
Dr. Kiran S. Divi: Sure. So if you look at Nilima's comment, it's basically that we are hoping it will stabilize. And the pricing pressure is basically because of several geopolitical situations happening across the world. There are several -- there's a lot of instability. T here's a lot of pricing pressure everywhere. And with the insurance companies also cutting down and looking at cost to margin products, that is the main reason why the pricing pressure on the generic side has been increasing. Now that being said, we being backward integrated and being a large volume supplier for several of the APIs we produce, having anywhere from 60% to 70% market share, we are able to sustain and have continuous supply and we are successful in not losing any market share.
Neha: But is it fair to assume that the pricing has gotten to a certain point where probably it becomes unviable for some of the high-cost manufacturers and therefore, you see a stabilization in prices at that point? How far do you think we are from there, parti cularly for the larger generics that we supply?
Dr. Kiran S. Divi: See, as of now, we do not see any concern -- at least on Divi's side, we do not see any concern on manufacturing or it becoming unviable. But at some point, the market has to stabilize because there will be several cor

rections that have to take place. So i t's hard for me to comment on when this would happen.
Neha: Okay. Understood. And my second question is on contra st media. I think last year, we've spoken about the Gadolinium -based products being under validation and supplies for batch stocking. Based on your visibility and conversations with clients, when do we start seeing contribution from the Gadolinium -based contrast media products?
Nilima Prasad Divi: Can you please repeat the question again?
Neha: Last year, I think you had mentioned about in contrast media, the non -iodine, the Gadolinium - based supplies being under validation and probably commercial supply starting later this year. So how far along this process are we? And when do we start seeing revenue contribution from those non-Iodine -based contrast media products?
Dr. Kiran S. Divi: Yes, sure. So I mean, just a small correction here. When I mentioned about this in November of 2024, I said that the products , like Gadolinium compounds were still under qualification stages. It was not under validation. So, we were getting qualified at customers . So the qualification with several customers have gone through and we are still in the stage of getting -- going towards pilot studies and then validations or qualifications. So like I told you last time, it will take anywhere from 1 to 2 years and we are still standing by and hopeful that we should get some validations done by then.

Neha: Okay. So this should still be about 12 to 24 months away or are we closer to that?
Dr. Kiran S. Divi: We are hopeful for sooner. But right now, we are -- I mean, like I gave 6 months ago, we are thinking it will be about 24 months or maybe 18 months from now. But we are hoping the validations and things would happen sooner.
Moderator: The next question is from the line of Mr. Shyam Srinivasan from Goldman Sachs.
Shyam Srinivasan: Just the first one on -- when I look at the annual report disclosures, it talks about valsartan, 6.4% of total revenue. So just curious from one of your top products, which you are supplyi ng to the innovator, Sacubitril plus Valsartan , it's gone generic in the U.S., as you may be aware, in the middle of July. So just want to understand how is our shipments going to vary on the path forward for valsartan and Sacubitril Valsartan specifically?
And just trying to tie it with your guidance, if you remember, you have said that it's double -digit growth. So any risk that may be there given that the product has got generic for your partner?
Dr. Kiran S. Divi: Firstly, I cannot acknowledge any product. So I cannot answer this question, to be fair. But what

I can say is every brand company has their own strategy and we will abide by what the brand requires and we will supply them the products they need. If you lo ok at historically, Divi's, we have been in CS business for the last 25 years. It's not something new.
We had products coming in, products going off patent with customers and we managed even late life cycle of the molecule along with the customer. So I cannot talk about a particular product whether we make or not, but what I can say is if you are talking about late life cycles, we do manage late life cycles with our customers.
Shyam Srinivasan: Got it. That's very helpful, Kiran. Second question, just on the nutraceutical business. It's seen a good jump. Maybe last quarter, 1Q was not the right base but even Q -o-Q, it's gone up. So I remember a couple of years back, we had doubled our capacity. S o if you could help us understand just the trajectory of this business going forward? And what is the scope for expansion here?
Dr. Kiran S. Divi: So right now, in terms of nutraceuticals, we are basically seeing a steady growth in the product. And there has been a dip in the past because COVID came in and several of the multivita

min
and other businesses have gone down. But now we are seeing a steady improvement and a steady rise. In terms of capacity creation, as and when required, we will increase our capacity in the Nutraceutical side.
Moderator: The next question is from the line of Mr. Vivek Agrawal from Citigroup.
Vivek Agrawal: Sir, just one question on the contract that you have signed in April 2024. So how far is the company as far as the commercialization of this contract is concerned?
Dr. Kiran S. Divi: So I cannot comment on that at this point. All I can say is that we are going through various stage of qualifications and validation. As and when it commercializes, you will see the results in the future.

Vivek Agrawal: Understood. Sir, one question I have on the peptide space. Even beyond GLP -1, right, there is a lot of innovation that is happening in the segments like IL -23, PDCs , etcetera. So just want to -
- just wanted your thoughts on these segments, where the company is placed as far as opportunities in these segments are concerned. Are you working on any project with the customer -- with innovators, especially in these segmen ts?
Dr. Kiran S. Divi: As of now, there is growing interest in several therapeutic segments in terms of peptide -based innovation. We are active with several multinationals at various stages, either in their Phase II, Phase III, Phase Is. And as and when they go through their regulatory clearances and there's opportunity, we will do the investments and go forward.
Moderator: The next question is from the line of Mr. Shrikant from Nuvama Wealth Management Limited.
Shrikant: I have two questio ns. Firstly, we are setting up three dedicated units.
Moderator: Sorry to interrupt. Sir you are not audible. Could you speak a little bit louder?
Shrikant: I have two questions. Firstly we are setting up three dedicated units. Is it possible for the management to talk about the mix of the products? And what type of asset turnover is possible considering that these are dedicated units?
Nilima Prasad Divi: These are our -- these three are our Custom Synthesis projects. And usually, we refrain from talking in detail about them because of the CDA we signed.
Shrikant : Okay. And anything on the potential asset turnover that we can achieve on these units?
Nilima Prasad Divi: It is a CS project, so you can figure it out from that. But normally, the asset turnover of CS versus generic is known in the market but it's something we wouldn't want to spell out.
Shrikant: Okay. Understood. And on the peptide and GLP -1 opportunity, would it be possible to provide some guidance on the kind of -- would it be gross margin accretive opportunity for us.
Dr. Kiran S. Divi: I didn't understand your question. Could you say it again, please?
Shrikant : Yes, yes. So just wanted to understand whether our manufacturing of GLP -1 peptides, would it be accretive to our gross margin, whenever the opportunity starts?
Nilima Prasad Divi: Let the -- I mean, like this is something -- again, as Kiran has earlier mentioned, it's a part of our Custom Synthesis project. So we are signed by CDA and we cannot disclose such information.
But as and when we commercialize, we would see the reflection of it in the revenues and as well as the gross margin.
Moderator: The next question is from the line of Mr. Aditya Iyer , an I ndividual Investor.
Aditya Iyer: First of all, congratulations on the good set of numbers. I have a few questions. So in the last 3 to 4 years, we have increased the contribution from the European market and similarly decreased the contribution from the American market. So going ahead, do we plan to maintain this mix or will there be any change?

Nilima Prasad Divi: It is -- we have nothing to do with whether we are increas

ing the European shipments or the
ROW shipments or U.S. shipments. It's mainly the customer we have a contract with and where
-- and he is located at multiple locations. And wherever he would ask us to make the shipment,
that's where it would go. So, the same product could go to multiple locations . Some quarters, it
could go more to Europe and some quarters, it could go more to U.S.
Aditya Iyer: So this is not a strategic shift that's what you're saying?
Nilima Prasad Divi: Yes.
Aditya Iyer: Okay. And in the previous concall, we had given a capex guidance of ■1,400 crores and we have
revised that in this concall. So what kind of opportunities are you seeing in the next 3 to 4 years
given the revised capex guidance?
Nilima Prasad Divi: As we mentioned earlier, we have disclosed to the Stock Exchanges that we have entered into
three large projects. And the capex that we are going to implement is mainly based on that. That's
what has increased the number.
Aditya Iyer: What kind of opportunities are we seeing in the GLP contrast media, what are the opportunities
are we seeing?
Nilima Prasad Divi: These are CS projects. So we wouldn't be able to disclose such information because of the CDA.
Moderator: The next question is from the line of Girish Bakhru from OrbiMed.
Girish Bakhru: Kiran, just taking you back to Kakinada, what will trigger Unit 3 Kakinada Inspection? Can it
be -- I mean, would it be already commercial product or it can be a late phase product?
Dr. Kiran S. Divi: So right now, Kakinada is making pre -chemistry. But we are also in the process of qualifying
certain of our own generic molecules and also certain future generic molecules so that as and
when it triggers and gets an FDA inspection or EU GMP inspection, it will start commercializing
and start supplying regulatory quantities.
Girish Bakhru: Sorry, my question was specific to GLP -1s?
Dr. Kiran S. Divi: I'm sorry. I didn't then -- could you repeat your question again? You said Kakinada, right?
Girish Bakhru: So I was -- because right now, peptide is only from Unit 1 and Unit 2. For Unit 3 to get into this,
what will trigger the inspection? Will it be already approved product, which will be shifted to
Unit 3 or it can be a late phase in currently trial product?
Nilima Prasad Divi: Just a a quick clarification here. We have never mentioned that the peptide production would be taking
place in Kakinada in the first place.
Girish Bakhru: But in future, would you plan to do that?

Dr. Kiran S. Divi: It is, again, in the future based on capacity requirements and allocation, which we cannot
comment right now because right now, with the existing demand we have on SPPSs, we will be
using both Unit 1 and Unit 2.
Girish Bakhru: Okay. And then the related question is Unit 1, Unit 2, can they make high- volume batches like
100 kilos, something like that?
Dr. Kiran S. Divi: I cannot comment on that. like I explained before in the call, due to confidentiality, I cannot
mention the capacities because these are innovator -based products.
Girish Bakhru: No, I understand. You cannot comment on overall capacity. I'm just meaning to understand that a bit?
Dr. Kiran S. Divi: the batch sheets belong to them, so I'm not at the liberty to comment.
Girish Bakhru: Understood. Just lastly then on the overall TAM. I mean you mentioned on the annual report,
the peptide API is a big market. But TAM for GLP -1 drug substance is probably about 6 billion,
7 billion. Of this, how much is fragments, if you could tell us?
Dr. Kiran S. Divi: Could you explain your question, please?
Girish Bakhru: So overall peptide API, how much is the addressable market when you actually talk about these
oligomers?
Dr. Kiran S. Divi: In terms of global, ….. I cannot comment on that because like I explained, it's tied by
confidentiality, what Tet

ramers or Octamers or Decamers we are doing. So I cannot fragmentize
it and then -- and give a number out, especially with Divi's.
Girish Bakhru: Okay. Just can you comment on how many players would be doing similar work? Like how
much -- how is the competition like? How many players are you competing against when you
are making these Oligomers ?

Dr. Kiran S. Divi: You know the -- who are the major players in the world on the Oligomers . So you can assume that.
Moderator: The next question is from the line of Mr. Ankush Mahajan with Sanctum Wealth.
Ankush Mahajan: Sir, as you are expecting new molecules in next 12 to 18 months and from the value -added molecules with the innovators, so we could expect that there is a increase in asset turnover. Can we say sir, that could also lead to the operating leverage in upcomin g, we can say in next 9 months?
Nilima Prasad Divi: It's possible based on the regulatory approvals that would take place, like how long that would take. So that's the reason why we are saying it would take a year or 2. It's completely based on the regulatory approvals.
Moderator: The next question is from the line of Abdulkader Puranwala from ICICI Securities Limited.

Abdulkader Puranwala : Just first question, just a follow -up from one of the previous participants. Sir, I know you're bound with confidentiality and we may not able to speak much. But just if you could help us understand on the three projects which you have recently signed. Just qualitatively, if you could indicate at what stage these projects would be, whether this would be something like a molecule under clinical trial or something which has already got commercialized?
Dr. Kiran S. Divi: So jus t to give you an idea, all the three molecules, some are just commercialized, some of them are commercialized and well within the patents and some, they just completed Phase III going forward, if I can give you a brief about it.
Abdulkader Puranwala : Sir, that's very helpful. And the second one would be on the geopolitical issues. So currently, if we look at what's going on in the U.S. where there is a more focus on captive manufacturing. So in your interaction with innovators, so how are they looking at the overall sourcing scenario? Any change in commentary as to where we were 1 year ago or 6 months ago?
Dr. Kiran S. Divi: Yes. So as of now, we have not heard anything from our innovators nor any concern, okay. While there is a shift that manufacturing in the U.S. is a desire by the government, we have not seen much stress or concern coming from our customers towards us. So I mean, to say we have long-term committed contracts in place and it's too early for us to comment even on the tariffs or anything because nothing is in place.
Moderator: The next question is from the line of Abhigyan Srivastav from Marcellus Investment Managers.
Abhigyan Srivastav : So my question is regarding the generic segment. Can you please help us with the plan and timelines for the new product pipeline that you had previously mentioned? And when would these products be launched? And what does the timeline look like?
Dr. Kiran S. Divi: Sure. So coming to the new product pipeline, we have several products like Brivaracetam, Ticagrelor all and a few others already in the pipeline. We filed our DMFs, validations are completed and we are waiting for our customers to get their approval so that we can start supplies. We think in the next 6 to 12 months, we will start seeing some movement of the product on commercial volumes.
Abhigyan Srivastav : So for my second question, regarding the U.S. tariffs, could you please comment on what sort of cost advantage India and Indian CDMOs have versus the U.S.? And what sort of tariffs would set off this cost advantage?
Nilima Prasad Divi: Firstly, regarding the tariffs with respect to pharma in

dustry, there is still no clarity as to what the tariffs are going to be. And sometimes we hear there's an exemption and sometimes we hear is, there's phased exemption. So I think it's way too early t o even assume that there is going to be an effect. And at this point, we want to refrain from commenting anything considering we have long-term relationships with most of our customers.
Moderator: The next question is from the line of Mr. Ravi Purohit from Securities Investment Management Private Limited.

Ravi Purohit: Congratulations for a good set of numbers. Just -- most of my questions have been answered. Just one question left. So historically, we've always been on the custom synthesis business. We've dominated predominantly a small molecule company in the sense where we focused on smaller molecules. GLP, of course, is probably after a long time, we have a fairly large -- big molecule.

So going forward, is there a focus area to -- is there an idea to focus mor e and more on larger molecules o r is one of those opportunities and our focus stays in the small molecule space historically. If you could just share some long-term -- medium - to long -term thoughts on this ?
Nilima Prasad Divi: Like looking at the historical data, we try to prefer as much as possible, maintain the generics and the custom synthesis at a equal pace. The similar fashion, we also would want to maintain the small molecules and large molecules equally and make sure our focus is on both, not just on one.
Dr. Kiran S. Divi: To clarify, that too, we look at it based on chemistry opportunities, not based on volume -driven projects. So in some cases, we would have a low -volume, high- value product. And in some cases, we will have large volumes with decent margin products. So CS is based completely on chemistry and opportunity and our capabilities.
Moderator: The next question is from the line of Mr. Sucrit D Patil from Eyesight Fintrade Private Limited.
Sucrit Patil: First of all, I'd like to congratulate Team Divi's on doing a superb job in the business, keeping in mind the regulations and a lot of pressure that the market is facing. My question is as global pharma supply chain evolves and becomes a key differentiator , how is Divi's integrating green chemistry and ESG principles into its manufacturing and client engagement? And could this be a competitive moat in custom synthesis and API partnership over the next 5 years? Just a telescopic view of this?
Dr. Kiran S. Divi: Sure. So in terms of green chemistry, Divi's has been very active in terms of working towards green chemistry from the last few years. And this has become a part of our DNA where we look at atom -to-atom efficiency and try to understand every mole of waste that we produce, on why the byproducts are being produced, thereby increasing our yield, capacity and better product. Apart from that, we are one of the few companies who completely recover our solvents, and which strives us more towards green chemistry at 90% to 95% recovery and reusable of the solvents in the same process in the same stage. This gives us a very unique strength with both our generic side of the business and also on our custom side of the business being uniquely positioned. I hope this answers your question.
Moderator: The next question is from the line of Mr. Mohit Jain from DR Choksey Finserv Private Limited.
Mohit Jain: Sir, I have just one question. Given the recent U.S. court ruling allowing MSN Pharma early entry into this drug, Entresto, could you quantify the anticipated revenue impact for FY26?
Nilima Prasad Divi: As explained before, we cannot comment on any product, wh ich is a product specific or acknowledge. The products are based on confidentiality. `

Mohit Jain: Got it. Sure, ma’am. Thank you.

Moderator: Thank you. L adies and gentlemen, in the interest of time, that was the last question. I would now like to hand over the conference to Mr. M. Satish Choudhury for closing comments. Please go ahead, sir.
M. Satish Choudhury: Thank you all for joining us today for the earnings call of Divi's Laboratories Limited. In case you need any further clarification, please reach out to our Investor Relations. Thank you.
Moderator: Thank you, sir. On behalf of Divi's Laboratories Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

November 12, 2025

To To
The Secretary The Secretary
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Phiroze Jeejeebhoy Towers,
Bandra - Kurla Complex, Bandra (East) Dalal Street
Mumbai – 400 051 Mumbai – 400 001

Trading Symbol: DIVISLAB Scrip Code: 532488
Dear Sir / Madam,

Sub: Transcript of earnings conference call held on November 07, 2025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015
We hereby submit the transcript of the earnings conference call for the quarter and half year ended September 30, 2025, held on November 07, 2025, at 15: 00 hrs. (IST). The transcript is
also available on the website of the Company i.e. www.divislabs.com , under the Investors
Relations section. This is for your information and records.

Yours faithfully,
For Divi's Laboratories Limited
M. Satish Choudhury
Company Secretary & Compliance Officer

"Divi's Laboratories Limited
Q2 FY 2026 Earnings Conference Call"
November 07, 202 5

MANAGEMENT : DR. KIRAN S. DIVI – WHOL E-TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DIVI'S LABORATORIES
LIMITED
MS. NILIMA PRASAD DIVI –W HOLE -TIME DIRECTOR
(COMMERCIAL) – DIVI'S LABORATORIES LIMITED
MR. VENKATESA PERUMALLU PASUMARTHY – CHIEF
FINANCIAL OFFICER – DIVI'S LABORATORIES LIMITED
MR. M. SATISH CHOUDHURY – COMPANY SECRETARY
AND CHIEF INVESTOR RELATIONS OFFICER – DIVI'S
LABORATORIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call of Divi 's
Laboratories Limited for Q2FY 2026. As a reminder, all participant lines will be in the listen -
only mode and there will be an opportunity for you to ask questions after the presentation
concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar and then zero on your touch-tone phone. Please note that this conference is being
recorded.
I now hand the conference over to Mr. M. Satish Choudhury. Thank you, and over to you, sir.
M. Satish Choudhury : Good afternoon to all of you. I am M. Satish Choudhury, Company Secretary and Chief Investor Relations Officer of Divi's Laboratories Limited. I welcome you all to the earnings call of the company for the quarter and half

year ended September 30, 2025.
From Divi 's Labs, we have with us today Dr. Kiran S. Divi, Whole -Time Director and Chief Executive Officer; Ms. Nilima Prasad Divi, Whole -Time Director (Commercial); and Mr. Venkatesa Perumallu Pasumarthy, Chief Financial Officer.
During the day, our Board has approved unaudited financial results for the quarter and half year ended September 30, 2025, and we have released the same to the Stock Exchanges as well as updated the same in our website. Please note that this conference call is being recorded, and the transcript of the same will be made available on the website of the company.
Please also note that the audio of the conference call is the copyright material of Divi 's Laboratories Limited and cannot be copied, rebroadcasted or attributed in press or media without the specific and written consent.
Let me draw your attention to the fact that on this call, our discussion will include certain forward -looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectation of future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied.
Divi's Labs or its officials does not undertake any obligation to publicly update any forward-looking statement, whether as a result of future events or otherwise. Now, I hand over the conference to Dr. Kiran Divi for opening remarks. Over to you, sir.
Dr. Kiran S. Divi : Good afternoon, everyone, and welcome to Divi 's Laboratories earnings call for the second quarter of financial year 2025 -26. Thank you for joining us today. We truly value the continued trust and interest you have placed in us , and I hope you and your families are doing well and in good health.
I will now take you through the key developments across our business, including operational updates, strategic initiatives and community impact.
As we review the second quarter, I'm pleased to share that Divi 's has continued to navigate global trade dynamics with resilience and has delivered value across all business segments. Our

performance this quarter reflects the strength of our ability and adaptability to respond quickly to evolving market conditions.
Let me begin with an update on our generic business. We have maintained consistent volumes across our core portfolio , despite ongoing pricing pressures. Our backward integration model continues to enable us to manage input costs effectively. Our Unit 3 facility in Kakinada, which became operational earlier this year, is also supporting our supply chain by enabling in- house production of starting materials and intermediates.
Moving to custom synthesis , we continue to see high engagement levels with a steady flow of RFPs and site visits from global innovators. We currently have multiple projects advancing t

hrough development and validation stages . A few of them are expected to move into commercial manufacturing over the next 1 to 2 years.
Coming to our peptide offering, we are seeing a strong momentum in peptide synthesis. We have inaugurated our peptide center of excellence where multiple projects of various customers are undergoing development. We are actively engaged with several big pharmas at various stages in their Phase I, Phase II and Phase III programs. As these programs advance through regulatory milestones, we are p repared to further scale up investments to meet their demand.
At present, Divi 's continues to invest in large capacities, both at pilot and commercial scale, where validation of fragments are taking place for several projects. This approach is aligned with our long-term strategy of becoming a world leader in complex peptide manufactu ring.
Alongside these advancements, our nutraceutical segment continues to evolve as a key growth driver . With our manufacturing strength in carotenoids and other value -added ingredients , Divi's nutra is well positioned to leverage the growing global focus on health, nutrition and wellness.
On the technology front, we continue to expand our platforms in flow chemistry, biocatalysis and green chemistry, foraying into commercial manufacturing with all three. These capabilities are increasingly important as sustainability and efficiency became the key priorities for our global partners.
We are currently executing three major capex programs backed by long- term supply commitments. These investments are focused on implementing new technologies , expanding capacities and advancing key strategic projects.
Finally, I would like to to uch on our community initiative. Our education programs continue to reach thousands of students and we remain committed to inclusive development through targeted interventions in nutrition, infrastructure and scholarships.

We are also deepening our efforts in providing safe drinking water and have already reached 8 lakh people, reflecting our belief that business success must go hand -in-hand with social progress. Thank you. I will now hand over the call to Nilima Divi, who will talk about the financial highlights.

Nilima Prasad Divi: Good afternoon, ladies and gentlemen. Thank you for joining the earnings call as we review Divi’s Laboratories operational and financial performance for the second quarter of fiscal year 2025- 26. We appreciate the opportunity to provide an update on our activities during the period and value your ongoing interest in the company.
The quarter has marked by a complex good global environment , with ongoing shifts in trade patterns and geopolitical developments affecting supply chains . In this context, we have continued to prioritize disciplined execution, operational stability and prudent strategic planning.
Our established operating practices have supported continuity of supply, fulfillment of customer requirements and adherence to our long -term objectives in pharmaceutical intermediates and active pharmaceutical ingredients sector. Concurrently, we have purs ued measured investments in process improvements, research and development and capacity enhancements to address anticipated needs.
Regarding procurement and supply chain activities, raw material prices were broadly stable during the quarter, aided by reliable availability from our diversified supplier base.
We continue to monitor macroeconomic factors, including the effect of U.S. tariffs on suppliers from China and sanctions related to Russia, which may influence costs for certain raw materials, intermediates and solvents. As a precautionary step, we have maintained appropriate inventory levels, expanded our sourcing options across regions and progressed vendor qualifications where necessary. Our backward integration program, particularly through the Unit 3 facility in Kakinada, has supported supply security and cost management. This development has also released GMP compliant capacity at our other Units , facilitating timely validations and product introductions.
I will now present an overview of our group financial performance for the second quarter of fiscal year 2025 -26 and first half year of FY 2025-26 which ended on September 30, 2025.
We have achieved a consolidated total income of ■ 2,860 crores for the current quarter, representing a 17% increase from ■ 2,444 crores in the corresponding quarter of previous financial year. Profit before tax for the quarter stands at ■912 crores compared to ■ 722 crores in Q2FY2025. Profit after tax for the quarter is ■689 crores as against ■ 510 crores in Q2FY 2025.
Material consumption for the quarter is about 39.5% of the sales revenue, consistent with our recent trend. Exports for the quarter accounts for 90% of the total sales revenue with exports to Europe and United States contributing a combined 74%.
The product mix for the quarter is 44% generics and 56% custom synthesis. We recorded a forex gain of ■63 crores for the quarter. On a constant currency basis, revenue growth for the second quarter has been 10.79%. The nutraceutical business contributed ■ 242 crores during this quarter.
For the 6 months ended September 30, 2025, the consolidated total income rose to ■ 5,389 crores, a 16% increase from ■ 4,640 crores for the corresponding first half of the previous fiscal year.

Material consumption improved to 39.6% of the sales revenue as against 40.9% for the corresponding first half year of FY 2024 -25. Profit before tax for the current half year is ■ 1,645 crores as against ■ 1,326 crores for the corresponding half year of previous year. Profit after tax for the current half year is ■1,234 crores.
Exports for half year is about 90% of the total sales revenue. Export to Europe and United States combined are about 73%. Product mix for generics to custom synthesis for the current half year is 45% and 55%, respectively. We have a forex gain of ■102 crores for the current half year. On constant currency basis revenue growth for the half year has been at 12.3%.
Nutraceutical business revenue has amounted to ■ 492 crores for this half year. During the half year, we capitalized assets worth ■463 crores with ■201 crores capitalized during this quarter.
Capital work in progress stood at ■ 2,030 crores. As of September 30, 2025, we have cash on

book of ■ 3,451 crores, receivables of ■2,614 crores and inventories of ■3,433 crores. Thank you.

M. Satish Choudhury : Thank you, madam. With this, we would request the moderator to open the line for Q&A.

Moderator: Thank you very much. We will now begin with the question-and -answer session. O ur first question comes from the line of Amay from JM Financial.

Amay: Congrats to the management on good set of numbers. First question I have on the -- our very important custom synthesis project, which have seen a recent expiry in one of the key markets in the U.S. There is also patent expiry happening in EU next year. Is it possible for the management to guide us how much volumes which we are currently supplying would be linked to these patent expiring in two regions?

Dr. Kiran S. Divi: I'm sorry, I cannot comment on any specific product, customer impact or volumes. Because I'm bound by confidentiality. I do understand that you're asking us specific to a few things, but I do not -- I'm not at the liberty to speak about anything.

Amay: Sure. Second question I have is on the API generic side. This quarter, the performance continues to remain weak with like low single -digit decline in that segment. When can we see the revival happening in the generic side of the business? And is the pricing pressure still positive in th

e

business at present?

Dr. Kiran S. Divi: See, as I explained you in the last few calls, okay, we are facing pricing pressure on generic molecules. Although we have not lost a single customer or even any loss in volume . And the reason why we are able to manage this is because of our backward integration, where even the Kakinada facility has been helping us in manufacturing several of our in-house raw materials and our in-house intermediates, giving us an edge to further keep the product and the volume along with us.

Again, to say that, did we lose any volume? No. We have not lost any volume. We have not lost any customer. Now the pricing pressure, we do not have an idea how long will it be there? But we are hopeful, like I explained in the last call, we're hopeful in the next few quarters, it may stabilize and things may come back to normal.

Amay: Sure. Just last question I can take on the custom synthesis. We are seeing a lot of RFPs coming to India, and many players have started participating in these quotations. So, considering we have large capacities available with us, does it give us edge to compete in terms of pricing? And also what else -- what other factors are involved when it comes to pricing? Are we -- is there a hurdle ra te in terms of gross margin, et cetera, what we can meet? What are the decisions which go into deciding the price ?

Dr. Kiran S. Divi: Firstly, I would like you to understand Divi's has been in custom synthesis for the last several years since the inception. So this is not something new for us. And I mean, there are several players you're seeing who are entering the market now, because RF Ps are coming in. Divi's has an edge because we have a long -term customer relation , both in terms of proven track record, in terms of supply chain management and their confidence in our deliverable execution.

That being said, I cannot comment on what others are seeing, what price factors are there. We have a strong pipeline that is with us which we are working on, and we would see the outcome in the next 1 to 2 years.

Amay: Sure. I just had a follow -up. So, what I wanted to ask is having available capacity, does it give us an edge to go aggressive on the pricing? Because earlier 10 years back, Divi ’s was one of the few players to compete from India, but now we have several players who are competing for the same molecules. So, that's the reason I'm asking.

Dr. Kiran S. Divi: Yes. So, the reason is , when you see multinationals or MNCs, right, they don't only look at price as the o nly factor. They look at EHS, they look at sustainability, they look at whether you're SBTi complian t, they have several factors before they even come to qualifying.

Pricing is one factor. Capacity is one factor. Divi ’s always is one step a head in terms of capacity in terms of looking at forward, thinking in terms of creating capacity. But that is not the only thing. There are several factors you have to look at, unless you tick all the boxes, any multinational would not work with any firm. So, if that answers your question.

Moderator: Our next question comes from the line of Kunal Dhamesha from Macquarie.

Kunal Dhamesha: The first one on the capex . So, in quarter 1, we had guided for around ■2,000 crores of capex for FY26. But if I see the cash flows, we have already spent around ■ 1,550 crores in the first half. So is second half going to be more or less muted? Or are we going to raise the capex guidance further for FY26?

Nilima Prasad Divi: Can you please repeat your question again?

Kunal Dhamesha: So, our capex guidance, ma'am, was around ■ 2,000 crores for FY 26. If I see the spend on the property, plant and equipment for the first half, it's almost around ■1,550 crores. Right? So, is there more room for us to do more capex in the second half? So, would the capex be higher th

an
■2,000 crores for FY26?
Nilima Prasad Divi: Yes, it would be higher in FY26.

Kunal Dhamesha: And what would be the new capex guidance?
Nilima Prasad Divi: See, right now, we are looking at several new projects, and we did mention earlier in the SEBI disclosure release, that we are getting into three new projects and the capex is also being included for that. So, this is an ongoing thing wherein we would be creating capacity as and when needed.
Kunal Dhamesha: Okay. And these capacities, which plant would these capacities be focused on , these new capacities?
Nilima Prasad Divi: It would totally be based on what is the stage at which the manufacturing is. So they would be spread across all the three Units , not a single Unit would be getting the entire capex .
Kunal Dhamesha: Sure. And one question for Kiran sir. You alluded to being a global leader in peptide manufacturing in coming years. So what would it entail in terms of investment , capacities, differentiation , from the longer -term perspective?
Dr. Kiran S. Divi: So, to answer about peptides, Divi 's has been in peptides since the last 20 years. We have been manufacturing protected amino acids which gives us an edge in terms of supply issues, in terms of manufacturing, consistency and also impurity profile management. That gives us an edge to get into dipeptides, tripeptides, tetramers, octamers are different mers which are required by several companies across the world.
Saying this in terms of investment, I'm not at the liberty to talk because several investments are based on what customers require, and I'm bound by CDAs. But , we have opened our center of excellence for peptides, where we are developing several molecules for several customers, which we will be a part of their pipeline going forward. So, that is giving us a strong momentum in peptide synthesis.
Moderator: Our next question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services.
Tushar Manudhane : And this is the composition of generics and custom synthesis. It seems the custom synthesis business has scaled up really well over the last 1 to 2 years. Specifically, if I have to connect this to the gross margin, which has been pretty stable at 60% year -on-year or even quarter -over -quarter for Q 2FY26. So, does it mean that we are broadly at a similar gross margin across both the segments? Or am I missing something here?
Nilima Prasad Divi: This would completely vary on product mix, like you can -- you do observe for the last few years, if you see every quarter, there will be some quarters where the product mix would be slightly more favorable and sometimes the product mix wouldn't be that fa vorable. So, it's mainly based on quarter -on-quarter, like how the product mix takes place.
Tushar Manudhane : Okay. So, 60% is something as a base case to assume? Or there could be a upside risk to the gross margin?
Nilima Prasad Divi: I would say, it would be continuing same, similar manner.

Tushar Manudhane : Got it. Secondly, just if you could also share the constant currency growth for us on a year -on-year basis?
Nilima Prasad Divi: Currently, the half year is about 10.79%, and we are assuming that for the rest of the year also, it would be around the similar number.
Tushar Manudhane : Understood. But that, ma'am, that also is not sort of helping to get sort of better gross margins?
Nilima Prasad Divi: See, as I said earlier, this is all based on the product mix, and we cannot look at it quarter -on-quarter basis. We need to look at it at a whole year. And if you see historically, we do see ups and downs in every quarter. And this difference between like generics and custom synthesis does take place between quarters. So, my current assumption would be like, yes, my

constant currency
growth rate would be about 10.79%.
Tushar Manudhane : Understood. And just lastly on peptides, sir, we have been into peptide space for really long number of

years. But is there -- like if you could just, sort of, share your experience in terms of the changes that would have happened that -- let me put it this way, like the CDMO orders or the contract research orders as well have picked up significantly over the last 3 -4 years. Is that understanding right? Or this has been the case historically?

Dr. Kiran S. Divi: No, I think the peptide synthesis and the peptide drug molecule and the drug products have reached -- have been in the market for some time, but with several new therapeutic categories being available and then coming into the market, has spiked interest into several innovators where they have started doing their research, and we had the opportunity of being a part of their journey.

Moderator: Our next question comes from the line of Surya Narayan Patra from PhillipCapital India Private Limited.

Surya Narayan Patra : Congratulations on a great set of the numbers on the custom synthesis front, sir. This quarter, we have seen the best custom synthesis...

Dr. Kiran S. Divi: We are unable to hear you. Could you please repeat? Your voice is not audible.

Moderator: Sorry, sir, just give me one moment.

Surya Narayan Patra : Yes. So I was telling that congratulations for the great set of number on the custom synthesis front. So, what I see is that, this is the first ever -- the best ever kind of custom synthesis revenue per quarter that we are witnessing in Q2. Not only that, even in terms of revenue mix also, it is the highest ever.

So given that, the same for margin point comes here that over the year, 3 -4 years, let's say, the gross margin or even EBITDA margin that has moved from a certain level to around 40%. Means it has moved marginally here and there. But in fact, the mix has significantly improved almost like 15%, 16% revenue mix in favor of the custom synthesis. So given that, is it fair to believe

that the margin, the upside risk is limited in the business -- in the overall business model what we are currently having?

Nilima Prasad Divi: Can you be more elaborate in y our question, the last part?

Surya Narayan Patra : Okay. So, we have seen there is a significant shift in the revenue mix for the custom synthesis from the level of 40- odd percentage over the years to now 56%, which is the highest ever. But the margin profile remain in the around 32%, 33% in that range. So is it fair to believe, ma'am, the margin, the upside risk is nothing or limited? Because even if there is a rise in the revenue mix favoring custom synthesis, margins remained around that level. So, is it fair to believe that this is the kind of sustainable margin level and scope of appreciation may not be there?

Nilima Prasad Divi: I would say, it's mainly to do with the product mix, though the custom synthesis has increased over the last few years as a percentage. We need to also remember that 45% is still generics where it is facing the huge pricing pressures. So when you combine both the margins do look similar. Because that's where we are like trying to sustain the generics business, the volumes not to lose them, maintaining the kind of quantities and the capacities that we have with our customers. So, while maintaining that, we will see a hit on the margins ther e, which you see like a normal gross margin level across the entire product portfolio.

Surya Narayan Patra : Okay. Okay. So then, the growth will really drive the kind of -- I mean, the volume growth will really drive the earnings growth. That is the right way to think?

Nilima Prasad Divi: I think, Kiran will answer this question.

Dr. Kiran S. Divi: So, you have to understand a few things, right . In terms of growth, w

e have both the generic side and the CS side. We also have products which are coming off pat ent that we are launching with our customers , who, once the patent comes off , we will be getting into the market. So, there will be a certain amount of drive from there. There are old CS projects, which have been there in the company for the last 10 to 12 years, which have matured.

You also have to understand that Divi's manages a lot of late life cycle management for branded companies, which has a different revenue model. So, it's very difficult for us to justify saying the revenue growth comes from CS or from generics or from nutra. That's why we always say from the inception that it is a product mix that we have, which drives the overall growth.

Surya Narayan Patra : Okay. Okay. Got it, sir. Sir, just one more point on the custom synthesis side. So obviously, the three dedicated project, which are likely to start possibly from the fourth quarter of FY27, which will drive growth. But in the interim, what can drive growth for the custom synthesis business? Is it the peptide projects what you have indicated in the opening remarks? So, that is the kind of a near -term contributor to the growth for the custom synthesis business?

Dr. Kiran S. Divi: See, all I can say is, we have three active projects. Apart from the previous ones, we have disclosed to the stock exchange. All of them are being either in the stage of validation. Some of

them are being constructed for the customer, which will go into validations in the future, which are at various stages. It is very difficult for me, a. to put a date, because it's subjected to EU qualifications, U.S. qualifications. And all I can say, things will happen in the next 1 to 2 years , is a fair statement for me to give, provided all regulatory approvals are in place.
And these are CS projects, I cannot put a label saying this is API or peptide or some specific therapeutic category. All I can say is, it belongs to our CS side of the business. And we believe if all regulatory approvals and qualifications take place on ti me, in the next 1 to 2 years, you should see commercial benefit.
Surya Narayan Patra : Sure, sir. Just one clarification, sir. Now we are kind of scaling up our activities in the peptide side. So, is it possible -- I mean, is it right to think that we can even tap the generic opportunities in the peptide side, including the GLP -1s? That is o ne. And one more clarification, if you can give. Currently , what is the revenue share of -- for contrast media that we are having?
Dr. Kiran S. Divi: Okay. To answer your first half, right? Divi has strategically decided that we will not look at generic part of peptide synthesis. We are right now fully occupied with the amount of CS projects we have. So, we do not want to venture into that mode. Coming to your second point, which is in terms of...
Surya Narayan Patra : Contrast media revenue share.
Dr. Kiran S. Divi: Yes. We cannot individualize each segment. We look at it as a total whole and a product mix.
Moderator: Our next question comes from the line of Harshit Dhoot from Dymon Asia.
Harshit Dhoot : Congratulations on the great set of numbers. A couple of questions from my side. As you said, you are witnessing increasing engagement level from the clients, RFPs, site visits. So, is it fair to assume that the incremental or the higher interest of the bu siness is coming from the shift of the China?
Dr. Kiran S. Divi: Could you repeat your last part, please?
Harshit Dhoot : The kind of increase in interest of the business that we are witnessing in the custom synthesis part, is it more a function of the shift of business from the China, sir? Is our innovators are diversifying from China?
Dr. Kiran S. Divi: As of now, to be honest, what we are seeing is a bunch of new RFPs, either Phase I, Phase II,

Phase III. Like I mentioned during my speech, and also we are seeing several interest that is coming from our regular customers who have been with us for a long t ime.
So for me, it is very difficult to say, is this something they brought from China, or is this an old molecule they brought in. Because most of them that we are working with them are either -- they are ready to launch or it's in their new portfolio or we ar e a part of their existing portfolio. For us, we do not know.

Harshit Dhoot : Okay, sir. And the other one more from the Indian CDMO industry perspective. A few innovators are saying that they are looking for a big investment in India, like Eli-Lily has recently said they are looking for a billion dollar investment in India. So is it fair to assume that the CDMO industry of India is on the verge of a big capex cycle going ahead, if you see -- if you think from the next 3 to 4 years' perspective, from industry perspective, sir?
Dr. Kiran S. Divi: See, I cannot comment on the industry or what specific MNCs are planning to do. But what we can say is about Divi 's, we have a strong pipeline, and then we are looking at ongoing as and when our projects are coming into life, we will start investing. And we see quite a positive outcome in the next 1 to 2 years.
Harshit Dhoot : Okay, sir. So let me ask another perspective. Last 10 years versus next 5 years, is the upcoming time more exciting for Divi 's? Is it a fair understanding, sir?
Dr. Kiran S. Divi: We are always hopeful that it has to be exciting, right? Because these are Phase III molecules coming into life. We are also investing heavily with long-term sustainable contracts. So, I mean it's always good to be hopeful to be positive.
Harshit Dhoot : Yes. And the last one, sir, the kind of the new business that we are witnessing, the Phase III molecules and all, is it fair to understand that the new business that we are getting is a high - margin business?
Dr. Kiran S. Divi: Again, at this point, I cannot comment on that. Because I'm bound by CDA s. All I can tell you is in the next 1 to 2 years, , once all the regulatory approvals come into place, we will start seeing the outcome of the results. Apart from that, also a few of our generics, which are coming off patents will also come in. So,

based on this product mix, we will see how the future is, as and
when it moves on.
Harshit Dhoot : Okay. Sir. And then lastly, are you seeing any upside risk in the capex guidance or what we have think internally for the capex in next 3 to 4 years perspective?
Nilima Prasad Divi: Can you repeat the question a little bit more elaborately?
Harshit Dhoot : Yes, sure, ma'am. So, what we were planning for the capex internally from next 3 to 4 years' perspective, but with the increase in the interest, engagement and RFPs, are we seeing any upside risk to our capex assumptions that we have built in internally?
Nilima Prasad Divi: I wouldn't say we are seeing any risk. But, yes, we see...
Harshit Dhoot : I mean upside risk. Are you seeing increasing spends towards capex that you would have think a few years before for next 3 to 4 years?
Nilima Prasad Divi: See, for us, nothing happens overnight. It's pretty strategically planned taken decisions which are thought through and where our strengths match. It's not like, okay, today, there's an opportunity, so let's jump on the bandwagon and go. It's a thought -through process. So nothing is like, that hasn't been envisioned and worked on. It has been a long -term planning that we have

done over a period of time. And we are happy that we have taken certain decisions because of which we are here today.
Moderator: Our next question comes from the line of Neha Manpuria from Bank of America.
Neha Manpuria : Nilima, on the g

eneric business if you were to look at, let's say...
Nilima Prasad Divi: I'm sorry, you are not audible, very low volume.
Neha Manpuria : Can you hear me now?
Nilima Prasad Divi: Yes.
Neha Manpuria : Okay. Sorry about that. On the generic business, if you were to look at the last year, let's say, given our focus on volumes, what would be -- how much of the growth that we have seen would be driven by volume and how much of that has been offset by pricing?
Nilima Prasad Divi: I would say, as a volume, we have been stable. And as a value, you know how much it is based on the percentage and the revenue number that's there. But as a volume, I would say, we haven't lost a single customer nor have we lost the production capacity.
Neha Manpuria : Okay. Because if I look at our growth for the last 4 quarters, we've grown about 7% in the generic business. So would it be fair to say that the volume growth is 7%, is broadly that? Or because otherwise, we would have degrown this business, right, based on the stable volume?
Nilima Prasad Divi: I wouldn't say there's a degrowth in this business. 7% is the growth on the revenue side. But also there have been pricing pressures which are increasing quarter -on-quarter. So the volume also, the increase is there, but it's not visible or reflecting on t he revenue as much as it would have, say, 2 -3 years back.
Neha Manpuria : And this pace of price erosion, is that slowing at all? Or we haven't seen any moderation in the pace of price erosion in the last few quarters or, let's say, even recently?
Nilima Prasad Divi: See, yes, there is -- I don't think I can foresee any, at least in the next 2 quarters, anything that is going to be in a better situation for generics than it is today.
Neha Manpuria : Understood. And I think...
Moderator: Sorry to interrupt. Neha ma'am, may we request you to rejoin the queue for any follow -up questions, please, as there are several other participants waiting for their turn. Our next question comes from the line of Shyam Srinivasan from Goldman Sachs.
Shyam Srinivasan: Just a first question on -- you talked a lot about peptide center of excellence. Just curious, do you also have non- peptide GLP -1s in any of your projects?
Dr. Kiran S. Divi: We have several projects in the pipeline, but I'm not at the liberty to talk about what category -- therapeutic category and segment and then in what relation is. But what we can tell is, we are

quite active in the peptide and also in several APIs and advanced N-1 intermediates for CS projects.
Shyam Srinivasan: Understood. That's helpful. And if you could highlight in terms of your current capacity for the peptides? Is there any measure by which we could get the overall comp? I'm not looking at individual project data, but what is the aggregate capacities in some form of measure for us to

get -- to understand how much of the investment has been in this?
Dr. Kiran S. Divi: So, I cannot give a specific number on this. But what I can tell you is, we have a very extensive large-scale pilot plant which produce s several hundreds of kilos of product based on requirement. Apart from this, we have multiple lines of commercial SPPS reactors, which we have installed. And this in large volumes. And these are based on client requirements. So, I'm not at the liberty to speak about volumes and capacities and a few other things.
Shyam Srinivasan: And my last question is on the generic API business, which we have discussed quite a bit, but I'm excluding nutraceutical s out of it. If I were to see that number, and this is a little puzzling to me, because some of the participants have said this has declined, but I still see growth. So, what is the generic API business done for the quarter? Is it grown? Or is it decline? Sorry, I don't -- from the data, I don't know what the correct answer is.
Dr. Kira

n S. Divi: So, as a number and the volume for each individual product, it has been very stable. In terms of pricing, either you talk about Naproxen, Dextromethorphan, Phenylephrine , Carbidopa, Levodopa. All these molecules have been very stable, okay, maybe a slight increase based on the shipments which are coming. But on a year -on-year, we have a very stable long -term contract. So, you might see a slight little extra shipments gone this quarter, a little less maybe next quarter. But year -on-year, we have been very stable.
But what we have is pricing pressure. But -- and this we are able to sustain because of our backward integration in Kakinada and manufacturing our key raw materials, which gave us the edge to fight the market back and keep the market share.
Moderator: Our next question comes from the line of Girish Bakhru from OrbiMed.
Girish Bakhru : Actually, just checking on the Shyam's question earlier on capacity and expansion in peptides. Kiran, can you also give some color on downstream, what have you invested? And what kind of capacities have you created for downstream SPPS?
Dr. Kiran S. Divi: Could you be more clear on the question, please?
Girish Bakhru : Yes, I'm just mainly asking, can you also comment on the investments made on the purification side?
Dr. Kiran S. Divi: As of now, Divi's is only manufacturing mers fragments. We are not in the purification of the API. We're only manufacturing.
Girish Bakhru : So fragments don't require purification, is it?

Dr. Kiran S. Divi: Fragments are basically like 4 -chain amino acids, 8 -chain. Okay . And they are purified and then they're sent to the customer where he again links them and then makes the final drug product, which is then -- undergoes purification.
Girish Bakhru : Yes. So I mean, I'm just asking because this purification is more of a bottleneck in the whole process, right, not the SPPS per se. So for you, it's not a bottleneck, right?
Dr. Kiran S. Divi: So, just to be clear, right, in peptides when people talk about purification, they talk about drug product purification, not tetramer octamer purification. Not the fragment purification. That is not a factor because you purify it in the SPPS. But what the world is talking about bottleneck is on the drug product purification.
Girish Bakhru : Understood. And the second question, is it possible for you to split the cost of manufacturing? I mean, I know -- I mean you had discussed amino acids or basis raw materials are easily available. But starting materials, solvents, agents, I mean, how is the cost split across the whole process ballpark? Where are the cost?
Dr. Kiran S. Divi: I mean, you're talking about the peptide business?
Girish Bakhru : Yes, yes, yes.
Dr. Kiran S. Divi: So Divi's, the one unique thing about Divi ’s is, we manufacture our own protected amino acids, which gives us both in natural and unnatural, which gives us an edge over everyone, because we control our -- the quantities, we control our cost, we control our impurity profile.
So, as you control the impurity profile when you manufacture the Fmoc -protected amino acids, and when you go into further manufacturing of fragments, because you control the impurity, your cost of cleaning comes down. And you have better product that comes out.
So in this way, we were already manufacturing protected amino acids for several of the manufacturers who used to manufacture for the branded innovators. But now we found the opportunity of taking one step ahead, which is giving us an edge using our own pr oduct.
Girish Bakhru : And this flexibility customer allows you to do, right, in changing the process a bit to get more yield or vis -a-vis purity. Is that something right to... ?
Dr. Kiran S. Divi: So, the Fmoc -protec ted amino acids are proprietary to Divi ’s process. So, we manufacture and we supply eithe

r to the customer -defined places or in our in- house usage. Coming to fragments,
these are defined processes given either by the customer who are the innovators anyway. And
then, we would exactly follow the r ecipe they have given us.
Moderator: Our next question comes from the line of Abdulkader Puranwala from ICICI Securities.
Abdulkader Puranwala : Sir, my first question is with regards to your investments in the gross block over the past and the
asset turn. So while I think we would have a gross block of somewhere around ■8,000 crores,
■8,500 crores. So, what is the kind of asset turn or where do we see in the next 1 or 2 years based

on the opportunity we have in terms of overall utilization of that gross block? Any color on that
would be helpful.
Nilima Prasad Divi: So, if you're talking about the asset turnover, we are looking -- you are aware of the new
opportunities that are there. And though we cannot comment at this point in time with a specific
outlook. We would say in the next 1 to 2 years, we do see a positive outlook that's out there.
Abdulkader Puranwala : Okay. And while in the past, we have mentioned about an equal share of revenues coming from
generics and the CS business. But clearly in the first half, the contribution has been a little
skewed towards the CS. And while the commentary also talks more abou t the CS business
outlook. So would it be fair to assume that for the next 1 or 2 years, at least, the custom synthesis
part would be something where we will get the majority of our revenues from?
Dr. Kiran S. Divi: So like I explained, if you look at CS business or the generic business, we look at an overall and
product mix. Now coming to generic business, yes, it is seeing a pricing pressure. But at the same time, we are seeing
volumes being stable. And overall, the new portfolio of products
coming off patent, which are going to be launched and then adding volume in. Now to tell you whether the pricing pressure
will come down soon in the next quarter or the quarter after, we are
hopeful it should be done as soon as it can, but we do not have any guidance on it.
Abdulkader Puranwala : Got it. And sir, one final one, if I may. So, in line with our broader aspiration to become one of the
market leaders in peptides. So, what are the kind of investments you would have planned
and is there a plan to go beyond the current range of amino acids and fragments to upscale the
offerings as well?
Dr. Kiran S. Divi: So as of now, we are concentrating on fragments. I mean, various lengths of fragments up to
octamers, decamers, whatever the customer requires. And we are going through several stages
of qualifications with the customer. And based on their requirement, eve ry customer has specific
needs, specific design of their plan and specific recipe of manufacturing.
So, it's not that we can just build a few and just keep it ready like a general API plant and then assume they will come in and
then they can use it. So, based on our futuristic outlook and also on long -term contracts that we have secured with
customers, w e are going ahead and investing
as and when needed.
Moderator: Our next question comes from the line of Ranvir Singh from Nuvama Wealth.
Ranvir Singh: Just two, clarity. In the CMS segment, have you seen any changes in significant changes within CMS between
commercial supplies and development revenues year -on-year?
Nilima Prasad Divi: Can you please elaborate on the question, please?
Ranvir Singh: So within CMS segment, services income and supplies income related to commercial supplies for innovators.
So there, you see any changes there in revenue mix there?

Nilima Prasad Divi: Well, you do have to understand that from the space we are operating and the question being
asked, we are bound by the confid

entiality agreement wherein we cannot discuss all these in an
open platform.
Ranvir Singh: Yes. So broadly, I wanted to understand the trend because they have to -- it has to do with the
margin. So, as you explained, here, we see pricing pressure there in generic segment, and that is
getting offset by what we are gaining in the CMS. So, I though t maybe in CMS, within CMS,
we have a different stream of revenues. So, we see there also some changes there or this is
continuing year -after -year. So that is the intention to understand.
Dr. Kiran S. Divi: So, I mean in terms of contract manufacturing, your question is basically, do we have different
segments in terms of qualifications, milestone payments and everything. See the thing is, when
you do a CS project, you have milestone -based derivatives, which based on a certain thing that

happens and then you do a certain project. And once you do qualifications, once you do validations, once you come into manufacturing, everything is milestone. So, we have several projects in line.
Now each project is at different stages and in different milestones. That is why Nilima was saying, it's hard for us to tell, which project is at which milestone and where it is. But what all we can say is, the company has a healthy pipeline. In the next 1 to 2 years, we will start seeing outcome of the pipeline.
Ranvir Singh: Understood. And second question on Unit 3, we are supposed to shift Unit 1 and Unit 2 products to Unit 3. So whether that shifting is complete? And if this is complete, what is the capacity utilization there across units now?
Dr. Kiran S. Divi: It's an ongoing process right now. We have completed the construction of six production blocks where we are making certain of our key starting materials. Apart from also transferring a few of the products in Unit 1 and Unit 2 emptying part of the -- a little bit of the capacity. And also, we have requirements of manufacturing several of our internal raw materials due to availabilities and issues.
Apart from this, we are constructing another two blocks which should be completed shortly and that should give us more capacity to transfer products from 1 and 2. This -- we do have another 200 to 300 acres of land, which is available as and when needed, w e will go through internal approvals and then start building blocks.
Ranvir Singh: So additional capex is related to...
Moderator: Sorry to interrupt. Ranvir sir, may we request you to return to the queue for any follow up, please. Our next question comes from the line of Damayanti Kerai from HSBC.
Damayanti Kerai : My question is again on Unit 3. So right now, you are using it for manufacturing key start ing material, intermediates, et cetera. But can you update us on the GMP qualification for the facility? When do you expect that to come and you can do the regular GMP price from Unit 3 as well?

Dr. Kiran S. Divi: See, right now, what we're doing is, we are manufacturing starting materials, not key starting materials, because key is under GMP. So making starting materials and intermediates required for our in -house APIs and several new projects coming into -- in lin e. Apart from this, we will also start shortly qualification of some of our in- house APIs, which we can qualify, submit our Drug Master File and then get appropriate qualifications. This would be in the near future in the next few quarte rs. But not right now because right now, we have a need several starting materials for our own products, both at the CS side and at the generic side, which the Unit is now concentrating on.
Damayanti Kerai : Okay. My second question is actually a clarification. This peptide center of excellence, where does this fit? It's in Unit 2, 3 or where is it located?
Nilima Prasad Divi: So, it is spread across both the Units . And I wouldn't say it is only at one Unit or at

-- because,
our -- historically, we have always made sure that all our Units are equally distributed with our products.
Moderator: Our next question comes from the line of Nitin Agarwal from DAM Capital.
Nitin Agarwal : Sir, just one clarification. Of three projects that you've announced to the stock exchanges, what would be the timeline for commencement of those various projects, if you can give us some reminders of those timelines?
Dr. Kiran S. Divi: So, all the three projects are at different phases. There is -- some of them are under -- equipment is still being installed. Some, they're undergoing qualifications, some are undergoing validations.
So all -in-all, we expect in the next 1 to 2 years, we wi ll start seeing revenues into our books, provided all regulatory approvals are in place, and then there is no hurdles from any agencies.
Nitin Agarwal : So, more like an F Y28 is where the impact should be seen for all of these things put together. That's assuming things fall in place from a regulatory perspective?
Dr. Kiran S. Divi: Again, I cannot give a date. I'm hopeful and we are targeting 1 to 2 years from now. What I cannot give is a date or a year because everything is based on regulatory approvals.
Moderator: Our next question comes from the line of Abhigyan Srivastav from Marcellus Investment Managers.
Abhigyan Srivastav : I have two questions. The first question is, can you please help us understand how our Contrast Media scale-up is progressing and when a CSM Gadolinium products should get launched?
Dr. Kiran S. Divi: In terms of our contrast media, okay, on the Iodine -based contrast media, we have progressed quite well. We have -- we are working on validations and there are only three or four big players in the world. We are working closely with them, and some of them we are undergoing validations like I told in the last quarter. And hopef ully, we will commercialize soon. I would say, at least in the four, we are working at least with one or two of them actively, and we are in good advancement.

Coming to Gadolinium compounds, we are working with several of the innovators on their Phase III molecules, like I explained even the last time, these have to go through regulatory approvals. They have to get the approvals, because once they submit, it has to go through differ ent countries and the whole process will take at least, I would say, at least 1 year before we start seeing anything, even if the product is approved or not. So -- but we are active with several customers, and we are hopeful to see so me positive results soon on the Gadolinium side.

Abhigyan Srivastav : Got it. My second question is that many pharma companies have announced U.S. capex , including capex for APIs. So, does this news have any negative impact on Divi ’s?

Dr. Kiran S. Divi: So far, we haven't seen any negative impact for Divi ’s. I mean, why people are putting capex in U.S. is something I cannot answer for, but we have not seen or lost any customers n or any of our branded customers have raised any questions about it. So, we do not -- I cannot answer this topic.

Moderator: Thank you. Ladies and gentlemen, we will take this as our last question for today. I now hand the conference over to Mr. Satish Choudhury for closing comments.

M. Satish Choudhury : Thank you all for joining us today for the earnings call of Divi's Laboratories Limited. In case you need any further clarification, please reach out to our Investor Relations. Thank you.

Moderator: Thank you. On behalf of Divi's Laboratories Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

February 14, 2026

To To
The Secretary The Secretary
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Phiroze Jeejeebhoy Towers,
Bandra - Kurla Complex, Bandra (East) Dalal Street
Mumbai – 400 051 Mumbai – 400 001

Trading Symbol: DIVISLAB Scrip Code: 532488
Dear Sir / Madam,

Sub: Transcript of earnings conference call held on February 11, 2026

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015
We hereby submit the transcript of the earnings conference call for the quarter and nine months ended December 31, 2025, held on February 11, 2026, at 1 5:00 hrs. (IST). The transcript is also available on the website of the Company i.e. www.divislabs.com , under the Investors Relations section. This is for your information and records.

Yours faithfully,
For Divi's Laboratories Limited
M. Satish Choudhury
Company Secretary & Compliance Officer
Page 1 of 17

“Divi ’s Laboratories Limited
Q3FY2026 Earnings Conference Call”
February 11 , 202 6

MANAGEMENT : DR. KIRAN S. DIVI – WHOLE -TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DIVI’S LABORATORIES
LIMITED
MS. NILIMA PRASAD DIVI – WHOLE -TIME DIRECTOR ,
(COMMERCIAL) – DIVI’S LABORATORIES LIMITED
MR. VENKATESA PERUMALLU PASUMARTHY – CHIEF
FINANCIAL OFFICER – DIVI’S LABORATORIES LIMITED
MR. M. SATISH CHOUDHURY – COMPANY SECRETARY
AND CHIEF INVESTOR RELATIONS OFFICER – DIVI’S
LABORATORIES LIMITED

Divi's Laboratories Limited
February 11, 202 6

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call of Divi's Laboratories Limited for Q3FY2026. As a reminder, all participant lines will be in the listen -
only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. M. Satish Choudhury. Thank you, and over to you, sir.
M. Satish Choudhury: Thank you. Good afternoon to all of you. I'm M. Satish Choudhury, Company Secretary and Chief Investor Relations Officer of Divi's Laboratories Limited. I welcome you all to the earnings call of the Company for the quarter and nine months ended December 31, 2025. From
Divi's Labs, we have with us today Dr. Kiran S. Divi, Whole -Time Director and Chief Executive Officer; Ms. Nilima Prasad Divi, Whole -Time Director (Commercial); and Mr. Venkatesa Perumallu Pasumarthy, Chief Financial Officer.
During the day, our Board has approved unaudited financial results for the quarter and nine

months ended December 31 2025, and we have released the same to the stock exchanges as well as updated the same in our website. Please note that this conference call is being recorded and a transcript of the same will be made available on the website of the company.
Please also note that the audio of the conference call is the copyright material of Divi's Laboratories Limited and cannot be copied, rebroadcasted or attributed in press or media.
without the specific and written consent.
Let me draw your attention to the fact that on this call, our discussion will include certain forward -looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations o f the future performance of the company.
Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Divi’s Labs or its officials does not undertake any obligation to publicly update any forward-looking statements, whether as a result of future events or otherwise. Now I hand over the conference to Dr. Kiran Divi for opening remarks. Over to you, sir.
Dr. Kiran S. Divi : Good afternoon, everyone, and welcome to Divi's Laboratories earnings call for the third quarter of financial year 2025-'26. Thank you for joining us today. We appreciate the continued trust and engagement you have shown in Divi ’s and I hope you and your families are doing well.
Let me walk you through the key developments during the quarter, including our operational progress, capability building and execution priorities.
As we reflect on the third quarter, our approach has been to stay consistent by maintaining supply reliability for our customers and implementing efficient new technologies on a large scale, while aligning our investments with that of our customers and market need.

Firstly, I would like to talk about our Generics segment. I'm pleased to say that we have maintained a stable performance, supported by strong backward integration, process efficiencies and our ability to develop and deliver across regions. While the pricing environment remains competitive, we have seen a healthy volume traction in certain emerging and focused products.
In the Custom Synthesis segment, we have been actively engaged in several RFPs and customer visits. Multiple projects are progressing well and are at various stages of development, validation with a few moving closer to commercial volumes over the next 1 year. From our discussions with several MNCs, it has b

een clear that global innovators are effectivel y working with partners who prioritize on EHS performance, sustainable commitment and compliance readiness, along with their capacity and proven record of reliable execution and supply. These are areas where Divi's has always been strong, and we are building further on these fundamentals as we participate in global CDMO opportunities.
Speaking of the P eptide segment, Divi's has been deeply involved in peptide chemistry for many years across the manufacturing and technology platforms. We continue to advance our work in complex building blocks and fragments.
With our decades of experience in protected amino acids, we have maintained a strong control over consistency and quality. During the quarter, we have supported multiple customer programs across all clinical phases.
On the technology front, we continue to expand our technology platforms in ways that enhances efficiency and performance. We have increased the use of process automation and multiple new chemistry platforms, scaling them into commercial manufacturing to improve process safety, minimize heat buildup for a more sustainable process and strengthening the overall production.
Coming to nutraceuticals. We delivered a healthy performance and expect the momentum to carry forward.This year also marks 20 years of Divi's Nutraceuticals, a significant milestone as we expand capacity and strengthen our position in this segment.
On the manufacturing front, Unit 3 at Kakinada is playing an important role in our backward integration strategy. The operational blocks are being effectively used for starting materials and intermediates, strengthening our supply chain. Expansions and transfer activities are still going on with additional manufacturing blocks being progressed as planned.
During the quarter, we have also successfully concluded a U.S. FDA general CGMP inspection at our Unit 1 Choutuppal facility. The positive outcome reaffirms our commitment to the highest standards of quality and regulatory compliance.
Before I close, let me touch on our CSR initiatives for the period. We advanced our work in rural development, providing safe drinking water, improving sanitization and building essential infrastructure in villages surrounding our manufacturing units. We believe these efforts are

foundational in enabling conditions that su pport education, health, livelihood and overall community development in a sustainable way.

Thank you. I will now hand over the call to Ms. Nilima Divi, who will take you through the operational and financial highlights.

Nilima Prasad Divi: Good afternoon, ladies and gentlemen. Thank you for joining us today. We value your continued engagement with Divi's Laboratories and appreciate the opportunity to present an overview of our operational and financial performance for the third quarter of fi scal year '25 -'26 and 9 months period.

The third quarter unfolded against a backdrop that remained complex and uneven shaped by shifting geopolitical developments and evolving policy frameworks. In this environment, our priorities were clear: to remain focused on disciplined execution, operatio nal reliability and long-term value creation.

Our established operating systems and governance processes once again enabled us to meet customer commitments consistently, manage resources prudently and maintain stability across our operations even as we continue to invest in capabilities aligned with our long-term strategic objectives.

On procurement front, raw material prices and availability were broadly stable during the quarter. Our supply chain resilience continues to be supported by a diversified vendor base and strengthened further through backward integration, particularly at Unit 3. At the same time, we remain vigilant with respect to external developments that could influen

c e input costs, including recent policy changes such as China's withdrawal of export tax rebates on certain products, which may result in selective pricing p ressures over time.

Risk management remains a core focus area for the Company. We are systematically expanding and qualifying additional suppliers , while maintaining prudent inventory buffers to ensure continuity of operations. Based on current visibility, we expect the operating environment over the next 6 months to remain broadly stable in terms of raw material pricing and availability.

Logistics conditions during the quarter were manageable with freight rates remaining largely stable. We continue to work closely with long-standing logistic partners, plan shipments well in advance and maintain transparent and timely communication with cus tomers regarding delivery schedules.

Before moving to financials, I would like to reiterate that our approach remains anchored in operational excellence. Prudent capital allocation and a long -term perspective. These principles have consistently guided Divi's Laboratories and will continue to underpin our strategy as we navigate both near -term challenges and future opportunities. I will now present an overvi ew of the financial performance of third quarter of fiscal year 2025 -'26 as well as the results for 9 months ended December 31, 2025.

As you are aware, the Government of India notified the 4 labou r codes on November 21, 2025, which resulted in a revision to the definition of wages. In line with this regulatory change, we have assessed a one-time incremental impact of ■ 74 crores relating to employee benefit obligations ,both during and post-employment . This has been appropriately disclosed as an exceptional item in our statement of financial results.

For the third quarter, we have reported a consolidated total income of ■ 2,692 crores as compared to ■2,401 crores in the corresponding quarter of the previous financial year. Profit before exceptional item and tax stood at ■ 854 crores compared to ■726 crores in Q3FY2025, demonstrating improved operating performance. After accounting for the exceptional item, profit before tax for the quarter was ■ 780 crores.Profit after tax stood at ■ 583 crores, broadly in line with ■ 589 crores reported in the same quarter last year.

From a cost perspective, material consumption for the quarter was 36.3% of the sales revenue compared to 39.8% in the corresponding period last year. Exports continue to constitute approximately 89% of the total sales revenue, with Europe and United States together contributing to 73% of the export sales.

The product mix for the quarter comprised 43% generics and 57% custom synthesis. We recorded a foreign exchange gain of ■ 19 crores during the quarter. The Nutraceutical segment contributed ■214 crores to the revenue. For the 9-month period ended December 31, 2025, consolidated total income was ■ 8,081 crores compared to ■7,041 crores in the corresponding period of the previous financial year, reflecting a steady growth across segments.
Material consumption during the period was 38.5% of sales revenue compared to 40.9% in the previous year. Exports for the 9-month period remained strong at approximately 89% of the total sales revenue, with Europe and U.S. contributing around 72% combined. The product mix for the period was 44% generics and 56% custom synthesis. We recorded a foreign exchange gain of ■121 crores during the 9 months.
Constant currency growth for the 9-month period has been at 8.6%. Our nutraceutical business amounted to ■706 crores during the period as compared to ■576 crores during the corresponding period of the previous financial year. Profit before exceptional items and tax for the 9 -month period stood at ■2,499 crores compared to ■ 2,052 crores in the corresponding period last year. After considering t

he exceptional item, the profit before tax was ■ 2,425 crores. Profit after tax for the 9 months was ■ 1,817 crores as against ■ 1,529 crores in the previous year. From capital allocation perspective, we capitalized assets of ■ 313 crores during the quarter and ■ 776 crores for the 9 months period. Capital work in progress stood at ■ 2,394 crores as of December 31, 2025, in line with our ongoing capacity expansion and backward integration initiatives.
Our balance sheet remains strong and well positioned to support future growth. As of December 31, 2025, we had cash and cash equivalents of ■ 3,686 crores, receivables of ■ 2,637 crores and inventories of ■ 3,667 crores. Thank you.
M. Satish Choudhury: Thank you, madam. With this, we would request the moderator to open the line for Q&A.
Moderator: First question is from the line of Surya Narayan Patra from PhillipCapital.
Surya Narayan Patra: Congrats on a good set of numbers. Sir, my first question is on the GLP capacity buildup. So that we have been saying that we have already commercialized one pilot plant in the earlier this thing that we had mentioned. So what is the capacity buildup that we are doing? Can you give some update on that front further?

Dr. Kiran S. Divi : So, on GLP -1s, okay, we have already -- like I explained last time, we have already completed construction of a pilot plant. We have also completed one of our commercial building, which has several large-scale SPPSs, which is basically designed based on one o f our customers' requirements. So I'm not at the liberty to speak about capacity created, but the validations are going on as we speak right now because pilot work is done, now it's moving towards validations.
Surya Narayan Patra: Okay, sure. Sir, just one clarification here. The 3 dedicated custom synthesis facility, what we have got the contracts for and which are likely to see the commercialization starting from the fourth quarter of FY '27. So any of those are relating to peptides?
Dr. Kiran S. Divi : I cannot comment on that, but what I can tell you is it's a mixture of everything. It's also in chemistry. There are several projects which are involved in it.
Surya Narayan Patra: Okay. And sir, again, about the capacity positioning that we would be having about the contrast media and all that. So what is the capacity that we would be having or at what utilization that we would be operating at? Any progress on the kind of newer opportunities that we have talked about, how far we would be from the supply opportunity? Can you give some sense on those front?
Dr. Kiran S. Divi : So I mean, just to generalize because you spoke about several segments, okay? Capacity utilization, we are about 80%, 70% to 80% of capacity utilization right now. depending on the month and sometimes we're at 80, 85, sometimes we're at 70, depends on when the shipments will be happening. As of now, for several of the products, validations are taking place. I'm talking about CS right now, where once the validations are done, we have to send it to our customer. They have to get their regulatory clearances with different countries. Once that is done, it will go into commercialization. So we have a proper time frame from them as and when commercialization would take place, based on which we will start either creati ng capacity or emptying some of the capacity in Unit 1 or Unit 2 and sending it to -- sending the pre -chemistry products to Kakinada so that we can use the existing GMP facility.
Surya Narayan Patra: Sure, sir. Just last point from my side. Relating to this India EU FTA, what we have seen, any opportunity that you identify out of that in the -- if not immediately in the medium term, sir? Because anyway, Euro pe is our biggest trade partner?
Dr. Kiran S. Divi : It's too early for us to comment on that. It just happened recently, right?

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.
Tushar Manudhane: Sir, with respect to your comment in your opening remarks about a few molecules going to commercial volumes over next 1 year within CS segment, while not getting into product detail or customer detail, but broadly to understand whether here -- is it more like the inventory buildup by the innovator given that there is certainty on launch, given that he's got the product approval or about to get the product approval, if you could throw some light on this aspect? That's my first question.

Dr. Kiran S. Divi : So most -- what I can -- I will talk in the frame that I'm allowed to comment outside the confidential agreements I have with them. All I can say is once the validations are completed and some are already completed, we are waiting for all regulatory approv als after which the volumes would be discussed for commercialization. So that is what we're expecting to happen in the next 1 year. Once we see it, we will start production going on. Because in my call, I did not mention that I'm buildin g up stock.
Tushar Manudhane: No, no, I meant to clarify -- so effectively, as a time line, we want the regulatory approvals to come through. So safe to assume that 3 to 6 months to get this process and then subsequently, if the regulatory approval comes in place, then the volume discu ssion starts happening. So effectively second half FY '27 as a broad time line to understand the business prospects from this. Is that correct understanding?
Dr. Kiran S. Divi : It depends -- yes. So it depends on product to product, right? Some we already completed validations in this quarter. Some validations are going on. Some we planned it for the next month. So based on whenever it is being completed, we will immediately supply all the data and the product to our customers.
Our customer will, in turn, put it into his product, continue his submissions. And once that is done, he will put it on stability and submit it to the regulatory agencies. So in the same process, while these are being done, we will start negotiating and pl anning for what -- how much quantities they would be requiring and from when we should be starting commercial supplies to them.
Tushar Manudhane: Got it. And by now, the commercial facilities per se would be more or less ready or about to get ready given the outlook provided by the customers?
Dr. Kiran S. Divi : So mostly -- most of our -- like we explained several times in the past, our production blocks are multipurpose blocks. So we can quickly use a commercial volume as and when required in the existing capacities. Maybe they require a specific one equipment, which is specifically required for their process. That is what we would be procuring for them. And otherwise, most of the chemistry that w e have, we can actually run it in our existing production blocks.
Tushar Manudhane: Got it. And sir, just secondly, on the hedging policy, if you could throw light like how much of the business exposure we hedge or we don't hedge any of the exports? If you could throw some light on that, as well.
Nilima Prasad Divi: We are not hedging. We are evaluating at this point based on the overall scenario in the market.
Tushar Manudhane: That's interesting. So depreciation is running in your favor -- and just lastly, if I may, on the API side, as I see, business has been largely stable. If I -- I mean, correct me if I'm wrong, that we have introduced new molecules as well over the recent p ast, but we have seen very limited growth on the generic side. So while the raw materials are now stable, I presume -- and as you highlighted, the pricing are also relatively competitive enough. So what is stopping us from the growth in t he generic space?

Nilima Prasad Divi: See, the generic space, the pricing pressures are still continuing. We haven't mentioned that the pricing have eased. We did mention that the pricing pressures are still continuing. But if we look at generics, we need to see one is the value and another is the volume. As a volume, we have had a good growth. But it's just that because of the pricing pressure, value -wise, it doesn't reflect in that manner.
Moderator: The next question is from the line of Kunal Dhamesha from Macquarie.
Kunal Dhamesha: The first one on the gross margin. So there is a sharp improvement on both year -on-year as well as Q-o-Q basis in quarter 3. If you could highlight the drivers of this improvement, that would

be helpful?

Nilima Prasad Divi: I would say it's mainly based on the product mix. As you can see, the CS has improved in the 9-month period as compared to the previous 9 months. So it's mainly to do with the product mix rather than anything else.

Kunal Dhamesha: Ma'am, on the quarter -on-quarter basis, the product mix remains like the CS and generic remains almost same, right, 55 -45. So on a quarter -on-quarter, what is driving this improvement beyond, let's say, forex INR depreciatio n against some of the currencies? Has there been significant benefit coming from the Kakinada unit, the backward integration that we are doing?

Nilima Prasad Divi: So I would actually say this, as we always said that there is always product lumpiness. There are some products which would have higher margins, some products with lower margin. It's just that we would prefer you looking at full year growth rather than qua rter-on-quarter because certain shipments would happen in certain quarters and wouldn't happen in certain quarters. So you need to look more from a 9-month period point of view rather than Q3 to Q2 point of view.

Kunal Dhamesha: Sure. And one for Kiran sir. Sir, the molecules that we are believing would get commercialized over the next 1 year, what proportion of these molecules would be already approved for the innovators and they would be adding us as an additional source? And what proportion of the molecule would get first -time approval from the regulatory agency?

Dr. Kiran S. Divi : I'm sorry, I cannot answer this question because we are bound by CDA. I cannot disclose their plans and at what stages any of our customers are.

Kunal Dhamesha: But sir, at an aggregate level, you can share, right? I'm not asking customer by customer. We don't even know the total number of molecules. I'm just asking for that proportion, whatever that number of molecules are?

Dr. Kiran S. Divi : So okay. At an aggregate level, I can tell you that Divi's works in 3 segments. One, innovators when they are developing their molecule in Phase III, Phase II and then up to launch, we bring the product through launch and support them. Number two, we also work with customers as their secondary source. Once their primary source is in -house, we work on the secondary source and then support them throughout the life cycle.

The third phase is called late life cycle, where the customer during the last 5, 6 years would come to us, and then we would work with them in an efficient process, where we would support

them in managing their late life cycle and post patent expiry where it would go on and we would -- they would have a healthy share for a longer period of time. So these are the 3 phases where we work. Most of the molecules, what we manufacture fall in the 3 phases.

Kunal Dhamesha: So let's say, the molecules in the next 1 year, where this majority of them would fall in of these 3 buckets?

Dr. Kiran S. Divi : That is -- I would say, yes.

Kunal Dhamesha: Like which bucket would have the highest share for the molecules going commercial -- getting commercialized in the next 1 year?

Dr. Kiran S. Divi : S

ee I told you that there are 3 molecules. If I tell you the ratio, even the innovator would understand, right? I have to be -- if they were like 10, 12, I could easily say a ratio. I gave you broad -- I think that's fair enough.

Kunal Dhamesha: Okay. Sure, sir. And lastly, one clarity on the forex gain. One is I missed the number for this quarter. And secondly, in which line item does it get included?

Nilima Prasad Divi: It gets included in the other income. And for the quarter, it is about ■ 19 crores.

Moderator: The next question is from the line of Neha Manpuria from BofA Securities.

Neha Manpuria: Kiran, my first question is on the dedicated capex that we had announced in 2024. When should we expect commissioning of that capacity and probably inspections or whatever regulatory approvals are required? When would that time line be? Would it be in the next 6 months? Or could it take slightly longer?

Dr. Kiran S. Divi : So right now, investments have taken place, and they are still going on, on the capex . Like I have explained to you on the CS projects mostly. By the end -- by 2027, we should start seeing commercialization post our customers, they start approving the product.

Neha Manpuria: Okay. This is for all 3 dedicated capex or the first one that you're mentioning?

Dr. Kiran S. Divi : All 3 dedicated capex .

Neha Manpuria: All right. That is helpful. And my second comment, Nilima, in your opening comments, you mentioned about China's withdrawal of export rebates putting pressure on certain generic APIs. Could you provide us some color in terms of what we are seeing here? Wha t percentage of our portfolio is getting impacted because of these rebates being moved? I mean, pricing pressure because of these rebates being removed?

Nilima Prasad Divi: I didn't mention that with respect to the APIs. I said with respect to procurement of materials. So the withdrawal of export tax rebates has taken place and will be from effect from April 1. We are wary of the situation that's there. But we are also like f rom the last many years, we've been
trying to diversify as much as possible from China. And we have been very consistently trying
to diversify our procurement portfolio and improve also the domestic supplier base to make sure, one, it i s made in India.

And number two, to make sure that there is just -in-time kind of an approach for material supply
to a point where our -- as a quantity-wise, we have increased our domestic supplier base to 78%
of the procurement. So we are in a better space, but we are still working on how do we make
sure this doesn't affect us as much as if it is looking to the rest of the industry.
Neha Manpuria: And you don't think this would also benefit us on the generic side of the business where we have
China as a competitor because I would assume their competitiveness also goes down, right,
because of...
Nilima Prasad Divi: We are seeing this more from chemicals and the raw material point of view. There are some exceptions that they have given, and that happens to be more from API and the end product. We are seeing a few of them being exempted. But because most of the basic chemicals that are used
in the pharma industry are also used in the agrochemical industry. So that's where we see most
of the effect coming from. But whereas intermediates and final APIs, we don't see that much of an effect.
Neha Manpuria: All right. And just a follow -up question on the Unit 3, the backward integration strategy that we
have talked about in the past and even in this call, how should I -- how should we quantify that?
I mean is there a utilization level that Unit 3 is -- that i s benefiting in our numbers? Is there a
way for us to quantify it?
And once Unit 3 gets approved, let's say, for moving to API, does that backward integration
benefit go away over the course of, let's say,

in the next few years? How should I understand the
transition of Unit 3 from backward integration to more commercial products?
Dr. Kiran S. Divi : So if I could explain this better, Unit 1 and Unit 2 in the past were making their own pre -
chemistry and backward integrated raw materials. And once Unit 3 started, phase-wise, we have been emptying Unit 1 and 2 as and when there is demand, where the block s get empty, and we
are using them for all the new projects by modifying them.
So whether you take the existing CS projects that are coming in, new CS projects coming in,
they're going into already existing GMP facilities of Unit 1 and 2, whereby we are emptying
their capacity, moving them to Unit 3, and we are starting production over there while we are
revamping and redeveloping these blocks.
So to quantify saying that Unit 3 is just making backward integrated work is actually -- it is
giving us a lot of support both for Unit 1 and Unit 2. That being said, okay, we already started
qualifying certain intermediates, which once it gets qualified, it will be approved by FDA over
time, maybe in the next 1, 2 years. And then in the meantime, if Unit 1 and Unit 2 are full of
capacity, we will then move to Unit 3.
Moderator: The next question is from the line of Damayanti Kerai from HSBC.
Damayanti Kerai: My first question is actually clarity on your dedicated facility. So here, you are awaiting for your clients to get the approval before you can start the commercial supplies. So just to understand,
you just need -- you just need go ahead from the clients to start supply or these facilities also
need to undergo some sort of GMP inspec tion?

Dr. Kiran S. Divi : So once the -- I mean, this is something hard to say, right, because we have just been inspected
in the last 1 year at both the facilities. So will the agencies, different agencies look at it as, okay,
they have seen us once they would go ahead? Or would t hey call it for a pre-inspection saying,
okay, product -specific inspection, they want to come. This is hard for us to say. But what we
can say is once our customer files, it would either trigger an inspection or the agencies will look at it as, okay, we have just seen the facility, so let it go through.
Damayanti Kerai: Okay. So it will be more product -specific or agency -specific outcome?
Dr. Kiran S. Divi : I wouldn't say agency specific because the branded customers, they sell everywhere globally. So
it is -- we cannot say specific to a country. All the agencies would get involved at this point. And

it also depends on the regions they decide to supply the product manufactured from our site.
Damayanti Kerai: Okay, sure. My second question is actually on your capex plan for coming years. So as of now, your Unit 3 is working very well for you in terms of providing the backward integration support to Unit 1 and 2. But as you've discussed, like you are seeing a lot of client interest, et cetera. The RFPs have gone up, the client visits have gone up, et cetera. So do you have any plan to start the second phase of Kakinada? And if yes, what will be the time frame?
Nilima Prasad Divi: Currently, you have seen so far Unit 3 Phase 1 expansion plan. So right now, we are considering to look at Phase 2 expansion plan at Kakinada with 4 production blocks. They are still under evaluation and decision -making. So as and when they are finalized and on the paper, we will let you know.
Damayanti Kerai: Okay. So it's under evaluation as of now.
Nilima Prasad Divi: Yes.
Moderator: The next question is from the line of Vivek Agrawal from Citigroup.
Vivek Agrawal: So Kiran, you highlighted that you have completed construction of a dedicated building block for peptides that include various SPPS reactors. So just want to understand, will that be good enough to cater the customer demand for next 4, 5 years? Or is

there any possibility that you may need to expand the capacities? Actually, I just want to understand how the trajectory may look like?
Dr. Kiran S. Divi : So like in my opening remarks, we are working with customers on several projects at various phases, including [Inaudible 00:39:24]….. there's lot of disturbance, please.
Moderator: Mr. Agrawal, we may we request you to please mute your line when management is answering the question.
Vivek Agrawal: Yes, sure.
Moderator: Sir, you may please go ahead.
Dr. Kiran S. Divi : So like I explained to you, there are -- we have several projects from several customers where we are working on the different phases of clinical trials and a lot of pilot work has also been

going on. So as and when we have demand, we will keep increasing capacity or building new blocks whenever the demand and decision arises. For this customer, what we have dedicated, it is based on what his requirement and his designs are. I'm not at any other liberty to discuss on that.
Vivek Agrawal: Perfect. But just one more clarification. Is this like an injectable product or the oral peptide product that you're working for?
Dr. Kiran S. Divi : I'm sorry, I cannot discuss this.
Vivek Agrawal: No problem. Just one more question. As you have talked about that in the next 1 year, there are multiple custom synthesis products that may get commercialized. I just want to understand how these products are going to have impact on the company's overall m argin trajectory as well as the profitability. So do you see with these products coming on the floor, there is a substantial improvement in profitability compared to the existing business or it will not have any major difference?
Nilima Prasad Divi: I would say that's all we hope for. As our Managing Director would say 'the sky is the limit for you to dream '.
Moderator: The next question is from the line of Shyam Srinivasan from Goldman Sachs.
Shyam Srinivasan: Just on the growth outlook, right? I think you called out at 8.5% constant currency growth. I don't remember, but maybe you talked about a 10% kind of growth maybe in constant currency terms. So just want to understand, given that one of our key products, top products probably, which is in late life cycle bucket, probably is going more generic this year. How should we look at like next 12 months, maybe even fiscal '27, is -- are there enough other things in the pipeline for us to mitigate maybe if there's the genericization of this product?
Nilima Prasad Divi: Divi's have been in CS since 2000, and it's not that CS is just 1 product or 2 products, it's a vast basket. And products do -- we do start in the patent phase. And as Dr. Kiran Divi has explained at multiple stages of patent and they do go under expiry, and we do have other products that keep coming in. So it's just an ongoing process for us.
Shyam Srinivasan: Helpful. So you don't foresee any like dramatic change in how growth is?
Dr. Kiran S. Divi : To be -- yes, we do not foresee any disruption because -- and it's in line with whatever our double -digit growth that we keep talking about. What Nilima is trying to explain is, as we have several products in Phase II and Phase III, so the same customer wo uld have a basket where one of his product is coming off patent where we're doing a late life cycle management . He would also have a product available with us, which is almost ready for launch. So we always have a nice decent balance of equilibrium while our growth trajectory is actually happening at the double digit.
Shyam Srinivasan: Yes. That's very helpful. Just second question on generics. While you talked about volume performance, value performance has been subdued. And just going back to the point on this

China tax rebates, export tax rebates

being reduced and they're clearly trying to push towards
reducing over competition , oversupply.
Should we down the road this year, see generic pricing actually improve on a generic API? Is
there some early signs that even that part of the business, which has seen subdued growth --
value growth can also improve?
Dr. Kiran S. Divi : This is too early for us to say that because see, right now, they're talking about it. We have to
see how China will react towards it. And the global political situation and global economic
situation are quite different country to country. And so based on this, we have to see how the
generic market will pan out.
Volume -wise and customer -wise, we -- our customers have been with us. We have not lost any
volume. Actually, we have increased volume in generics. And we are having a healthy share of
market share in several countries. So I'm quite wishful that this year, a correction should take place at some point.
Shyam Srinivasan: Helpful. And just a data keeping question or just a comment clarification. When you meant 3
commercial molecules, are they similar to the 3 dedicated projects we have announced or this is different?
Dr. Kiran S. Divi : They are the same. The 3 molecules, whatever we have informed SEBI on the investment and the 3
molecules in CS that are going to be -- which are validated and going through approvals
are the same molecules right now.
Moderator: The next question is from the line of Ankush Mahajan from Sanctum.
Ankush Mahajan: Sir, my question is already answered, thank you.
Moderator: The next question is from the line of Girish Bakhru from OrbiMed.
Girish Bakhru: Kiran, just alluding to your opening comments on process automation and using tech to increase efficiency.
Can you elaborate on that a bit more in peptides? Are you talking about continuous
feed? Or what are you exactly in?
Dr. Kiran S. Divi : So we are talking about there are new technologies of chemistry, righ t. There is -- we are talking
about operational efficiencies through the mechanochemistry. There is also electrochemistry that's come into play where you
use least amount of energy and get the fractional reaction that
will happen on a continuous phase.
So we are looking at those technologies, and we are commercializing them as we go forward.
Now that being said, we are also looking at automation, whereby our GMP requirements become more stabilized and easy
because complex operations are involved like azide chemistry, where
human intervention minimum is as good and much better in case of safety and sustainability.
Girish Bakhru: And Q1, you had talked about even doing resins on your own. Are you investing in that technology? I mean, to
reduce COGS for peptides, given that is a significant portion, almost
40%. Can you talk on that side?

Dr. Kiran S. Divi : I believe I said that we are working on resins at this point. But -- we are still at the R&D phase
at this point on that. It's too early for us.
Girish Bakhru: Okay. No, I also -- my second question actually is related to this because there's so much
discussion among innovators to change GLP -1 manufacturing already to reduce the cost. I mean
there are some CDMOs even increasing reactor size. We are talking about mix of LPPS versus
SPPS changing. Are you involved in that kind of discussion with any customer that you can
change the process and file with a different process, a product which is already commercialized?
Dr. Kiran S. Divi : It's hard for me to comment on what you asked. But what I can say is we're actively involved in
manufacturing fragments for several MNCs. We're also involved in their new technologies, whatever they are looking at, and
we are actively engaged with them at various phases because
we are also their support system going forward, both at LPPS and at SP PS. I hope that answers
your question.

Moderator: The next question is from the line of Madhav from Fidelity.
Madhav: Just wanted to understand once again the 3 dedicated CS projects, what are the time lines for
commercializing them? I heard 2027, could you give a little bit more clarity, like is it calendar
year '27 or Q4 FY '27? Anything specifically be helpful for the 3 projects?

Dr. Kiran S. Divi : So we are assuming depending on all regulatory approvals happening on time, somewhere in Q3, Q4 of 2027 is when the commercial volumes will start moving.
Madhav: Next calendar year '27?
Dr. Kiran S. Divi : Yes, calendar year.
Madhav: Calendar '27. Okay. Got it. And sir, my second clarification was in the peptides part of the business, I think you've spoken about us doing a fair bit of work for the protected amino acids. Like if you think from Divi's perspective over the next 3 to 5 yea rs, are we going to be focusing more on the protected amino acids? Or do we see us supplying fragments as well for commercialized peptide products? Like what is sort of the sort of bigger focus area for us?
Dr. Kiran S. Divi : Okay. So just to give you a history about Divi's, Divi's from the year 2000 -- early 2005, early 2006 has been heavily involved in protected amino acids. We were manufacturing for one of the multinational on a specific project. And then over the period of time, the project phased out. And then we had Shelved most of the protected amino acids that we have developed , Shelved in multiple tonnes.
In the last 5 years, several of our customers called us and started asking us to start producing protected amino acids. This is where we again opened our shelves and restarted manufacturing initially a few hundred kilos for their validations, then we have gone into tens of tonnes. Now we are going into multiple tens of tonnes for individual amino acids.
And this will continue on because today, you're talking about GLP -1s, peptide chemistry is also going into psoriasis and anti -inflammatory, cardiac drugs into other therapeutic categories itself.

It's not only that you're working on GLP -1s and then you're done. So there are other categories we are working in, in Phase I, Phase II . Psoriasis is a big market right now, and we can see going on other opportunities.
That being said, we have been producing now in larger volumes, and we will continue to produce protected amino acids and supplying it to several of the fragment manufacturers. Along with that, we will be using our own protected amino acids for our own fragments, which we are producing and supplying to the innovators. And as and when it commercializes, our intake of our own peptide protected amino acids will also increase.
Madhav: So sir, just a clarification, the way to understand is, currently, we have approved protected amino acids going to fragment manufacturers, which is an ongoing supply or will be an ongoing supply. For the fragment supplies, they are still somewhat in the va lidation phases. And if that comes through for some of these newer products, that's when we see the ramp-up. Is that how we should read it?
Dr. Kiran S. Divi : That is a fair way to look at it.
Moderator: Does that answer your question, Mr. Madhav?
Madhav: Yes.
Moderator: The next question is from the line of Abdulkader Puranwala from ICICI Securities.
Abdulkader Puranwala: [Inaudible 00:52:24]
Moderator: I'm sorry to interrupt you Mr. Puranwala we are unable to clearly, sir. Your voice is breaking. We are unable to hear you. Mr. Puranwala we are unable to hear you. We would request you to please take a connection and re-join the queue. We'll move to the next question is from the line of Harshit Dhoot from Dymon Asia Capital.
Harshit Dhoot: Congratulations on the good set of numbers. A couple of questions from my side. Our gross asset turnover ratio in FY '25 was 1.19 and we are incurring

the dedicated capex . And with the
revenue visibility from these 3 capex and the pipeline in the CS segment, can we expect going back to the 1.5 to 1.6 kind of range in the next 4, 5 years?
Nilima Prasad Divi: Can you slow down the speed of your question and ask again, please?
Harshit Dhoot: Yes, yes, sorry. So my question was that, ma'am, our gross asset turnover ratio was 1.2 in FY '25. And with the visibility of the revenues from the dedicated capex and multiple products in the pipeline in the CS segment, -- can it go back to the historical high level of 1.5 to 1.8 level in next 4, 5 years? How should we understand the going forward, the revenue trajectory?
Nilima Prasad Divi: So based on the forward- looking statements and a few clarifications that Dr. Kiran Divi has provided, we can say that's what we are aiming at and that's what we are trying to go towards.

Harshit Dhoot: Okay. And second, ma'am, we have incurred capex of around ■ 1,500 crores in first half of FY '26, while our guidance was to do capex of ■2,000 crores in FY '26. So what is the targeted capex for the FY '26? And if it's possible, can you give also the hint for next couple of years on the capex part?

Nilima Prasad Divi: So we did intimate that we are doing a capex of ■1900 crores to SEBI in the last many months. And we are going through quite a few designs and phases at Unit 1 and Unit 3, mainly at Unit 3. So as and when we come up with the futuristic outlook of where the capex is going to be heavily invested, we will come out with the SEBI intimation about the same.

Harshit Dhoot: But what can be the number for FY '26, ma'am?

Nilima Prasad Divi: I would say it would be on -- like if you exclude the Custom Synthesis project, which has already been declared to the SEBI, which is for that particular specific product. I would say we would prefer looking at the historical numbers and the rate being approximately the same.

Moderator: The next question is from the line of Dhaval Khut from Jefferies.

Dhaval Khut : I wanted to know the current capacities that we are putting up, where are these peptide capacities? Are they inclined more towards SPPS or LPPS? And secondly, currently, based on whatever visibility talks we have with our partner, what is the longest chain of peptide that we are likely to manufacture on a meaningful size and scale?

And if the length of chain increases, let's say, from 10 amino acid, they ask us to manufacture 20, does it require a meaningful regulatory approval, validation? And is there any lag time? Or is it going to be much shorter to turn around and supply them?

Dr. Kiran S. Divi : So I'll answer your question point -by-point. So the first point you asked me was we have several commercial scale SPPSs and LPPSs available with us, where we are doing both pilot scale studies and also commercial studies , based on whatever the innovator has given as his requirement with us. In case of commercial scale, where we have a dedicated large facility with multiple SPPSs of large volume, this is dedicated based on his process and his requirement. Apart from this, as and when the customers either through LPPS or SPPS require their product to be manufactured, either 10 -mer, 12-mer , 14-mer , 18-mer , it doesn't matter. It's not complicated, okay, we will manufacture it based on the technology he has provided because they're only manufacturing fragments for innovators. They are not in the generic business. So as and when we -- they give us a technology, we will manufacture for them based on their regulatory requirements. So it is not our call on what regulatory requirements are what are the regulatory standards.

It is there -- they would decide because it depends on where the fragment will join in the peptide. Is it a 40 chain amino acid, 30 chain amino acid, 39 chain amino acid? I do not know. They would give it to me and they would say, okay, the fourth chain would be joining at this time. So this might be a GMP matter , this may not. It is their call. So it is not for me to comment on that. I hope I answered your question.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Satish Choudhury for closing comments.

M. Satish Choudhury: Thank you all for joining us today for the earnings call of Divi's Laboratories Limited. In case you need any further clarification, please reach out to our Investor Relations. Thank you.

Moderator: Thank you. On behalf of Divi's Laboratories Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

May 29, 2026
To To
The Secretary The Secretary
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Phiroze Jeejeebhoy Towers,
Bandra -Kurla Complex, Bandra (East) Dalal Street
Mumbai – 400 051 Mumbai – 400 001

Trading Symbol: DIVISLAB Scrip Code: 532488

Dear Sir / Madam,

Sub: Transcript of earnings conference call held on May 23, 2026

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015

We hereby submit the transcript of the earnings conference call for the quarter and year ended March 31, 2026, held on May 23, 2026 at 14.30 hrs. (IST). The transcript is also available on the website of the Company i.e. www.divislabs.com under the Investors Relations section.
This is for your information and records.
Thanking You,
Yours faithfully,
For Divi's Laboratories Limited

M. Satish Choudhury
Company Secretary & Compliance Officer

"Divi's Laboratories Limited
Q4 FY26 Earnings Conference Call"
May 23, 202 6

MANAGEMENT : DR. KIRAN S. DIVI – WHOL E-TIME DIRECTOR AND CHIEF EXECUTIVE OFFICER – DIVI'S LABORATORIES LIMITED
MS. NILIMA PRASAD DIVI –WHOLE -TIME DIRECTOR (COMMERCIAL) – DIVI'S LABORATORIES LIMITED
MR. VENKATESA PERUMALLU PASUMARTHY – CHIEF FINANCIAL OFFICER – DIVI'S LABORATORIES LIMITED
MR. M. SATISH CHOUDHURY – COMPANY SECRETARY AND CHIEF INVESTOR RELATIONS OFFICER – DIVI'S LABORATORIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the earnings conference call of Divi's Laboratories Limited for Q4 FY '25 -'26. As a reminder, all participants will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star on your touch- tone phone.
I now hand the conference over to Mr. M. Satish Choudhury. Thank you, and over to you, sir.
M. Satish Choudhury: Good afternoon to all of you. I am M. Satish Choudhury, Company Secretary and Chief Investor Relations Officer of Divi's Laboratories Limited. I welcome you all to the earnings call of the company for the quarter and year ended March 31, 2026. From Divi's Labs, we have with us today Dr. Kiran S. Divi, Whole -Time Director and Chief Executive Officer; Ms. Nilima Prasad

Divi, Whole -Time Director (Commercial); and Mr. Venkatesa Perumallu Pasumarthy, Chief Financial Officer. During the day, our Board has approved audited financial results for the quarter and year ended 31st March 2026, and we have released the same to the stock exchanges as well as updated the same in our website.

Please note that this conference call is being recorded and a transcript of the same will be made available on the website of the company. Please note that the audio of the concall is the copyright material of Divi's Laboratories Limited and cannot be copi ed, rebroadcasted or attributed in press or media without the specific and written consent.

Let me draw your attention to the fact that on this call, our discussion will include certain forward -looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations o f the future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied.

Divi's Labs or its officials does not undertake any obligation to publicly update any forward-looking statement, whether as a result of future events or otherwise. Now I hand over the conference to Dr. Kiran Divi for opening remarks. Over to you, sir.

Dr. Kiran S. Divi: Good afternoon, everyone, and welcome to Divi Laboratories earnings call for the fourth quarter and year ending '25-'26. Thank you for joining us today. I hope you and your families are in good health. With the year now behind us, I would like to briefly t ake you through our performance and key developments across our business, along with the priorities we have continued to execute on. While Q4 was characterized by a complex and uncertain global backdrop, we continue to remain focused on execution disciplin e, supply reliability and long -term view of capacity and capability requirements.

These anchors have helped us to maintain continuity across all segments to support our growth initiatives. Let me begin with the generic business. Volumes across our key products have maintained and remained stable through the quarter and full year.

While the pricing environment remains competitive, we have seen steady demand across markets and healthy volume traction in our products. Moving to our Custom Synthesis segment , customer engagement has remained strong and progressive across the year. As we have shared

earlier, the strength of our CS business lies in our diversified product offering. As usual, our project pipeline remains active with molecules progressing through development to near commercialization. We are well positioned to participate meaningfully in these opportunities.

Coming to our peptide business, we continue to deepen our capabilities during the year. With our long-standing capabilities in protected amino acids and our strategic investment in both solid phase and liquid phase synthesis capabilities, we are well posit ioned to support our customer requirements across multiple phases of development. During the quarter, we have successfully validated several fragments with a few more in the pipeline.

Divi’s has remained closely engaged with several customers across different therapeutic categories in the peptide segment . With focus on execution and quality, we have continued to invest in the capacity required to meet customer and portfolio -specific needs. On the manufacturing front, operations at Unit 3 have been steadily progressing, and the facility is now playing an increasi ngly important role in our overall operations by supporting our backward integration capacity.

Through the year, we have gradually transferred select activities from Unit 1 and Unit 2, freeing up GMP space while strengthening our supply chain and enabling better capacity optimization to support future growth in both generic and custom synthesis.

Technology remains another key area of focus. During the year, we have continued advancing commercial activities across platforms such as continuous flow chemistry, biocatalysis and various automation layers within our plants. The objective is to enhance safety, minimize variability and to create scal e and future -ready systems aligned with emerging customer needs and complex chemistries.

Beyond our business operations, we remain deeply committed to creating long-term value for the communities we serve. I'm proud to share that our core CSR initiatives have positively impacted over 1 lakh children this year, while our safe drinking water programs now have reached to more than 11 lakh individuals each day across the states of Telangana and Andhra Pradesh.

To sum up, this has been a year where consistent diligent execution made all the difference. The external environment had its share of challenges, but we main tained stability across our

operations, strengthen ed our capabilities , and has kept our long-term investments on track. The
underlying focus has not changed, which is to be reliable, to be responsive and invest ahead of future demand. Thank you.
I will now hand over the call to Ms. Nilima Divi.
Nilima Prasad Divi: Good afternoon, everyone, and thank you for joining us as we review our fourth quarter and full year FY 2025-'26 performance. It is a pleasure to connect with you once again, and we sincerely
appreciate the continued trust, engagement and support from all our stakeholders. Before
discussing the financial performance, I would like to begin with an update on the procurement,
supply chain and logistics as these areas had an influence on our operating environment towards
the end of our fourt h quarter.

As many of you are aware, the escalation of geopolitical tensions in West Asia created
disruptions across several global trade routes and logistics corridors. This led to congestion at
key ports, extended transit timelines and operational uncertainty for suppliers and logistic
providers alike.
During this period, a number of suppliers invoked force majeure clauses, while freight rates across both ocean and air transportation started increasing considerably. At the same time,
container and tank availability was somewhat constrained during the end of the quarter, adding
further complexity to the movement of materials. Despite these external challenges, the availability of critical raw materials and solvents remained broadly manageable.
This was largely due to resilience and preparedness of our procurement and supply chain teams
who responded with agility and discipline throughout the period. Over the past few years, we
have consciously worked towards strengthening our sourcing ecosystem, broadening our
supplier base and increasing the dept

h of our domestic procurement network.
These initiatives is playing an important role in helping us navigate the volatility more
effectively. Our teams adopted proactive procurement planning measures well in advance, enabling us to secure supplies and manage inventory efficiently despite uncert ain lead times.
For time -sensitive materials such as solvents, where extended storage is neither practical nor
economically viable, we implemented tighter coordination between procurement production and
planning teams to ensure continuity without disruption to manufacturi ng schedules. Currently,
we are focusing material availability on a quarterly basis. On the logistics side, shipments were
planned and executed proactively to minimize delays.
We continue to work closely with reliable and long-standing logistics partners, which helped us maintain consistency in deliveries despite market conditions. As a result, we were able to honor
our customer commitments and maintain supply reliability. While external environment remains
dynamic, we believe the actions taken over the past several years to strengthen operational
resilience are proving effective.
At the same time, we remain cautious in our outlook. Freight -related cost pressures are expected
to continue in the near term, and we have incorporated these factors into our planning for the coming quarters. We will continue to closely monitor geopolitica l developments, logistics
conditions and supply chain dynamics while ensuring that our internal planning, sourcing strategies and operational execution remains aligned with business requirements and customer expectations.
With that, I will now move on to financial performance for the quarter and full year. For the quarter, the company recorded a consolidated total income of ■2,986 crores. Profit before tax
for the quarter stood at ■963 crores as against ■864 crores for the corresponding quarter of
previous financial year. Profit after tax for the current quarter stands at ■ 751 crores. The
company also reported a forex gain of ■ 90 crores for the Q4.
For the financial year 2025-'26, the company recorded a consolidated total income of ■ 11,067
crores compared to ■ 9,712 crores in the previous financial year. Profit before tax for the year

stood at ■3,388 crores after accounting for the impact of Labour Codes amounting to ■74 crores
as against ■ 2,916 crores in the previous financial year.
Profit after tax for the current financial year was ■2,568 crores compared to ■2,191 crores in the
previous year. The company also reported a forex gain of ■ 211 crores during the year against a

gain of ■48 crores in the previous financial year. Pursuant to the notification of the four Labour Codes effective from November 21, 2025, and consequent revision in the definition of wages, the company assessed a onetime incremental impact of ■ 74 crores towards employee benefits during and post -employment.
The same has been fully provided for in the current financial year and disclosed as an exceptional item in the statement of financial results. Material consumption during the current financial year stood at approximately 38.8% of sales revenue compared to 39.8% in the previous year.
Exports contributed nearly 89% of the total sales revenue with Europe and United States together accounting for approximately 74% of the export revenue. The product mix between generics and custom synthesis for the year was at 45% and 55%, respectively. Constant currency growth for the year was 6.82%.
Revenue from nutraceuticals business for the current financial year amounted to ■ 946 crores compared to ■ 781 crores in the previous financial year. During the year, the company capitalized assets worth ■ 1,544 crores, out of which approximately ■800 crores is capitalized in the last quarter.
Capital work in progress as of March 31, 2026 stood at ■2,113

crores . As on March 31, 2026,
the Company's Cash and Cash equivalents stood at ■ 3,414 crores, Receivables at ■2,984 crores and Inventories at ■3,954 crores. Thank you.
M. Satish Choudhury : Thank you, madam. With this, we would request the moderator to open the lines for Q&A.
Moderator: Thank you very much. First question is from the line of Surya Patra from Phillip Capital. Please go ahead.
Surya Patra: Yes. Thanks for the opportunity. First question is on the supply chain issue. So regards to the raw material availability, you have elaborated for the quarter, but could you share -- or is it fair to believe that the worst is behind us already, or the Q1 would be seeing incremental challenges in terms of availability of material?
See, particularly, I wanted to know about the methanol because we are one of the leading consumer of methanol in the country and almost entire of this country's demand is met from the imported things. So, how are we managing that? And how would that situation be for first half of current financial year?
Nilima Prasad Divi: So, a quick thing on the supply chain management and the procurement. In the year , since the war started on 28th February, I would say the effect is there only on 1 month in the entire year.
So we wouldn't see so much of an effect of what is happening on the yearly results, neither on the quarterly results because it's only one-third .

If you're asking me what we are currently going through, yes, we are having difficulty in sourcing material, but we are not having any production stoppages at our end. And it is not just methanol. We do import a lot of other solvents. We do import -- we also procure domestic -- a lot of materials which require materials from the Middle East, for example, Ammonia, which is imported from Middle East.
And as I'm sure you are aware that there are certain domestic manufacturers who have declared force majeure. So, the impact is there on multiple products, not just on solvents. We are
reviewing this on a quarter -on-quarter basis, and we are trying to secure every month for the next 3 months, how -- to make sure that our production is continuously running for the next 3 months. So we are keeping our customers also in the loop. And it is -- right now, we can say it is difficult, but it is not something that we are completely worried about.
Surya Patra: My next question is to Kiran sir. Sir, if the GLP opportunity hypothetically shift towards orals more going ahead, then how will that impact our supply ability, whether it should be better or...
Dr. Kiran S. Divi: We are supported by long-term agreements, okay, with our customers. So whether you're going by oral or by any category, okay, we don't see that to be an issue for us.
Surya Patra: Okay. Okay. And another question, sir, since the massive GLP -led capex that is going on worldwide, so if you can give your plan for -- capex plan for the next year, FY27? And also it would be great if you can share your margin outlook for FY27, given the kind of difficult scenario, how challenging and what is the kind of margin outlook that we would be having?
Whether it would be difficult to sustain this or we can see expansion considering the new dedicated project, which will be commencing in the later part of the year
Nilima Prasad Divi: See, right now, as we have shared, the capital work in progress is about ■ 2,113 crores. And in fact, at Kakinada, we did mention earlier that we are going to do a ■1,500 crores expansion plan, out of which ■ 600 crores has been capitalized. So there is a lot of work in progress currently.
And as and when we see an opportunity where there is material disclosure, we would definitely share it in the SEBI (disclosure) . Now coming to the future outlook, we would say that as

historically that we always look for a double -digit growth in our revenue

s, and that's what we
would also say today.
Surya Patra: And regards to margin, ma'am?
Nilima Prasad Divi: I mean with the change in scenarios, I would say it's difficult to project, but we would say it would remain stable. And we would -- like it's also with the situation we are currently in, we wouldn't want to throw a figure on that.
Surya Patra: Sure, ma'am. Thank you. Wish you all the best.
Nilima Prasad Divi: Thank you.
Moderator: Thank you. Next question is from the line of Amey Chalke from JM Financial. Please go ahead.

Amey Chalke: Yes. Thank you for taking my question and congrats to the management of the call . So I have first question on our constant currency top line growth, which has been around 6%, as you mentioned in the opening remarks. So, despite doing so much capex, having so much capacity available, what is it that led to mid -single -digit growth during the year and how things change or can change going ahead in FY 27?
Nilima Prasad Divi: See, we did have a capex, but most of the capex has capitalized in the last quarter. I would say more towards the end of last quarter is when we capitalized quite a bit of capex. But coming to the constant currency growth of 6%, considering the growth in r evenue and the growth in the -- as well as the growth in the exchange rate with which we are going since the last year.
It's something that we foresee that we would look at a regular revenue growth rather than a constant currency growth rate at this point in time because the currency is fluctuating quite strongly. And looking at it from that point of view will not show you the r eal picture of the business, rather look at it from a complete revenue standpoint.
Amey Chalke: Okay. So is there any big product like a life cycle management project, which has been slowed down during the year or anything which has pulled down the revenue down, anything on the volume side or which could have affected the growth for us during the yea r?
Nilima Prasad Divi : There is not a single product. See, we are a multiproduct company. We have many products in our pipeline, and we have generics and we have custom synthesis. Generics, yes, we have large volumes, and we have multiple products under it, custom synthesis as w ell we have a lot of projects under it.
We can't name that one single product, we are product heavy wherein it would pull down our revenue to a considerable extent, which would reflect in the balance sheet. Yes, we did mention
-- Dr. Kiran Divi has mentioned earlier many times that the generic b usiness has been quite strong volume -wise. But yes, there has been pricing pressures. And Dr. Kiran Divi , would you like to elaborate on this?
Dr. Kiran S. Divi: So to answer your question, while we cannot point on a particular product, we have not lost any volumes or any supply or have any supply issues with any of our customers. Generics has slight pricing pressure, but our customers also understand what's happening in the market and they have been very understanding and we have been in constant discussion in how to manage the pricing at both end.
While on the custom synthesis, we have several projects. Now you also know that we do a lot of late life cycle management for our customers. While the project is going through its patent phase, as it comes to an end or closer to an end, we do support our customers in late life cycle management and the product continues to stay, okay. Maybe the volumes may go down.
But at the same time, we have several projects that come into the pipeline. So it's a continuous rotation. You have to remember, Divi's has been in the business of CS from the inception. It's not something new that we got in today and the volumes have evolved. This is a constant cycle that keeps going on.

Amey Chalk

e: Sure. The second question I have on the margin side. Like a few years back, we used to operate at 37%, 38% margins traditionally. What has changed since then over the last 4- odd years since our margi ns have settled down around 32%? Is there any possibility we can go back to the original levels and what can drive it?

Nilima Prasad Divi: I would say that one -- the two key things that we see , the margins going more than 32% historic figure. One is the generic pricing pressure for sure. And then the second one is mainly the cost of materials that has increased. I mean , we did see the increase happen mainly during the COVID period, and then it slowly started settling down in the recent past. But again, with the war, we are seeing rise in prices. I mean, to answer your question about when would we go back to 3 8%, that's som ething we dearly wish for that we also go back to 3 8%, which also depends on the market conditions.

Amey Chalke: Sure. Is it like going ahead, if the business mix of custom synthesis increases driven by whatever projects you have already expecting to start, will that drive these margins upwards?

Dr. Kiran S. Divi: So it's very difficult for me to answer that, right? Because right now, we have done -- we are in -- some we are in the process of validation, like I explained, some we are going through prequalification. Some are still in the R&D state . Now these have to go to our customers. They have to go through their qualification cycle.

So it's very difficult for me to say the timeline of any project . When it would come, when is the right time that these would jump in ? Again, we have to see what this product is competing with and whether a new molecule is developed at the same time. So there are several unforeseen challenges for me to comment on the margin at this point.

Moderator: Next question is from the line of Neha Manpuria from Bank of America.

Neha Manpuria: I just wanted to check on the raw material availability that you talked about. Would it be fair to assume that obviously a lot of that availability is coming at a higher price, which would start reflect ing in the first quarter fully?

And also, if you could just comment on our ability to pass on this cost inflation, particularly in the generic segment ? Have we started seeing generic API prices probably that have been under pressure bottom out now that we are facing cost pressure? Or you don't think it's too premature to sort of see that?

Dr. Kiran S. Divi: I could answer this for you -- the generic segment, while the raw material prices, we are not immune to it, we are seeing rise in raw material prices. But we have -- most of our APIs on the generic segment are backed by long -term contracts, which have variability clauses, which protects us from such situations.

So these are reviewed -- based on the contracts, some of them would be reviewed every 3 months. There is a clause where it directly impacts on the raw material plus. There are different scenarios where we have long -term contracts for most of our products. And this supports us and protects us, which is basically a carry forward, which goes to our customers.

Neha Manpuria: Understood. And Dr. Divi , is it fair to assume that not all of our contracts are long term and there is some amount of spot supplies, which could see this impact from the cost pressure? Or would you say bulk of the contracts are long term and therefore, we have some flexibility in terms of being able to negotiate as and when the contract comes up for renewal?

Dr. Kiran S. Divi: It is a fine balance between having contracts for our products. And also, we have some spot buys , quarterly buys from customers from various regions, which, again, it's on negotiation to negotiation basis, which happens mostly in countries like South America or parts of Europe, Eastern Europe or Asia

.

Neha Manpuria: Okay. And my second question, now that there's so much discussion about raw material pressures, etcetera, have you started seeing customers probably increase -- an increase in demand from the customer side, which you think would bode well for API prices? H as that phenomenon started to reflect in your customers' demand th an wanting more volumes just to make sure there is supply security at their end?

Nilima Prasad Divi: To answer your question, I would say that our supply chain model is pretty stable. We have -- we proactively make sure that the material reaches our customer in time, and that's what Divi's has been known for and that we deliver on time to the customers. S o that way, I don't think they are stocking up any material that they are foreseeing the shortage.

Moderator: Next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Ma'am, first on the API segment, there has been a healthy pickup in revenue over the past 2 quarters, which probably in the earlier quarters, it was pretty stable. So is it -- while the pricing pressure remains, so this is like a decent volume pickup. Is t hat the safe assumption to make?

Dr. Kiran S. Divi: Yes, the volume has been picked up. We had steady growth in volume, and our customer base has been quite steady in the generic business.

Tushar Manudhane: Given the new molecule addition or the volume of the existing molecules?

Dr. Kiran S. Divi: This is from our existing portfolio itself. While we are still waiting for our customers to launch our new portfolio, what we have told you in 2026-'27, as the products come off patent. But now this is from our existing product portfolio.
Tushar Manudhane: So, effectively, like coming couple of years, the new products will also sort of add to this volume growth from the existing product , right?
Dr. Kiran S. Divi: That is correct.
Tushar Manudhane: Sir, secondly, with respect to Unit 3, you alluded that the production level has steadily increased and there has been some shift from Unit 1 and Unit 2. While you are not giving further details, but probably what further percentage in terms of such a broad -based percentage shift which is possible from Unit 1 and Unit 2 to Unit 3, where are we in that journey?
Dr. Kiran S. Divi: It's quite difficult to say a percentage, okay, because it is on qualification to qualification basis. As and when we have a product in demand and the volumes are going up, which requires proper

GMP or we have a branded customers ' product, which the volumes have increased and we need to create space, that is the time we are moving one of our pre-chemistry products from Unit 1 or Unit 2 to Unit 3, freeing up GMP spaces. So, the qualification timeline is something we would know about 2 or 3 or 4 months in ahead. As and when we know that customers are getting approval, we proactively start working on moving those products.
Tushar Manudhane: Got it, sir . And just lastly, I mean, the way the custom synthesis business has been built by Divi's Lab, clearly, the customer satisfaction in terms of the supply of the material has been rock solid maybe even if I look back at the COVID times as well. But just one thing to understand like inventory, if I look at i t, it has been stable quarter -over -quarter, I mean, from ■3,600 crores moving to ■3,900 crores. And given the way the situation has sort of panned out in March, April, so would we see subsequently an increase in the inventory level in , let's say, coming quarter? Or this is the kind of the rate at which the inventory will be increasing?
Nilima Prasad Divi: I would say from an inventory standpoint, the March month has been mostly surfaced from the inventories of maybe early March. But most of the increase in inventory, I would say you might be seeing from the Q1 of next year.
Tu

shar Manudhane: Any percentage you would like to put?
Nilima Prasad Divi: I wouldn't put any number on that because we are first trying to make sure that we run good capacity. We don't lose out on our production capacit ies, and we don't lose out on our outward logistics shipments. So for that, we are securing material and we are storing material to make sure that we are efficiently manufacturing and supplying our customers.
Tushar Manudhane: And just last, if I may squeeze in, you also commented on increased procurement from the domestic side and correct me if I'm wrong. So is that resulting into relatively higher prices so that you secure the raw material in place or the still largely stable despite getting procurement from the domestic side?
Nilima Prasad Divi: So I would say it's not just domestic, but also it is with respect to imports like we buy a lot of solvents and we buy quite a few materials from imports. And we also try to buy from domestic. Yes, are we seeing price increases? We are seeing price increases like any other, like you're seeing crude oil, crude increase you're seeing multiple other factors in our daily lives also increase in prices. The same way, we are also not immune. We are seeing price increases. But we are factoring them in, and we are try ing to pass on wherever feasible .
Tushar Manudhane: That's great and thanks a lot for this explanation.
Moderator: Thank you. Next question is from the line of Abhigyan Srivastav from Marcellus Investment Managers . Please go ahead.
Abhigyan Srivastav : Thank you for taking my question. My first question is, can you comment on the ramp-up of Iodine contrast media and the status of Gadolinium -based contrast media that we are working on?
Dr. Kiran S. Divi: Could you repeat your question again, please?

Abhigyan Srivastav: Yes. I want to know the status of our Iodine contrast media ramp -up and our status on the Gadolinium -based contrast media that we have been working on?

Dr. Kiran S. Divi: Coming to the Contrast Media, we are working with the big pharma companies. So I cannot disclose too much on the volume or how much we are producing or who we are working with because we are bound by CDAs, but we are working with most of the top players in the market at this point who are innovators.
Coming to Gadolinium compounds, we are still at qualification stage because these are new molecules which are in Phase II, Phase III. Yes, we are basically tagging along with our customers. As and when they start getting approvals, we will start seeing revenues from that side.
Abhigyan Srivastav: Got it. Thank you, sir. And my second question is, you mentioned that we are seeing new project inquiries in CSM. Is there anything in particular that is driving that?
Dr. Kiran S. Divi: You mean to say in Contrast Media?
Abhigyan Srivastav: No, in CSM as a whole, in your initial speech…
Dr. Kiran S. Divi: Okay. In CS, we have several projects which are either in phase II, phase III. Some, the validations have been completed, and these have been submitted to our customers, and we are waiting for approval for them to get either EU, EDQM or USFDA or different regulatory agencies to approve them. As and when they go through the approval process, we will be a part of their journey.
But, as of now, we have a strong pipeline across different -- at different, what you call, stages of development. Some at Phase II, some at Phase III, some have done qualifications, some have done validations. I think that's what you've asked for, right?
Abhigyan Srivastav: Right, sir. Sir, lastly, has there been any loss of revenue in Q4 due to logistic issues?
Nilima Prasad Divi: Can you repeat the question again, please?
Abhigyan Srivastav: Yes, ma'am. Has there been any loss of revenue due to logistic issues that you mentioned in your initial speech?
Nilima Pra

sad Divi: No, we haven't had any loss of revenue because of the logistics issues in the last quarter.
Abhigyan Srivastav: Got it. Thank you for what you said, which was very helpful.
Moderator: Thank you. Next question is from the line of Vivek Agarwal from Citigroup. Please go ahead.
Vivek Agrawal: Thanks for the opportunity. One question is on GLP -1, as you have talked about that several of the fragments have completed validation, that is all right. Just want to understand how far we are from commercializing that?

Nilima Prasad Divi: Just a second. Your background noise was way too much. We couldn't hear your question clearly.
Vivek Agrawal: One question on GLP -1, as you have talked about that several of the projects or several of the fragments that...
Moderator: Mr. Agarwal, we cannot hear you clearly. Please use your handset.
Vivek Agrawal: No problem...
Moderator: Mr. Agarwal, as there is no response. Can you please repeat your question or use your handset mode, sir? We cannot hear you clearly.
Vivek Agrawal: I am speaking back to you. I'm joining by the queue. Sorry.
Moderator: Thank you. Next question is from the line of Ritika from ValueQuest Investment Advisors . Please go ahead.
Ritika: My first question is on, could you help us understand broad timelines? When do we expect the 3 dedicated capacity to start utilization? Also, what will be a regulatory process that we need to go through for all these 3 new dedicated capacities?
Dr. Kiran S. Divi: Would you please repeat the question again?
Ritika: Yes, sure. My question is on, could you help us understand when do we expect broad timelines for these 3 dedicated capacities to start utilizations? Also, what kind of regulatory process we need to have to go through for these 3 new dedicated capacities?
Dr. Kiran S. Divi: The 3 projects, I believe you're talking about the CS projects we have spoken in the past.
Ritika: Yes. Yes.
Dr. Kiran S. Divi: These have gone through various stages of validation. At this point, they are in the process of being supplied to our customer. As and when the customers get their regulatory approvals, either from -- I don't know which countries and how they would apply. We will be a part of their filing, we cannot comment on their regulatory submissions. But as and when they confirm and give us the volume indication that we need to start commercial production, we would then start producing commercial qu antities.
Ritika: Also, from U.S. FDA or any other company -- any other country point of view, do we need any inspection or any on that regulatory process that we need to go through?
Dr. Kiran S. Divi: To answer that question is very difficult, right. So I cannot assume what the agency would be thinking, whether after my customer submits a file, whether they would prefer to audit us or

they're happy with the previous audit report or they want to do a pro duct-specific report, and then come for an audit again. I cannot comment on that because that's a regulatory agency decision, right. So it's something I cannot comment.

Ritika: Sure. Just last understanding would be, when we had disclosed our first dedicated contract, which was in April '24, we had mentioned Jan '27 as the operational timelines. So do we think that is on track or that could get delayed led by regulatory approvals with your customers?
Dr. Kiran S. Divi: As of now, like I explained, we have gone through validation phases. We have supplied it to our customers. We are hopeful by 2027 it will be commercialized or earlier or maybe later.
Everything is subjected to regulatory approvals for our customer who in t urn would tell us as and when we need to supply commercial quantities. So this is based on a prediction on what our customers give us. We have spoken in

the past...
Ritika: Sure. Last question would be, could you give us qualitative understanding on opportunity in the contrast media that you are seeing, both in generics as well on the innovator front?
Dr. Kiran S. Divi: On contrast Media, we're substantially tied up with the innovator side of the business, where we have been supplying iodine -based contrast media in several multiples of ton s to these customers and a s and when they demand, they want to increase it, they have been discussing with us actively and increasing their volumes or some of the customers have kept their volume quite stable. Coming to the generic side, we are not that active. We are more active w ith the innovators itself.
Ritika: Got it. You mentioned to the other participant that for Gadolinium , our contract is yet to start with the products being in phase II, phase III. But in the Iodine space, we would have already started commercialization for mol ecules?
Dr. Kiran S. Divi: Yes. In the Iodine base, we are already in commercial sales. I think I mentioned this in my previous calls that we have commercialized these projects on the Iodine base. A nd like I explained, there are one or two -- there are about three major players. So few of them are increasing their volume. Some of them are keeping it steady with what they have signed with us and these are backed up by long-term contracts.
Now, coming to Gadolinium compounds, this is something where we are in phase III, where they're buying quantities just for their studies to qualify their product. As and when they see light of approval from the agencies, then they would start talking to us for taking the next steps on validation.
Ritika: Thank you so much for answering the question.
Moderator: Thank you. Next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.
Shyam Srinivasan: Quick question first on the c apex. So we did ■1,400 crores last year. We have done ■ 2,500 crores this year at about 23%, 24% of sales. It's been a very high number and I don't know whether you alluded to a ■ 1,500 crores number for '27, but just checking.
And typically, Kiran, we have had a 2-year correlation on when you convert c apex to revenue or some form of it. So just want to understand whether the current batch of c apex, including the

long-term supply agreements, is it a slightly more prolonged revenu e recognition cycle, you think o r you think the historical trends of when revenues accrue from these c apex will be similar?
Nilima Prasad Divi: Can you just repeat your question again, please?
Shyam Srinivasan: Yes, Nilima. So c apex is ■ 2,500 crores this year, last year it was ■ 1,400 crores. ■ 2,500 crores is 24% of sales. Our historical average is 13% of sales is the c apex number. So I'm just saying it's significantly higher. I know we are doing three long-term supply agreements, but when does revenue accrue from c apex being done? Is it a 2- year to 3 -year cycle when you start seeing commercialization leading to revenue recognition?
Moderator: Sir your line is on mute.
Dr. Kiran S. Divi : Yes. Sorry, we were just discussing. So t o answer your question, right, while c apex has been allotted for various projects across the various units. Either we are creating GMP capacities in Unit 1 and Unit 2, freeing up the space so that Unit 3, Kakinada can take up the pre -chemistry

raw materials and then qualifying these for our customers. All these is a cycle.
The cycle is typically when we do an innovative product, we completely depend on the customer's timeline because we file in their CMC. We do not have control on when the product will be launched. It can be wishful thinking if you want it in 6 months or 1 year, it can take 2
years.
We have seen time cycles all the way from 6 months when it's a fast approval project by the
agencies and the pr

oduct needs to be in the market or we have seen as long as 3 years. So it is
very difficult for us to predict saying, okay, in the next 1 year we will see these being shown up
into the revenue stream.
So to be optimistic, we believe we would like to be in the 2-year range, which is comfortable.
We have seen sometimes these are slightly earlier or slightly delayed based on -- if the agencies
ask our customers further questions, further data, we don't know, a s we are not a part of it. We
just have long-term contracts with supply commitments.
Shyam Srinivasan: Yes, helpful, Kiran. My second question is just on an earlier participant's question on margins,
32%, 32.5% this year, excluding other income. But if you were to look at historically, I think
during COVID we did like 40% and I recollect Nilima saying it's bec ause of generi c pricing
being the difference?
But last time -- at that time there was also Molnupiravir, right, that was an expedited, accelerated
capex. For me, it seems to remind us of the next three long-term supply agreements that are
coming. So why wouldn't the new long- term supply agreements for CS, which may be higher
scale, which may be larger quantities, wouldn't that drive margins higher?
Dr. Kiran S. Divi: See at this point it's very difficult to comment. You have to see how the product is going to do
in the market. If you look at Molnupiravir as an example, it was a COVID -driven drug, okay.
So it was specific, it's a therapeutic category which the market kn ows and the customer has
driven it across all over the markets.

Now the products that the large -- long-term supply agreements we have is completely based on
what our customers have signed with us. So I'm not at the liberty to comment on the volume, on
the pricing or the costing because the technology is completely owned by the customer and I'm
not a t the liberty to talk about it., b ut what I can say is with the ongoing costs, increase in cost
on raw materials, okay, there is a -- there is -- we are trying to minimize the impact by discussing
with several of our custom ers and trying to stabilize it to keep the numbers almost close to what
we are achieving right now.
Shyam Srinivasan: Got it. Thank you and all the best.
Moderator: Next question is from the line of Kunal Dhamesha from Macquarie.
Kunal Dhamesha: Hi, thank you for the opportunity . First question on the -- stable kind of profitability outlook that
you've provided. Is it right to say given that you don't know what time it will take for the customer orders to come for dedicated capex projects? Is it fair to say the stable profitability
guidance does not bake in any upside from these projects as of now?
Nilima Prasad Divi: We are not at a liberty to comment on the upside/downside at this point in time . But, however,
as we always said, we are looking for a double -digit revenue growth and that's the projection
that we would like to assume we would achieve.
Kunal Dhamesha: In terms of the RM cost increases, freight rate increases, etcetera, is it also fair to say that the
INR depreciation against a major currency like USD, Euro, where we derive our majority of the
revenue, should be more than able to offset some of these increases?
Nilima Prasad Divi: See, if you're talking about our imports, am I correct?
Kunal Dhamesha: No, I'm just saying at a company level, the kind of currency depreciation we have seen versus
the pull factors in terms of increase in RM cost, freight cost, etcetera. So, there is a benefit from
currency and then there is negative impact of all other fact ors. Would you say the currency
benefit would more than offset all these dark clouds?
Nilima Prasad Divi: See the currency benefit, because we are mostly an export -oriented company, it would definitely
benefit is what we would foresee. Say, for example, currently this year our s

ales are about -- our
revenue is about ■ 11,000 crores, but our raw material is about ■ 4,000 crores to ■5,000 crores.
In that, about 40% would be our imports. So how much of imports effect is there and how much
of our export effect is there is easier for you to calculate from there. I don't need to say it out.
Would the fluctuations benefit? Yes, it would. But when tomorrow the rupee drops, would it also impact? Yes, it would,
because we are heavily on exports and we are not in the domestic that much.

Kunal Dhamesha: Sure. Lastly for Dr. Kiran, my understanding is typically the regulatory agencies only inspect API formulation and advanced intermediate facility. Correct me if I'm wrong. This is my understanding. By virtue of that, given that on peptide side we are doing more like 8 or 10 amino acids in a chain, would it be counted as more like advanced intermediate or intermediate? What is your sense on that?

Dr. Kiran S. Divi: See this -- the manufacturing has to be done under GMP. So, these are qualified material for our customers, now how -- which one do they call starting material, which one do they call advanced intermediate, only my customer knows, but we are prepared for any other. All the plants, that is both Unit 1 and Unit 2, is a general cGMP facility, which is under all guidelines of EDQM, US FDA or ANVISA, across all Japanese authorities.
It basically covers all regulatory requirements. So, it's difficult for us to say whether -- which one is the starting material for him, which one is advanced intermediate, because as and when he keeps adding the fragment, the fragment sits at a certain pl ace, higher the GMP level goes up.
Kunal Dhamesha: Sure. Last one, if I may squeeze in. In terms of, let's say once our peptide facility is commercialized, we have not given the scale. But would you say once it is commercialized, we would be in the top 2 player global , in terms of scale of the capacity?
Dr. Kiran S. Divi: I would say in terms of scale, I can give you a rough thing. We have several 3,000-liter SPPS, which by far in India nobody has. We are quite strong and committed towards this segment, and we are targeting to be one of the largest global players in the wor ld.
Kunal Dhamesha: Sure, thank you and all the best .
Moderator: Next question is from the line of Dhawal Khut from Jefferies. Please go ahead.
Dhawal Khut: My first question is I wanted to know the guidance on capex for the next fiscal year. That's first. And secondly, again, on peptide division, wanted to get some more details on the products that we have validated. Like what is the maximum length of the chain that we have validated, and are these fragments for one single product or the validated fragments are for multiple products?
Nilima Prasad Divi: What was your first question?
Dhawal Khut: Outlook on capex.
Nilima Prasad Divi: I would say the capex, like right now we have capital work in progress of ■ 2,000 odd crores. So, I would say the capex for the following year, unless we see any major custom synthesis project or any new project that's in our way, it would be a constant capex. Now Kiran would answer your second question.
Dr. Kiran S. Divi: So, coming to peptides, right, we have several customers, like I explained to you, where we are at various stages. Either some are in validation, some are in qualification, some are in R&D stages where we are doing small quantities for them, the fragments basically.
These are various fragments, according -- it's very difficult for me to say whether it's for a single customer or multiple customers because I'm bound by CDAs. But all I can tell you is that we have a healthy pipeline and we see much more opportunities in different therapeutic segments.
Moderator: Thank you. That was the last question of the day. I now hand the conference over to Mr. Satish Choudhury for c

losing comments. Over to you, sir.

M. Satish Choudhury: Thanks all for joining us today for the earnings call of Divi's Laboratories Limited. In case you need any further clarification, please reach out to our Investor Relations. Thank you.
Moderator: Thank you. On the behalf of Divi's Laboratories Limited, that conclude this conference. Thank you for joining us, and you may now disconnect your lines .